

Arvind Fashions (ARVINDFASN)

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Q4 FY20 23 Earnings Call Transcript – May 31, 2023

CORPORATE PARTICIPANTS

■ Kulin Lalbhai – Vice Chairman & Non -Executive Director

■ Shailesh Chaturvedi – Managing Director & CEO

■ Girdhar Chitlangia – Chief Financial Officer

■ Ankit Arora – Head , Investor Relations and Treasury

Moderator: Ladies and gentlemen, good day, and welcome to Arvind Fashions Limited

Q4 FY23 Earnings Conference Call. As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ankit Arora – Head, Investor Relations & Treasury at Arvind Fashions Limited. Thank you, and over to you, sir.

Ankit Arora : Thank you, Zico. Welcome everyone and thank you for joining us on Arvind Fashions Limited earnings conference call for the fourth quarter and fiscal year ended Mar 31st 2023. I am joined here today by Kulin Lalbhai – Vice Chairman & Non -Executive Director, Shailesh Chaturv edi – Managing Director and CEO and Girdhar Chitlangia , Chief Financial Officer . Please note that results, press release and earnings presentation ha d been mailed across to you yesterday and these are also available on our website www.arvindfashions.com . I hope you had opportunity to browse through the highlights of our performance. We will commence the call today with Kulin providing his key highlights of our performance for the fourth quarter. He shall be followed by Shailesh who will share insights into business and financial performance. At the end of the management discussion, we will have a Q&A session .

Before we start, I would like to remind you that some of the statements made or discussed on this call today maybe forward -looking in nature and must be viewed in conjunction with risks and uncertainties we face. A detailed statement of these risks is available in this quarter's earnings presentation. T he company does not undertake to update these forward -looking statements publicly. With that said, I would now turn the call over to Kulin to share his views. Thank you.

Kulin Lalbhai : Thanks, Ankit. A very good afternoon to you all. Thank you for joining us for the Q4 results. We are very pleased with the strong operational performance this quarter. Despite tough market conditions, the company was able to register a growth of 24% in revenues and 45% in EBITDA. This was made possible by strong like -for-like growth and sell -thru 's, which led to a significant GP expansion.

Over the past two years, we have focused extensively on reenergizing our brand fra nchises and those efforts are now clearly bearing fruit. FY 23 has been an exceptional year for AFL. Our sales grew by 45%, adding more than INR 1,350 crores to the top line. Growth in EBITDA was far higher at 100%. Overall, EBIT DA margins increased by 330 basis points. The key drivers for this significant expansion in EBITDA are increased sell -thru 's and productivity in our retail channel , the turnaround in Arrow profitability and operating leverage due to a much larger scale.

As we exit the year, we feel confident that we will continue to see a significant expansion in our EBITDA margins moving forward. A very significant milestone for us is achieving a return on capital employed of close to 15%. We had stated a medium -term objective of reaching return on capital employed of 20% and that objective is now well within reach. Our North Star at AFL will be to achieve a high return on capital employed and strong operating cash flows. And hence, all the decisions we have taken in the past many years are towards a chieving this objective. We exited unprofitable businesses, reduced asset intensity by increasing th

e share of franchising in our business, significantly improved our gross margins through better full price sell -thru and dramatically reduced our gross w orking capital days.

Strong controls on inventory have improved our inventory turns to more than 4x. And by pivoting to a consignment model in our franchise network

rather than the buy-and-sell model, we have optimized our receivable days as well. We could have had an even higher EBITDA had we not made these business model changes, but these changes have resulted in a more robust business model, where we have full control over our inventory in the franchisee stores and hence much better turns and lower receivables and therefore, higher return on capital employed.

Our gross working capital days are the lowest in the company's history and have gone down by 22 days over the last year. This strategy of investing strongly behind our power brands and scaling them up in this asset-light consignment driven business model in retail, will ensure strong growth with strong operating cash flows in the years to come.

The customer demand remains soft, but we believe we have many growth drivers to scale up our business. We will increase our retail penetration with a healthy store opening plan. Our direct-to-consumer online business is showing great promise and our new category expansion into footwear, kidswear and innerwear is gaining momentum.

Our percentage EBITDA should continue to improve, driven by better productivity and sell-throughs, improvement in profitability of brands like Arrow and higher operating leverage. While we enter the new year with cautious optimism, we remain confident with the strength of our brands and our execution capabilities to navigate this environment.

I would like to now hand it over to Shailesh to take us through the specifics and more details about the financial performance.

Shailesh Chaturvedi: Thanks a lot, Kulin, and good afternoon, friends. Two years back during the COVID pandemic, AFL went on a path of decisive focus to put our entire weight behind reenergizing profitable growth. We've built one of its kind and very powerful portfolio of market-leading brands like US Polo Association, Tommy Hilfiger, Calvin Klein, Arrow and Flying Machine. With this decisive focus, AFL has doubled its revenue in the last two years, going from nearly INR 1,900 crores to now nearly INR 4,500 crores, it's a swing of INR 2,500 crores in two years.

In these two years, the growth in EBITDA has been even higher. In the previous year FY 22, AFL saw INR 140 crores swing in EBITDA. And now in just completed FY 23, AFL EBITDA went up by another INR 260 crores. AFL EBITDA has doubled in FY 23 with gain in EBITDA percentage margin of 330 basis points.

The growth in EBITDA in the last two years INR 400 crores. Power brand EBITDA is at a healthy place at 12.6% at end FY 23, delivering PBT swing at AFL of nearly INR 240 crores and a PAT swing of nearly INR 300 crores.

Q4 saw good results, starting with January, which finally saw the onset of peak winter. And with our strength in winter wear, we saw a very good full price sell-through of winter goods that time and for the entire full season of fall holiday '22. Q4 revenue at INR 1,140 crores meant a growth of 24%, aided by like-to-like growth in retail of 17%. Department store grew 60%+, and MBO channel grew by 50%+. USPA in the whole year grew by nearly INR 600 crores in NSV. Arrow also is a sharpened avatar now and with an impressive swing in EBITDA, which is based on healthy full price sell-throughs and strong like-to-like growths.

Tommy and CK have continued their path of excellence and has crossed revenue scale of INR 1,000 crores in this JV with extremely healthy margins.

These brands lead the industry in retail experience and business KPIs.

Flying Machine saw launch of a new brand logo and a new brand architecture, and we are leaving no stone

turned to take FM scale to the desired ambitious levels in the next few years.

Footwear business is showing very encouraging traction with its market-leading position and growth in 40% to 50% range with very healthy margins. We are also premiumizing all our brands and have touch points in order to offer a differentiated brand experience to consumers. In addition to very profitable growth of brands, we have kept a keen eye on working capital that resulted in 10 days improvement in inventory and 12 days improvement in debtors in quarter 4.

The supply chain initiative of last two-odd years, including focused project on core line has started to pay early dividends. In the current market conditions, we'll continue to keep a keen eye on execution and operational rigor so that we continue to gain profitability through better retailing

standards and higher full price sell -thru .

We see large growth potential in our brands, and we'll continue to grow scale and gain scale leverage and make our brands more profitable. In our build versus buy strategy, capital efficiency will remain the key priority.

Thank you.

Ankit Arora: Zico, we can open it up now for Q&A.

Moderator: Thank you, sir. Our first question is from the line of Nishid Shah from Ambika FinC ap. Please go ahead.

Nishid Shah: Congratulations on a very, very good set of numbers. My first question is relating to the Sephora. On the online side, I think one year back, we discussed about it that we should be seeing some initiative. So, can you elaborate on this? Now what's the situation? And how do we see it going forward?

Shailesh Chaturvedi: The situation on Sephora is – there is a status quo there. And we don't have anything incremental to add and it remains currently a very prestigious off line business selling masstige brands to women consumers. We haven't sort of launched a new online initiative as yet.

Nishid Shah: The experience at the store is excellent. In fact, it is much better than shopping at any of the international airport's duty -free shops. So I was just wondering what is stopping us from launching Sephora online in India? It is there on NNNOW.com. But if you have it as Sephora, it makes a whole lot of a difference. And there is a competition catching up with Nykaa and Reliance also launching on to it. I'm sure that it must be on the mind and you are working on it.

Kulin Lalbhai: We had stated this earlier as well, and this is one of the discussion points which we have with our partners. As Shailesh mentioned, we don't have an update on that yet, but of course, it is an area which we are in constant discussions with, with the global Sephora team.

Nishid Shah: My second question is relating to the overall size and the direction, you are right now at about INR 4,400 crores going by the normal growth rate that you would expect to achieve over the next three years, you will be almost \$1 billion or maybe \$1 billion -plus. Would you like to elaborate on that?

Shailesh Chaturvedi: We won't sort of comment on that. What our current strategy is to grow the brand's profitability and we don't see any change of that strategy. We'll continue to grow our business at 12% to 15% CAGR, that's our guidance to the market. And we stick to that guidance that in the medium term, all our growth engines are still firing be it on store expansion, be it on marketplace capability online, also continue to focus on sell -thru and grow the like -to-like growth of our store. Our adjacent categories are doing well. So we will continue to grow the way we have grown in the last two years and wherever it takes, it takes but we will stick to our strategy.

Nishid Shah: Kulin, 12% to 15%, actually, 12% is the nominal GDP growth. If you look at 7% inflation and 6% to 7% growth, real growth, then we are talking about 13% to 14% nominal GDP growth. So if you say 12%, then you are going to actual

y be losing out on the market share. And you talked about so many initiatives, so many new category additions and all, then we should be at least aiming for at least 18% to 22% kind of a growth. Isn't it?

Kulin Lalbhai: No, what you are saying is fair. I mean, if you look at our last few years, we have been growing fast, even adjusted for COVID and no decision we will take in the company which will not maximize the growth potential. The only thing we will always do is we are wanting profitable growth where growth gets converted into very healthy operating cash flows. And you have been seeing how we have been delivering on that. So as long as we are able to grow with the healthy opportunity, there won't be a stone unturned that the company will use every means possible to grow in a healthy fashion. Now with 15% as being our kind of median projection over the next 3 years, whether it is plus some percent points or minus percent points, depends on market conditions at that given point.

But I think even the numbers which you have said, if the markets are very responsive even we have been growing at 18% in the past. I think what we want to be very clear about is that we want healthy growth in the company, and we will not take decisions to accelerate growth at the cost of strong bottom line and operating cash flows.

Moderator: Thank you. Our next question is from the line of Darshil Jhaveri from Crown Capital. Please go ahead.

Darshil Jhaveri : Firstly, sir, congratulations on a great set of results. Sir, with respect to our margins, now you finally consistent double -digit margin, so what kind of further leverage that we can see? Because we have a good portfolio of premium brands. So what would be our take in terms of our margins? Like we said you want to do it better, but some kind of a range that our target is maybe over the next two , three years?

Shailesh Chaturvedi: Yes. So on the margin side, I will say, first, the -- what are the inputs that will drive our margins and then we can talk about some percentage. So if you look at , a lot of our focus is on the operational rigor, efficiency. So we look at both the product side and the retail side margin improvement, so on the product side, improving full price sell -thru , reducing discounting, buying better, a lot more focus on that side.

And we see an opportunity to grow our margin on the product side. Also on the channel mix, we are looking at getting higher business from more profitable channels, and we're also trying to reduce our discounting. So overall, the efficiency, the product rigor and the retail rigor offline/online, both is likely to give us some uptick in the gross margin. In addition to that, we have the second bucket of turning around profitability of some brands even more.

So happy that Arrow has turned around in FY23 and has a v ery large EBITDA swing from FY 22. So that's helping grow the GP for AFL. And we see that both Arrow and Flying Machine need to be higher scale, they're a little soft scale currently. And as they go in their journey for bigger scale, we will also get more margin coming from that.

And the third side on the margin is the operating leverage. As we grow the scale like we have do ubled our business in the last to years, a nd we continue to hopefully grow at market -leading growth rate, that will also flow into our additional margin EBITDA. So these are the broad sort of direction where the EBITDA is flowing.

Now I talk to the specific guidance. See, we have a guidance for company that we need to grow our EBITDA close to 1.5% to 2% on an annual basis, that's a minimum sort of guidance from our side. And we see that we will be able to continue to grow that space and if the markets are better, even at a higher pace.

Also in po wer brands, we will need to achieve double -digit EBITDA soon, and we are working very hard to that, and we have internal goals to reach tha

t quickly. So those are the guidance that every year, we need to take the EBITDA at least 1.5% to 2% in that zone, I think more like 1.5% expansion , and that will lead to the level that we'll be happy with in n ext one to two years.

Darshil Jhaveri : Okay, sir. So sir, with respect to, I think we've mentioned we might see some softening of demand. So would that -- how are we seeing now in two months in th is year. So what is the consu mer sentiment that we could see, what are we expecting? Is the demand issue that is why we are maybe focusing on 12% to 15% growth because we've been growing at a very substantia l rate. Could you just help me understand how the environment is currently?

Shailesh Chaturvedi: See, I would say the current market conditions are soft. And I would say despite the market condition, given the strength of our brand and our confidence in ou r ability to execute strongly, we are likely to deliver fairly competitive growth going forward. And as the market sort of improves which, likely to be from festival time, the growth rate still likely to go up further.

So we will stay focused on our growth drivers, like I said, store expansion, building online marketplace, improving like -to-like growth in our store, growing adjacent category like footwear and kidswear, et c. So we will continue to fire on all of cylinders. We want to build these brands to mega brands and we will continue to focus on growing these businesses.

Darshil Jhaveri : Okay. So that helps. And if I may, sir, one more question. I just wanted to understand about our tax rate. So will we -- because of our prior losses will that help in our taxation or how would that just happen?

Girdhar Chitlangia: This is Girdhar here . Yes, you're right. There are still accumulated losses which will help us in our taxes in the future.

Darshil Jhaveri : So going forward, what would b e the effective tax rate? Because I think this year, we've still shown as 30% .

Girdhar Chitlangia: So there are two things there. One is the tax regime and whether it's ultimately, we pay our tax. Two different questions here. So we are currently in the current tax regime only. And in the future, I mean, we keep evaluating. As and when we get an opportunity to move to a new regime, we will. Of course, we have the option of continuously utilizing our past losses.

Darshil Jhaveri : Okay, sir. So like if I can understand that we're not paying out cash taxes, it is just a book entry currently, if I could that could make sense?

Girdhar Chitlangia: Yes.

Moderator: Thank you. Our next question is from the line of Ankit Kedia from Phillip Capital. Please go ahead.

Ankit Kedia: Sir, my first question is regarding the working capital. I think excellent work on the inventory days and collection period. Just wanted to understand, have you changed accounting with the franchisee owners or wholesalers to reduce the inventory or status quo on that front?

Shailesh Chaturvedi: See, there's nothing dramatically done in the last 1 quarter, but over the last two, three years, we've been gradually changing the model to maximize ROCE and capital conversion. So we used to do a lot more outright billing in the past. But now we have moved – like the industry has also moved, to a consignment model. It's been done gradually. It's not like a one-off in quarter 4.

And we believe that's the right model because the cash collection is faster there, our ability to manage the assortment of merchandise and drive the full price thru store in a more scientific automatic – automated way is better. So we like in this we've also made some changes, but they have been very gradual on this.

Ankit Kedia: Sir, so in this, the inventory is on our books or on the franchisee books? And, accounting and practical could be two different things, right? So if you can explain the buy-and-sell model historically and now consignment model, how is it

different on paper and actually?

Shailesh Chaturvedi: Yes. So in the past, then the outright model, the inventory gets transferred at the time of billing to the franchisees. And then that franchisee is supposed to pay back to us as per the terms we have with the party. Now after that, the whole experience and the whole scientific rigor of ensuring very healthy sell-thru is with the franchisee. All the tools get transferred to the franchisee, we don't even have visibility of level detailing.

The industry, and we have moved to a consignment model where the goods – the title remains with us, with the company. And based on the sale, every day the sale gets collected, it's transferred back to us. And at a pre-decided margin commission, we pay them on a monthly basis, the commission.

Ankit Kedia: So the inventory which is reduced is sitting on our books and despite that the inventory days have come down. Is that the right way to look at it?

Shailesh Chaturvedi: That's right – also, what happens is that you're right that with all this back-end being a little more scientifically handled, automated replenishment, the throughput of the inventory gets to us in our way, and it's a scientific knowledge and now machines are doing it. So we need the whole inventory pool to be guided by the machine learning.

Second part is that when the inventory is with us, it also gives the opportunity for us to do the omnibusiness because we have a clear visibility of omnichannel, then through the omnichannel method gets exposed to the consumers online.

And then we push the full price sell-thru to the omnichannel conversion also. And in lot of our stores, the omnichannel contribution is in high single digits. So that's a further push into full-price business. So you're right in a way that despite the inventory being on our books, we are seeing much faster turns in our business. And like we mentioned, the stock turn have crossed 4 now.

Ankit Kedia: And sir, because of that from a revenue recognition perspective, now we are looking at full revenue and the expenses the franchisee commission comes as expenses because of this accounting. So that way, over three years, if the transition has happened over the last two, three years, the revenue has bumped up by that percentage of the franchisee commission?

Shailesh Chaturvedi: Yes, gross margin and the revenues do get slightly increased. And, also the franchisee commission will come below the GP as an other expenses

and profitability comes. So percentage EBITDA comes down in this model because the revenue recognition is at the MRP-ish level, whereas the margins are after reducing the expenses. So while the denominator goes up, but overall we see in the medium term, our ability to sell full price with lower discounting, goes up. So that's why overall EBITDA goes up. So basically, this is a model which is optimizing return on capital employed. So, ROCE is the north star and this method gives us opportunity to do faster stock turn and improve ROCE.

Ankit Kedia: Sure. Sir, in Channel-wise, can you just help us with channel-wise margins on a ballpark basis, what they would be? And how are we looking at the mix here – online, MBO and retail business now?

Shailesh Chaturvedi: Yes. So let me first give you a sense of channels. See, we are fortunate that we have multiple very well-developed channels, be retail, department store, trade, online. And within online, we have both wholesale as well as our own marketplace. So at an annualized level, our retail contribution now is around 43%, which has gone up by 4% in last year.

Department store is at that 12% to 13%. That's also because the department store took some more time to recover. So this year, we'll see further continuing growth in department store percentage, and they are now at around 13%. Trade tends to be on an average at 15%, we are at around 17%. But between department store and t

rade that we get around

30%. Then we have a healthy online, we are the leader in the online space where our contribution has been between 20% to 25%. And then we have small other channels like export or liquidation, which is like 4% to 5% of the business.

So this is the whole sort of a channel mix and our entire effort is to drive channels, which give us better opportunity to give experience so be it the retail channel, be it the online marketplace model. We prefer where we have a larger say on things like consumer experience, product assortment, discounting and faster stock turns. So that's where our philosophy on the channel is currently.

Ankit Kedia: So from a margin perspective, then retail would give you the full control end-to-end. So is it fair to assume that the retail is the highest margin, while trade would be the least. But actually, I believe trade still gives the best margin, right, where you still don't have control. So if you can just help us...

Shailesh Chaturvedi: See, every channel has its own dynamics on margin and expenses. So it will not be fair to answer that question. But our priority is to focus on experience right now.

Ankit Kedia: And on online – own website versus third-party marketplace and a lot of there, we are seeing companies shifting to omni and not outright. How is that movement in online happening? And how does that impact margins?

Shailesh Chaturvedi: But that's a major strategy for us to divert the online demand for our exciting brands to marketplace model. And in this quarter, our marketplace business grew by 75%. What happens is that in marketplace, the whole assortment of inventory, we do it very scientifically. We create a lot of exclusives and very strong linkages with our stores on omni side. So overall, we are building this marketplace model very strongly, and we're putting a lot of resources and energy behind that.

Ankit Kedia: So today it would be 50%?

Kulin Lalbhai: Let me come in and explain this model simplistically. In the older buy-and-sell model in online, you would sell actual inventory to the partners. And then the control of how they sell it, at what price they sell it, it's with them. And it also meant that your inventory then is in different places with different partners. In a marketplace model, the inventory all is with us, in our warehouses and our stores. And because the inventory is centralized and all the demand comes to one centralized pool of inventory, we not only control the pricing in the presentation, but the same inventory pool is catering to all the demand.

So it is a much more efficient way to even get inventory sell-thru's to happen. So I think the pivot towards marketplace is a very strategic one. It means our company has to also obviously developed capabilities around not only fulfilling the orders, from our stores and warehouses, but also maintaining the listing, creating demand. These are all now very scientific new age capabilities, and those capabilities have been built by the

company over the last two years.

So we are pivoting even our online business from a buy and sell to more of a marketplace model, where we take full control. So that is the strategic significance of the shift we are making.

Ankit Kedia: Sure. If I can ask one last question? This quarter, there is some discontinued operations around INR 1 crore loss. Any brand like Ed Hardy, Aeropostale getting the license go, is it to do with those businesses?

Ankit Arora: So Ankit, just to clarify, we had some old inventory for the discontinued businesses, which we had done over the last 2 years. We have completely cleaned that in this quarter. And it's just a minor loss, which is coming on account of that and there is nothing else apart from that.

Moderator: Thank you. Our next question is from the line of Pritesh Chheda from Lucky Investment Managers. Please go ahead.

Pritesh Chheda: Co

ngratulations for the growth and the balance sheet inventory turns. I'm still unable to understand what is the pre-IndAS margin that we would have at this scale of business vis-à-vis the scale of business that we had pre-Covid. If you could give those two numbers, it would be very helpful to understand your margin movement?

Shailesh Chaturvedi: See, the post-IndAS result that we declared, typically, the pre-IndAS numbers are -- there's a gap of -- the difference of around 4%. And you can calculate that yourself. And if I look at the last two years our EBITDA growth, we have done really well. I mean we've doubled in the last financial year itself. And in terms of our ROCE, debt level, EBITDA level, we've been probably at the healthiest we have seen. From pre-COVID to now, we have seen major changes.

We have driven some of those changes ourselves in terms of change of model from outright to a consignment model. And a lot of those things have changed now. And if you look at last two, three years, we've been really focused on increasing our EBITDA. Last year itself, our EBITDA has gone up by 330 basis points. So we are on a healthy trajectory, and we expect that our drivers of margin improvement will continue to go forward. In that sense, we're ahead of the pre-COVID EBITDA, and you look at our company results overall on our debt level on inventory levels, stock turn level, EBITDA level, we are moving forward.

Pritesh Chheda: So if your pre-IndAS margin of 6%, you reported is 10% minus 4%, 6%, for a scale of business of INR 4,500 crores, we have competing players who have a fairly higher pre-IndAS margin. So what all steps are still needed? Or if you could tell us the bridge, why are the margins still single digit?

Shailesh Chaturvedi: See, our EBITDA for the full year is 11.4%. You can calculate the pre-IndAS number, and we've really moved forward. Yes, there may be some players who have a higher EBITDA margins than us, and we will continue to improve further.

A couple of dynamics, it could be in terms of royalty payments, it could also be a need for us to turn around Arrow's profitability further, to scale up Flying Machine further. So there are a lot of levers and job for us to do. We focus on that, and we are very confident and working hard towards improving our EBITDA further every year.

Pritesh Chheda: What is the drag which comes from Arrow and Flying Machine and the emerging businesses in your EBITDA, if you could give us that it would be very helpful for us to understand what is the EBITDA margin on the residual business?

Shailesh Chaturvedi: So let's see Arrow as a brand. COVID was really tough for the formal brands and that business, a very largely retail-driven business went into losses. And what we have done now is that by making a lot of changes to Arrow, which we have spoken a lot in our past investor calls, we've turned around this brand. And this FY 23 end, it is now in low single digits. It used to be loss making earlier, there's a large swing in Arrow. Many of our brands are at a pre-IndAS double-digit EBITDA already. You look at our power brand portfolio EBITDA in quarter 4 itself, you see is at 13.1% post IndAS. So you can calculate where it is.

And Tommy Hilfiger, Calvin Klein, US Polo, footwear, I mean, overall, US Polo is all in double-digit EBITDA already. The brand like Arrow, we have turned around, we are happy about it, but there is a journey ahead to improve it scale further and improve its profitability further.

Pritesh Chheda: Okay. And the emerging brand, what is a drag now from the emerging

brand to our EBITDA?

Shailesh Chaturvedi: So if you really see the full year, the emerging brand EBITDA has gone up from 2% earlier to this year is around 5.9%. The emerging brands have improved, and that's largely coming from Calvin Klein. The other brands in that group are Sephora, where the EBITDA margins have

remained stable.

And discontinued brands like Ed Hardy, Izod and Aeropostale where we have a INR 5 crore to INR 7 crore royalty hit for next 1 to 2 years, and that's the drag that we have currently.

Pritesh Chheda: So basically, when you report 6% in your PPT in emerging brands, minus 4%, so basically emerging brand is at about 2% pre-IndAS margin. And in power brands, if you say your pre-IndAS double digit, is it right that you are pre-IndAS double-digit margin in US Polo and Tommy and you're losing some money in, let's say, Flying Machine and Arrow. Is that the interpretation?

Shailesh Chaturvedi: I would say the interpretation is that Tommy, Calvin Klein, US Polo or double-digit pre-IndAS. Arrow and Flying Machine are at a stage where there are low profitability. And we believe they're sub-scale, once we improve the scale of these brands, they will also become higher profitable.

Moderator: Thank you. Our next question is from the line of Shreyans Jain from S van Investments. Please go ahead.

Shreyans J: Yes. Congrats on a great set of numbers. Sir, my first question is last quarter when we had done the call, you had told us about how operating leverage will now start kicking in. But now if you just look at your gross margin and EBITDA margins, you obviously EBITDA margins have improved, but the kind of leverage that we were expecting has not actually come through. So one is on the other expenses bit. And I think last quarter, you had also mentioned that as retail grows, other expenses also tend to grow. But just wanted some more granularity in the sense that quarter-on-quarter, last four quarters, we see this number from INR 300 crores is now at INR 400-odd crores. And when I look at some other companies like Aditya Birla, their percentage of other expenses to sales is not as high as ours, so just wanted some fundamental understanding of what is driving this increase in other expenses?

Shailesh Chaturvedi: Yes. So let's see, let's start with GP to EBITDA and other expenses, we'll cover in that. So first point is that we are getting a healthy scale leverage already. In the full year, we've seen more than 2%, 200 basis point improvement in EBITDA margin coming from scale leverage in FY 23. Even in the quarter 4, we've seen out of our growth in EBITDA of 1.9%, 190 basis points, 0.5% improvement in EBITDA out of that has come from scale leverage. So scale leverage is kicking in and it will continue to grow. That's the sort of statement of fact. Now if you look at our GP for quarter 4, our GP has gone up by 7%. Now out of that, 2% is because of a technical model change in Tommy Hilfiger where we went from an outright to consignment. And that happened early April, and this is the last quarter where from year-to-year comparison, you will see that change in other expenses because almost INR 25 crores of that expense has come as higher GP and then it's coming as higher operating expense also.

So 2% out of that 7% is one-off technical. I mean, we changed this in April, and now it will continue and in comparison from last year will not come from the quarter 1. So that's one technical reason that 7% actually is a 5% GP growth, which is, in a way, as per target healthy growth. Now if you look at 5% GP increase. Out of that, close to 2% has flown into EBITDA. Now the balance 3%, what has happened is that as the sale is increasing, and we have grown like really at a healthy pace of 45%, then other expenses are also growing because a lot of franchisee commissions, royalty, supply chain costs like warehousing and freight, etc. come below that.

So out of that 3%, 2% is going as variable. A lot of it is basically commission 1%, 0.5% is seller's. So out of the 3%, 2% comes as variable. We have scale leverage coming in from lower manpower cost, which is around 0.5%. And we had, in this quarter, slightly lower other income than in the past.

And

because of that, there was little bit drop of EBITDA. So out of that 5%, 3% is flowing in, then there are some expenses and then there is a scale leverage of 0.5%, which actually leads to 1.9% EBITDA increase.

Now coming specifically to other expenses, I will just give you a little more colour on the other expenses of quarter 4 versus quarter 3, but one reason clearly is because of the sales increase, and there's a one-off technical reason of Tommy Hilfiger around INR 25 crores when we moved from outright to consignment model early this year. Girdhar, our CFO, will explain a little more about the other expenses.

Girdhar Chitlangia: So you see quarter-on-quarter, the other expenses have gone up largely because our department store sales have gone up, in which corresponding higher increase in commission expenses. Also in Q4, last year, we were a little subdued on our expenses, and most of our expenses are now back to normal levels. So that has also impacted slightly our expenses.

Shailesh Chaturvedi: Because last January was COVID, so most of the retail everything was shut, right? So the retail sell-off also was lower on that basis. But now this year, we have grown on January because of COVID not there, but then our other expense has also grown in proportion to the sales.

Shreyans J : Okay. So sir, just coming back to this. So when we guide for about 12% to 15-odd percent top line growth, so is it a fair understanding that we should build in 10% to 12% growth in your other expenses component as well?

Shailesh Chaturvedi: Yes. So in the channel where the commission comes in. So for example, a lot of our mono brand store is retail and marketplace also has a commission. So in terms – in line with the sales, but a slightly lower percentage of that will come as other expense.

Girdhar Chitlangia: Not all our expenses are variable in nature, but we'll surely get some leverage on this account.

Shreyans J : No. But higher the channel sales than higher the commission and brokerage, right?

Girdhar Chitlangia: Yes. Understand. So that is, of course, variable. But what I'm saying is of all the other expenses, not everything is variable in nature. There are other fixed expenses, which we will surely get leverage on.

Shreyans J : All right. All right. And sir, somewhere in the call, you mentioned that Arrow has now turned profitable. And now just looking at your profit for the full year, so we've done about INR 50-odd crores profit in the Tommy, CK JV. So that in itself would have been INR 100-odd crores because 50% is our share. And when I look at your profit before minority interest for the full year, it's at about INR 87-odd crores. So is there a INR 13 crore loss that is still sitting that you've done in this year? I mean is that from Flying Machine? Is that understanding correct?

Ankit Arora: Ankit here. So what you are seeing is the swing in from negative INR 267 crore to plus INR 36 crore in PAT after minority interest. You are right, as to what Shailesh earlier explained is we have brands like Arrow and Flying Machine which are low on profitability. And of course, the drag on account of our discontinued brands, where there is a fixed cost. So that does have a drag on PAT for FY 23. But as to what you can see there is a significant stride, which is what we have made from FY 22 to FY23, and we expect this momentum to continue in the years to come, and you will see that in FY 24 as well.

Shreyans J : Okay. All right. And just last question on the debt bit, sir. I see in your cash flow, we've increased debt by about INR 130-odd crores. So I just wanted some clarity on that because I think we were on the debt reducing spree, but all of a sudden we've gone ahead and increased debt?

Girdhar Chitlangia: You see largely our endeavour is to reduce debt, and we expect it to have a downward trajectory. FCF for the year will be used to pay down our

debt.

This is what is going to be our priority.

Shailesh Chaturvedi: See, our debt levels, if you look at in FY 23 ending close to INR 600 crores, it's gone up by INR 100 crores. For a sales growth is so much higher. And if you look at our working capital days have come down. So this increase in debt is largely linked to the increase of scale and our inventory levels are healthier and we've dropped 10 days in inventory, we are higher by almost INR 100 crores because the kind of growth, 45% growth we have seen in that the value of inventory has gone up by almost INR 100 crores and our debt levels have also gone up by close to INR 100 crores because of that. But if you look at the scale of operation that has gone up, our overall -- the inventory days have come down significantly. Our GWC and NWC turns have become better. And we think that we will grow our capex etc., from our internal accruals, and we don't have any organic plan. So our debt

levels are to be very similar or maybe a little lower as we go along .

Moderator: Thank you. Our next question is from the line of Jatin Sangwan from Berman Capital. Please go ahead.

Jatin Sangwan: Congrats for the amazing set of results. I noticed that in your balance sheet you're right of use assets have increased substantially from March '22 levels and even from September '22 levels. So what's the reason behind this? And would it have any effect on the depreciation in the interest component that will come in FY '24?

Girdhar Chitlangia: So you see, we have opened 39 stores, and which is basically a leading us to this higher number on the balance sheet, but I don't see any increase in interest outgo on account of this. Of course, I mean, the IndAS accounting will have to happen for these newly leased properties. But apart from that, there is no cash of flow on this.

Shailesh Chaturvedi: See, if you look at Tommy Hilfiger business, it's a very high cash generating business, growing really well and profitability growing even higher. Now as a part of our capital allocation strategy, we see takeover stores because we're sitting on cash in the bank, it's a very good because the IRR you get in the Tommy store is very, very high. So it's very prudent from a capital allocation strategy to use that cash lying in the bank to build stores and get a higher return on that investment into the stores.

Jatin Sangwan: Okay. Got it. And how many stores of Tommy Hilfiger currently on COCO model? And what is your target rate?

Shailesh Chaturvedi: Around close to 35 stores. See, Tommy has more than 100 -odd stores, out of which 35 a round we have done now to convert COCO stores.

Jatin Sangwan: And what's the target for FY 24 and FY25?

Shailesh Chaturvedi: We will wait and watch. We will evaluate it. So I don't have a ready answer to give you, but we will explore opportunity to increase our profitability by every other means.

Jatin Sangwan: Okay, sure. And also, I noticed that employee expenses have increased around 10% Q -o-Q. So is it because the retail – share of retail channel has increased or it was some part of onetime bonus payment ? And second question is on what's the steady level of employee spends we should look at?

Girdhar Chitlangia: You see the Q4 expenses have gone up, as you rightly picked up because of the bonus and variable payout in Q4.

Ankit Arora: Jatin, Ankit here. Just to clarify, you should look at employee cost on a year -on-year basis, it has gone up from INR 237 crores to INR 268 crores. It will increase in line with inflation. So you should probably build around 10% of increase in employee costs for FY 24.

Moderator: Thank you. Our next question is from the line of Ankit Kedia from PhillipCapital. Please go ahead.

Ankit Kedia: Sir, what is the overall store opening guidance across brands for the next two years? Because if I also look at the city count in US Polo, you have present been

around 175 -odd cities; Tommy for the last five years, we're present in sub -40 cities ; CK is sub -32 cities; Arrow, the store count is on a reduction, city count is also on a reduction; Flying Machine also now you're planning to relaunch the brand; Sephora, there has been no store addition. How should we look at this over the next two years now and which model each of these brands on the store front?

Shailesh Chaturvedi: So store expansion is a key growth driver for our brands. All our brands are we see huge opportunity and untapped potential to expand in the big city and the suburb of big city as well in the smaller tier towns. Now our guidance is to open close to 200 stores, that's our guidance for FY 24 as well that we opened close to 175 stores in last year. And we will continue to focus on that because our traction in our store is good.

Our share of revenue coming from our EBO channel is going up. It's doing good business for us. So we see opportunity to grow in these brands . And as we stand today, the numbers that city you -- you're giving our numbers are really gone higher. And just to clarify that US Polo has now crossed 200 towns. Tommy is available in now 70 towns. So the city count also has gone up. So the numbers from the last time , the data you've seen our numbers have gone higher, and we continue to grow sensibly our store count.

Ankit Kedia: And sir, what is the capex guidance? Because if I look at the math, debt has gone up. And if you suggested that from a free cash flow, we plan to pay our debt. So if the capex of 200 stores, assuming 60%, 70% would be on

FOFO model and not 20%, 25% could be on COCO model, still there will be substantial capex in the business. So how much debt over the next two years can be pay down with 200 store expansion every year?

Girdhar Chitlangia: We are expecting our capex for next year to be around INR100 crores, a large part going towards refurbishing some of the stores. And also, we are spending some money on upgrading our IT systems. But all this, we are expecting to do with our internal accruals. And I don't expect any further debt to be taken on account of this.

Ankit Kedia: Yes. Sir, but debt reduction is also important. So do you see debt reduction happening if not debt increasing?

Girdhar Chitlangia: So we earlier answered that question, and we said any further FCF will actually go towards reduction of debt. Shailesh just mentioned that largely, we are hoping that our debt will remain very, very consistent. And if at all, it will actually go down.

Ankit Kedia: So over the next two years, we are looking to maintain these debt levels or marginally reduced if you generate free cash flow?

Shailesh Chaturvedi: We are quite confident of cash generation from our business and our capex are for specific need. So there's no major because our expansion is asset-light through partners. So in stable market condition, we're very confident of our debt level going down in the next two years because we are very confident of generating further cash from our operations.

Ankit Kedia: Sure. And one last question. What is the pre-IndAS rental we would have paid this year?

Ankit Arora: Ankit, that number would be somewhere in the range of about INR180 crores to INR200 crores.

Ankit Kedia: Which is lower than last year's absolute rental number?

Ankit Arora: I will have to check that. It would have gone up in my assessment, probably on account of because FY 22 was impacted by COVID. And of course, we have opened a lot more stores and the retail expenses coming back, my assessment is the rental would have gone up from FY22 to FY23.

Ankit Kedia: Sure, I'll take this offline. So exclude the other income or onetime rental benefit, I believe the rentals would have come down, but I can take it offline.

Ankit Arora: Sure, we will do that.

Moderator: Thank you. Our next question is from the line

of Dhviti from Molecule Ventures. Please go ahead.

Dhviti: Congratulations on a good set of numbers. So my first question is regarding USPA. In the PPT, we have mentioned about doing INR 2,000 crores of NSV. So what has it been in FY 23? And what will be the delta in the brand going forward?

Shailesh Chaturvedi: USPA has done really well in terms of growth. Delta this year in FY 23 over previous year is close to INR 600 crores. So it's almost like size of a big brand that we added in 1 year. It's still not reached INR 2,000 crores, let me clarify that, but it's in a journey, it should hit INR 2,000 crores top line very soon. And it is a leading player in the men casual segment in the country, and we'll continue to dominate that segment.

Dhviti: Okay. And sir, the adjacent categories, if you could give annual revenue breakup for each of your kidswear, footwear, innerwear?

Shailesh Chaturvedi: See, we will be in the brands where we have big adjacent category like US Polo, Tommy Hilfiger, the number, we will hit close to double-digit revenue share very soon. The growth rates in these brands in this segment is very high. Footwear is growing at 40% to 50%. Kidswear has been growing at around 25%. And we continue to pilot some new categories in the background, doing some small piloting all the time. So these categories will continue to grow at a very rapid pace.

Dhviti: Okay. Also, sir, USPA, can we assume that it has done around INR 1,800 - odd crores in FY 23?

Shailesh Chaturvedi: Very close to that. I mean give and take some crores here or there, but you are very close to that number.

Dhviti: Okay. So next question is regarding Arrow. So last few quarters, we have been talking about the brand turning EBITDA positive. So what will be the EBITDA margin for FY 23? And how do you look those going forward?

Shailesh Chaturvedi: See, like I said, COVID was harsh to this category. This year, we did a large swing in EBITDA, very, very large and it's turned EBITDA positive. But still, the EBITDA margin in Arrow in FY 23 is low single digits. And the idea is to take it to mid-single digit very, very quickly because once our model is

working and the consumers are buying that model with newer categories like super premium '1851' or new smart casual line called 'Arrow Sport'. So a lot of things are trending really well. The like-for-like growth and sell-through in Arrow are very, very healthy.

We've also done updation of retail and we are opening more and more stores so with that identity and the energy that Arrow has, we are gunning for fairly high growth and with that scale, we are also gaining leverage along with the efficiency. So the next milestone is to hit mid-single-digit EBITDA in Arrow in near future.

Dhvit Shah: Okay. Sir, if you could give the OPM for current quarter in Arrow.

Shailesh Chaturvedi: We don't give brand-specific details.

Moderator: Thank you. Due to time constraints, our last question is from the line of Gautam Rathi from CWC. Please go ahead.

Nishi t: This is Nishi t Am I audible?

Shailesh Chaturvedi: Hi, Nishi t, you're audible.

Nishi t: Great set of numbers, guys. Just a question. I just wanted to clarify, I could not understand the debt comment actually made by the CFO. Actually, because in my understanding, you guys have done a very decent OCF this year despite INR 130-odd crores that was used in working capital, right? And you're guiding for EBITDA margin expansion going forward on the overall revenues, which will basically give you even further ammunition. And your working capital may not increase at the same level because you may not add the same amount of absolute revenue that you are talking about. So am I missing something? It doesn't tie up, right? I can't see any reason why we shouldn't be reducing debt substantially every year, right? And even this year, right, we accrued cash, right, our

net debt is flat. Our

gross debt has increased for some reason, but our net debt is flat, right? So going forward, shouldn't we be accruing at least INR 100 crores of FCF, if not more?

Kulin Lalbhai: This is Kulin here. You are very right that with the increase in profitability and now last year was a one-time where we saw almost a 50% revenue growth because of a COVID base, but now with a normalised natural growth rate and a much improved profitability and a small capex amount, the business will be generating free cash flow. So let me be very clear in stating that. But the environment is a little uncertain. So we are kind of being a little cautious in our guidance, but definitely, debt will be going down, it has a downward bias. And every year, we believe the amount of FCF the company will be generating will be going up significantly.

Nishi t: Yes, Kulin, I fully understand. So basically, what you're saying is, if your other guidance is held, which is improved profitability and steady growth rate then you will generate this. Now the only scenario in which you don't generate FCF is, let's say, the environment deteriorates sharply. Even there, the growth will slow down, the working capital will get controlled and you will control the capex and/or the growth goes through the roof wherein you again consume some working capital, but again, you will generate much better profitability, right? So most of the scenarios going forward from here, your guidance for better ROCE which we will be getting much better OCF/FCF -- better CF conversion, right?

Kulin Lalbhai: No, you are right. I mean there is no scenario where we see debt going up. And in terms of its downward bias, it will -- as you explained or as you mentioned, it will be a function of how the scenarios play out, in a scenario where the markets are good, which we do believe that the market are going to pick up in the next few quarters. We do believe that the free cash flow generation in the company should be healthy and thereby, debt should go down.

Nishi t: And Kulin, in your assessment, and I'm not holding you for it, but you guys are taking to become a debt-free company sometime, right? Where would you be -- you say that is it two years, three years, where will you be disappointed not getting to that number?

Kulin Lalbhai: No, I think that is the stated objective that we are going to generate very healthy cash flows. And as per a 3-year kind of vision, definitely, we can be very close to being net debt 0.

Nishi t: That is very, very positive. I think you guys have done a really good job from where we were to generating very healthy OCF. Just another -- this is something that keeps coming up, and I really want to appreciate the fact

that now you're looking at your PAT excluding the minority interest, right?

It's very stark, right, because somehow it appears that Tommy, CK is already a INR 100 crore s PAT business, right? Is it fair to assume that US Polo will be in a similar kind of range if not better?

Kulin Lalbhai: Yes. U S Polo, as Shailesh also mentioned is double -digit pre -IndAS profitability. So it's in a very healthy profitability and also an extremely healthy return on capital employed.

Nishi t: Yes. It is very, very, very heartening to hear again because then basically because whenever we look at the stand -alone numbers, excluding the subsidiary numbers, the profitability somehow doesn't show up but that you're saying there are two components. One is partially the drag of some of the brands which are discontinued and partially as some of your brands like Arrow scale up then the true profitability of US Polo at some point of time starts showing up, right?

Kulin Lalbhai: Yes, definitely. I mean, we're already seeing it . I mean 190 bps increase in Q4 and every quarter, you should expect to see the operating leverage continue.

Nishi t: No. I think this year, with the balance

sheet and the cash flow and

managing all of that, the discipline to manage the growth was great.

Looking forward to next year, I hope the only thing now left to see is healthy, healthy FCF generation .

Kulin Lalbhai: Thank you.

Moderator: Thank you. That was the last question of a question -and-answer session. I would now like to hand the conference over to the management for closing comments.

Ankit Arora: Thanks, everybody, for joining us on the call today. If any of your questions have been unanswered, please feel free to reach out to me separately, and I'll be happy to answer them offline. Thanks for your time and look forward to again interacting with you in the next quarter.

Moderator: Thank you. On behalf of Arvind Fashions Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Note: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes

no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Aug 2023

Q1 FY20 24 Earnings Call Transcript – Aug 11, 2023

CORPORATE PARTICIPANTS

■ Kulin Lalbhai – Vice Chairman & Non -Executive Director

■ Shailesh Chaturvedi – Managing Director & CEO

■ Girdhar Chitlangia – Chief Financial Officer

■ Ankit Arora – Head , Investor Relations and Treasury

Moderator: Ladies and gentlemen, good day, and welcome to Arvind Fashions Limited

Q1 FY24 Earnings Conference Call. As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ankit Arora – Head, Investor Relations & Treasury at Arvind Fashions Limited. Thank you, and over to you, sir.

Ankit Arora : Thank s Dorwin. Hello and w elcome everyone and thank you for joining us on Arvind Fashions Limited earnings conference call for the first quarter ended June 30, 202 3. I am joined here today by Mr. Kulin Lalbhai, Vice Chairman and Non -Executive Dire ctor, Mr. Shail esh Chaturvedi, MD and CEO and Mr. Girdhar Chitlangia , Chief Financial Officer.

Please note that result press release and earnings presentation ha d been mailed across to you yesterday and these are also available on our website www.arvindfashions.com . I hope you had the opportunity to browse through the highlights of the performance . We will commence the call today with Kulin providing his key thoughts on our financial performance for the first quarter. He will be followed by Shailesh who will share insights into key business highlights and financi al performance. At the end of management discussion we will have a Q&A session .

Before we start , I would like to remind you that some of the statements made or discussed on th is call today may be forward -looking in nature and must be viewed in conjunction with risks and uncertainties we face. A detailed statement of these risks is available in this quarter's earnings presentation . The company does not undertake t o update these forward -looking statements publicly . With that said , I would now turn the call over to Kulin to share his views . Thank you and over to you Kulin!

Kulin Lalbhai : Thanks Ankit. A very good afternoon to you all , thank you for joining us for the Q1 results. We are pleased to continue our trajectory of delivering improved financial performance even though the overall demand environment has remained challenging during the quarter. While overall sales grew by 4%, largely driven by the retail and dep artment store channel, we have been able to improve our EBITDA margin by over 190 basis points over the same quarter last year. Our sharp focus on continuing profitability improvement has been aided by operating leverage and higher gross margin through hea lthy sell th rough's. We have seen premiumization across categories and brands like Tommy Hilfiger and Calvin Klein which have benefited from this trend and have delivered excellent performance. We have invested a lot of efforts over the last two years in put ting sharper controls over inventory and debtors , which is yielding strong results in managing overall working capital. In response to the slowdown, we managed our invent ory in an agile manner which helped lower our inventory days by 4 days and the stronger retai l mix helped us lower our receivable by 11 days leading to an overall lower gross working capital cycle of 15 days. Wh ile we expect the demand environment to gradually improve by the festive season , we have multiple growth drivers such as a strong store opening pipeline, the scale up of our direct to consumer online business and high growth in adjacent categories. We continue to remain focused on improving profitability this year , through efficiency i

mprovement and healthy sell through and also in c ontrolling our working capital, thereby leading to a higher return on capital employed in the near to medium term. I would like to now hand it over to Shailesh Chaturvedi to take us through the specifics and more details on our financial performance.

Shail esh Chaturvedi : Thank you Kulin. Good afternoon everyone . Under the background of high

base of last year and amidst soft market conditions, AFL has delivered sales of 957 Crores in this quarter one with the growth of 4%. The like-to-like retail growth in this quarter is 4%, which has come on a high base of last year where the retail like-to-like last year in the same quarter had grown at a huge 25% over pre-COVID level. EBITDA has reached 116 Crores, an increase of 24% for last year quarter one. As we launched the new fall holiday season this week, let's discuss AFL performance for the full season of spring-summer 2023 with calendar dates going from January to June 2023 incorporating two financial quarters, quarter four of the last year and quarter one now of this financial year. Performance in season is key because business is run on seasons and we have to execute rigorously to win the season. In that sense, we had a very good spring-summer 2023 season where AFL PBT grew 115% in six months of Jan to June 2023. We had launched spring-summer season in February 2023, on time with good quality rigour and had completed bulk of wholesale trade billing by March. This timely execution led to good NSV growth, healthy like-to-like retail growth and doubling of PBT over last year same period. The bulk of wholesale billing was in Jan to March quarter where PBT grew by 255% and then this quarter Q1 of April to June 2023, PBT has grown at 9%. With doubling of PBT in just concluded spring-summer 2023 season has been very encouraging and we will launch fall-winter season with a lot of energy. Coming to this quarter, quarter one FY 2024, we started the business with good stock levels in the market since we had executed season launch well and this led to good retail growth of more than 15% in this quarter in both retail as well as in department store channels over last year quarter one. Under the current muted conditions, this mid-teen growth came with a 2% higher discounting although we did not go early on sale while industry saw pre-emptive sales but we stuck to our calendar and our seasonal rhythm. The overall sell-through for the season has been industry-leading and that has helped us keep our inventory levels under check and deliver stock turns close to four as guided. Good retail throughput also helped us with receivables which are down by a good 100 Crores over last year despite difficult market conditions. Overall, balance sheet KPIs were met with tight control. While retail and department stores grew very well, there was a muted number in this quarter in MBO wholesale channels because we had completed most of the billing of our season orders in the previous quarter. This business had grown more than 50% in Jan-March quarter and this key channel has grown at a healthy pace of more than 20% in the full season spring-summer, Jan to June. With efficient season launch, we had hoped to get repeat orders in April to June quarter from this channel. However, these repeat orders did not classify this year because of soft market conditions and our tight trade policies did not allow any further billing. We continue to expand our distribution and we opened 45 mono-brand stores in this quarter. Adjacent category expansion also continued well specially in U.S. Polo association which remains a key, strong and vibrant brand. In this category expansion, I want to call out the fantastic performance of USP A footwear which has grown more than 30% and delivered healthy double-digit operating EBITDA in this quarter. The thrust of online

business which contributed nearly 25% revenue is on rapidly building scale in B2C marketplace model where we curate the whole experience for online consumer including product assortment and pricing. Build-up of marketplace and only network is the priority of B2C part of online which has grown by more than 70% and has contributed to nearly 35% of overall online business. The wholesale online business has remained muted in the current market condition. With good sell-through and tight control of sourcing costs, the GP has moved up to 52.8%, an increase of 340 basis points. With greater than 15% growth in retail, the share of retail in revenue mix has gone up by nearly 5% and that has also helped increase GP percentage because retail channel has higher GP where as some variable expenses like commission, royalty and supply chain expenses come below GP. Of this gain in GP, a healthy 190 basis point has flown into EBITDA which has grown in value by 24% reaching margin level of 12.1% in this quarter. This 1.9% gain in EBITDA has come after we had 330 basis point increase in EBITDA in the last full year as we continue our journey of improving profitability. In this quarter besides gain in GP

percentage, the EBITDA is also being helped by 50 basis points by scale leverage coming from lower manpower cost. Our investment in advertisement has been slightly above budget and in this soft market condition, we continue to invest behind marketing wholeheartedly. While PBT has more than doubled in the spring summer season, in this quarter we had a growth of 9% in PBT partly affected by increase in interest cost which are in line with increase in repo rate while debt levels have remained stable. To summarize, while we have seen soft market condition, fewer wedding dates, higher base of last year and early phasing of wholesale billing, we are enthused by spring summer performance where AFL has delivered industry-leading sell through's has doubled PBT and has kept balance sheet under tight control. With that, we can open up for question and answer.

Moderator : Thank you very much. We will now begin with the question and answer session. The first question is from the line of Varun Singh from ICICI Securities. Please go ahead.

Varun Singh : Thanks for the opportunity. Sir, first of all congratulations on good set of performance, especially your performance in emerging business has been very much heartening looking at both the revenue growth as well as margins etc. So, my first question is on emerging brand itself that this strong performance 14-15% growth and a strong EBITDA margin. So, if you can help us uncover the reasoning that where has it come from and also with regards to same store sales growth, if you can highlight.

Shailesh Chaturvedi : As far as emerging brand portfolio is concerned, most of the impact is because of very good performance of Calvin Klein, CK but I want to just add one point here is that we have been doing a lot of cleaning up of our brand portfolio and the tail brand portfolio has been sort of cut down and we stop losing money. So in this quarter, we have benefited from reduction in tail brand losses that we have seen in the previous quarter so that has also helped and on top of that, the main reason is the Calvin Klein performance which has grown really well in this quarter despite market conditions, the like to like growth is in double digit and the overall growth is higher than that and also the profitability of CK is very good. So to summarize, the good performance of Calvin Klein is the main reason for improvement in the emerging brand portfolio.

Varun Singh : Understood, got it sir and Calvin Klein would be roughly now what it would be contributing what percentage of our total emerging brand revenue, a ballpark number should help, Sir?

Shailesh Chaturvedi : It is slightly higher than 50% of the emerging brand portfolio.

Varun Singh : Okay, got it. Understood sir and sir second question is on the profitability in the emerging brand segment. So how sustainable is the current level of margin, if you can guide something out here.

Shailesh Chaturvedi : I would say that CK is on a strong footing, there is a good momentum in Calvin Klein brand growth, sell through's are industry-leading there, the sales density is one of the best in industry. There is a good scope to expand that brand further in many more towns etc. So there is a good momentum in that brand and that would really positively impact the emerging brand profit and also the losses on the tail brand will continue to reduce, right. I mean that portfolio that part is getting cleaned up so the emerging brands profitability will remain healthy and because of both the reasons of tail brand losses coming down and good performance of Calvin Klein.

Varun Singh : Understood sir. So this performance would be sustainable going forward.

Shailesh Chaturvedi : Absolutely.

Varun Singh : Yes, and sir my second question is on the power brand front, I mean which is a significant chunk of our total revenue. So that portfolio there was little bit of underperformance, of course, I understand due to high base and slowdown in the discretionary consumption but still I mean how are you looking in this segment, the overall business outlook for next quarter which is again likely to be relatively subdued and given our prioritizing of profitability over revenue growth which is not participating much into EOSS, discounting etc. So how should we look at the revenue growth in the power brand segment, I mean if you can highlight both, I mean in terms of SSG and retail expansion from both angle given the profitability focus on that context.

Shailesh Chaturvedi : So let's look at power brand portfolio. I will put my comments in 3 parts. I

will start with profitability, then about the sales part of this and the distribution expansion coming to that. So if you really look at power brand they have been really well if you look at compared to the last year, if you look at same quarter last year the swing in EBITDA was almost 100 Crores and we have grown the profitability of the power brand last year, we increased by almost 300 basis points. So now today we are at an EBITDA base of close to 12.5% in the power brand portfolio. This quarter is also close to that base in that and we have grown the profitability of power brand in this quarter also by 130 basis points. So the focus on profitability, the rigour on launching season properly, advertising, retailing so that the full price sell through happens, discount control will continue and we hope to sort of continue to expand from this current base of around 12% going forward. Some of the brands are already at double digit pre-IndAS EBITDA and others will improve. As far as your question on the revenue is concerned this quarter, we will have to understand that the base effect has sort of hit the power brand a lot more because, in the last year the base was very, very strong and the business had done really well last quarter and we had grown in the last quarter almost like more than 40% of the pre-COVID level in quarter one last year and on that base now we are reviewing the data that it has grown further, under market conditions we have faced. Now if you look at our growth driver, I can talk about top 3-4 drivers and we believe that all those drivers are still intact. The market maybe so fit for a quarter or 2, may come back as industry says towards the festival time, but in the medium term we are very confident that we will continue to grow our portfolio. We have been guiding between 10 to 15% range and we continue to grow at that pace. Now as far as the store expansion, you ask that specific point, we opened 45 stores, a lot of them in the

power brand

in this quarter. The last quarter also we had opened around 35 stores. So we have a guidance of around 200 stores, the bulk of those stores come in the power brand and we see a lot of opportunities to expand in many more markets and the satellite towns of big metros and we see a huge energy for expansion in our power brand and that that part should continue. Second part is the adjacent category. We continue to add more categories into power brands and grow with them. For example in US Polo, footwear has been very, very good example in the industry, footwear in this quarter has grown more than 30% with a double digit EBITDA. We are adding more categories like in underwear, we are growing small leather goods, we have kids wear as a big focus which has also grown double digit in this quarter and we keep looking for opportunities to expand adjacent categories in power brand. Tommy Hilfiger has a very wide portfolio of adjacent category and revenue share in store is more than 20% from the adjacent categories. CK has very strong underwear line and a belt line and a footwear line. Likewise we are adding other categories in Arrow and Flying Machine also. So we believe that the adjacent category will also continue to grow this business of power brand and lastly digitalization. I just mentioned that we really grew our B2C part of online by 70%. We are linking a store with Omni and that will also give the growth of building scale in the B2C, Omni play in marketplace also. So, we see that whether it is digitalization, whether it is adjacent category or whether it is store expansion and the like to like growth, we grew at 4% in retail. So all those factors are very, very full of energy. Few quarters here and there sometimes the market may be very tough or the base may be very large or phasing may impact, so for example in this quarter MBO billing got impacted because there like I mentioned, in the previous quarter we did huge billing and we grew at 50% so overall in the season we grew spring summer in six months by 20% in that channel, so I believe that power brand have lot of energy ahead for growth.

Varun Singh : Got it sir. The category expansion which you spoke about of our relative success, which category as per the overall revenue, would you say that has been very successful in terms of revenue side. Will it be inner wear, footwear or whatever category extension that you would have done so far?

Shailesh Chaturvedi : I think footwear clearly is as a business has crossed as a scale which is more than 300 Crores annualized or somewhere in that zone and also, kids wear is another category which has already got scale and it is a very healthy business running into 100 Crores, so those two categories are

already got the traction and we are building many more categories , innerwear another category which also has 100 plus Crores of revenue in that and these are multi 100 Crores sort of category and we will keep looking at other opportunity to grow adjacent categories.

Varun Singh : I am sorry sir you said innerwear at 100 Crores?

Shailesh Chaturvedi : Innerwear also at this rate of upward of 150 Crores that scale and the adjacent category will continue to grow.

Varun Singh : Understood and will we also be profitable in all category?

Shailesh Chaturvedi : Very clearly we do not have a burn model and even in innerwear category where we have seen lot of players investing ahead and burning money , we never followed that model because our job is to increase the percentage profitability and we have been very , very cautious on profitable front and choosing between scale and profitability , we will always be on the side of the profitability.

Varun Singh: Got it sir. That is it from my side. Thank you very much.

Moderator : Thank you. The next question is from the line of Shreyans Jain from Svan Investments . Please go

ahead.

Shreyans J : Congratulations on great set of numbers. My first question is to be able to better understand the quality of growth is done in your power brands, could you help us understand how did we do in USP A, Arrow and Tommy specifically .

Shailesh Chaturvedi : See business has been growing well and like we said in this quarter, retail and department store channel have grown close to 15% and above. We have seen a little bit of muted response from the MBO channel which I mentioned is a quarter to quarter phasing issue but overall season that channel has grown really well at more than 20%, so these brands are on a good growth path. The issue right now has been scale and a lot of these brands have really grown very large scale last year and the market conditions have been little muted and the wholesale billing sort of impacted, but all these brands are growing well and in last two years we have grown our revenue by more than Rs. 2500 Crores rupees in last two years.

Shreyans J : Sir, retail has done well. So would that understanding these Arrow would have sales some compression in terms of demand?

Shailesh Chaturvedi: See when it comes to specific to Arrow and specific to one quarter , this season the wedding dates were less, we saw less number of weddings in the market and we have seen in the discussion with the industry players also so yes if you look at three month quarterly basis, yes there has been pressure on brand which has wedding as a key part of the occasion, but other than that Arrow has been growing well, last year also grew very well.

Shreyans J : Sir my question is we have seen improvement in the gross margin now what I want to understand is how much of this is led by raw material and second you mentioned in the presentation that there was higher like to like and full price sale , so just trying to understand the gross margin expansion and secondly , we have also not done new EOSS this quarter , so how should we look at gross margin going ahead for the year?

Shailesh Chaturvedi : We have increased our GP by 340 basis point in this quarter and I would say very simply put, I mean if I take 50 odd percent, around 2% increase has come from COGS what you just said the raw material prices, we have worked very hard to manage the cost and benefit from the softening of cotton prices, but then there are also further rigor on the cost management and new methods of costing . So, out of the 3.4% , 2% has come from COGS improvement and 1% has come through our richer channel mix, our revenue share from retail this quarter went up by nearly 5% because the retail grew at 15% plus and retail is a higher GP channel , of course , there are some parts which then come below GP as variable in terms of royalty and commission but as a GP level, we got one odd percent benefit from richer channel mix, higher revenue of retail and the balance 2 odd percent came from COGS management.

Shreyans J : Alright . Sir my last question is just I look at your PVH profitability, so we have done about 12 odd Crores so if I just do a back calculation, we come with about 28 , 30 odd Crores of loss in the other businesses. So our understanding is obviously US PA is profitable, so Flying Machine and Arrow would be the laggard. So, just wanted to understand how should we look at this number and if it is 30 Crores that the number that we are looking at.

Shailesh Chaturvedi : See I am assuming your question is on this particular quarter, right, I mean not little more fundamental. So if you look at our portfolio, it is a fact that Arrow and Flying Machine are rather low close to break even profitability whereas US Polo and Tommy and CK and footwear are at double digit EBITDA that is where we are. Now if you talk about this particular quarter, we saw three issues in our couple of brand businesses. One is the base of last year, so base is very very large

last year, but I will leave that for the time being. I come to this season because of the soft conditions, our discounting went up by 2% and that had impact on the EBITDA because discounting went, so the EBITDA came down by that amount. And then I also mentioned that the MBO bulk of the billing happened in the previous quarter where the MBO channel grew by 50%, whereas overall for spring-summer it grew at 20%, so we had a hit from that channel which is a temporary thing. I know the order flow of fall holiday and the channel is really vibrant and it is a key channel. So that will come back but if you talk very specifically to just this quarter three months and we had a hit from this channel in the brand that we are talking about. So, our journey is that we have these couple of brands where double digit pre-IndAS EBITDA includes like all the brands that you mentioned and in Arrow and Flying Machine, we have a low profitability. Arrow used to lose a lot of money, last year we had a large swing in Arrow of almost 80 Crores EBITDA swing vs the previous year and we brought it down to break even level and in this soft market condition, despite increase in discounting, despite MBO phasing and bulk of the MBO coming in the previous quarter, Arrow has remained break even brand, is not lost money so that is encouraging and we believe that as the market improves and as the wholesale billing again picks up, the business will go further for Arrow.

Shreyans J : And sir just to squeeze. One last question. We have seen 300 bps of gross margin expansion but if I look at the EBITDA except other income we see 100 bps extension. So we have done about 50 BPS of compression in the staff cost as well but since you mentioned that retail has grown by 15%. So, what kind of operating leverage do we actually see in our other expenses because of 300 bps does not flow down, it actually just end up with 100 bps of better improvement. So how should we look at this because I think in the past few calls you have clearly guided that whenever your retail mix will improve your other expenses because of commission brokerage will also keep increasing but as senses it should be lesser than the growth that we see in retail.

Shailesh Chaturvedi : Sorry, go ahead please. I interrupted, apologies.

Shreyans J : No that was my question. Fundamentally it is only to understand if retail is growing by 15%, so your other expenses should not technically go by 15%, right?

Shailesh Chaturvedi : Yes, let's talk about profitability and the leverage and then I will also come to second part of GP to EBITDA flow right. Now if you look at our last year performance, we grew our EBITDA by almost like 300 basis point, of course we had a COVID bump also but our efficiency also went up and this year also this quarter also if you see that we have talking about increase in EBITDA this year also by 1.9%. We are very clear that this increase in profitability has to continue and we internally say in the worst case also we must sort of increase our EBITDA by at least 100 basis point. Good times like last year we grew 300 basis maybe 150 going forward so somewhere in that zone in normal times at least 100 basis point in good times maybe closer to 150 basis points our EBITDA will go that is a fundamental increase in EBITDA that we are chasing and it will really come from the leverage, will come from brand improvement and the brand profitability, will come from the COGS value, it comes from the business rigor that we will keep pushing the full price sell through and keep reducing the discount, not go on early discounting, even if industry go. So, that is the fundamental point that we are very clearly going after increase in profitability of that 100 basis point, we are committed and we have done better than that and even in the worst case even this quarter which is

a very, very tough quarter, we have grown at 190 basis points so that our base profitability, last year we were at average full year AFL EBITDA was 11.4%, this quarter is at 12.1%, my

sense is now our base is around 12% for couple of quarters and we keep improving our EBITDA and like I said between 100 basis point normally and 150 odd basis points in good points that will happen, that is the fundamental it come from all that leverage and all the hard work that we have to do. Coming to this specific quarter, our GP went up by 340 bps where the EBITDA has gone up by 190 basis point. Now what happened when I explain this in the past. This is a retail heavy quarter. The retail contribution is more than 50%. The revenue mix has gone up of retail by more than 5%. Now what happened is that out of 3.4%, almost 2.8% is a variable which is the commission, royalty etc., because if the sale goes up, the royalty goes up, the supply chain, warehousing activity, transportation expense that goes up. So a good part of that has gone into the variable which comes below the GP, but then we have other leverage also that we have manpower cost which is giving us leverage. We are always looking for cutting down discounting, unfortunately this quarter the discounting has gone up otherwise GP would have gone up even higher than what it has gone up. So there is a fundamental base of increase in EBITDA and we are going to increase our EBITDA by 100 basis point normally to 150 basis points in good times, that has to happen and on our fixed costs, we are clearly seeing there is a leverage coming in where in this quarter almost 70 basis point we have benefited from fixed cost reduction. So employee costs, this quarter has given us the benefit of 50 basis point. There is a fixed cost which is coming down which is giving us 70 basis point benefit. So that is why our EBITDA has gone up by 190 basis points.

Shreyans J : Alright, sir that helps. Thank you so much. All the best.

Moderator: Thank you. The next question is from the line of Lokesh Manik from Vallum Capital. Please go ahead.

Lokesh Manik : Yes, good afternoon to the team. My question had only one question which is on the FY22 annual numbers. In the other expenses, there is a line entry for commission and brokerage which is about 200 odd Crores. If you can please let me know the nature of those expenses that will be great?

Ankit Arora : Lokesh, Ankit here, so it is basically pertaining to the businesses what we do it on sales or return (SOR). So it is the entire franchise commission and the department store business is what we do, it is related to that.

Lokesh Manik : That is it from my side. Thank you so much.

Moderator: Thank you. We have the next question from the line of Aliasgar Shakir from Motilal Oswal. Please go ahead.

Aliasgar Shakir : Yes, thanks for the opportunity and actually congratulations, a very good discipline in this quarter. So Shailesh, my question is on this quarter discipline that we have kept in terms of focusing on margin instead of growth. Now what we gather is in the market right now given the softening of RM prices, a lot of retailers are increasing the discount as you also mentioned and also for the new season there has been some price reduction that has taken place. So how do we think we will want to work going forward, do you think we will prioritize the margin over growth as even in this quarter, our growth has been slightly lower because we focused on our gross margin or you think that given the softening of RM prices further, we may probably reduce our prices so that we could driver higher growth and therefore we should kind of build slightly lower gross margin.

Shailesh Chaturvedi : Yes, thank you for your comment on discipline. Really appreciate. As far as the pricing strategy, we are very clear. I said this previous

y in this call that

we will always prioritize profitability over scale or growth. For AFL, EBITDA percentage is the mantra, right and that is what will guide us and help us to take decisions. That is the stated policy and we have 100 odd basis point increase in EBITDA margin as a key task for us and we will execute that hopefully. Now market conditions, in the current market condition we have two pricing philosophy. One is that of stability. So we have sort of looked at pricing for the year and as things stand today with the current market conditions, we believe that we will continue with this stable pricing. So we are not looking for a major change in dropping the price or upping the price, some minor tweaking in our business that we have to do that will happen at entry price point but that is very marginal, but strategy is for stable pricing and second strategy, we are seeing opportunity for differentiated products and whenever we have done something which is

differentiated, like in Arrow we have just recently done a line called 'Auto Press' which are these imported wrinkle free shirt. We run a super premium line in Arrow call '1851'. They have got fantastic response, their sell through are very, very good. So, our focus is to premiumize brands through differentiated products because we see better sell-through for those product and we deliver good sales density per square foot. So that is another guiding principle that of course, those premium product will be priced right for that product quality and MRP for that consumer for the competition in the market but overall if I have to say, to summarize we will definitely pride by profitability over anything else. Second, our pricing will be stable, minor changes here and there and third is premiumization is a key force for our brands.

Aliasgar Shakir : Got it. So are you saying that basically we will not pass on the softening of RM prices even if the industry does and then I mean till what extent do you think that is hurting our growth?

Shailesh Chaturvedi : Also we have to remain competitive right, so somewhere we have to also see how industry responds to these kind of things. So, minor tweaking here and there, entry price point, strengthening some consumers segment we are not capturing, all that will happen and we will have to eventually follow what competition does, but our strategy is of stability and premiumization of our brands.

Aliasgar Shakir : Got it. Okay. Second question is on this, EBITDA margin that we have seen pretty decent in this quarter but pass through of that in the PAT is not very strong. Of course our taxes gone up which I understand could probably be because of the CK brand doing well I understand. So how do you see the PAT margin, PAT growth going forward and I think is my understanding correct that that will more depend on Arrow and Flying Machine's growth because as the growth is mostly in the JV brands there is increasing contribution from minority interest and therefore our PAT growth is not very strong?

Shailesh Chaturvedi : I will take this into three parts. One is the fundamental EBITDA that we have to grow and I mentioned certain margin increase that we have to deliver, some brands have to improve, so that is to me a larger task ahead to make the overall portfolio more profitable grow at a certain basis point every year, make some brands more profitable that is a fundamental part. Then below the EBITDA if you have to go to that journey of PAT, I would say in this quarter our interest costs have gone up in proportion to the increase in the repo rate, so debt levels have remained stable, but the interest rates have gone up and that by that proportion our interest costs have gone up. Now you know that our debt levels are remaining very very stable. So our interest cost will fluctuate based on the repo rates in the market. So

that is something I think we will continue to manage that fairly well. I am confident that will be no reduction on towards the PAT from that will be linked to the repo rates in the market and then below PAT this time the tax has gone up because there is a higher taxes in this current quarter because the PVH Arvind Fashion Private Limited that has declared 100 Crores dividends in the quarter one and out of which 50 Crores was received by AFL and of this 50 Crores dividend that we received, AFL has made a tax provision of around 7.5 Crores, the balance tax is also coming from the PVH part of the business that you mentioned. So there is a one off part in this quarter and yes, some businesses are more profitable and we pay tax that so that will continue but if I have to say the interest rates will be no surprise from our side because we do not see major changes in that gross debt level. The tax will follow whatever the policy is there, but I think our fundamental philosophy to improve PAT will be to improve our EBITDA and EBITDA percentage and that is what I have been saying in this call time and again.

Aliasgar Shakir : Got it. Thanks for the detailed explanation. So in quick summary you're saying, basically that tax item should be lower in coming quarters, accordingly that PAT flow through will be relatively higher hopefully in the coming quarters.

Ankit Arora : Surely. There is a one off tax component this quarter.

Aliasgar Shakir : Got it and just if you could help with the pre-IndAS EBITDA in this quarter?

Shailesh Chaturvedi : See, we do not discuss specific and in the previous calls also we have indicated that there is around close to 4% difference between the post -

IndAS and pre-IndAS and that is where we are and that is the industry practice and we also follow that.

Aliasgar Shakir : Got it. And this is what we have guidance of reaching doubled right, by the end of this year, right ?

Shailesh Chaturvedi : Yes. So if you really look at our EBITDA like I said earlier, we are at power brands EBITDA base of 12.5%, we are not very far from that, in the quarter 4, it was even 13%. So, we are not very far. In that journey, we have made significant progress last year and even this quarter and some of our brands are already in that journey and they have achieved and they will continue to achieve. We have a specific task with Arrow and FM who are at a very low single digit breakeven level kind of profitability and our job is to now continue to work. Arrow had a very large swing last year, the current market conditions do come in the way but we see both FM and Arrow profitability going up and there is a lot of hard work that we are putting behind that and that should help.

Aliasgar Shakir : Got, this is very helpful. Thank you so much.

Moderator: Thank you. The next question is from the line of Ritesh Choudhary from Molecule Ventures. Please go ahead.

Ritesh Choudhary : Yes. So first of all congratulations on the margin side, right. It is really nice to see margin in emerging brand shaping upward. So just on that, so how much would be margin expansion would be from closing our Aeropostale and Ed Hardy and what would be the contribution of scaling of CK in that segment?

Shailesh Chaturvedi : I would say as we go along the tail brand losses will keep coming down, so it will be largely, the future gains will come from gain in Calvin Klein profitability and Calvin Klein has very good momentum today. So, we are very confident about that brands performance in both in terms of sales and margin.

Ritesh Choudhary : Okay. So my next question is regarding US Polo, right, last year US Polo was phenomenal for us right. It added around 600 odd Crores in our topline which was very good and add to profitability. So can we see or envisaged that this momentum will continue in this year as well?

Shailesh Chaturvedi :

See U.S. Polo is a very special brand, its leading brand in India is in top two casual brand and we believe it is number one brand but it is in that top 2 position and has done really well. The throughput is good, the desire for brand with consumer is very good across the channel be it online, offline, department store, every channel U.S. Polo is a leading brand in department store and online portal rank one brand, so it is a very, very special brand it has created scale which is very nice and whole plan now is to take it to beyond 2000 Crores topline and it is already a really good double digit pre-IndAS EBITDA brand and we also seeing opportunity to extend this brand as I mentioned footwear being a very large business, innerwear is a healthy business, kids wear – in boys, we are a leading player in the country so there are lot of opportunities to extend this brand, expand store and you will see in the next 60 days, you will see very large investment in advertising in this brand to prepare the consumers and influence the consumers for the coming Diwali festival season, so it remains a very, very key brand for us and we see very good the sort of momentum. Few quarter here and there we did billing in the previous quarter and this quarter less but overall brand is on a very, very strong wicket.

Ritesh Choudhary : So we can expect the momentum to continue in US Polo. Right ?

Shailesh Chaturvedi : Absolutely.

Ritesh Choudhary : So can you give a rough ballpark figure like what would be the adjacent categories in the USP A segment like in percentage terms ?

Shailesh Chaturvedi : So if you look at adjacent category three big ones are footwear, kid wear and innerwear and we are also developing like recently like we launched small leather goods, which is belt and wallets. We keep trying our new categories in this brand and adjacent categories have already reached 15% of the brand and we believe that could even hit Tommy kind of level of 20% share. So there is traction in growing the adjacent category even more in U.S. Polo.

Ritesh Choudhary : Right. So one more thing, so when can we see other brands like our Arrow or Tommy can get that momentum like which U.S. Polo witnessed last year or certain scale after that able to better on different brands as well?

Shailesh Chaturvedi : I think Tommy is very special doing extremely well and this quarter has

done remarkable well both in terms of topline growth and margin structure. So Tommy is leading, you know the Tommy plus CK market share is unreal in that segment, dominate that segment. Tommy is doing really well, CK I have already mentioned, so it has come back to our ability to take Arrow and Flying Machine to better profitability and we will need even bigger scale. So Arrow, the first stage happened last year where we really took it from a very large losses to break even, low single digit and that journey will continue from low single digit to mid-single digit to high single digit to double digit EBITDA, so that is a journey that we are on and what we're doing with Arrow is also true for Flying machine, we need to increase the scale, get scale leverage, launch new categories, open more stores so I think eventually it will come back to improving the margin profile of Arrow and FM and also scaling them up little more.

Ritesh Choudhary : Yes that is right, so one last question regarding Sephora, did we get any clarity from parent regarding this as I can see we have opened a single additional store in Sephora as of now?

Shailesh Chaturvedi : We have no further comment to make on Sephora than what we made in the last investor call and I repeat that, it is a brand in our portfolio that is in the Prestige beauty segment, only offline stores and we are in touch with the principal to work on the next steps on this brand and there is frankly nothing further to add.

Rite

sh Choudhary : Okay. Thanks for the answer and I really appreciate your team's effort towards the margin improvement and hoping this to continue. Thank you.

Moderator : Thank you. The next question is from the line of Yash Bajaj from Lucky Investment Managers Pvt. Ltd. . Please go ahead.

Yash Bajaj : Hi, thanks for the opportunity. I had two questions. So first question is on the expense amount on the license brands which we incurred. How much would that be on a quantum absolute basis and as a percentage of sales?

Ankit Arora : Yash, just to clarify, are you asking about the royalty, which is what we pay for the license brands?

Yash Bajaj : Yes.

Ankit Arora : It is in the range of about 4 to 5%. It will vary brand by brand, would not be able to share specifically on the brand wise but it will be in the ballpark range of about 4%.

Yash Bajaj : Okay and sir my second question was like you alluded that Flying Machine and Arrow close to breakeven so is that post-IndAS or pre-IndAS?

Shailesh Chaturvedi : No it is pre-IndAS.

Yash Bajaj : It is pre-IndAS. So, we would be around either like around minus 1 to 0 percent EBITDA margin?

Shailesh Chaturvedi : No it is a break even, or low single digit, that kind of thing.

Yash Bajaj : Low single digit. Okay. That is all from my side. Thank you.

Ankit Arora : Thank you.

Moderator : Thank you. Ladies and gentlemen, we will take that as a last question for today. I now hand the conference over to Mr. Ankit Arora for closing comments. Over to you Sir.

Ankit Arora : Thank you everybody for joining us on the call today. If any of your questions have been unanswered, please feel free to reach out to me separately and I will be happy to answer them offline. Thanks so much and look forward to seeing your participation again next quarter.

Moderator : Thank you. On behalf of Arvind Fashions Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Note: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes

no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Nov 2023

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November 11, 2023

To,
BSE Limited
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Security Code : 542484
Security ID : ARVINDFASN To,
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Listing Dept., Exchange Plaza, 5th Floor
Plot No. C/1, G. Block
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Symbol : ARVINDFASN

Dear Sir/Madam,

Subject: Earning call Transcript with Analyst s and Investors for the quarter ended September 30, 2023 .

Pursuant to Regulation 30 o f the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please refer below link of transcript of conference call arranged by the company with analysts and investors on Wednesday , November 8, 2023 for post announcement of Financial Resu lts for the second quarter and half year ended September 30, 2023.

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Title: Earnings Call Transcript Q2 FY-24

This is for your information and records.

Thanking you,

Yours faithfully,

For Arvind Fashions Limited

Lipi Jha
Company Secretary

Q2 FY20 24 Earnings Call Transcript – Nov 8, 2023

CORPORATE PARTICIPANTS

■ Kulin Lalbhai – Vice Chairman & Non -Executive Director

■ Shailesh Chaturvedi – Managing Director & CEO

■ Girdhar Chitlangia – Chief Financial Officer

■ Ankit Arora – Head , Investor Relations and Treasury

Moderator: Ladies and gentlemen, good day, and welcome to Arvind Fashions Limited

Q2 FY24 Earnings Conference Call. As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ankit Arora – Head, Investor Relations & Treasury at Arvind Fashions Limited. Thank you, and over to you, sir.

Ankit Arora : Thanks Arshiya . Hello and welcome everyone and thank you for joining us on Arvind Fashions Limited earnings conference call for the second quarter and half year ended Sep 30, 2023. I am joined here today by Mr. Kulin Lalbhai, Vice Chairman and Non -Executive Director, Mr. Shailesh Chaturvedi, MD and CEO and Mr. Girdhar Chitlangia, Chief Financial Officer. Please note that result press release and earnings presentation had been mailed across to you yesterday and these are also available on our website www.arvindfashions.com . I hope you had the opportunity to browse through the highlights of the performance. We will commence the call today with Kulin providing his key strategic thoughts on our second quarter 's performance . He will be followed by Shailesh who will share insights into business highlights and financial performance. At the end of management discussion we will have a Q&A session.

Before we start, I would like to remind you that some of the statements made or discussed on this call today may be forward -looking in nature and must be viewed in conjunction with risks and uncertainties we face. A detailed statement of these risks is available in this quarter's earnings presentation. The company does not undertake to update these forward -looking statements publicly. With that said, I would now turn the call over to Kulin to share his views. Thank you and over to you Kulin.

Kulin Lalbhai : Thanks, Ankit. A very good afternoon to you all. Thanks so

much for joining

us for the Q2 results. Quarter 2 has been a strong quarter for AFL, where we have achieved our highest ever sales, EBITDA and pro fit after tax. In spite of tough market conditions and a shift in the festive calendar, we grew our sales by 7%, propelled by the retail and MBO channel. The significant improvement in bottom line has been driven by strong like -for-like sales, good full price sell -thru's and improvement in our gross margin. Our working capital cycle continues to improve with a 10 days reduction in gross working capital days. In quarter 2, we focused on re -energizing our brand through large investments in marketing, where our investments were around 100 basis points higher versus last year. We will continue to invest heavily behind our power brands in the years to come.

I would also like to inform you that AFL has divested its Sephora business post the closure of this quarter. The brand has been diverted to Reliance Retail at an enterprise value of INR 216 crores. With this move, we have completed our portfolio rationalization exercise. Our stated goal has been to build a portfolio focused on high return on capital and strong cash flow. We are very proud of the way in which we scaled up the Sephora business and wish the brand very best for its future journey. With this divestment, we will retire our debt and focus our management bandwidth and capital in scaling up our 5 high conviction brands.

While the current market conditions are challenging, we are optimistic about the prospects in the second half of this year and are hopeful of growth being higher compared to Q2 and H1 levels. Our focus on profitable growth will continue, and we expect margin improvements to continue in the quarters to come.

I would like to now hand it over to Shailesh to take us through the specifics and more details about our financial performance.

Shailesh Chaturvedi: Thank you, Kulin . Good afternoon, everyone. Amidst soft market

condition, AFL has delivered encouraging results with a growth of 7% in revenue in quarter 2 despite shift in festival calendar. This quarter's business can be split into two parts. The first part saw the July /August end - of-season sale; and the second part, the fresh season in September. We had delayed end -of-season sale in June because of good sell -thru's, and then we saw energetic trading in July and August with double -digit like -to-like growth. September business saw a small negative like -to-like because of shift of festival dates to October.

Overall, AFL delivered a healthy 9% like -to-like retail growth with fantastic overall sell -thru's in spring -summer '23 season. With less number of full -price festival days, retail discounting went up by nearly 3%, but we saw very good sell - thru's and managed the inventory levels very well with reduction in inventory by 2 days.

I must also add here, like Kulin mentioned earlier, that Q2 saw the highest ever quarterly sales, the highest ever quarterly EBITDA both in value and percentage, and as well as the highest ever PAT for AFL in a quarter. Since there was a sense of slowdown, we had prepared our response through various dynamic measures, including product innovation, higher investment in advertising and tight cost control. Premiumization of products for clear differentiation is a key theme here. Arrow pushed business of its premium line '1851 ' and auto press wrinkle free shirt strongly, USPA launched super premium Polo t -shirt line and higher -quality jeans line, which saw very good sell - thru's.

We also launched very successful capsule collection with Muhammad Ali in Flying Machine. Tommy Hilfiger and Calvin Klein continued its strong journey in super -premium segment with fantastic growth and profitability. This quarter saw one of its kind mega events in our top brand U.S. Polo Assn. We launched our famous Legends campaign in Bombay with a gl

obal

standard even in presence of Mr. Michael Prince, the Global CEO of USPA brand. Taking the brand idea of twinning forward, we showcased two legendary pairs twinning in USPA. One pair was with brand ambassador Arjun Rampal with his fashion model contemporary Milind Soman , as legends of fashion modelling . Given the brand's association with sports, we chose the second pair from tennis, the legendary Lee -Hesh pair of Leander Paes and Mahesh Bhupathi. This Legend event received enormous media coverage just before the season and was followed by impactful national media releases. We also launched our first brand website from our company as www.uspoloassn.in and also tied up for USPA women's wear line with upcoming star, Palak Tiwari. Similar efforts were also seen in Arrow where we released campaign with Hrithik Roshan, which was a directorial debut for the famous actor. We also promoted flying machine brand regionally in North. USPA brand also saw first time mass -media campaigns for adjacent category like footwear and innerwear, which were received extremely well by consumers and trade fraternity. We have continued to focus on our growth drivers like store expansion, premiumization and wholehearted marketing investment and development of adjacent category. We have made significant progress on build up of adjacent category in USPA brand , also in Tommy Hilfiger and Calvin Klein businesses.

In USPA, adjacent categories are now more than 25% of revenue, and this business is growing very profitably in double digits. Both Tommy and Calvin Klein has a very wide range of accessories, including watches, kids wear, innerwear, small leather goods, etc. And this business is nearly 20% of retail business, is growing in high double digits.

Based on success with these brands, we have now started focus on adjacent category for other brands, including recent launch of Flying Machine footwear and small leather goods in Arrow. We increased advertising spend in Q2 by almost 100 basis points to keep our brand salient and to fuel growth. Despite this near 100 basis point increase in advertising, our EBITDA has grown in Q2 due to tight control on overhead and efficiency in sourcing and are decisive focused on building profitable scale of our 5 marquee brands.

Adjusting to other income in Q2, our EBITDA margin has expanded by more than 150 basis points in Q2 despite higher advertising and despite soft market conditions. H1 saw EBITDA margin expansion by 100 basis points to

12%, in line with our guidance. We continue to keep tight control on balance sheet items and Q2 saw a 10 -day reduction in GWC with 8 days reduction in debtors and 2-day reduction in inventory.

Overall, inventory freshness has remained strong, helping our gross profit, which has gone up to 49.5%, an increase of nearly 5% year -on-year because of efficiency and sourcing and higher share of retail channels. We are confident that consumer will continue to vote in favor of market - leading brands and look forward optimistically to the second half of the financial year.

Ankit Arora: We can now open it up for question -and-answer session.

Moderator: We will now begin the question -and-answer session. The first question is from the line of Mr. Himanshu Nayyar from Systematix.

Himanshu Nayyar: Congratulations on a great performance. Sir, to start with, if you can let us know what explains the significant difference in growth trajectory in the power brands and emerging brands. And within emerging, is it Calvin Klein, which has been driving this significantly higher growth?

Shailesh Chaturvedi: See, in emerging brands, you are right about Calvin Klein, the super - premium segment has a higher energy. And both Tommy and CK are doing very well, and Calvin Klein is part of the emerging brands. So that growth is because of Calvin Klein's fantastic performance.

Moderator: Sir, are we connected?

Himanshu Nayyar: Yes, I am. I think we lost the management.

Kulin Lalbhai: Let me take that question. This is Kulin here. I think, as Shailesh was saying, Calvin Klein is driving the emerging brand revenue. In the case of Power Brands, one of the impacts this season is because of festive shift. So a lot of our wholesale bookings has moved a month. And that is why for our wholesale channel, quarter 2 has a slightly lower growth compared to quarter 2 of last year, where the festive impact was a positive impact in Q2 for the wholesale channel. So that's one of the reasons why Power Brands is having a lower revenue print compared to Emerging Brands.

Himanshu Nayyar: Understood. And secondly, if I look at the minority interest number, even that seems to have moved up significantly. So does this imply much higher profitability in Tommy, CK or maybe a reduction in losses in a few of our other tail brands as well?

Kulin Lalbhai: Shailesh is back. Go ahead.

Shailesh Chaturvedi: We lost the line for a moment. The minority interest is largely linked to Tommy, CK business. And the Super Premium segment has done well.

These brands are market leading brands and their profitability has gone up.

So that's exactly the reason that you mentioned, Himanshu.

Himanshu Nayyar: Okay. And final question would be on this transaction that we have done, exiting Sephora. I believe we would have already got in the consideration.

So I mean, are we looking at now -- I mean advancing our debt reduction plan as to what would be our guidance be now in terms of becoming debt - free?

Girdhar Chitlangia: Yes, you are right. The objective that we are heading towards is to reduce the debt, use almost the entire proceeds to reduce the debt. And as we speak, the end quarter net debt was INR 476 crores. And as of now, we might be around INR 260 crores to INR 270 crores of net debt.

Moderator: The next question is from the line of Mr. Shreyans from S van Investments.

Shreyans : Congratulations on a good set. So my first question is, from what we understand is Q1 and Q3 are retail heavy quarters, and Q2 and Q4 are wholesale heavy. And you also mentioned that there were some postponement in wholesale sales in Q2. So what I'm trying to understand is why have our other expenses gone up so much because since it is not a retail heavy quarter, we would have expected some gross margin benefit to flow through to your EBITDA.

Shailesh Chaturvedi: See, if you look at the other expenses, they are in line with the retail channel. In this quarter, the retail channel has grown more than 15%, while you're right in a sense that this is a more wholesale quarter. But even in this, because of the good performance in July, August in EOSS, the retail contribution has gone up, the revenue share by 4%. And the retail channel has grown more than 15%. And the similar increases is in the commission and other variable expenses come below. So our other expenses, if you will look at is that out of INR 60-odd crores increase, nearly the INR 45 crores increase has come from the variable, which is commission plus royalty plus supply chain costs.

And also, there is an increase in advertising this time because we took a decision to invest heavily behind advertising. So the balance increase in other expenses is going into the increase in marketing cost.

Shreyans : Okay. And my second question is, sir, when I look at your emerging brands.

So obviously, we've done very well on the revenue bit. But just on the margin side, I wanted to understand, Q-o-Q, I think last quarter you called, you had mentioned that Aeropostale and Ed Hardy losses are mostly behind us now, and CK obviously is doing well. So margins should sustainably be at the levels that we saw in Q1. So I'm just trying to understand, Q-o-Q, we've seen some decline-growth. So what is the reason for that? And how should we look at this number? Is it going to be

stable that

variable, 11% to 6% and then again, 6% to 11%?

Shailesh Chaturvedi : Emerging brands have really done well in quarter 2. The EBITDA margin has gone up by almost 3.5%. The way I would look at quarter 2 is that emerging brands have done well in sales and also the EBITDA has grown really well. Now our business is highly seasonal. And really is not right in many ways to compare quarter 1 to quarter 2.

I think the focus should be on comparing quarter 2 to last year's quarter 2 because this quarter has a EOSS and other peculiar aspects of the season.

So the way I would look at it is that emerging brands continue to do well, 2 reasons. One is the good performance of Calvin Klein and second is the clean up that you mentioned. So that benefit came through. And we will hope to even in this uncertain market conditions, we hope that emerging brands continue to do really well the way have done in quarter 1 and as well as in quarter 2.

Shreyans : Okay. And sir, my last question is, so how do we define a power brand or an emerging brand? What is the thought process when you put out CK in an emerging brand? Because CK, when it is doing so well, I think it should be a part of a power brand and Flying Machine should rather be an emerging brand. So just wanted to understand how do you bifurcate these brands when you think of power and emerging?

Shailesh Chaturvedi: This was done in the past when Calvin Klein was still a small business. And you are very right that in last 2-3 years, this business has really outperformed, is one of the coolest brand in the country. And it's really grown in scale and in terms of profitability. And there'll be a time when we will soon probably classify it as a power brand.

But we are still following for transparency of analysis and for you to sort of see the data in the right perspective. We still kept Calvin Klein now with Sephora's exit, which was also part of emerging brands. We will re-look at the portfolio and we will soon come back with some new thought process.

Shreyans : Sure. And sir, just on the Power Brands bit. Last quarter, we grew about 1.5%. This quarter, we grew by about 5-odd percent. So from our understanding, we are doing pretty well in USPA and Tommy, so consolidated basis, our growth has been slightly lower. So just wanted to understand what has been the growth rate for Arrow and FM, if you can just help us understand the trajectory there?

Shailesh Chaturvedi: See, look at Power Brand business in the light of 2 things. One is there is a softness in the market, which impacts all the brands. Second is a shift on the festival dates where last year, the Diwali was earlier and September saw lot of festival dates and billing. And now festival season has moved from quarter 2 to in October. So all the brands got slightly impacted.

There's no brand-specific data here. And when I look at the number of Flying Machine and Arrow or U.S. Polo, there is a decent growth in the current market condition in all the 3 brands and all the 3 brands got a little bit impacted because of the change of the festival calendar, and some of it will get captured in Q3, and some we'll have to fight the slowdown in the market condition.

Moderator: The next question is from the line of Mr. Priyank from Valium Capital.

Priyank : Congratulations team for the fantastic performance. My question is on Arrow, sir. If you can help us qualitatively, how has been the operational performance on Arrow. I reckon we have taken a lot of steps to improve the profitability over there. Are there some more strategic steps left for us to get this brand to double-digit EBITDA margins?

Shailesh Chaturvedi: Let's look at Arrow in 2-3 parts. One is that during COVID, it became a loss-making brand. And we did a lot of effort post-COVID from change in

merchandise to marketing with Hrithik, to new retail. And we made a lot of efforts to grow the business. An

d last year, there was a swing in EBITDA of almost INR 80 crores in Arrow and it broke even, and it's been now profitable brand for last 3, 4 quarters.

This quarter also has remained profitable. Now in the current market slowdown, Arrow has continued its growth, it's grown high single digit in revenue. Also, its EBITDA has grown. I was looking at the EBITDA number, this quarter, EBITDA is the highest in the last 8 quarters for Arrow. So there is a continuous progress in the Arrow business.

Now it's still in the early and the low single-digit EBITDA profitability in Arrow. And like I said in the previous investor call, now our whole journey is to build the scale further and take it to the 10% EBITDA, which could take 2 years or thereabouts, our guess is and based on the market conditions.

I think if I have to say one thing that we need to do now to take it to that level would be opening many more stores because it's subscale brand still. And we need to expand its EBO reach and also grow a little more online share. So I think it's about scale, and then the sale leverage will come. The KPIs on sell-throughs and gross margin and many other KPIs are really green, and we need to now scale up the brand.

Priyank : Got it. Very clear. And kudos to the team for taking a decision on Sephora.

My question would be since you have taken this strategic decision, when can we expect such strategic decisions for other few brands because we are now clear on our communication that we want to focus on the 5 core brands. When can we expect any such decisions which are other brands, which are yet continuing few losses for us?

Shailesh Chaturvedi: Let me say upfront, we are extremely focused in energizing these 5 brands and make them big-scale profitable brand. So we have no plan now for any further action on any of these brands. The single agenda is to energize these brand profitability, scale up them to a profitability that we've been guiding and grow the company at a certain scale and with a certain profitability. So we don't have any other action on card, and we are very committed to building AFL into a bigger and more profitable company through these 5 brands that we have.

Priyank : Sure, sure. Just a quick question on, sir, how much would be EOSS as a sales composition in trailing 12 months, if you can help us? And how has that been trending as a percentage of sales over the last few years?

Shailesh Chaturvedi: Our sell-throughs have been very good. So we do probably industry-leading sell-through in our season, and last summer season was good. Now if you want any specific information on the sale data, etc., we can get back after the call and you can connect with Ankit on this.

Priyank : Perfect, perfect. Last question from my side, and then I'll get back in the queue. Our channel checks have suggested that large formals market leader has stopped participating in the trade channel aggressively. And the competitive intensity has been slightly lower on the formals and on the wedding wear side, especially on the men's wear. So just wanted to get your sense, would we be gaining market share? Would we be gaining shelf space in the MBO channel in the coming quarters? Is that the strategic thing that we are also looking towards it?

Shailesh Chaturvedi: Let me just say simply that MBO has been a good performing channel for us, even this quarter has grown more than 15%. And we have expanded distribution in MBO channel with all our brands. So in that sense, we would have surely gained market share.

But one more thing I have to say is that all the growth in MBO, we have been very, very tight on the hygiene of the business. And we have really kept focus on profitable growth. We don't want a situation where the debtors or ageing of inventory becomes a problem. So we are very focused on the quality of sale and that's very important with the MBO channel and our governance

on the stock held and on the debtor is very, very critical for this channel. So we are happy at this point with the hygiene in MBO channel, the growth have been good and also the standards have been maintained.

Moderator: The next question is from the line of Mr. Ankit Kedia from PhillipCapital.

Ankit Kedia: Sir, 3 questions from my side. First is we have seen good growth on retail

and MBO channel. What is the decline we are seeing in online and LFS channel because these 2 channels also account for more than 1/3 of your revenue. And given that the other 2 channels have grown by 15%, clearly, these 2 channels would have seen a high single-digit decline in the system. Shailesh Chaturvedi: Ankit, like we said, there is an impact of the festival calendar. And in the couple of channels that you mentioned here that shift, like, for example, take online, a lot of big portals have shifted their tower events which happened last year to September to October this year. And we have the October numbers that some of those businesses have recovered in October.

So in that sense, the shift of tower dates and also the Puja festival in East or the Diwali dates across the country, that shift has impacted the department store. But we feel very comfortable that the department store, our market share and our growth are good. And also online, there is a little bit of destocking in that channel, so that we're keeping an eye on. But our focus has been building our B2C business - our B2C business where we do the marketplace and through our own website NNNOW, we are building. And we have seen 65% growth in Q2 in our own control where we offer the pricing and experience and the assortment. So we are really building our own muscles on B2C side, which is showing very good growth. We are building our Omni network stores, which is also in a very encouraging state. And one, in many ways, this quarter is not really comparable to last year quarter in some of these channels because of the shift of the festivals. And also, yes, we also admit that there is a bit of a softness in the market. And because of those 2, you may see that there is a small decline. But if I look at medium term, we will feel confident of these channels.

Ankit Kedia: So if I have to add September and October together, and obviously, last year Diwali was also in October, now it's pushed through November, how has been the early trends in the market for October and early November, if you can help us understand that. Because a lot of the other retail companies are knocking off some softness, but even green shoots in the demand are leading to Diwali?

Shailesh Chaturvedi: See, I can say that as we see the current, there are still many days to Diwali left and the peak - weekends are still ahead, weekdays ahead. But whatever the days that we follow, the business has been sluggish and maybe it's because of cricket or otherwise.

Moderator: Participant, please hold on. The management line has been disconnected. I'll try to reconnect back with them. Please hold on.

Shailesh Chaturvedi: Ankit, I was talking about Diwali being a little sluggish still now. And we are hoping that the second half of the Diwali calendar might pick up, but let's see.

Ankit Kedia: So some of full year guidance, which we used to have of 11% to 13% growth. Is it possible that will be toned down to high single-digit growth? Including Sephora because Sephora will not be there from November, but adjusting for Sephora?

Shailesh Chaturvedi: See, no, we have a certain sales guidelines, 12% to 15% in medium term and is based on a certain set of growth drivers that we have. And I spoke extensively today also about adjacent category. Second growth driver is our store expansion. We opened 46 stores. And in the first half, we opened 91 stores. It's on track.

Our like-for-like growth are very healthy, 9% in this quarter despite slowdown. T

hat like-for-like growth also is working. And digitalization, I say B2C and Omni linkages are working, B2B online is a bit slow in the short run.

So most of our growth drivers, including premiumization of brands and categories, new categories, all look very green to me. And they're all firing. The market is a little soft. So in this medium term environment where we are looking at growth of between 12%, 15%, I'm sure we'll have some quarters of very, very high growth. And we will also have some quarter where the growth may be low.

But we are very confident that in the medium term, we will continue to grow at 12% to 15%. And I also believe that H2 could be better than H1 because we have more festival dates and we have wedding dates and winter season coming in, let's see. It's uncertain, but that's our sort of optimism cautiously. So we believe that in the medium term, the growth

drivers, we will stick to our guidance.

In the short run, we will see because markets are very uncertain, and we are still looking at growth. But I also want to qualify one point here is that we've been very, very focused on the quality of growth. So look at our profit growth is always higher than the sales growth. So we have always looked at growth, whether the MBO channel, I said with high governance, we want to focus on quality of growth. We want to ensure that our profit growth is higher than the sales growth. And we are still very confident that the medium term, we will meet our guidance. There will be some good quarters and there may be some slow quarters.

Ankit Kedia: Shailesh, on your comment on store openings. If I look at last year, you opened 175 odd stores, but the net opening was only 5. This year also, we are talking of gross opening of 91 stores. Can you just help us what is the net store addition happening? And are the store closures behind us now? Or there is still rationalization happening of loss-making stores in the system?

Shailesh Chaturvedi: At any point of time, in a physical world, there is always churning down of 3% to 4% of the stores, and that will continue at any point of time. It's sometimes higher, sometimes lower. So we are at a normal stage right now. I don't have exact data right now, but we can connect with Ankit on the store closure, etcetera. But I could say that we are now at a regular pace, there's no extraordinary even happening currently.

Ankit Kedia: Shailesh, just a feedback. There are more than 20 retail companies listed, and you are the only ones who don't share with us channel-wise revenue, neither do we get overall retail number of stores the company has today. I'll appreciate if disclosures can be marginally improved. It will help us analyse the company better.

Shailesh Chaturvedi: Ankit, that's very, very good suggestion. Thank you for that. And both on the channel wise and on the store count, we take your feedback, and we will come back with those details soon, Ankit. Thanks for that feedback.

Moderator: The next question is from the line of Mr. Himanshu Nayyar from Systematix Group.

Himanshu Nayyar: Just had a couple of questions on Flying Machine. So whatever efforts and measures that we had taken to sort of energize Arrow seem to be now giving us good results. But do we have a similar level of confidence on Flying Machine also ramping up and turning around both in terms of scaling up as well as profitability?

Shailesh Chaturvedi: Flying Machine is maybe a season behind Arrow in terms of the energy that we are putting. We started in spring-summer '23 in the last season with a very new imagination of the brand. We launched a new logo, a new propeller, new font for the brand, new advertising. We are very focused on selling to the Gen Z customer in a damn hot way. And the effort has just started 1 season. I'm happy to report to you that there are some green shoots while still very early in the recovery and you look at

Arrow also has been -- many, many seasons, it takes time in this environment with uncertainty to grow.

But I can say that we have seen a lot of green shoots in terms of better sell-through in Flying Machine, and that sort of helps us to reduce discounting. So it's very early days still Himanshu, but we believe we are going in the right direction, the way we went in the right direction with Calvin Klein earlier or with Arrow and now with Flying Machine, and it's our own brand, and we are very, very committed to scale it up to its logical scale, we're very ambitious on this brand. Just that it's a very early stage of re-imagination of this brand, and we'll keep you posted as we move the brand forward, Himanshu.

Himanshu Nayyar: Got it. And the second and final bit was on the Flipkart stake that we sold to Flipkart. So can you provide a timeline as to when that equity will convert it, so that we can know exactly what sort of stake Flipkart would hold in Flying Machine going forward?

Shailesh Chaturvedi: So that event has happened. And it's a significant minority stake that has got transferred to Flipkart group. So that activity has happened.

Ankit Arora: Himanshu, Ankit here, just give you a little bit more details on that. So as Shailesh mentioned, the event has already happened because that was supposed to be done as of based on the financial performance as of March '22. Post that event, Flipkart, of course, has an option to convert

those CCPS into equity. So that's with Flipkart.

But from our side, as far as the question is concerned on the percentage number, that's the reason the classification also has changed from CCPS, which is part of other liabilities to equity, and that really defines the entire structure of the transaction.

Himanshu Nayyar: Okay. But we are not in a position to give out a number right now on how much...

Ankit Arora: It's confidential based on the discussions with our partner. You will kind of get to know that number when they exercise that option available to them in a time period defined at their end.

Shailesh Chaturvedi: It's a significant minority, that's what best I can hint it.

Moderator: The next question is from the line of Mr. Jatin Sangwan from Burman Capital Management Private Limited.

Jatin Sangwan: Congrats for the amazing set of results. My first question is around Aeropostale and Ed Hardy. So what was the absolute amount of loss that we incurred on Aeropostale and Ed Hardy? Until how much time will we keep incurring these losses? And what are our strategies to minimize these losses? Or are we also looking to sell these brands?

Shailesh Chaturvedi: So from an operation point of view, Ed Hardy and Aeropostale are now silent brands in our portfolio. We're not producing any goods. We are not holding anything at our end. And like we have guided earlier in the investor call, that we have a certain minimum royalty to be paid for a number of years.

This year, that royalty that we are paying what we call as tail brands, the brand that are not a part of these 5 marquee brands, it's around INR 15 crores, and it will drop to less than INR 10 crores next year onwards.

Jatin Sangwan: Second question is on Sephora. What was the loss due to Sephora in this quarter?

Shailesh Chaturvedi: It's a very minor insignificant number, not material number, I must say. We don't give brand-wise data, but it's not a very large number.

Jatin Sangwan: Okay. So last year, we had around loss of INR 20 crores for Sephora in FY '23. So that means Sephora is now close to breakeven, much closer to breakeven for us?

Ankit Arora: So just to clarify, I think you are referring to 2 different numbers. You are referring to a PBT loss of last year versus EBITDA comparison. So that's not the right comparison for you to do.

Jatin Sangwan: No, I'm asking PBT loss number for Sephora this quarter.

Ankit Arora: Yes, sure. So from

from a Sephora standpoint, the business was closer to about breakeven as to what Shailesh has mentioned multiple times. And of course, because it was a COCO retail business, it was a negative PBT business, and that continued to be in the similar trajectory for the first half of this year as well.

Moderator: Next question is from the line of Mr. Ritesh from Molecule Ventures LLP.

Ritesh: First of all, congratulations on nice margin upliftment in this quarter. Just I have a couple of questions. So we decided to open like 200 FOFO stores this year. Can you give a brand-wise breakup, which brand will have most of the addition or that sort of?

Shailesh Chaturvedi: Yes. The expansion is across the brands. The Power Brand, obviously have a larger number of stores because that's where like USPA leading men casual leader brand, we have a very large number of stores. So we open more stores, but it's across all the brands. And we can, Ritesh, share the details, and we got the feedback from Ankit earlier, and we will keep that in mind, but we will provide the details to you, Ritesh.

Ritesh: Okay. My next question is, what is – what would be our aspirational margin in Power Brand segment? Or should we consider this 13% or 13.2% as base case?

Shailesh Chaturvedi: So let me split, Ritesh, this into 2 parts. Our first stage guidance was that we want to hit double-digit pre-Ind AS EBITDA and grow EBITDA every year in the short term between 100 basis points to 150 basis points based on the market condition.

Now as far as this step is concerned, we are now almost – we are close to 13% post-Ind AS EBITDA and the difference we've been talking about in the investor call. We are in very knocking distance of that number that we have said. And if the markets were slightly better, we would have hopefully reached that number in this quarter. But we are very close to that number.

And in Arrow and Flying Machine, we have some journey to travel. So that's the first step that we guided that we want to be a double-digit EBITDA in Power Brands, and we are very close to it, frankly, where very, very soon that 13% will go, and we will continue to grow at around 100 basis points.

Now if your question maybe more medium term and where we want to reach now, I would say, our aspiration is on a certain ROCE percentage, our aspiration is on certain cash flow that we want to generate to reduce our debt levels further and whether it's a near 0 debt level or very, very low that kind of number. So when I look at the ROCE metrics and work backwards to EBITDA, then our aspiration will be higher, and it will be closer to the kind of number that you mentioned, Ritesh, so that would be a medium term.

But I think we need to first achieve our first stage EBITDA margin in these uncertain times. And once we reach that, I assure you that we have plans to then take it to the next level of EBITDA to deliver the kind of the targets on ROCE and returns and debt levels and cash flow that we have kept for ourselves.

Ritesh: So what are the -- particularly levers that we should keep in mind for -- just to track about the upliftment of margins, ROCE, which you mentioned?

Shailesh Chaturvedi: Yes. So there are 2-3 things that will help us in the short to medium term.

First is this whole rigor on operations. We want to push our sell-through, we want to push our discounting lower, which we've been doing in last 4-5 quarters, we have really upped our sell-throughs, our discounting are under control. So that lower discounting flows as a higher GP and you look at our GP last 3 quarters, now we are steadily above close to 50%, and that number has gone up, and we hope that it will continue to increase further. So that's the one territory from the efficiency of our operations.

Second, there's a lot of effort is going on to achieve the sourcing efficiency. We're working on many large levers to source even better. Also, as the

en better. Also, as the

brands are growing rapidly, that also helps us to reduce our sourcing cost. There's a lot of science behind that. So we also believe there is a gain coming in from the sourcing benefit.

Third side is the typical scale leverage. As we've gained scale, we grow all the growth drivers, then our overhead, you see last 2-3 quarters we've been gaining, even this quarter, there is a small gain in the scale leverage despite market condition and the change of the calendar. And we continue to gain that scale leverage going forward. These are the some of the points and besides scale leverage, lower discounting, growth of the businesses, discounting and the sourcing costs coming down, I think some of those things will help.

Also we are seeing a very good traction on the premium line of our brands, and premiumization is a key driver for us. And that's where we will see upliftment. And largely, then there are efficiency coming from the channel side as we grow a like-to-like. The retail profitability or the channel margins become better. So there are multi-pronged strategies to grow that.

But I think somewhere, if I would say, broad themes are larger scale, better efficiency of operation on both product side and on the channel side, both online and offline. So those are the -- some of the drivers we believe will take us to the kind of targets we have for higher margin in our brands.

Ritesh: So coming back to the brand-wise profitability, we did a phenomenal job in turning around Arrow as such. So what kind of again aspirational margin we do have for Arrow for this year? And similarly for Flying Machine?

Shailesh Chaturvedi: See, couple of our brands are already double-digit pre-Ind AS right? So I mean coming to Arrow and Flying Machine, both together, if you look at it at the very early stages of EBITDA margin, both are subscale, there is opportunity to increase their scale. And we are talking about EBITDA. Like I mentioned earlier in this call, early low single-digit EBITDA margin pre-Ind AS. And we need to take this to 10%. And it will come through efficiency, having the right KPI of the brands and then scaling up. And Arrow is one step ahead of Flying Machine in that. And both Flying Machine and Arrow, we need to take the businesses in the next 2 to 3 years from low single-digit EBITDA to our aspiration is to hit 10% EBITDA in these brands also.

Ritesh: Pre-Ind AS level?

Shailesh Chaturvedi: Yes, everything what I said was pre-India AS.

Ritesh: Yes, very good. So one more thing about the Power Brand itself. So what about USPA? So the momentum has continued for us, which we did last year or we can expect some tapering down of the momentum?

Shailesh Chaturvedi: No. U.S. Polo has done well given the slowdown in market and the calendar shift. We're quite happy with the strength of this brand, it is the leader brand in men casual, is the top brand in the country. And we are focusing on taking the appeal of the brand forward through extension.

I mentioned the adjacent categories are growing in high double-digit and very good share, almost 25% of the U.S. Polo business. We have categories like women's wear, footwear where we're a leader.

Footwear has grown more than 20% in U.S. Polo. We have just launched women's wear line with Palak Tiwari, I mentioned. We have innerwear, small leather goods. So there's a lot of categories which are being pushed in U.S. Polo and with good consumer acceptance.

And also, we will back the brand with very high level of advertising and marketing investment, and I spoke about the Legends campaign, which everybody in the industry and the consumer side noticed, we really spent wholeheartedly, on overall, advertising went up by almost 100 basis points compared to last year's same quarter.

And it's a very special brand, a very large-scale profitable brand. And we will leave no stone unturned.

When the Global CEO, Michael, came

recently for the Legend campaign launch, he also mentioned it's the fastest growing market for U.S. Polo in the world. It's the top 3 market for U.S.

Polo in the world. So we have a very special position for this brand in India, and we will continue to capitalize on that trend and invest and grow this brand further.

Ritesh: Very good. Sir, coming back to Emerging Brands side, right? So last quarter, you mentioned about discontinuation of one of our brand. Was it at Ed Hardy or Aeropostale? If you can just say.

Shailesh Chaturvedi: See, this portfolio, there are 2 brands that we are in the very advanced stages of closing the commercial transaction because we have minimum royalty on these brands going forward. One was IZOD and the other is Aeropostale.

So now IZOD we closed most of the financial expenses and other things last year. Aeropostale, we've just sort of done a negotiation and a deal with the parent company. And by next year, the Aeropostale royalty will also cease. We've got a new deal done with them. And these 2 brands now are in that sense, inactive. We don't produce these brands. But like I said earlier, in this portfolio of tail brands, we will have around INR 15 crores of EBITDA -- or INR 15 crores of royalty payment this year, which will drop to INR 10 crores from next year onwards.

Ritesh: Until how long it will drag?

Shailesh Chaturvedi: It's just a couple of more years, Ritesh.

Ritesh: Okay. So sir, one more last.

Moderator: We have other participants also waiting in the queue. We have the next question from the line of Mr. Varun Pratap Singh from ICICI Securities.

Varun Singh: Congratulations on a good set of numbers in a tough time. So my first question is on this category and brand extension into women's wear. So just wanted to pick your mind with regards to how are we thinking about the women wear segment or category given that this segment has a different set of nuances altogether right from product development to the way the product is sold at the channel level, etc. And also, I mean, what are our aspirations? I mean, broad aspirations into this very segment? That's my first question.

Shailesh Chaturvedi: Varun, thanks for your good wishes. And as far as the women wear business is concerned, we do women's wear business in Tommy Hilfiger and Calvin largely on the accessory side and a little bit of apparel side.

USPA also, our women's wear business in 2 parts. One is the accessories and the other is the apparel. So we sell footwear of women's wear for U.S. Polo very successfully in online portal. So you go to Mantra, you'll see handbags and footwear. And doing really well, and it's a profitable business at this early stage and with very good KPIs online.

So we're very happy with the business of footwear and handbags that we've recently done in U.S. Polo. The other side now is to extend into the

apparel. There is a global line that U.S. Polo does, and we have understanding of women, and apparel. It's very early stage, Varun, right now. What we're doing right now is to piloting the women's wear apparel line in online space.

Currently, there's no offline distribution for U.S. Polo women's wear. We are working with our partners, and there is a large set of young consumers online women, and we are using that catchment to sell, and slowly and steadily based on the KPI, we'll extend it to other channels.

So right now, we are in very early stage, and we don't want to talk because some of this will be competitive also. So you will hear a lot more about the women's wear in times to come, Varun. But right now, it's very early stage. We already committed ourselves to the accessory business, handbags, and footwear. You can see it doing really well.

In apparel, we are a couple of seasons behind and we are testing the women's wear apparel line in U.S. Polo currently.

Varun Singh: Unders

stood, sir. Very clear. But a second follow-up on this would be when we choose online as a platform to start this very line. So if you can give some insights with regards to the unit economics and especially on the cost of doing business online, compared to cost of doing the same business in the offline space, for example, we would have entered into a large format store, getting some shelf space out there and kind of venturing out or would have started to do this business. Some color on difference in the cost of doing business compared to a large format stores, which is also a broking method of selling all product compared to an online platform?

Shailesh C haturvedi: See, Varun, women's wear, or any business, we do online, offline, I must say that our focus is on profitable growth. So we are not going to do any business where we will lose money. And after the initial modelling and based on all the KPIs and the metrics that you mentioned, once we have a green signal and we have a tick box, then only we'll expand the businesses. So at this point in time, also we keep doing a lot of trial in many business categories. And once something passes our test on profitability and future profitable growth, only those categories are launched. So even women's wear and online, our KPIs are good.

And I think, see, in this -- the 2 things we focus is on the discounting one and also the stock turn. So at this point of time, both on stock turn as well as on the discounting on the online platform, women's wear of U.S. Polo apparel is doing really well. So we are happy with this. We just want to see for couple of season so that we see it sustainable. And then we will grow it. So we will always be focused on profitable growth.

Varun Singh: That's very clear. Sir, correction, my question was that I wanted to understand that what was your basic reasoning for choosing an online platform and not a large format store, for example, a Shoppers Stop or some other platform or with regards to kick-starting the business.

Shailesh Chaturvedi: Yes. So we have a very large young women shopping online, and you see from our own Sephora experience also we saw a lot of discovery today happens on line, especially for young women that we are targeting. So it was an easy decision to first prioritize on the online channel because it's easy to experiment.

Also, you don't split your inventory. So they is a large pool of inventory in our marketplace. When you go to physical stores or department stores, anyway the stock gets cut sometime, then it leads to cut sizes and discounting. And I think the speed of experimentation is higher online. So it's easy to then experiment for young women online. So it was an easy decision in that sense, Varun.

Varun Singh: Very clear, sir. And just one last question, if I may. What would be our total revenue contribution from all the category extensions, for example, footwear, etc. as on today?

Shailesh Chaturvedi: So Varun, category expansion has happened in 2 sets of brands. One is U.S. Polo, our strongest brand and in Tommy, CK piece. So in U.S. Polo, the extension, which is children's wear, women's wear, innerwear, footwear, which is a very large business, all these put together now touching 25% of the brand. And these growth rates are also in double digits. So that's the USPA piece.

The second is in the Tommy Hilfiger and Calvin Klein, where we've been selling watches or children's wear or underwear or small leather goods, like

belts and wallets, and eyewear, etc., for many, many years now. That business in retail is close to 20% of the contribution, and that's also growing at high double digit right now. So a high -teen percentage. So in Arrow and Flying Machine, we are testing the adjacent category, still early days.

So we've just done footwear launch in Flying Machine with online and it's doing very good response in that value attractively priced

segment. And in

Arrow, we've just done beside suits and blazer, we have done launch of small leather goods like belt and wallet, and we will continue to extend the accessories in Arrow as we take the business forward. So that's the piece. And in both U.S. Polo and the Tommy, CK bucket, adjacent category have a good share of business.

Moderator: The next question is from the line of Rajiv from DAM Capital Advisors Limited.

Rajiv : My question is on standalone bit, which is INR 200 crores revenue. That is entirely Arrow wholesale, right? Is there anything else in that?

Ankit Arora: That's right, Rajiv.

Rajiv : Yes. And in the base quarter, you had the footwear bit as well, the USPA footwear bit. So what is the clean number in the base quarter, let's say, like-for-like?

Ankit Arora: I will have to just check that. U.S. Polo footwear is what we had moved effective January itself from Q4 of last year, so that's not anymore there in the reporting quarters going forward.

Rajiv : Sure. And just an extension of this. So usually, Q2 and which is a wholesale heavy quarter, usually 30% of the entire business. That means this wholesale bit, the Arrow part itself is close to 650 crores kind of business, right? And assuming that your retail is also 20%. So it is already INR 800 crores, INR 900 crores kind of size in terms of the brand itself, is it?

Shailesh Chaturvedi: Well, it's less than that, Rajiv, Arrow business.

Rajiv : Your Q2 is not 30% of the entire the wholesale bit? Is that because we see that in Madura. Their wholesale historically has been like that their Q2.

Ankit Arora : To correct you, Rajiv, wholesale, which is basically, if I were to classify nonretail, would have been closer to about 60% of our business in Q2.

Rajiv : No, no. I'm talking only about this Arrow bit, not the entire. I'm saying this INR 200 crores. If we were to annualize, this will become INR 600 crores, INR 650 crores on the wholesale, right? The Arrow wholesale, this particular standalone entity ?

Girdhar Chitlangia: So Rajiv, as Ankit said, I mean, wholesale is about 60% of the business. So even if you annualize, we will not get INR 600 crores .

Moderator: The next question is from the line of Ankit Kedia from PhillipCapital.

Ankit Kedia: Sir, a couple of follow -up questions from my side. Sir, what is the size of the U.S. Polo store today? And given that adjacencies are only increasing, and with kids wear, women wear assuming 1 year down the line, you want to open them in the store. Are we looking for a larger size stores, incrementally in U.S. Polo as we open the stores?

Shailesh Chaturvedi: Ankit, you're absolutely right, the store size from 1,500 to 2,000 square feet, we are now taking it to a higher level, including you know, attempt at opening even larger, larger stores than that. So with so many new categories coming in possibility of someday women's wear were coming in. So there will be a need for a bigger space. And if I look at last 2 months, we opened a lot of big stores in U.S. Polo.

Ankit Kedia: So from a unit economics, right? What the previous participant also asked, right? Do you see the throughput or the margins in these adjacencies higher to reciprocate the rentals which we pay for these larger stores?

Shailesh Chaturvedi: So our adjacencies are very profitable. And in many cases, footwear and all are even more profitable and it's a large scale now almost close to INR 300 crores business.

So that said, also, when you look at some offline retailing point of view, the beauty of the adjacent categories, they don't take too much of space. So footwear does a decent percentage of our revenue of retail space from a small wall, or an underwear just a small gondola, or belt and wallet from just a standalone small gondola. So typically, adjacent category has done well, they will be accretive from margin point of view, also from sales per square foot

er day point of view.

Ankit Kedia: Sure. And my second question is it's been 1.5 years, we have moved to consignment sales, right? And we can see the full price sell -thru's, inventory being fresh and your inventory turns being better. Now our check suggests that we're also opening more factory outlets in the market. So how frequently is the supply from the stores going to the factory outlets? And how does that supply chain work to get a better understanding of this consignment?

Shailesh Chaturvedi: Sure, Ankit. Here, the factory outlet has better realization also, typically, you know, the other methods were to liquidate to jobbers at lower realization or also sell online OSM, but sometimes, the cash conversion may be slower there. So we build this outlet channel. And that attempt is just enough to liquidate what we get back from the market.

We are not like trying to make a separate business out of this. So we have -
- after the season, we take back twice a year spring summer or autumn winter and then we send the goods back to the outlet. So that method is just to liquidate it in a very efficient with a lower discounting, better margin for us. And also in retail, we get the money next day morning in the bank. So that's the idea.

Ankit Kedia: It's just that the inventories are so optimal, are we losing sales by having such low inventory? Or do you think this 90 days -- 85, 90 days is optimum inventory at the store level?

Shailesh Chaturvedi: No, we have adequate inventory. And in this uncertain time, we are adequately placed. And inventory, we can push higher. So we can -- if we run out of inventory, then we can push things higher. And we saw COVID recovery also, the demand was very high compared to what market industry anticipated. And we did push higher inventory quickly in the market. So in our industry, typically, higher inventory is the problem, lower inventory is a lesser problem. And if we -- as you rightly said, if we run out of inventory, we can produce goods and send it to the market quickly.

Moderator: In the interest of time, that would be the last question for today. I would now like to hand the conference over to the management for closing comments.

Ankit Arora: Thank you, everyone, for joining us on the call today. I understand some of you may have follow-up questions. But in the interest of time, we'll have to close this call. If any of you have any further questions, please feel free to reach out to me separately, and I would be happy to take them offline.

Thank you so much for joining on the call and look forward to interacting again next quarter and wish all of you a very happy and prosperous Diwali.

Moderator: Thank you, sir. On behalf of Arvind Fashions Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Note: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes

no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Feb 2024

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February 21, 2024

To,
BSE Limited
Listing Dept. / Dept. of Corporate Services
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Mumbai - 400 001

Security Code : 542484
Security ID : ARVINDFASN To,
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Listing Dept., Exchange Plaza , 5th Floor
Plot No. C/1, G. Block
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Mumbai - 400 051

Symbol : ARVINDFASN

Dear Sir/Madam,

Subject: Earning call Transcript with Analyst s and Investors for the quarter ended December 31 , 2023 .

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please refer below link of transcript of conference call arranged by the company with analysts and investors on Wednesday , February 14 , 2024 for post announcement of Financial R esults for the third quarter and nine months ended December 31 , 2024 .

On the website of the c ompany:

Path: <https://www.arvindfashions.com/overview/>

Title: Earnings Call Transcript Q3 FY-24

This is for your information and records.

Thanking you,

Yours faithfully,

For Arvind Fashions Limited

Lipi Jha
Company Secretary

Q3 FY20 24 Earnings Call Transcript – Feb 14, 2024

CORPORATE PARTICIPANTS

- Kulin Lalbhai – Vice Chairman & Non -Executive Director
- Shailesh Chaturvedi – Managing Director & CEO
- Girdhar Chitlangia – Chief Financial Officer
- Ankit Arora – Head , Investor Relations and Treasury

Moderator: Ladies and gentlemen, good day, and welcome to Arvind Fashions Limited

Q3 FY24 Earnings Conference Call. As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ankit Arora – Head, Investor Relations & Treasury at Arvind Fashions Limited. Thank you, and over to you, sir.

Ankit Arora : Thanks Michelle . Hello and welcome everyone and thank you for joining us on Arvind Fashions Limited earnings conference call for the third quarter and nine months ended Dec 31, 2023. I am joined here today by Mr. Kulin Lalbhai, Vice Chairman and Non -Executive Director, Mr. Shailesh Chaturvedi, MD and CEO and Mr. Girdhar Chitlangia, Chief Financial Officer. Please note that result press release and earnings presentation had been mailed across to you yesterday and these are also available on our website www.arvindfashions.com . I hope you had the opportunity to browse through the highlights of the performance. We will commence the call today with Kulin providing his key strategic thoughts on our third quarter's performance. He will be followed by Shailesh who will share insights into business highlights and financial performance. At the end of management discussion we will have a Q&A session.

Before we start, I would like to remind you that some of the statements made or discussed on this call today may be forward -looking in nature and must be viewed in conjunction with risks and uncertainties we face. A detailed statement of these risks is available in this quarter's earnings presentation. The company does not undertake to update these forward -looking statements publicly. With that said, I would now turn the call over to Kulin to share his views. Thank you and over to you Kulin.

Kulin Lalbhai : Thanks, Ankit. A very good afternoon to you all. Thank

you for joining us today for the Q3 Results.

AFL continues on its journey of profitable growth, even though the overall demand environment continues to stay subdued. We grew our sales by 5%, which shows the resilience of our business model and the strength of our five marquee brands. The highlight of the quarter was the 150 -basis point lift in our EBITDA margin, even after we invested 130 basis points higher in marketing costs. This was made possible due to better gross margin, lower discounting, and tight control on expenses. We continue to strengthen the balance sheet with a reduction in gross working capital of 5 days in Quarter 3. This quarter's growth was largely driven by the retail and MBO channels. Our growth was impacted due to a decline in our online B2B channel. Our growth in the offline channels for the year to date remains at double digits. As a strategy, we are pivoting our online business towards the marketplace model, where we hold the stock and have full control over pricing and visibility. In doing this pivot, we have a one -time decline in revenue from our B2B online channel, which affects our primary billing. While this affects short -term revenue, it lays the foundation for a healthy online channel. Our B2C online channel, on the other hand, has almost doubled, leading to strong tertiary consumer sales growth in the online channel. The negative impact on revenue growth for the online channel may persist for another quarter or so, after which the channel will revert to normal growth rates. While the environment continues to remain soft, we remain confident of the inherent strength of our brands and the growth drivers that we have put in place to scale up our business. We will continue to stay focused on our path of profitable growth and expect to further expand our margins and significantly improve the bottom -line in the medium term.

I would like to now hand it over to Shailesh to take us through the specifics and more details about our financial performance.

Shailesh Chaturvedi: Thank you, Kulin. Good afternoon, Girdhar and Ankit here, and good afternoon everyone else on this call.

With NSV of Rs. 1,125 crores and EBITDA of Rs. 150 crores in Q3, AFL has registered revenue of Rs. 3,165 crores in 9 months of this financial year and EBITDA of nearly Rs. 400 crores. Revenue growth is 5% in Q3 with a 2-year CAGR of 12% growth in NSV. EBITDA growth in Q3 is 18% and 2-year CAGR growth in EBITDA is 21%.

The quarter had started with trading for Diwali festival, but that got impacted by Cricket World Cup, seven -odd weekends featuring India Cricket matches saw like-to-like decline resulting in overall flat like -to-like growth during Diwali festival period. The industry followed it up with an early end of season in mid -December to liquidate inventory. Since at AFL, inventory is managed tightly, we registered the temptation of participating in this early EOSS, which helped with lower discounting by 1% in Q3 over last year Q3. With strength of our brands in seasonal winterwear products and continued casualization favoring our brands, offline channels have grown double digits in this YTD as well as in this quarter.

The performance of the retail channel is especially salient, where we are on course to meet plan of our square foot expansion. The margin from the retail channel has also increased because of lower discounting, especially in our key brand USPA where discounting is down sharply. MBO channel has also grown more than 15% with a healthy margin. This offline growth of double digits is driving EBITDA gains. Online B2C has also doubled in revenue this year through various efforts including buildup of exciting online exclusive collections, healthier stock levels, and required marketing support.

Besides the impact of India Cricket during Diwali, we also saw lower business from online B2B wholesale, which has declined

sharply this year

because of our strategy to de-stock this channel for healthy and controlled consumer experience with tighter control on discounting, as explained by Kulin earlier. AFL growth is in double digits, even in these muted market conditions, but for the sharp decline in B2B online channels, linked to de -stocking there. Our growth will continue with investment behind growth drivers like store expansion, premiumization, whole -hearted marketing investment, and development of adjacent categories. Once markets improve, we are keen to see growth moving towards 10% to 12% and even 15% if things go right.

Our key brand, USPA, saw a very healthy business in this quarter with reduction in discounting, growth in kids business of nearly 20%, large investment in marketing through highly visible legends campaign, and opening up two iconic large -size flagship stores like the one in Goa and Jayanagar High Street in Bangalore. The quarter saw healthy growth in EBITDA for USPA.

Most channels grew well for Arrow also, and we further invested into marketing campaign with Hrithik Roshan. We saw emerging leadership of Arrow in key categories, including blazers, formal shirts, formal trousers, and through youthful Arrow NewYork line. The quarter also saw a rollout of more stores with a new retail identity in Arrow, for example, at Mall of Asia Store of Arrow in Bangalore.

Flying Machine refresh is going on and efforts are underway to grow this subscale brand through distribution expansion and product update for higher sales and better profitability. Key channels like value department Stores and MBO Channel have shown enthusiasm already for this new avatar of FM and this brand refresh for FM will be continuing during 2024.

The premium portfolio of Tommy Hilfiger and Calvin Klein continue to outperform with very healthy growth and margin profile. These brands continue to set benchmarks in the industry on key retail KPIs. Our revenue growth could have been higher if we had participated in early EOSS, but we made a choice of focusing on profitability and discount reduction, given our tight control on inventory. We also made a choice of increasing marketing investment by 130 basis points in order to support growth and keep our brands top of mind. We chose investment in marketing over investment into discounting.

Our decisive focus remains on profitable growth through sell-thru improvements, full price like -to-like growth and reduction and discounting,

all leading to an increase in GP and better EBITDA. EBITDA has grown value by 18%, an increase of nearly 150 basis points with EBITDA margin of 13.3% in Q3. EBITDA has grown due to the efficiency in sourcing, lower discounting and better channel mix. We continue our sharp focus on balance sheet de-leverage, ensuring price control on working capital which saw a further five days reduction in GWC with gains coming from reduction in debtor days. We saw a reduction of inventory value as market consumed inventory in festival time, and stock turns remain close to guidance of 4x. In these muted market conditions, we count our blessings through double digit revenue growth in offline channel, doubling of online B2C business, EBITDA growth of 18%, positive like-to-like growth in retail, reduction in discounting, and further tightening of working capital resulting in ROCE of higher than 15%.

Ankit Arora : Thanks, Shailesh. We can now open it up for Q&A.

Moderator: Thank you very much, sir. We will now begin the question-and-answer session. The first question is from the line of Priyank Chheda from Vallum Capital. Please go ahead.

Priyank Chheda: My first question is on how should we view the two contrasting data points, one on the SSG for our retail network which is muted at 2% while our wholesale MBO channel has grown at 15%. How should we use these two contrasting data points is the first question? And

to the adjacent

question on the same, is the strategic decision to do away with higher discount to our customer, are we compromising one of our customer loyalty who is still now being habituated to buy at a discounted price? So, these are the two questions on the strategic part.

Shailesh Chaturvedi: I just want to address the discounting bit. See our mantra has been profitable growth and anything we do we have to look at in the light of growth in EBITDA of close to 18% and we have been managing our inventory very tightly. So, always the question is on how we get the best realization for that inventory we are holding. And if you look at our 2% like-to-like growth in the market, one is yes, markets are muted. It got really impacted by the cricket in Diwali festival and those are big days of retail.

And that is why, when I look at the industry number, our numbers are probably on the sort of better side and it could have been higher if the Diwali was not impacted, also the EOSS decision impacted, but we believe that this 2% has come on the back of last quarter where we had grown 9% like-to-like and previous year, same quarter we had grown by 12%. So, you will see in that context that on that 12% like-to-like we have grown further 2% and we have been continuously growing at a healthy pitch. Discounting is something we want to avoid as much as possible because it goes against our business rhythm because we need to do a certain number of weeks of discounting and the new season has to come at a particular time. So, anything earlier breaks that rhythm and we lose margin. So, we are very clear that we don't want to discount and our brand we have invested very heavily, our investment has gone up by 130 basis points in marketing, our brands are very salient, our sell-throughs are fairly healthy, industry leading. So, we didn't see the need to discount earlier and we believe amongst our consumers, our equity is very strong, we are very top of the mind, our full price sell-through, our EBITDA growth, our realization, premiumization, a lot of indicators give us the confidence not to take shortcuts and focus on the long-term profitable growth. As far as the MBO channel is concerned, it is the like-to-like and the full price sales are very similar, MBO also has grown at 15% because of large distribution expansion. So, it is a multiplying factor of new distribution as well as the like-to-like growth in those channels. And also, EBO, our sales density are much higher. On that base, further increase becomes a little difficult. In MBO channel, we will be increasing our sales density. As we go along also, large expansion is happening which is resulting into the 15% growth. Tertiary growth if you look at MBO, they are also similar healthy, but sales density wise EBOs are higher than MBO and MBO will also catch up with higher growth there.

Priyank Chheda: And it is very clear on the strategic decision that we have taken to clean up the online B2B channel, which is clearly visible with the lower sales, so is a large clean up done or is there something more to come up which we should read because it is one of the significant sales contributor to the whole of the revenues which is online B2B?

Shailesh Chaturvedi: It is a kind of courage to do the right thing. We believe that online should be played through a marketplace model as explained by Kulin earlier. And we are building that business very aggressively through the marketplace, through our own website, through only linkages. And that business fortunately is really growing, it is doubled in the Q3 this year, the B2C part. As far as B2B is concerned, since COVID did, that business had grown and now we believe the time has come to de-scale, de-stock that business, but consumer sales on B2B are still healthy. In fact, in Q3, even in B2B, where our primaries are down significantly because of de-stocking, our consumer sales

are in double digit growth. So, we are very careful about growing the online channel. We are committed to that. Just that we believe it is better done through our own marketplace, through our own control on pricing and discounting, and through our own assortment that we believe in, and we can do a better job also. So, B2B is a short-term issue, in long term, we are looking at how we grow the tertiary sale with online channel and we may have one more quarter at best two more quarters of pain with B2B wholesale, but it will actually move towards B2C growth and our channel partners and we both are all aligned on this and we will grow the tertiary sales of our brand on online space also.

Priyank Chheda: And just a last question on a very broader portfolio perspective, which is all now clean power brands with more than Rs. 4,000 crores of sales, right, how should we view in terms of what should be a sustainable SSG if you can break down with ASP or a mix change plus a volume growth or a sustainable SSG we should view? And as well as if you can touch upon, there is a portfolio like CK, Tommy, USP A which has a very industry leading retail KPI, so which are the areas that we would have to work on for our other two brands in the coming years which you can highlight also on that part?

Shailesh Chaturvedi: See, if you look at the last couple of seasons, we have been delivering really the industry leading like-to-like growth. I mentioned last quarter we had 9% in muted conditions. Previous year in Q3, we were at 12%. Last year in Q4, we were 18%. We have really pushed the same store growth agenda in full price season quite aggressively and markets are dull and when a big season like Diwali gets impacted by cricket, then the retail numbers in that month impacts the overall numbers, but we are very committed and we are seeing that between 5% and 7% should be our target. Actually, last 2 years we have been growing at a much faster pace than that. This quarter we are 2%, but we have seen industry is flat or maybe slightly negative. So, we continue to put the rigor in retail for same store growth - right from the whole storytelling that we do, the way we do the layout of our store, the way we train the staff, the way our visual merchandising happens, how the whole science of category wise assortment happens, the marketing support, consumer offer, so a lot of efforts are going behind it, we just wish the market improves a little bit and then that 5% to 7% like-to-like growth is possible. Also, I would say that this could be the base expectation from big brand and smaller brand, it could be even higher like-to-like growth because they may have lower sales density. So, a brand like U.S. Polo may be close to Rs. 2,000 crore, but the market size is very large. So, there is no need for us to worry about future growth. This brand can continue to grow at a rapid pace from here onwards and we will continue to open larger store. We will continue to invest wholeheartedly behind marketing to keep the brand salient and all other category, if you really look at the science of like-to-like, it is about walk-ins into conversion into market size. So, the walk-in, if we keep the brand salient, and the store experience good through word of mouth, walk-in keeps happening. As far as conversion is concerned, the store layout and the consumer walk-in and category assortment, adjacent category expansion, earlier, they were not buying underwear, maybe they are buying underwear now, earlier they were not buying footwear, they are buying footwear now, or tomorrow, women's wear. So, we continue to meet all the usage occasions of a consumer and also the age groups of the consumer so that we can convert the consumer at a percentage which is higher than the industry and then all these efforts also help the market size that not just a T-shirt in U.S. Polo, they may buy jeans also,

they may buy

underwear also, they may buy footwear also. So, all the science behind the walk-in into conversion into basket size, we are really working really hard towards driving all the aspects of retail science and we want to continue to grow better than industry as far as the same store growth is concerned.

Priyank Chheda: And just on the key retail KPIs, versus the stronger brands, versus the two other brands like Arrow and FM, where is the further work and energy required to be done in coming two years?

Shailesh Chaturvedi: See, what happens is a weaker brand may have a lower sales density, sales per square foot per month or year, and it could have a higher discounting. Those are the two things broadly, there are many more things, but I am just saying the walk-ins could also be lower in weaker brand compared to a larger brand. So, those things, we need to just push the agenda on sales density as well as on reduction of discounting and it is done through many things like new store identity, new product category, better product. So, like I said, we look at all the signs of it and in weaker brand we need to push the SSPD higher and reduce the discounting.

Moderator: Thank you. The next question is from the line of Varun Singh from ICICI Securities. Please go ahead.

Varun Singh: Sir, my first question is that like we have got just five brands, which we call as power brands, and maybe promoted Calvin Klein from emerging to power. So, like how are you thinking about capital allocation among these five brands to drive growth?

Shailesh Chaturvedi: So, I think what you are seeing the adjusted portfolio is the result of a capital allocation strategy that we have shut down many businesses to focus on few marquee brands and these are the brands that we all believe in and we are going to invest wholeheartedly behind each of these five brands or whatever it takes to build and we have the required financial sort of strength to push the agenda. So, now, since we have five power brands, each one is very uniquely placed. So, if you look at Tommy, CK is in certain segment, US Polo is in a different segment, and Flying Machine and Arrow are also very uniquely placed. So, we have a very differentiated five brands, and there is nothing which is stopping us investing wholeheartedly beyond each one of these five brands. So, we have done the capital allocation strategy, and that is how we have reached this short list of highly focused, decisively focused five brands. And now we will invest wholeheartedly whatever it takes to build these brands and revitalize the growth of these businesses.

Varun Singh: Sir, my question is more related to the marketing spends to drive growth and so how are you, for example, going to make a decision with regards to drive growth, maybe whatever kitty that we have given the overall consolidated revenue, or you want to drive it as an individual P&L driven investment into each of the brands?

Shailesh Chaturvedi: If you see investment in marketing used to be in 3.5% of NSV in that zone, now we are up to about 4% and that increase has happened across the brands, now the base of each brand is different. For U.S. Polo, 4% plus will mean lot more crores given the scale and size of that brand and Flying Machine, which is subscale, will need a higher percentage of NSV even with a lower crores of spend behind marketing. So, that is the decision we take because there is a minimum threshold of marketing required to make an impact and that is what we will do. Now, if I have to say if I am left with only Rs. 1 and this Rs. 1 has to go to one brand, then we would put behind U.S. Polo because at the end of it, U.S. Polo is our marquee brand, and it is very important for AFL. And this is where, if there is an unlikely situation where to make a decision among these five brands, then I would make that decision in favor of U.S. Polo, but

I don't see a need to reach that stage. We will invest behind marketing, and we have increased 130 basis points in this quarter during muted market condition, because we believe it is important to keep these brands salient and grow these brands through higher marketing investments.

Varun Singh: Sir, my second question is on the large size stores that you made a mention, given that retail is incrementally becoming more important channel, and it is likely to become even more important going forward, given that the only maybe linear growth which is more under our control. So, given that context and given our aspirations of adding, maybe if not all, maximum franchisee owned, franchisee operated stores, I understand the

customer experience in large size stores is superior, we have more real estate available to maybe put more categories that we are venturing out, but still having said that large size stores also create, I mean, it comes with the baggage or the obligations of higher rental, higher capex requirement and as a consequence, the necessity of the business are to be dependent on customer footfall. I mean, it cuts both way, right? If it goes right, we enjoy more, we will benefit, if it goes wrong, the downside is also incrementally much higher. So, what is the need for going for a larger size stores other than, the more real estate and category with that we need to put that as a reasoning. And in this context, if you can give some competitive successful examples, if not from India, maybe even globally is also fine?

Shailesh Chaturvedi: See, we are looking at only a certain number of large size stores. We are not saying that every store will be large size store. So, take U.S. Polo, our current visibility is that we want to open the next 10 large size, these 4,000 plus kind of square feet stores, and these have been identified in a very key location where, as a brand, we want to make a statement, and it is a very competitive decision, and also we want the brand to remain top of mind in the key location in the country and it is a long term asset that we are building. So, it will be very carefully modeled. We already done last two years a lot of stores model that are large scale and we have seen good result and now we are rolling out. So, rarely we do something where we have not modeled and seen the success and then based on those success parameters we take open. So, we will open only a certain number of stores and it becomes very important for image and for like you rightly said about the categories of women and kids and adjacent category etc. are coming in. So, whole lifestyle of the brand can be displayed in these chosen few lifestyle stores, which are also on franchisee system, FOFO, where we have like-minded partners who are building that business, and we have good experience of running large scale among our portfolio of five brands. So, we are very confident about that strategy. Also, we link these stores with Omni connectivity, so we get online visibility also. So, we go out of the way to push all our categories and make sure the sales density is comparable to our slightly smaller store, so that the stores remain profitable. And whatever we have seen till now of large-scale stores, they are fairly profitable stores and they are in key locations and with high sales density. So, we are rolling out, we believe in that strategy, but not all stores will be large, there will be limited number of very well-chosen stores like that.

Varun Singh: In that context, like how many stores we would have closed in the current year? And the reason that I am asking is also, for example, last quarter, you highlighted or maybe guided that U.S. Polo stores may be larger size from the current 1500-2000 square feet model. Therefore, I was having this maybe if not concerned, seeking to understand that if not larger than 2000 means maybe 3000. So, when you say 200

more store addition going forward, if not in FY24, so a bulk of it would be a 2000 square feet and like as you mentioned ten stores in U.S. Polo of 4000. So, I mean, in this scheme of thing, basically how is your store evolution strategy? That is my last question.

Shailesh C haturvedi: You rightly said, this is a store evolution, I give you an example that in Indiranagar High Street in Bangalore, we had a store of a certain size and then we decided to make a bigger store. So, we had to shut down the old store. So, let us not look at it as shutting down a store, it's more as a relocation of the store to a bigger and more prominent location. We have done exactly the same in Goa also. And we keep doing this across our brands. So, this right word that you use is the evolution of the retailing standard as more and more categories come. And we have added Denim as a big category. We are adding women, we have added kids, we have added footwear, we added innerwear, and belts and wallet, and the need for square foot in brand like U.S. Polo is increasing. Same is for Arrow and Flying Machine and Tommy and CK. So, we are increasing the size and for that, sometimes we have to shut down the previous store as we find the new store. So, it is not so much as a store closure strategy, it is more as a relocating, evolution of the store to a better, bigger store with higher revenue and hopefully higher profit also. And that is done in a case-to-case basis. I can't give you a number. We continue to look for, right now maybe

we are looking at 15 locations in the country where we want to open bigger store for U.S. Polo alone and as we find something, then we shut the old store and when we open the new store, then evolution happens.

Varun Singh: Just one question if I may squeeze in, what is the revenue contribution from non-apparel side of the business?

Shailesh Chaturvedi: Currently, that adjacent category, especially in U.S. Polo is now hitting close to 15% of the revenue and it is growing very rapidly.

Moderator: Thank you. The next question is from the line of Palash Kawale from Nuvama Wealth. Please go ahead.

Palash Kawale: Congratulations on the healthy expansion in margins. So, sir, my first question is on gross margins only. So, do you think that gross margins that you have achieved in the first 9 months are sustainable?

Girdhar Chitlangia : The gross margin that we have achieved in the first 9 months, we are seeing that as of now, it is going to be on a sustainable basis because the trend on the cotton prices continues. We have also maintained a very high level of sell-throughs and a control on discounting. So, all these put together will ensure that we will deliver sustainable basis of gross margins.

Palash Kawale: And my next question is, so opex for first 9 months has increased by around 14% versus 5% increase in overall revenue. So, any brand which you would like to point out which is responsible for this or any comment on this?

Shailesh Chaturvedi: If you look at YTD, our capex is at Rs. 61 crores, this quarter was Rs. 26 crore so we are at an annualized rate of Rs. 80 to Rs. 85 crores of capex.

Now, the only place, our expansion plan is very asset light, so most of our store expansion is on a FOFO basis with franchisee except that in Tommy Hilfiger we have taken over close to 25 stores where accounting happened in Quarter 3 and that is one change, there is no other major change that is happening from capex. Ankit, do you want to add anything?

Ankit Arora: Palash, I think your question also was on opex as well and maybe Shailesh just added a bit of flavor on capex, we understood kind of that. You would need to kind of also understand the piece around the channel mix change playing a role here as to what we really said when you grow retail, the franchisee commission expenses, which of course flow through the gross margins and that is the

reason which is where you are seeing a trend going up. So, that also has a role to play in other expenses going up and of course, you would have heard Shailesh speak at length about advertising expenses being higher on a YTD basis also from a last year standpoint since we have invested significantly in advertisement. There will be more than about 100 basis points on the YTD level advertisement increase, which is forming part of other expenses on opex, which is what the line item you are seeing.

Palash Kawale: And if only one question that I could squeeze in. So, you were like, discussed focusing on margin expansion and return on capital, but what would be those levels for margin and return on capital after that you can see that now the focus would be on growth. Now you can push the pedal there. So, what would be those levels?

Shailesh Chaturvedi: If you really see that the profitable growth of a brand is critical, and we have been extremely tight on balance sheet. You will see on our inventory days, on our debtor days, we have maintained the best hygiene possible.

So, when the working capital is tight and the brands hopefully will grow much faster pace profitably, then it will generate free cash flow and that is how we want to grow our ROCE. I think we have now crossed 15% and medium term we are looking at a ROCE of more than 20%. That is the first benchmark, and we believe that if we grow at the guidance that we have given and the kind of margin expansion we are saying at least 100 basis points every year in EBITDA. So, if you really do the math then we are confident that in the medium run we will see about 20% ROCE.

Moderator: Thank you. The next question is from the line of Sagar Parekh from One Up Financial. Please go ahead.

Sagar Parekh: Sir, the channel mix that you have given in the quarterly sales break up in the presentation, if I look at retail, so last quarter I am assuming would also have Sephora within the retail channel. Am I right in that?

Shailesh Chaturvedi: No, we have removed the Sephora data, it is like-to-like.

Sagar Parekh: So, then like-to-like, the growth is 3% -4% only, which includes 2% L2L and the rest would be new store additions?

Shailesh Chaturvedi: See, yes, I mean, also the annualization kicks in. So, the retail growth in this quarter is 10%, double digit, and 2% is the like -to-like growth plus, whatever you had stores opened more than 12 months, annualization of that and then the new store that we opened all adds up to 10%.

Sagar Parekh: And secondly, did I hear it correctly, you said U.S. Polo grew by 20% for this quarter?

Shailesh Chaturvedi: No, I mean what I said is that the discounting has come down in U.S. Polo and margins have been good. I didn't say 20% increase in U.S. Polo. What we mentioned was adjacent category that Kids wear maybe you would have heard somewhere the Kids wear, in my opening comment I mentioned that the kids category had grown at 20%. I get it now. So, I think that was about kids.

Sagar Parekh: Just U.S. polo kids?

Shailesh Chaturvedi: Yes.

Sagar Parekh: But you said 15% is the overall contribution of revenues from all adjacent categories for all brands put together, like including Tommy?

Shailesh Chaturvedi: U.S. Polo is where the highest share of adjacent category happens, it is a large business between among, innerwear, footwear, Kids wear, and on that large scale of USPA, the adjacent categories are now more than 15% of the revenue for U.S. Polo.

Sagar Parekh: And how much is the debt number as of end of December after the Sephora sale?

Shailesh Chaturvedi: Our net debt is now close to Rs. 225 crores.

Sagar Parekh: So, then next year basically we can be like debt free, right, because you have like Rs. 80 -Rs. 85 crores of capex and you are talking about 100 bps margin expansion, so next year the entire growth is all FOFO related expansion largely, so

basically your free cash flow will be very strong next year, so then we can assume like full debt repayment by next year?

Shailesh Chaturvedi: That is our medium-term aspiration and we have mentioned earlier that we have a desire in the medium term to be a debt-free company. Now, we will see, we are generating some free cash flow even now this year. And we don't have a major need for capex and that is why the profit is going into free cash flow and we will see how it goes. It is also a function of how much capital is required for growing the brand because that is the first agenda that we want to grow our brand's profitability to their potential and then whatever else surplus comes we surely use it to pay down our debt. Whether it will become zero, I don't know. Ankit, you want to comment further on the net debt where it will reach.

Girdhar Chitlangia: As Shailesh said, our aspiration is basically to be debt-free in the medium term. Any surplus cash that we will generate obviously will be used to pay off the debt.

Moderator: Thank you. The next question is from the line of Abhijeet Kundu from Antique Stock Broking. Please go ahead.

Abhijeet Kundu: Congrats on good set of numbers. My first question was on the discontinued businesses. You have said that the provision for royalty for Ed Hardy and Aeropostale will accrue us profit because those losses will go away, we have got Rs. 39 crores in this quarter. So, these brands are dormant brands, or have we discontinued the sales?

Shailesh Chaturvedi: When the Sephora transaction happened, we had two brands which were dormant and were not active, but we are paying royalty for them as per the legal contract, which are the Ed Hardy and Aeropostale. So, we are not doing any production or sale or business of that, but we had a certain legal contract commitment. This was coming to close to Rs. 10 -Rs. 12 crores a year for next couple of years and this year, that figure was around Rs. 15 -20 crores. So, what we have done is that we have taken the present value of these future royalty expenses plus some other expenses linked to these brands and that we made the provision of Rs. 39 crores there.

Abhijeet Kundu: So, technically, we are not selling these brands anymore, so no royalty has to be paid, no expenses have to be paid, but these two brands are coming for renewal in two years, right?

Ankit Arora: So, Abhijeet, Ankit, let me just clarify that for your benefit. See these brands were already made dormant because we were very decisively allocating capital towards the five marquee brands, which is what Shailesh has spoken at length. We were not investing behind these brands. So, because there is no sale, but of course there is a minimum commitment on

royalty, which is what we have to pay, and we have mentioned this on the call earlier as well in Q2. And so, the expense on account of that is what we have made a provision netted off against the gain on the Sephora transaction sale is what the number which is what you are looking at. So, there is not going to be any further drag coming on the profitability of these five marquee AFL brands going forward on account of this minimum royalty commitment is what we had to pay for the next two years pertaining to Ed Hardy and Aeropostale.

Abhijeet Kundu: How should we account for it? So, say for FY24, the discontinued operations, profit from discounted operations, so Sephora would be Rs. 74 crores only?

Ankit Arora: Your estimation is correct. So, there is no NSV coming in from Ed Hardy and Aeropostale. It was very marginal. So, the only NSV which is what was coming in, which has been discontinued, is only Sephora. And your estimation is broadly in line with the number, which is what you just mentioned.

Abhijeet Kundu: And my second question was, it has been asked earlier, but still two things in that. One is the accelerated store expansion that you had t

alked about

200 stores through FOFO route, which will essentially more of EBOs. So, in this, one is what would be the capex requirement, Rs. 85 crores is the capex requirement that you are saying per year, one is that?

Shailesh Chaturvedi: Yes, annual. You are right.

Abhijeet Kundu: Rs. 85 crores per annum

Shailesh Chaturvedi: Yes.

Abhijeet Kundu: And second is that we are talking about the gross space addition, the net space addition, how should we look at it? I know earlier also you said that it is difficult to say that, but the color on what would be the net space addition would help us to derive the overall sales growth because there would be element of a same store sales growth and there would be element of a store expansion which will play out over the next two years?

Shailesh Chaturvedi: I would put this gross addition, net addition into two parts. One is, there is a regular business. In regular business, typically 3% to 4% of distribution gets shut because those markets become not good or the store is not viable, we make mistakes or something else happens. The market is very dynamic and moving. So, that is a normal 3%-4% of your distribution. You do clean up on an ongoing basis. That is a reality, some malls become ineffective, some high streets become ineffective etc., that number happens. So, what we track more than the number of store, because when we shut, they are smaller store, maybe larger numbers, but we open larger, bigger number of fewer stores. But I think that emphasis on square footage internally, we look at how many square foot or what is the CAGR on square foot that we are looking at. And that is the target we are looking at to grow forward more than the store number. Store numbers are also important and they indicate eventually the square foot expansion, but our internal KPI is more and more on square foot expansion and the plus minus of the store evolution, transfer, closure, etc., keep happening, but we are very keen on adding a certain high quality square footage in our brands.

Abhijeet Kundu: And what would be the targeted one? Like 10% of that 3% -4% will go off, so 7% is the square foot addition?

Shailesh Chaturvedi: If you look at our square foot expansion, it is more like 1.75 lakh to 2 lakh. It depends on the markets also. So, it is in that zone that we are targeting right now.

Moderator: Thank you. The next question is from the line of Niraj Mansingka from White Pine Investment Management Private Limited. Please go ahead.

Niraj Mansingka: Just two questions. One, what was the growth in the square footage on a Y-o-Y basis?

Shailesh Chaturvedi: We have opened more than 120 stores. We can just check the number and I can just confirm.

Ankit Arora: We will have to just check the exact data. Niraj, I can settle back separately on this.

Niraj Mansingka: So, the reason I asked you is that what you said is more of a gross number of opening of stores, right? And what is the net number of stores if you can give that on a regular basis also, and now also it will be useful because that shows how much you have actually added on a net basis rather than gross?

Shailesh Chaturvedi: We will take this as feedback, and we will ensure that data is made

available on a regular basis.

Niraj Mansingka: But what is the number for the quarter? How many stores you might have added on the net basis?

Shailesh Chaturvedi: We added more than 20 stores in this quarter and more than 120 stores in the year. That is the number we have currently.

Ankit Arora: We added 31 stores on gross basis in Q3.

Niraj Mansingka: Please let us know the net store in future, so that will be more realistic way to look at rather than the gross number. The second question is on revenue growth. Can you share what is the revenue growth for each of these brands like U.S. Polo Assn, Tommy?

Shailesh Chaturvedi: We don't share brand -wise data f

or a competitive reason and also, a lot of our brands are licensed, so our global partners are also very sensitive to that and industry also, our competitors also don't share. But we give enough color so that we mention how the brands have done and how they are doing. So, we have not given in the past a very specific brand -wise sales number or EBITDA number.

Niraj Mansingka: But it can be from color on, which is the highest growing brand and how is the lowest one, just wanted to have some color on that actually?

Shailesh Chaturvedi: The Tommy CK business has a very premium portfolio; they are growing faster because, people say K-shaped recovery or premiumization is working well right now. People are buying little more differentiated products. So, last couple of quarters, we have seen a higher growth in premium categories in Tommy Hilfiger and CK, and also the premium parts of Arrow i.e. 1851 or premium parts of U.S. Polo also has grown well. And as far as the lowest growth right now, FM is under a new refresh, and we are waiting for a lot of piloting to happen in FM. Once we see the fruits of that piloting we are doing, we will expand. So, right now, the growths are lowest in FM and the highest in Tommy /CK.

Niraj Mansingka: And the last question, can you just share some color on what you are doing so that you shared about refreshing the brand on FM, can you share what you are doing and how you want to compete with other brands which have taken over your market share over on that front?

Shailesh Chaturvedi: If you look at FM, it is a very strategic asset in our portfolio, it is owned by us. We don't pay any royalty in that and it is our own brand, which we have a partnership with the Flipkart group. And that partnership also gave us a unique edge in online space, understanding of that space. So, when we looked at the brand, we said, let's refresh the brand. This was one of the first Jeanswear brands, maybe the first Indian Jeans brand in country and we have done refresh of CK, we have done refresh of Arrow, and then we said now do it for Flying Machines. So, what we did is that we said that the Flying Machine will be a brand which will be built on four pillars. One pillar is Jeanswear. Now it is a very large market in India, especially in the MBO channel, etc., a very large business happens in the Jeanswear, and FM is the first authentic heritage Jeanswear brand, so we said that is the first pillar. Second pillar is youthful, and you look at how India is a young country, the Gen-Zs are becoming important, millennials continue to remain important. So, we said, this is a brand where youthfulness, the appeal to Gen-Z and millennials may be very important. Third, what we said will be kind of a value proposition that will be attractively priced for the product that we give, not the cheapest in that sense, but it will be attractively priced. So, the third pillar that we have decided to focus in Flying Machine was to focus on value proposition and the fourth was the most emotional pillar that we said, in a young country where social media is very important, we want to target online imagery of young customers where they are nobody, but they should feel like somebody really hot. And this expression of that fire emoji that people get, people crave for that emoji coming as a reply to them on social media of the fire emoji. So, being hot and the internal phrase we use is damn hot. And the fourth pillar will be that it should look like a damn hot and it should solve the problem of somebody towards his journey, as a machine will take it from an anonymous person to somebody damn hot. So, those are the four pillars. And in terms of execution, how we are doing it is that we first changed the logo of the brand, we changed the font of the brand, we got a new propeller, the new font, we got a new color scheme, we got a completely new merchandise architecture whi

ch is targeted Gen-Z customer so that the product also looks damn hot. We got a new retail identity developed for Flying Machine that we opened in a Commercial Street, a high Street in Bangalore around a year back. And now we are using this pillar of new merchandise direction, the new retail identity, new ad campaign, which is focusing on being damn hot, we are trying to excite the young customers, Gen-Z plus millennials, so that they feel that they are damn hot when they wear Flying Machine. Now, early journey we are testing a lot of these things and what we have seen is that the MBO channel and the value department store have already got very enthused by the new avatar of Flying Machine. Also, we have renovated almost like 12 odd stores with a new identity, and we have seen very like good like -to-like growth or double -digit like -to-like growth in those stores. Still early days, we see a full effort, another year to get everything right to build it, but that journey has started and if you see our vision is also for Flying Machine to be a Rs. 1,000 crores brand, it will also have to have all the adjacent categories that we talk about, and we are very keen that we will add three -four new adjacent category in Flying Machine, and we will build distribution, we will build new product category and expand through value department store and as well as through our EBOs eventually. So, that journey has started.

Niraj Mansingka: And just, you said the 12 stores that you have renovated have seen very high double -digit growth?

Shailesh Chaturvedi: Yes. Since you asked that specific question, because typically when you are early stage, we want to keep quiet and keep doing the right thing and once we see a model work, then we talk about it and expand it. So, it is a very early stage of, we are seeing green shoots, but still, it is early days of the recovery for Flying Machine.

Moderator: Thank you. The next question is from the line of Jatin Sangwan from Burman Capital. Please go ahead.

Jatin Sangwan: I noticed that depreciation has increased Q-o-Q. I guess that was because of the addition of Tommy Hilfiger and Calvin Klein on COCO model, so if you could breakup depreciation by ROU assets and PPE, and the same for interest, breakup on lease liability and interest due to borrowings?

Ankit Arora: Jatin, Ankit here. So, just want to kind of clarify, interest is a very small portion, quarter-on-quarter, it has increased only by about Rs. 2 crores, which is generally on account of our IndAS adjustment because of our COCO stores. Yes, your observation is absolutely right on the depreciation side of it, it has increased by about Rs. 7 odd crores. There is a one-off in the depreciation on account of COCO store conversion, which had happened in PVH, which is what we have been speaking to you all about. Since the entire documentation and lease signing of all those COCO conversion stores got done in Q3 and hence there is a one-off charge and a cumulative impact in Q3 to the extent of about Rs. 5 to Rs. 6 crores in this quarter out of that Rs. 7 crores and this depreciation number will come down by about Rs. 3 odd crores, Rs. 3 to Rs. 4 crores from Q4 onwards. So, there is a one-off cumulative impact in depreciation on account of that.

Jatin Sangwan: And if you could give the breakup also depreciation by ROU and similarly for interest?

Ankit Arora: So, interest on our borrowing usually is around Rs. 18 to Rs. 20 crores and rest is on interest on lease liability and on depreciation the number is on fixed assets is about Rs. 15 odd crores and the rest is depreciation on ROU assets.

Jatin Sangwan: And what is the gross debt number that we are carrying as of December 23?

Ankit Arora: You asked about the gross debt number, right?

Jatin Sangwan: Yes, gross debt number.

Ankit Arora: So, that will be under Rs. 350 crores.

Jatin Sangwan: And what was

the similar number on September 23?

Ankit Arora: I will have to just check that. Our net debt number was Rs. 476 crores as of September. You can look at the reported balance sheet which is what would have been part of the H2 financials.

Moderator: Thank you. The next question is from the line of Ankit Kedia from Phillip Capital. Please go ahead.

Ankit Kedia: Sir, my first question is regarding the MBO, you mentioned that the tertiary sales are in line with the retail like -to-like growth while we have reported 15% overall growth. So, just wanted to know how much are the MBO

counter additions in the quarter, Y-o-Y growth and over the next two years, what is the aspiration for the MBO counter addition? And of the four brands which we have, if U.S. Polo is the highest counter addition or Arrow, what would be the other two brands like Flying Machine or the other brand versus the leader? So, how much of the depth we can increase by and also the width from the MBO channel?

Shailesh Chaturvedi: So, MBO is growing, in the Q3 is grown at more than 15%. Also, if I look at the YTD data, also it has grown double digit. It is growing well now, it is a function of, like I said earlier, expansion, annualization, and like -to-like growth. Also, MBOs are working at a lower sales density than our EBO. EBOs have at much higher sales density. So, the growths are higher in MBOs because there is a scope to increase the sales density and by putting our own manpower to build more category assortment correctly, reducing category, putting the right category. Also, our sourcing has been very efficient, our OTIFs have been very efficient, so we have been launching the season really on time among the best in the industry, so MBO channel is benefiting from better sourcing and better supplies also from our side. So, that is the growth picture, and if you see aspiration, again it is a very large market and the market share of different brands or companies will be still not that good and huge ability to grow and go to newer towns with the MBO channel and like every other channel. So, I think there is a secular growth possible in MBO channel and we will be very careful on hygiene and that is very important for us that the inventory level at the MBO channel as well as the debtor situation with the MBO channel, we are very careful, watchful, and we are growing with very good hygiene. That is very important in terms of our aspirations. As far as the scope is concerned, U.S. Polo is leading brand. That is the first brand we take to a new city or to a new counter or new MBO channel because the desire for that brand is very high. It is a very large brand, country's leading, probably the biggest men casual brand in the country. Every MBO counter wants that brand first. Tommy CK have a little more exclusive reach because that price point doesn't work everywhere. So, that is a really careful expansion of Tommy CK. Arrow and Flying Machine both show very good potential to grow the MBO channel further. In the last two years, we have really expanded the Arrow MBO channel significantly. As the model started working, we started expanding. FM, we are doing that and the last number I remember in spring -summer 24 and the fall -holiday 23, the previous season and the current season, we are opening almost like 90 shopping shops in Flying Machines between the two seasons and we will continue to expand as the brand starts proving itself in the MBO counter and we continue to grow. So, overall, I think it will grow at a healthy pace, but I think the important thing is to maintain the hygiene of inventory and the collection.

Ankit Kedia: Sir, specific number I was looking at the number of counters we are present in MBO today and over the next two years what will be the counter addition?

Shailesh Chaturvedi: I am sorry, I don't have specific data on that and like somebody mentioned earlier on the s

to count these are the areas that I think we will take this as a note of better information sharing with the investors. So, this time please excuse me, we will come back with this kind of information.

Ankit Kedia: Sir, for last quarter also same feedback was shared with the team. Sir, my second question is regarding discounting. Now if I go online on U.S. Polo or the footwear brands and other brands, discounting is very high in online channels. Obviously, you are moving away from online B2B, where the discounting is higher. So, how much inventory is still in the system where if a consumer goes online and sees the discounting, it remains high versus the store where you are actually controlling the discounting. And over the next two years, where do you want the online B2B business to be positioned or reduce the inventory out there?

Shailesh Chaturvedi: So, if you look at our aspiration, we will want our B2C model with the partnership with these portals that are key marketplaces, we want it to be close to 75% of the overall online business. Currently, it is inching towards 50%. So, that is the scope to sort of convert the business towards more and more B2C and our aspiration should be as high as possible, because then we assort the product very scientifically and also we manage the

experience and the pricing and control the discounting. So, that is one part of it. Now, as far as the current discounting on B2B portal is concerned, let us look at two ways. One is that we are de -stocking, like Kulin mentioned earlier and I also elaborated that we are very keen to de -stock, and the consumer sales are growing, but we are reducing that stock level, and in a couple of quarters where the de -stocking will get done and it will reach a BAU level where the inventory should be. Also, I want to explain you that fact that when the discounting happens the large part is what is known as OSM, the old season merchandise which we pull back from our physical stores and other distribution and online is a very efficient way of liquidating OSM. What should we do in outlets, etc., so online one side is a very efficient outlet model, and that model continues as OSM merchandise and also we do some online exclusive merchandise that 's called SMU, which B2B people pick up and sell. But a large part of that online exclusive merchandise now we are doing in B2C with our own marketplace, and we are building that business with our own control and our own sense on pricing. So, that process is on, that strategy is being implemented and initial primary billing hits we are taking, and I think in a couple of quarters this will stabilize.

Ankit Kedia: And sir, my last question is regarding U .S. Polo kids and footwear, we have seen a very healthy growth in both these categories from a U .S. Polo side.

So, how many counters or how many EBOs today are both these categories present? Or do you think there is scope to now linked only on consumer demand or there is still penetration remaining for both these categories?

Shailesh Chaturvedi: Yes, so we started the journey of adding footwear to all the stores and now majority of our U .S. Polo stores have the footwear and it accounts for a healthy share of U .S. Polo stores and you will see neighboring key U .S. Polo store where you will see footwear being present. As far as Kids wear is concerned also opens up opportunity to open exclusive stores of Kids wear in future, so we will look at that version also. Also, footwear is sold through our own, we have a footwear chain where we do multi -brand stores. That also pilot is happening, and we sell footwear through those stores also. So, you see our expansion will happen and clearly that feedback on how many stores is present etc., we will provide that information.

Moderator: Thank you. The next question is from the line of Rajiv Bharati from DAM Capital. Please go ahead.

Rajiv Bharati: Sir,

what part of this 120 gross additions are COCO stores?

Shailesh Chaturvedi: Very few. The number will be less than 20.

Rajiv Bharati: And in terms of this depreciation increase, Y -o-Y, is it safe to assume that bulk of this can be attributed to your COCO conversion on the TH side?

Shailesh Chaturvedi: And like Ankit just explained in previous question that accounting happened in Q3 and that is why there is a one -off, Rs. 7 odd crores depreciation compared to the Q2 has happened and now it has come down by Rs. 3 -Rs. 4 crores as this stabilizes. So, COCO, our expansion is based on asset light model and in Tommy, particularly where we have taken over almost like 25 stores and some new stores will open on a COCO basis because the capital efficiency there and increase in ROCE. So, in Tommy, we will continue to open the COCO Store, but other than that, they will be only on very specific occasion, bulk of our retail expansion in other brands will be on a FOFO basis.

Rajiv Bharati: Because when I see the minority interest part, which is for your Tommy CK piece, which is I think -2% decline, and if I adjust this depreciation difference, it seems that you have grown 15% -20% profitability on Tommy CK combined, is that number right?

Shailesh Chaturvedi: We are growing at something similar to what you are saying.

Moderator: Thank you. Ladies and gentlemen, due to the paucity of time, that was the last question for today. I would now like to hand the conference over to Mr. Ankit Arora for closing comments. Over to you, sir.

Ankit Arora: Thank you. I understand some of you may have a few unanswered questions, but management had a paucity of time, so we will have to close this call. Thank you everyone for joining us on the call today. If you have any other follow -up or any more questions, we can take that separately and I am always available to answer those. Thank you so much for your time and have a lovely evening.

Moderator: Thank you members of the management. Ladies and gentlemen, on behalf

of Arvind Fashions Limited, that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.

Note: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes

no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: May 2024

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CIN: L52399GJ2016PLC085595

May 28, 2024

To,
BSE Limited
Listing Dept. / Dept. of Corporate Services
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001

Security Code : 542484
Security ID : ARVINDFASN To,
National Stock Exchange of India Ltd .
Listing Dept., Exchange Plaza, 5th Floor
Plot No. C/1, G. Block
Bandra-Kurla Complex
Bandra (E)
Mumbai - 400 051

Symbol : ARVINDFASN

Dear Sir/Madam,

Subject: Earning call Transcript with Analysts and Investors for the fourth quarter and fiscal year ended March 31, 2024.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please refer below link of transcript of conference call arranged by the company with analysts and investors on Wednesday, May 22, 2024 for post announcement of Financial Results for the fourth quarter and fiscal year ended March 31, 2024.

On the website of the company:

Path: <https://www.arvindfashions.com/overview/>

Title: Earnings Call Transcript Q4 FY-24

This is for your information and records.

Thanking you,

Yours faithfully,

For Arvind Fashions Limited

Lipi Jha
Company Secretary

Q4 FY20 24 Earnings Call Transcript – May 22, 2024

CORPORATE PARTICIPANTS

- Kulin Lalbhai – Vice Chairman & Non -Executive Director
- Shailesh Chaturvedi – Managing Director & CEO
- Girdhar Chitlangia – Chief Financial Officer
- Ankit Arora – Head, Investor Relations and Treasury

Moderator: Ladies and gentlemen, good day, and welcome to Arvind Fashions Limited Q4 FY24 Earnings Conference Call. As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ankit Arora – Head, Investor Relations & Treasury at Arvind Fashions Limited. Thank you, and over to you, sir.

Ankit Arora : Thanks Manuja . Hello and welcome everyone and thank you for joining us on Arvind Fashions Limited earnings conference call for the fourth quarter and fiscal year ended Mar 31, 2024. I am joined here today by Mr. Kulin Lalbhai, Vice Chairman and Non -Executive Director, Mr. Shailesh Chaturvedi, MD and CEO and Mr. Girdhar Chitlangia, Chief Financial Officer. Please note that result press release and earnings presentation had been mailed across to you yesterday and these are also available on our website www.arvindfashions.com . I hope you had the opportunity to browse through the highlights of the performance. We will commence the call today with Kulin providing his key strategic thoughts on our third quarter's performance. He will be followed by Shailesh who will share insights into business highlights and financial performance. At the end of management discussion we will have a Q&A session.

Before we start, I would like to remind you that some of the statements made or discussed on this call today may be forward -looking in nature and must be viewed in conjunction with risks and uncertainties we face. A detailed statement of these risks is available in this quarter's earnings presentation. The company does not undertake to update these forward -looking statements publicly. With that said, I would now turn the call over to Kulin to share his views. Thank you and over to you Kulin.

Kulin Lalbhai : Thanks , Ankit. A very good afternoon to you all. Thank you for joining us for the Q4 Results.

AFL delivered a strong Quarter 4 financial performance and continued on its mantra of profitable growth , even though the macro -economic environment continued to stay subdued. We ended the year with our quarterly sales growing by 4% aided by a healthy LTL of 4%, resulting in a retail channel growth of more than 10%.

In line with seasonality, we had shifted our wholesale channel sales between Q4 and Q1, which negatively impacted our growth this quarter. We delivered on our commitment of expanding EBITDA margins for yet another quarter with an improvement of 150 basis points to 13.5%. This was achieved despite our continued higher investments in advertising of around 100 basis points on a year -on-year basis.

On a full year basis, FY24 has been a year where we have delivered differentiated results, with sales growing by 5% led by sharper focus and execution across the retail channels even though we saw a large decline in the online B2B business. EBITDA grew by 15%, with an improvement of almost 120 basis points. Another significant achievement has been a robust improvement in our return on capital employed by 400 basis points to more than 16%. Over the last many quarters, we have undertaken multiple strategic interventions and initiatives to improve this metric, and we stay well on track to achieve a 20% + ROCE in the near term.

As we enter into FY25 , we are pleased to see demand trends improving in the current quarter and expect growth to witness a strong uptick compared to Quarter 4. We significantly invested in multiple growth drivers and expect to benefit as consumer demand bounces back, backed by the strength of our marquee brands. We will continue to stay focused on our priority of accelerating the sales growth through an innovative retail format and a higher network expansion coupled with further improvement in profitability and return on capital employed.

I would like to now hand it over to Shailesh to take us through the specifics and more details about our financial performance.

Shailesh Chaturvedi: Thanks, Kulin. Good afternoon everyone. My pleasure to take you through the details of AFL's Quarter 4 Results.

We will cover the Q4 results, full year FY24 results and also some points on the way forward. We saw continuation of subdued market condition and revenue of this quarter can be split into two parts. Part one is about the EOSS business in January and February and the part two is about wholesale business of spring summer season supplies in Feb and March. We had delayed end of season sale in December because winter had not set in by December and we did not want to discount so early. We did not discount winter wear till mid-Jan. And because of that peaking of EOSS happened in January and February. And in Q4 our retail sales grew by a healthy, more than 10% number.

There was full absorption of discounting in this quarter. Whereas last year some discounting had happened in December as well. We achieved our full-season sell through of fall -holiday 23 season, with very good like -to-like retail growth of 4% in this quarter. Given the delay in onset of winter and then of summer, we also adjusted our primary billing of spring summer goods for wholesale channels in -line with seasonality and saw lower billing in MBO channel and department store in Quarter 4. This will get hopefully realize in quarter one with shift between Q4 and Q1. After a few quarters of destocking online, Q4 saw healthy growth in online business both online B2B as well as B2C. Overall revenue growth for AFL was 4% in Quarter 4, with the highest ever Quarter 4 revenue of Rs.1094 crores and a two year CAGR of 15%.

With higher retail channel mix, backed by cost efficiencies EBITDA grew to Rs.148 crores a growth of 17%, 150 basis point increase, despite our wholehearted 100 basis point higher marketing investment. PBT for Quarter 4 was Rs.54 crores,

which is a third continued quarter with PBT in the range of Rs.50 to Rs.55 crores. With this, AFL revenue had scale close to Rs.4300 crores in full year FY24 where share of healthy and important retail channels has gone up by nearly 3% with growth in early teens. Similarly, online direct channel B2C marketplace has also gained nearly 3% in revenue mix, the full year EBITDA reach Rs.544 crores, 120 basis point improvement through better channel mix, 300 basis point improvement in gross margin backed by annual retail like -to-like growth of 4%. The growth in EBITDA is 15%. This was despite 100 basis points higher investment in marketing in FY24 which was needed to keep our brand top of mind and very salient in market.

At brand level. Our efforts have been to offer differentiated products and premiumized brand appeal. In Quarter 4, both Tommy Hilfiger and Calvin Klein have delivered record performances, both in terms of top line and bottom line. US Polo Assn has continued its leadership journey with impressive growth in EBITDA in Quarter 4 fueled by strong performance in retail channel as well as in online B2C channel. The focus of USPA has been to strengthen its leadership with higher investment in marketing and in retailing. FY24, saw very impressive Legends campaign in USPA, including the mega event in Bombay.

The brand has moved forward in its journey of opening very large size multistoried flagship stores across the country, which showcase all categories of the brand including men's wear, women's wear and kidswear. Adjacent category like womens wear is showing good promise in USPA, also existing adjacent category like footwear, innerwear, kidswear are all poised for stronger growth forward.

FY24 saw a good growth in Arrow across channels, despite muted condition in the market and remained profitable at low single digit EBITDA. Going forward, we expect Arrow business to scale up further and reach mid - single digit EBITDA soon. These are early days of reenergizing FM brands and SS24 season has been fully developed new avatar of FM including new cool merchandise for Gen -Z and millennial consumers with a new logo, backed by rollout of a new store identity. The performance of FM in competitive MBO channel and value department store and in few dozen odd, renovated FM stores in spring summer 24 season now has been encouraging. While these are early days of improvement in FM, there is a

visibility of early green shoots. We have clear improvement priorities ahead on FM in the next few seasons.

On working capital front, Q4 saw stable GWC days with continued tight control on inventory and debtors amid soft market conditions. Debtor days were lower by 2 days Y-o-Y and stock turns remain close to four. As we discussed what is ahead, let me refer to the three year forecast that we have put out in the investor deck. In the last three years, we have created a powerful platform of these five strong marquee brands with fantastic team, new standards of shopping experience, with new store identity, high visual merchandising standards and international way of storytelling. These are the ones which are driving like-to-like growth in recent times and will continue to drive like-to-like growth in future as well. And we have done this with increased marketing spend and keeping very strict hygiene on working capital and ensuring focus remains on profitable growth. EBITDA margin has improved by 150 basis points in the last year and by 370 basis points vs FY22.

With the backing of this strong platform, the key priority for FY25 is to up revenue growth, our brands remain top of consideration set, ready and prepared and they benefit whenever market improves. Going forward, our aim is to put energy behind each of our top growth driver including retail network expansion, like-for-like store growth, online B2C build up and growth of adjacent categories.

Let me just

touch upon two drivers here, starting with retail network expansion. FY24 saw a gross addition of nearly 146 new stores into our network, also there was a onetime correction in terms of closure of large number of unproductive small stores to fuel profitability further and maintain healthy working capital. We expect the net addition of square foot in FY25 to be in 15% to 20% growth over the current base. And with annualization of business of the stores that we opened last year in FY24, we expect higher revenue growth. It will all surely depend on the market condition, but we remain surely hopeful of stronger growth ahead from where we are at Q4 FY24. Adjacent category expansion is another key driver of growth ahead. This is a higher than Rs.500 crore profitable business for AFL across all five brands. And it's growing double digit. Footwear, kidswear have already gained scale of close to Rs.200 crore reach. Once market condition improves adjacent categories offer potential of growing more than 15% and we can reach and these can reach 20% share of revenue in medium term.

I must also add that in FY24 in stock market conditions we saw annualized like-to-like retail growth and online B2C channel have also grown at a very brisk pace. A lot of growth obviously is linked to external market conditions and business does get influenced by economic realities. But from 4% growth in Q4, we are confident of a strong revenue growth ahead.

Ankit Arora: Thanks, Shailesh. Manuja we can open it now for question-and-answer session.

Moderator: Thank you very much. We will now begin the question-and-answer session.

The first question is from the line of Priyank Chheda from Vallum Capital. Please go ahead.

Priyank Chheda: Hi team, fantastic performance on the operating side. My question is on, Shailesh, can we get some perspective on individual brand performance for the full year, not for the quarter, maybe in terms of growth and profitability has there something drastically moved versus last quarter if that can be highlighted would be great.

Shailesh Chaturvedi: When it comes to the brand wise, the picture is very similar to what we discussed in the last investor call. Tommy, CK with the focus on premiumization and market continue to deliver very good top line, bottom line and US Polo had a very good Quarter 4 in terms of EBITDA. In annual level, some brands have got impacted by bit of a slowdown in online B2B business. But US Polo delivered fantastic EBITDA and like we said it's a brand that is growing retail, it's growing marketing investment, it's growing adjacent category. I am very happy to share and what we didn't discuss in the last investor call is that we open five odd marquee flagship stores in the last quarter. These are like full building multistoried 4000 square feet stores of US Polo and they house the entire line of US Polo from menswear all the division, women's wear we have now started working on, so we

have started after good response online , we have started selling it in offline in our stores also, we are testing a little bit of shop in shop in offline channel there . Kidswear is a big focus it has grown really well in Quarter 4 and we are pushing that category forward. In addition to that, the footwear has got really impacted because of the BIS is in confusion right now, the government policy has changed. So currently in the footwear, the whole industry has little bit of lower inventory and assortment is impacted. So that is a short term blip, but if I compare to what happened in the previous investor call, I would say expansion of flagship stores is a big thing in US Polo. Arrow, very similar to what we said, it's gaining scale, brand has got good traction, the product lines are doing well. Premiumization is happening. We are launching new stores, the EBITDA is low single digit and from here we are hopeful that as the market sort of grows and

we open

more square foot, our platform is ready. And as a marketing improves, Arrow will also benefit and should reach mid EBITDA, what we said in the previous call also frankly. FM, I just mentioned that, now this season first time, whole new avatar of FM has reached market and we are happy with what we are seeing in terms of the growth and the appeal with the channel and with the consumer. But very early days, we have couple of more seasons to bring more energy behind Flying Machine. So, markets remain subdued, our platform, our brands are very salient and whenever market improves, we have seen our brand grows really well. So that's the sort of sum total of what has happened in Quarter 4.

Priyank Chheda: Perfect. I will reflect back on the Arrow, when we started this one year ago, we were very confident on the whole of the corrective action plan that we had set for Arrow to at least reach a good sizable, EBITDA contribution coming from this brand , it's a sizable revenue brand. But yet the EBITDA performance has been slightly muted versus what we had thought, so any sense exactly what has gone, what has not performed well and what requires further to rectify that?

Shailesh Chaturvedi : No, I would say we are fairly pleased with the way Arrow is moving forward. Yes, markets have remained tough. That outside of our control, but if you go to some of the new Arrow store, let's say example there's a mall in Bangalore , Mall of Asia, you go there and look at the quality of Arrow store, the merchandise we added auto press, 185 1 premium line. The consumer traction on Arrow is very good. We are just waiting, improvement in the market condition. The rank in department store has improved in formal category. So, there is nothing to worry about Arrow, it's gaining scale, it remains profitable. And as the market improves and as we open more stores, it will reach the stated, quarter -to-quarter there is no sort of disappointment or change in the Arrow. And we are as upbeat about Arrow as we were in the last quarter investor call.

Priyank Chheda: Correct. So nothing to do with quarter -on-quarter, what I am asking is, the consumer cohort or the segments where we operate. So our consumer income would be fairly stable, our consumer record salaries are getting created in India, what we are witnessing, so why would we say that the market condition is muted for our consumer which is towards kind of a premium end. It's something which we are not able to map it out .

Shailesh Chaturvedi : I'll break down your question into two parts. I would say the journey of Arrow that we set it up, it's going forward. Whatever we said about exciting the consumer with a brand its happening as we see. Now it's a reality that in that price point that Arrow operates in and the competitor and we have seen the result there is a market slowdown . We are gaining market share I have seen in the department store rank in the formal trouser and shirt, Arrow has now become the top brand in both the key department store. So, I would say that Arrow progress has been good. Still not mid -single digit EBITDA but that's a process it will happen. I'm sure it's going to happen very soon.

Priyank Chheda: Sure. Now on the innovative store format with you have highlighted if you can further talk on what would be the total investment that we plan on this, all of these formats and then your observation on to the Megamart versus Club A seems to be very similar format , only difference being Megamart seems to be having an upfront discount from day one. So is that not diluting your brand, just wanted your clarity. Why would we try out so many multiple formats versus a very exciting Club A kind of a format?

Shailesh Chaturvedi : Good, you asked this question because, in your question there was some clarification required. See let's first look at what is our objective, we want to drive the business of these fi

ve marquee brands and profitability, the profitable growth of these five marquee brand is the agenda, we don't want to get distracted, we don't want to do new things, we want to focus on growing the business of these 5 brands profitably. And retail is a very good opportunity, our platform is ready, we understand this quite well. Now, in our business, we need to have an outlet model, the whole entire old merchandise was sold through online channel, and we saw opportunity, our competitors were doing very large outlet business, and we were not present in that format largely . So we opened and also High Street needs a big format so that you can get car parking and consumers come into large format. So we created a multi brand outlet , also the size wise, single brand you get shortage and in multi brand you get your size in some brand or the other. So we opened these Megamart and in last two years it's really scaled up, also it gives us opportunity to liquidate in a better realization and much faster cash realization. So that's one format called outlet of these five brands called Megamart is in the areas where the outlets are present and there are these outlet markets across the country so it's already there and we open a large number of that store and it's working really well. Then we also saw that in, especially in high street, we see a need for again a very large format. The se are the premium high streets like the Indira nagar of Bangalore, where the wedding consumers go, where special occasion consumers go and they are very important high streets of every city and we didn't have a presence. So, we created this premium , it is like a super -premium format where brand like Tommy Hilfiger, Calvin Klein, the better part of US Polo, Arrow, Flying Machine are there. So this is a completely different model it's got nothing to do with Megamart . Megamart is in the outlet localities in a look and feel cost of retailing and everything is a very, very outlet driven . Club A is a very premium format, here we don't discount, we don't sell old merchandise, a full price, for a special occasion customer. And we tested in one store in Indira nagar i n Bangalore, and we found very good traction and we see a lot of premium customers come, very nice parking, the 40 feet frontage, its a whole building very, very impressive. Post that now, we have decided based on the trial we did in Indira nagar Bangalore , to now put money behind this and we will expand it. So this is a completely different format and third format is a footwear format called Stride which is largely a footwear and accessory like handbag and we see the traction in those categories for brands so we sell handbags, and footwear in US Polo, Tommy Hilfiger, in Calvin Klein, etc. So that's a completely a largely currently mall business, in the accessories zone and the footwear zone of the mall , so it's a separate format. Coming to the investment lev el, the questions that you asked, our mindset remain very asset light, and most of the stores that we want to expand are with the FOFO model. And once we have done the trial, and most of the expansion of these innovative formats will be with asset light mi ndset largely with FOFO model, and these will be the fuel the growth of adjacent category and the main categories of the existing five brands.

Priyank Chheda: Perfect. Just the last question, with a very overlap of this outlet model, are we planning to re ally scaled down the MBO channel and then, how should we read 2% decline in whole of the year for this channel. Have we lost out some market share in this MBO channel too? How do we balance out both the formats at the same time?

Shailesh Chaturvedi : Let me just first clarify that see the MBO channel is a full price channel, outlet is a old merchandise discount channel. Now, if you go to, let's say Agra, Bachoomal which is a key MBO, the top customers of Agra go there espec

ially for the shopping for the wed ding occasion, etc. So they are not a discount retailer, all the key MBO, Jade Blue in Ahmedabad or similar, I can keep taking the names, they are all the top retailers of that city. And we are very proud to be present in a very large market leading way in side their stores across the country and it's an area of strength and we are building the full price business, the full season business of our brands with them, all

our five brands and it's a full price business and here we have been very, very strict with hygiene and collection and inventory management. So that's one business. So let's not confuse, it is not an outlet model so this is not a cannibalization or outlet is not a cannibalization for MBO channel. That channel has grown in high single digit in the FY24 and it will continue to grow, at its own pace, but we will be very strict with the hygiene of that channel. So, outlet is not cannibalizing MBO business, it's a separate business. Now coming to your question on the growth of the wholesale channels, like we said that we have been very, very watchful on stocking and especially in the department store, we have been very careful in inventory level, we are not over stocking that channel and that's why reason our primary is to, that channel have been little slow and this quarter, it will switch over to the quarter one. So if you look at the quarter one data also and overall spring summer, there will be a small growth in that channel also, so let's not confuse between the outlet channel and the MBO channel, they are completely different distribution, different cities. And, MBO can go to many large number of cities, outlet we don't go into so many large number of cities.

Priyank Chheda: Perfect, very clear, thanks for answering all the questions. Just on the feedback discussion that we had last quarter. We have to yet improve on the basic disclosures like brand wise, store counts or maybe pre-IndAS EBITDA numbers. If that happens, it would be very good. Thank you all for the answers.

Moderator: Thank you. The next question is from the line of Palash Kawale from Nuvama Wealth Management. Please go ahead.

Palash Kawale: Thanks for the opportunity and congratulations on the good set of results.

Sir my question is related to category. So what is the size, if you could give some data about what is the size of the categories like footwear, kidswear, innerwear and men's wear and what kind of margins are we making there?

Shailesh Chaturvedi: See, two of these categories have already become more than 200 crore each that's kidswear in US Polo and we do kidswear in Tommy Hilfiger. US Polo in its segment is the market leader and Tommy kidswear in its own super premium category also is a market leader. And there's an opportunity to open many more exclusive stores of US Polo kidswear and we will put energy behind that. So that has already crossed 200 crore mark, it's a market leader in its segment. It's a fairly profitable and close to double digit EBITDA there, so it's a fairly good business. Kidswear also, post COVID they were closure of lot of kidswear local brands and that opportunity came up and we in India, the way the family structure, it's secular growth going forward. And we want to capitalize on the growth opportunity in the kidswear segment and we are very well placed brands in US Polo and also Tommy Hilfiger, that's one part. Second piece of footwear where our Company invested really ahead of time and we have really benefited from that focus on a dedicated footwear business, we have a separate team, and that business now is also reaching close to 300 crore mark and it's close to double digit EBITDA. Again, a market leader both in the online space, with its Stride format we are going aggressively behind offline distribution. In our own stores of US Polo we do a fairly good share of revenue from the footwear and ver

y profitable business for us. We also do footwear business in women's wear just launched last year, it's showing good promise. We also done small trial of Flying Machine footwear which is again showing good promise. Also, Tommy and CK in their own super premium way, they do a business of footwear in their stores. Currently, footwear is a bit of under challenge on supplies because of the new government regulation BIS which need certification. So there is a bit of confusion right now and inventory levels and the distribution online, offline is a bit challenge d, but I'm sure this will sort of pass in the next couple of months and this business will continue to grow at very, very high growth going forward and then we also have other accessories like adjacent category like innerwear and we also have small handbag, etc. So we will continue to expand those categories women's wear has been the recent introduction, which is showing good promise in US Polo, in other brands like Tommy, CK we do fairly good business or handbag and apparel. So, these are the four categories where we are putting a lot of efforts, which is footwear, innerwear, kidswear and women's wear. Overall, this is higher

than 500 crores business, and it is growing in double digit and currently the share is more than 15%. And as the market improves and the growth accelerates, and we open more distribution, this in the medium term has a potential to reach to 20% of our AFL revenue share.

Palash Kawale: Thank you for such a detailed answer. So, my next question is related to FM brand. So, what kind of margins are you making there and how do you see margin shaping out in next two years?

Shailesh Chaturvedi : For margin shaping up in next two years, currently Fly ing Machine is in a like I mentioned in my comments it's a new avatar, this is a season we have actually launched with a new cool merchandise, new logo, we have seen encouraging response, the growth, in the current market condition also the growth rates are fairly good. Beyond that, we don't want to give you too much of brand color. But this is a brand where definitely you want to see better margins in the next two years.

Palash Kawale: Okay, thank you for that. And the de -stocking in online B2B is done or there is still some room there?

Shailesh Chaturvedi : See what has happened from the peak of the COVID business. There is a realignment happening in the online world and the industry is moving from wholesaling to the portal, what we call B2B towards what is known as a marketplace B2C , where the whole shopping experience is controlled by us where we hold the merchandise , we decide the assortment, we do the online exclusive style, and we deliver it at the prices that we want and not a heavy discounting, etc. So there's a sort of healthier business and a long term business so, not just us, the whole industry is moving from B2B to B2C. Currently, B2B is a slightly bigger revenue business than B2C, but we do see showing a lot of promise and the business has almost doubled in FY24 is showing very good traction. And we will continue to transition the business from B2B to B2C , the way the industry is also doing. So in the next couple of quarters we will continue to see this transitioning of B2B to B2C. And overall, we expect that the online business will stabilize and grow further, because when I look at a long term view, there is a set of consumers who will go there, their first choice of discovery and shopping is online. And that new customer, whether it's a millennial, or Gen -Z customer will eventually buy online. So we will stay heavily invested within the online channel, but we transition to a better version of online business.

Palash Kawale: Okay, thank you for that. Sir just last question on book keeping. So what is the ad expense for whole year?

Shailesh Chaturvedi : Our advertising, so we are close to 4% of our sales in advertisement,

which is almost 100 basis points higher than what was in the previous year.

Palash Kawale: Okay. And how do you see it going forward, it could remain around 4% or will it increase?

Shailesh Chaturvedi : It will remain stable at this level and I would say that we will not leave any stone unturned if we need to invest more, but the kind of visibility I have in the next year, it will remain stable close to where the current numbers are.

Moderator: Thank you. The next question is from the line of Shreyans from Svan Investment. Please go ahead.

Shreyans: First of all, congratulations to the team on the good set of numbers. Sir my first question is more to Kulin and Shailesh. So we start FY25 on a clean slate , we have five brands , most of the cleanup is now done with are ending with about 16% -17% ROCE , 0.5x debt equity. So, we're in a fairly comfortable position now and you also highlighted in your presentation that you have seen growth rates better than Q4 to come in from next year onwards. So just wanted to pick your brain on how do you look at the overall market, we were earlier guiding for 12% to 15% of top line growth. And most consumer companies that we talked to are also seeing some green shoots in consumer demand. So we have brands that play across both value as well as premium. So, internally how are you guys looking at FY25, FY26, now that all the cleanup that we are talking about is done. Thank you so much.

Kulin Lalbhai: Right. So thanks for the question, last year has been a year where we have really built a very exciting platform to scale up our growth to the next level, we have made the investments in the brands, we have really up the game in terms of the retail experiences that we want to offer in all of these brands. And we have an extremely strong balance sheet with very high level of newness and freshness in inventory. So, the hard work has allowed

us now to really look forward to a stronger growth cycle in the coming year. And as Shailesh mentioned earlier, once all these formats are scaling up, our square footage edition comes in. And, as the adjacent categories also scale up and we didn't talk about it too much today, but I personally believe the productivity engine of the Company is in very, very good shape. So in a very bad market, we have been able to give an LTL growth. So, in a neutral / slightly positive market, I feel LTL is also a lever very much poised for a much higher level of delivery. The markets have remained weak, as we said. So, with all of these things coming together, you will see in FY25, a significantly better growth than in FY24. And once the market conditions become a little bit more neutral, I'm very confident that the higher range of that 12% to 15% growth targets is very achievable with the portfolio that we have and the growth drivers that we have mentioned.

Shailesh Chaturvedi : You want anything else I can add sort of supplement?

Shreyans J: No, that helps. My second question is sir, like now retail has grown by 300 basis points. So just wanted to understand going forward, what is the kind of mix that we look at in terms of channel. Do you think retail has more scope, can it become 50% of our business and online 25 % and MBO 25 %. So what is the number that we are targeting because clearly retail sales have from my understanding better ROCE for us. So, that is one question. The second part to it is, just in terms of some understanding if you could give us in terms of ROCE which channel is better for us in terms of ROCE if you could rank them?

Shailesh Chaturvedi : First question, yes retail is definitely a very healthy channel for us, higher GP, from brand side also very right, cash conversion also quite right. So we believe in it and in the last two to three years, a lot of investment like Kulin mentioned, we have put behind to improve our productivity, like-to-like growth and even

in the tough market, we grown last year at 4%. Now, the strategy for channel going forward is what we said direct to consumer, so we want to continue to focus, even last year if you see the two channels have really grown and both have added almost 3% revenue share, one is the retail that you mentioned. And the other one is the online B2C which has almost doubled and is also in share and we believe that in both the channel, we see the white of the eye of the consumer and it gives us an opportunity to directly influence the consumer choices through good shopping experience, through assortment that we can control, we can use the machine learning to throw out the right merchandise to the consumer on the front end. So, we are very clear that these direct channels, the retail in offline and B2C in online, part of the priorities and already if you see last year also both the channels have added share of mix and grown handsomely and also both are having very good margin improvement for the Company. So these channels will continue to be focused and our mindset is asset light so, we will sort of grow the retail channel and all these innovation that we are talking about largely through the franchisee route FOFO model and then ROCE and those channels are very, very healthy.

Shreyans J: So could you just help us understand which format gives us the best ROCEs in terms of order?

Ankit Arora : So, I will not be able to really exactly tell you, because that is something which is what we don't disclose, but to give you some sense, of course MBO and retail are the best channels for the ROCE %, but please understand the absolute Rupee EBITDA which is what you get in retail channel is the highest because you are able to drive the full price business and with a higher gross margin. So from that standpoint, that is why we are focusing a lot more on retail with a significant higher amount of controls in retail and on the working capital and a better inventory management. Our capital employed remains under control and that's where you see ROCEs going up and that's where the investment is, what Shailesh also spoke about.

Shreyans J: Okay, thanks. And my last question would be on PVH. So what is the kind of revenue EBITDA and PAT that we would have done for this year FY24. And similar to that would be, what are the PAT losses in Arrow, if you could just help us understand that number now that the whole year is over?

Ankit Arora : Shreyans, so we don't really give exactly revenue, EBITDA, PAT, ROCE all of these metrics brand wise, but to give you some sense, of course PVH being

in on the premium side of it, as to what Shailesh mentioned, would have grown slightly better than, of course the Company wide average, and they are benefiting from the entire premiumization trend. However, as to what Shailesh said on all the other parts of business US Polo also continues to do extremely, extremely well. Of course, there is a way to go on Arrow and Flying Machine. Arrow losses have significantly come down over the last few years, and you are seeing the entire benefit on margins and ROCEs getting better because all of these focused efforts is what they are yielding. There is of course an internal target and journey to go, but of course we need external environment support, but we stay confident of moving all our metrics, what we have delivered over the last three years continue to inch upwards as we look out for FY25 and 26 .

Shreyans J: Okay. And my last question would be to Kulin. So Kulin, the kind of growth that we are seeing in, the premiumization happening in India, you look at companies like Ethos delivering 20% growth every quarter. So just wanted to understand in terms of Tommy, CK, obviously we have had some baggage in the past and maybe that's why we have been a little conservative on the growth aspect. But do you think, now you push the pedal a little more higher

in terms of Tommy, CK, where there is an aspiration there, we were seeing numbers of The collective in ABFRL, they are posting strong numbers. And the whole market also seems to be favoring premiumization as a story. So, just wanted to understand, are you being a little conservative on that aspect on Tommy, CK is just and being a little conservative or do you think now is the time you capture that growth that is there too, for you to take you have such strong brands on your side?

Kulin Lalbhai : North Star as a Company is to drive profitability, we want to make this a very high return on capital employed Company, a Company where the growth comes alongside extremely strong cash flow generation. And your question is, if you have to choose between heavier growth and dilution of cash flows and ROCEs, that is something we will not do. Now, coming to your question on Tommy and CK, these brands have had industry leading growth, a very interesting fact is that the size and scale of a Tommy, CK is possibly four times larger than any other brand in their class, in terms of the price point and the bridge to luxury segment. So, they are examples of an exceedingly large dominant franchise, and I don't think on any dimension, we have a lack of ambition, the number of stores and square footage which have been added the way, Tommy is now the most searched brand in the Lifestyle space online. So these are all numbers which clearly show that there is no lack of imagination or ambition. We will not push the growth of these formats, any of our five formats beyond what we believe to be the healthy way we need to grow these brands.

Shailesh Chaturvedi : Even look at our investor deck we clearly mentioned there that their record year both in terms of top line, bottom line and both the brands have grown across the channel, whether it's in online space or own retail channels, shop in shops . There's no lack of ambition, the performance has been outstanding in Tommy, CK. So, yes these are the leaders in the market.

Shreyans J: Okay. And just last question sir, what is the kind of store addition that we envisage both in Tommy and CK and my question was, was because last four years we have seen about 10, 12 store addition in Tommy and CK combined, and that business is about 100% ROCE for us. So, that question was more on that bit.

Shailesh Chaturvedi : So, let me first say that the overall AFL strategy that we want to add close to 15% space from where we are today, and, and there will be also some reduction because 3% to 4% of cleaning up our distribution happens every year, it's a healthy so, that's the overall strategy at AFL. Coming to Tommy, CK, they are in super premium space, they are already present in very large number of cities, both are present in more than 70 cities of India. Very few international brands of that quality and prices are available in so many cities. And as and when the new city emerges or new distribution emerges, we will expand, also a brand like Club A, is a very good opportunity to expand high street distribution of Tommy, CK along with other three brands. So, again I am saying that we leave no stone unturned in the successful market leading brands, but, it has to be done like Kulin said in a quality way, we will not compromise just for the sake of expansion, but it

has to be done in a quality way and we are leaders because over the last 18-20 years we build it in a very high quality and that will be the hand writing going forward also, we will not compromise.

Moderator: Thank you. The next question is from the line of Rajiv from DAM Capital. Please go ahead.

Rajiv: Regarding PVH, this brand because this is largely asset light barring the stores you have bought last year, the margin structure is largely stable is it or there is operating leverage still there?

Shailesh Chaturvedi: So, the margins are quite healthy, we are very happy with the EBI

TDA

percentage, but there is a scope further as we sort of scale the brand forward, further efficiency is possible. So, there is a surely leverage possible in these brands also.

Rajiv: So, in your opening remarks you mentioned that PVH has done record profit, that was for the full year not for the quarter?

Shailesh Chaturvedi: For the quarter also, they had very good numbers combined if you, the performance of Tommy, CK have been very, very good in Quarter 4 also.

Rajiv: But this minority interest number we see there is a Y-o-Y decline right?

Shailesh Chaturvedi: So, it also includes Flying Machine. So Tommy, CK has done really well, Flying Machine is a business like I said that we are reworking and quarter-to-quarter there could be data there, so overall when you focus on Tommy and CK, they had a very good Quarter 4 also and they had a very good full year also.

Rajiv: Sure. And regard to this Ruf & Tuf and Newport which was held for sale and you brought from ALBL to AFL, are we looking to revive these two and what is the idea here?

Girdhar Chitlangia: So, just to give you a perspective, this is just a moment between the subsidiary and the holding Company. This is largely being done to optimize tax and cash flow purposes, you will realize that there is no impact on the consolidated financials. At this stage, I would just like to reiterate that our focus is to keep working on the five marquee brands and keep working on them to improve our performance and profitability.

Rajiv: Perfect. And on the wholesale business, is it possible to specify how much is SOR now, what percentage of the wholesale is SOR?

Ankit Arora: So, Rajiv we will not be able to discuss the financials on a business model wise numbers. But as to what you can see our focus is continuing to drive the retail channel which is where we have tightened the controls and of course making the entire working capital a lot more efficient over the last three years and doing the entire bit on stock turns and debtor days as well.

Rajiv: No, so I was just wondering because if you are moving away from SOR, the inventory number which you share on the deck versus this thing, there is an increase on that bit which is an SOR inventory?

Ankit Arora: It is just an accounting representation, Rajiv. The way we look at our business is essentially the entire whole universe of inventory, whether it's lying at our doors or inventory which potentially can get returned from the doors where it is lying ecosystem and allowance in terms of customers. So it's the right prudent way when we report into our presentation. But it's only the thing, the differential number is shown as other current assets which is as part of the balance sheet, it's just an accounting thing. But for all practical purposes, the way we look at our inventory is, including that returnable asset, which is shown as other current assets on the balance sheet. And that's the number of totality is what you see in my investor deck when I share.

Rajiv: No, I understand that my only thing is the delta number has increased.

Ankit Arora: So, don't read too much into it Rajiv, you should look at that number on a full year to full year basis, because there will be some channels, there will be some billing which is what we will shift, there will be some seasonality which is what we will be playing. So, you should look at that number on a full year to full year, as a percentage of sales, that number would have largely remained stable. I don't have the exact number for the full year as a percentage, but that number wouldn't have meaningfully changed for the FY24 versus FY23.

Rajiv: And is it possible to comment on the health of the inventory, how much is let's say a season old, how much is a year old inventory in your system?

Shailesh Chaturvedi: We are very happy with the inventory quality. Also, Kulin in the earlier comment men

tioned that we have never had a fresher round of inventory.

And, the freshness index in our inventory is very, very good. And we have been very selling inventory close to the market. And that's why one of the reasons you have seen the Q4 to Q1 shift is happening. We are very watchful and our health of inventory is very good and bulk of our inventory is less than one year old.

Moderator : Thank you. The next question is from the line of Jatin Sangwan from Burman Capital. Please go ahead.

Jatin Sangwan: As I can see in Q4, we have reached an EBITDA margin of 13.5%, now going sequentially Q1, which is like the lowest for us, are we confident of maintaining the similar margin in Q1. And also what kind of margin improvement are we looking for FY25 and also in the medium term, let's say in the next three years?

Shailesh Chaturvedi : See, as far as quarter -to-quarter EBITDA comparison . We are very seasonal business. So sequential, EBITDA percentages don't make like we have a quarter which is more wholesale, there are quarter two where we have more end of season. So when we look at the EBITDA of quarter one, we will compare it with the quarter one of last year because that will be the right way to look at it, rather than comparing it with the current 13.5% in the Q4. Second, point is that, what is the guidance on EBITDA, we have been saying that we want to increase the EBITDA by at least 100 basis points, or good times even a higher stretch of 150 basis point. Now, if you look at our journey of last three years, and the scorecard that we have put out, our EBITDA increase is much higher than that . Even in the last year, despite the current market condition , we have seen a 120 basis point improvement in FY24. So EBITDA improvement and a profitable growth, so while we keep or priority after revenue growth from where we are in Quarter 4, but we will never lose sight of the profitable growth. So the EBITDA improvement, continues to be our mantra of profitable growth and we hope to continue on this journey of close to 100 basis point improvement, yes there are some time markets are very bad, sometimes markets can be very favorable also, but the attempt will be to grow EBITDA by at least 100 basis points.

Jatin Sangwan: Got it, thank you. And as I can see employee expenses have increased on Q-o-Q and both on Y -o-Y basis, were there any one off in the employee expenses?

Shailesh Chaturvedi : See, don't please look at quarter data on employee if I look at the annual data for a Company with EBITDA increase of 15%, our employee cost have only gone up by 7%. And this is what really minimum required to be competitive in the space to be a good employer. Also, when we look at this cost in the last quarter, we have seen good saving on the overhead front the travel cost, etc. So overall, we remained very efficient on the employee cost plus the overhead cost that we have. So, I won't think there's a need to read too much into the employee cost. Please look at the annual increase of 7% in FY24.

Moderator: Thank you. The next question is from the line of Niraj Mansingka from Whitepine Investment Management. Please go ahead.

Niraj Mansingka: I just one question, can you share about the category performance how the various categories performed during the quarter and the year?

Shailesh Chaturvedi : See earlier in the call, we did say that adjacent category, different categories we have built, in the core category also if you look at the core focus, bulk of our business comes from t -shirt, shirts, jeans, chinos, etc. and winter wear it goes, our sell through have fall all the way reach whatever our target was for the full season so, we remain very focused and whenever we got the feedback on a product line and our roadshow has been very encouraging so we are very happy with the product engine and the category engine that's working for us and we will continue to make our

categories very relevant and modern.

Niraj Mansingka: I was more looking for footwear versus innerwear and kidswear and where is the growth in percentage and what is the share right now, some color?

Shailesh Chaturvedi : Sure. So, in this very same call we had tried to answer this question well more in detail and I am again repeating that we have these four businesses kidswear, already crossed 200 crore mark , very market leading business, growing in Quarter 4 growth is more than 20% in that business and on a regular basis this business can grow close to 15%, we have another big business which is more than 250 crores business which is footwear across

US Polo, men, women, Flying Machine we have done a little bit of trial. Tommy and CK have a footwear business. Currently that business has not grown in the short run because of the BIS confusion and we are not able to import inventory so there is a short term issue there but that business has grown more than 20% if you look at the last three years, and once the BIS confusion gets done and the new policy gets implemented we will be able to bring in the new inventory and sell it so that, if I take a medium term lens this business will continue to grow close to that 20% and then we have the business of women's wear we launch overall the adjacent categories are more than 500 crore, with that mid-teen share could become 20% in the medium term and they are growing more than 15%.

Niraj Mansingka: Okay. Can you share something about the US Polo women wear and what is the experience we have till date?

Shailesh Chaturvedi : Let me qualify , very early days of that business. A couple of seasons only and very, very early days, we started that business with online first mindset. We want to test it with the young modern consumers on online place and we saw good traction, we saw good promise so now we have started , actually not even a season , rather few weeks in the offline channel we added few shop in shops. We are now putting it in our flagship stores, showing very good promise, good performance but it's very early days to read into it.

Niraj Mansingka: Okay. and Sir FM when do you think will break even on EBITDA?

Shailesh Chaturvedi: See, as far as the Flying Machine is concerned, the improvements have just started and we will need a couple of more seasons to reach a point where we can talk about it, but performance will improve for sure that we are very confident of, where it will reach a point where on profitability, the time will tell very premature of me to put a guideline or a date but we are focused on putting the right inputs right now. So we are going all out to put the right input behind the brand Flying Machine.

Ankit Arora : And Niraj, just to add what Shailesh said, please also note that Flying Machine is our single most brand where it has a significant dependence on online and of course e that has seen a significant de-growth in this year. So of course Flying Machine would have had a slightly more than its wallet share compared to all of the brands impact of that , it's all external led. However, what Shailesh said is, we have done everything whatever is in our control, whether it's new retail identity, new product architecture, pricing, newer stores with newer retail identity. So all of that whatever is in our control, we have made adequate investments and investment behind the team in this year. So , we are seeing green shoots of our efforts and we are seeing the improvement for sure and are reducing our dependence over online and driving that business in line with other brands which is what we want to do through retail format. So that's where is what how I would put it, you should read about Flying Machine.

Moderator: Thank you. The next question is from the line of Gautam Rathi from CWC. Please go ahead.

Nishit Rathi: Great set of numbers and really appreciate all the efforts you guys have put

in. Just wanted to understand this cash flow that we have generated this year, we have generated more than 200 crores of operating cash flow. So on that lines, is there any further scope for us to work around and are we, so the question is, are we at the optimum level in terms of inventory and debtor days or do you see is there any further scope for you to improve that number here?

Ankit Arora : So, thanks for the question. See we still believe, of course the low hanging fruits of this entire efficient working capital management is in the bag.

However, if you ask us, as Shailesh and Kulin also mentioned briefly is, the entire retail engine and the retail transformation journey over the last three years, we have traversed a long way. Of course, is there a significant room for us to kind of even take the channel mix higher , absolutely yes and will that have a positive impact on working capital , absolutely yes. So having said that, of course, we have our internal targets far more higher in terms of improving the stock turns , even from a current level we have , of course we are at probably amongst the top quartile companies in having the four times inventory turns, but can we improve , we believe we can and there are a lot of initiatives & strategic intervention which is what we are driving internally. So cash flow, the way you look at it, yes there is a room

for us to drive even more efficient working capital. But you will need to look at in the line of the fact that, there will be times where we need to invest in behind the brands and the working capital to chase growth. But we will be very, very prudent and you have seen the hygiene over the last few years will not compromise on any of those parameters going ahead. And as the growth comes back, we see our cash flow, even getting better from the current levels, which is what you have witnessed in FY24.

Nishit Rathi: So the point out there was, so you are saying one of the vectors for you to improve working capital will be from the increasing mix of retail, is one vector. I'm just trying to also understand or the entire exercise that was done with the Vector, has all the benefit of that flown through or is there a bit of it yet to, can we see more benefit out there? The question is, are there some other has, all the part of the low hanging fruits have come through, or is there some bit of it, which is still yet to come through this year, apart from just the retail mix shift?

Shailesh Chaturvedi: So, you have rightly said that retail mix improves the debtor, the cash conversion is faster. So that's true and we have sure aspiration to increase the share of revenue further, for all the reasons that we have discussed. Coming to the Vector part, there are these transformation needed, because we are now already at four turns. And now from four, every 0.1, 0.2, is it requires transformation in thought process, working on the merchandising in a new way, doing shorter lead times, et c. Coming specific to the vector project that project is on and we are very happy with the progress of that. But, I would still say that it is not the end of the gains from that project, I see we are greedy about it. And we see a lot of scope of benefits coming from that in the next couple of years further. So it's not the end of the road, it is definitely opportunity to grow further and improve the stock turns further from that project.

Nishit Rathi: So, related to that Shailesh when do you see us becoming a debt free Company?

Shailesh Chaturvedi: I want to be cautious. Let me answer it in a way and probably if you want a date, we can give a date also. But the point is that the business is throwing a certain amount of cash, we have an asset like mindset, we don't have large capital being sucked into stores or through technology or any of those things acquisition, so their entire cash flow whatever,

after the

working capital needs for growing the business wholeheartedly, we will pay down the debt. So that for sure is going to happen and it will happen as we go along. So today, where we are another two to three years, probably why not we could become a debt free Company, the journey is on depends on the market conditions. So, I don't want to say if markets are tough, it may take longer, if markets are way more positive, it can happen faster, but the journey is on and whether it happens in X years, or X+1 year that time will tell, but clearly that journey is on.

Nishit Rathi: No, I fully appreciate that. And one last question was just, on the women's wear side, I just visited one of your stores, and it looks like a fairly decent amount of space which you have dedicated and the thing that you are trying, so how fast can this become a very relevant category for us, because it's in your core category, it doesn't have to be adjacent. So how do you think about that as a vector for growth because it is something where you don't need the markets to grow, just would love to get your thoughts on how you are thinking about that category is that going to be a bit more gradual or could there be some surprises out there in terms of growth in that category?

Shailesh Chaturvedi: See where we are today, we are very early stage. So if I have to say a couple of, one more season, two more season, it will be gradual, because we want to be very data driven, and in a very scientific in our thought process, see the data and grow that. Now the point is, wherever we put the line, we will give a full representation. So the store you went to, you would have seen a good representation because unless you offer choice to the women consumer or any consumer they will not buy. So just sort of a token space in some store won't help, so wherever we go we will give wholehearted representation, but we will not expand it very fast. We will do it sensibly. But the day we see that our KPIs have met we can go very aggressively thereafter. We've done something similar in footwear we took time to test it out, we saw different channels. Stride we opened in small

town, big town, high street, once we saw it was meeting our expectation, now we are putting a lot of money behind it and expanding very rapidly and same thing will hopefully happen with women's wear. It will take some more time for us to check out everything and then we will expand.

Nishit Rathi: This is good. All the best to you guys.

Moderator: Thank you. Due to paucity of time of the management, that will be the last question for the day. I will now like to hand the conference over to the management for closing comments. Over to you sir.

Ankit Arora : Thank you everybody for joining us on the call today. If any of you have any further questions or any follow up, please feel free to reach out to us and we would be happy to answer them offline. Thank you and have a good day.

Moderator: Thank you. On behalf of Arvind Fashions Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Note: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes

no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Aug 2024

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August 08, 2024

To,
BSE Limited
Listing Dept. / Dept. of Corporate Services
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001

Security Code : 542484
Security ID : ARVINDFASN To,
National Stock Exchange of India Ltd .
Listing Dept., Exchange Plaza, 5th Floor
Plot No. C/1, G. Block
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Bandra (E)
Mumbai - 400 051

Symbol : ARVINDFASN

Dear Sir/Madam,

Subject: Earning call Transcript with Analysts and Investors for the quarter ended June 30, 2024.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please refer below link of transcript of conference call arranged by the company with analysts and investors on Friday, August 02, 2024 for post announcement of Financial Results for the quarter ended June 30, 2024.

On the website of the company:

Path: <https://www.arvindfashions.com/overview/>

Title: Earnings Call Transcript Q1 FY-25

This is for your information and records.

Thanking you,

Yours faithfully,

For Arvind Fashions Limited

Lipi Jha
Company Secretary

CORPORATE PARTICIPANTS

- Shailesh Chaturvedi – Managing Director & CEO
- Girdhar Chitlangia – Chief Financial Officer
- Ankit Arora – Head, Investor Relations and Treasury

Moderator: Ladies and gentlemen, good day, and welcome to Arvind Fashions Limited Q1 FY25 Earnings Conference Call. As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ankit Arora – Head, Investor Relations & Treasury at Arvind Fashions Limited. Thank you, and over to you, sir.

Ankit Arora : Thanks Viya . Hello and welcome everyone and thank you for joining us on Arvind Fashions Limited earnings conference call for the first quarter ended June 30, 2024. I am joined here today by Mr. Shailesh Chaturvedi, our Managing Director and CEO and Mr. Girdhar Chitlangia, Chief Financial Officer.

Please note that result press release and earnings presentation had been mailed across to you yesterday and these are also available on our website www.arvindfashions.com . I hope you had the opportunity to browse through the highlights of the performance. We will commence the call today with Shailesh covering the business highlights and financial performance. At the end of management discussion we will have a Q&A session.

Before we start, I would like to remind you that some of the statements made or discussed on this call today may be forward-looking in nature and must be viewed in conjunction with risks and uncertainties we face. A detailed statement of these risks is available in this quarter's earnings presentation. The company does not undertake to update these forward-looking statements publicly. With that said, I would now turn the call over to Shailesh to share his views. Thank you and over to you Shailesh .

Shailesh Chaturvedi : Thanks, Ankit. Good afternoon, everyone.

There's all round good performance at AFL in Q1 FY 25, with double-digit revenue growth, 1.5% like-to-like retail growth, 80 basis points increase in GP which has flown into EBITDA and EBITDA has grown by 100 basis points with value growth of nearly 20% in EBITDA. All in all, very satisfying results under tough market conditions.

NSV in Q1 is 955 crores and EBITDA is 123 crores.

Markets have been subdued for a while and this quarter saw impact of elections, peak heat wave and fewer wedding dates which impacted traffic across offline and online channels. But we are pleased that Q1 results have been in line with our guidance with growth going up from levels of Q4 as we had indicated and there is 100 basis points increase in EBITDA. We have seen growth across brands and in every channel. There is growth in volume as well as in price realization. A key highlight was control on discounting where we delayed EOSS to end of June, while industry had been discounting by mid-June.

You may recall that we had adjusted our primary billing of spring-summer goods for wholesale channels, with billing being lower to MBO and department store in Q4 earlier and now we supply goods at the right time, closer to the summer season in Q1, which led to healthy growth of more than 15% in wholesale channels in this quarter. After few quarters of destocking in online channel, Q1 saw healthy growth in online business with both revenue and channel profitability seeing healthy uptick. There is handsome growth in online direct-to-consumer business that has grown more than 60% year-on-year and delivered higher channel profitability as well. We are making wholehearted investment behind online business with the right hygiene to gain from its traction.

GP has moved up to 55.2%, a gain of 80 basis points with dual benefit of better price realization as well as lower, more efficient product cost. With good sell-throughs and tight control on discounting, our price realization went up. It was also aided by efforts on premiumization where realization and sell-throughs are higher. This coupled with continued sourcing efficiency on product costs, we gained 80 basis points in GP. Most of these GP gain has

flown into EBITDA which saw nearly 20% growth to Rs. 123 crores versus last year value of Rs. 103 crore s.

On working capital front, Q1 saw stable GWC days. We were able to hold on to sell - thru's in SS'24 amidst very difficult market condition and ensure that there's no slippage in inventory. With tight control on inventory, business has grown by 10% with flat inventory value overall and delivering stock turns of four with lowering of inventory days by three days. With our asset light approach, ROCE has also gone up.

At brand level, all three super strong brands including Tommy Hilfiger, U.S. Polo Assn. and CK have delivered fantastic results once again, both in terms of top line and bottom line. I can clearly say that for all our brands , product overhaul in the last few years is paying dividends in difficult market conditions. Product lines are looking fresher with higher quality and delivering good sell - thru's. Tight control on inventories ensuring more freshness at counter and helping deliver better sell - thru's, good like -to-like growth and control discounting.

The highlight of Arrow business in this quarter was a mega marketing event with actor Hrithik Roshan in Mumbai, in association with GQ Publication. This event promoted the Super Premium 1851 Line and we saw a really big impact of the event content on social media, with some posts reaching more than 10 million views.

The efforts to re-energize Flying Machine continues with new cool merchandise of Spring Summer '24 , which is getting encouraging response from channels and consumers clearly seeing a healthy growth of FM and in online channel in Q1.

The key priority for FY 25 is to focus on revenue growth. Our brands remain top of consideration set, are ready and prepared, and they benefit whenever market improves. They also benefit from the industry trend of casualization as most of our brands have leadership in casual segment. We continue to put energy behind each of our key growth drivers, including retail expansion, like

-to-like store growth, premiumization, buildup of online direct B2C business and growth of adjacent categories.

Let me touch upon few growth drivers here, starting with retail network expansion :

We have added more than 40,000 square feet net of retail space in Q1 with opening of nearly 30 high quality stores. We remain committed to growing net retail space by around 15%, and hopeful of further acceleration of build-up in square footage in times ahead.

Another exciting aspect of store expansion has been opening of large flagship stores, especially in US Polo Association brand . We want to focus on few selected landmark locations so that we can showcase the entire range of fast-developing adjacent categories in these stores, including footwear, womenswear, kids wear and innerwear.

We opened such flagship stores of US Polo Association in Jayanagar, Bangalore, Indira nagar, Bangalore, Banjara Hills, Hyderabad, M.G. Road, Goa and C Road, Jodhpur. We are extremely excited by initial traction of the stores. They are tracking good numbers and are achieving targets. We are also expanding square foot through innovative formats like Stride for footwear and accessories and Club A for full price premium retailing of our brands. Along with Club A store in Bangalore that we opened last year, we have opened two new Club A, one in Surat and another one at Lucknow Airport.

Growth of adjacent category also remains a key growth priority for AFL.

The share of adjacent category like footwear, womenswear, kidswear, innerwear has crossed 20% revenue share of AFL and has grown in the last one year at double digit. In U.S. Polo Assn ., share of adjacent category has been even higher at close to 30% because of higher investment in that marquee brand on adjacent category. While footwear, innerwear and kidswear have good scale, I am happy to confirm that the initial response to the new womenswear line in US Polo is also encouraging and the business has recorded high growth on a small base.

A lot of growth is linked to external market conditions and economic realities, but we remain hopeful that the growth in FY 25 will be stronger and better than the growth we saw in previous financial year.

We hope for momentum to continue in months ahead with expectation of

slightly better market condition. Thank you.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Priyank Chheda from Vallum Capital. Please go ahead.

Priyank Chheda: Hi tea m, so congratulations on decent performance in tough times. So, my question is what explains the subdued SSG, which is a retail like -to-like growth while our format expansions continue at healthy pace, what explains on the 1.5% like -to-like retail sales growth?

Shailesh Chaturvedi: As far as like -to-like growth is concerned, while our normal expectation is above 5%, but in the current market condition, it would be a very satisfying number because we have seen in the industry, the like -to-like numbers are negative. While it could be higher, but because of the way the market conditions are, elections were a negative factor, there was a peak heat in May, which probably impacted walk-ins and also we delayed the EOSS because we may have lost some sort of revenue if we had gone with the industry, but we delayed the EOSS to last to protect our margin and sell-thru. So, overall, while markets are tough, I would say we have delivered a good like -to-like growth and many reasons behind that, because we renovated stores, there's been good response to our product stories, sell-thru's have been good and premiumization also is helping. So, I would answer the question that we have delivered very satisfying like -to-like in the current market conditions. Of course, it could be better, as the market improves and the walk-ins improve. But in the current environment, I think it's a satis

fyng like -to-like growth of 1.5%.

Priyank Chheda: So, now again, circling back to the same strategy where we have delayed our discounting for the want of control led discounting, where we have delayed the participation in the EOSS. Now, currently our gross margins are at 55% and this has never been seen in the history of Arvind Fashions. But then what this is actually leading is the subdued growth or a subdued sales for a customer who used to have discounts in the history in Arvind Fashions brand. So, now we have gains on the gross margin, but then again we are struggling back for the like -to-like business. So, how do we solve these two problems at the same time?

Shailesh Chaturvedi: See, I would say that early discounting, early EOSS is not a solution to anything frankly. It's a main problem in our industry. Now, what we have done over the last few years is to upgrade the product, upgrade the storytelling, upgrade the retail experience. So, today we are giving a very superior experience and significantly better experience than what we were delivering even two, three years ago. And we are hoping that the consumer will fall in love with our efforts and they will wait for us to buy. Our portfolios are very, very strong brands and I am sure they will remain top brands in their consideration, and they will wait for us to start our EOSS at the right time. But if you start giving discounting, then consumer will not buy full price and that's really the core issue in the industry and we are being very, very diligent on not sort of selling only at discount and we want to grow profitability, that has been a mantra that we will grow profitably and that's why our GP has gone up by 80 basis points and our realization has become better. So, market will realize that there will be some brands which will panic and give discount early, but the good brands will hold it. And I don't take some of the competition name, but we are in line with the good brands. So, all the good brands also go on EOSS at the right time, we also go on EOSS at that time, but we don't want to panic and go early.

Priyank Chheda: Just wanted to know your thought process on the point, everyone seems to be rating downward in terms of the price points, create a marquee brands or create a value fashion as a whole of a category, which is emerging at a large size. So, consumer of course is spoiled for a lot of choices at a lower price point. So, is that also kind of impacting the brand positioning where we are right now, because we are not able to consume where the consumer price point where we are, while India is growing at a premiumization trend, our retail SSG is a kind of a subdued. So, your thought process on a price point which are getting lower and the value fashion retail giving a tough competition to our kind of brand?

Shailesh Chaturvedi: See, we are quite competitively priced for the quality we give and the competitive set that we operate in. Our strategy in the last three years has been to focus on these five big brands and which are so big that consumer will make favorable purchase decision in favor of these. So, we are very

watchful of the value that we offer, we must give superior product in a superior shopping environment online, offline and hopefully charge the right price, we are also looking at all the sourcing efficiency wherever possible. So, that's why if you look at this season, all our channels have grown even in this market condition, even if the pressure what you are mentioning. But I believe our brands are rightly priced and that's why we are able to hold on to our sell-throughs and able to increase our GP and EBITDA.

Priyank Chheda: Sure, last question. Arrow, if you can throw more light on what has been the profitability path over here -- are we on a journey for mid single digit margins by FY 25? And on overall EBITDA margins, while YoY looks to be higher now,

but what we have seen is because of the tough market conditions now last four quarters we are sliding down on the path of the EBITDA margins at the reported numbers versus the 500 basis points gain in the gross margins over the last three to four quarters. So, your judgment on the Arrow profitability and overall EBITDA margins going ahead from here?

Shailesh Chaturvedi: So, in the last couple of quarters, I've been explaining the strategy on Arrow and frankly, I will reiterate the same again that we made lot of changes in Arrow, we created new product lines to participate in casualization, we created new line Arrow New York for the Gen Z customers. A couple of years back, we see almost 100 crores delta in EBITDA improvement, and it became a profitable brand at a low single digit EBITDA. Now, the last couple of quarters have been difficult and especially for the wedding brand and the formal brand. So, I said that Arrow remains in a low single digit brand and our first task is to take it to mid-single digit brand and in the current market condition believe the wedding dates are in the second half that the performance will improve and we are happy that it is where it is not losing money, gaining scale, it's gaining in new product lines, we launched the new retail entity of Arrow. So, we have done a lot of hard work for Arrow and we are now waiting for the market to improve a little bit. Now, in terms of the profitability in the medium term to go from low single digit to mid-single digit, it will need little more scale and that scale will come when the markets are little better, like to-like growth improve in our store. So, we are doing all the things right. Hopefully, market improves. Currently, the wedding dates are a little low, the market conditions have been little muted. So, that impact is in the short run, but we are very hopeful that a strong brand like Arrow with all the good gains that we have done in the last two to three years, we will gain further and our journey towards mid-single digit EBITDA will happen. So, we remain confident. I am just hoping for markets to grow a little bit more.

Priyank Chheda: Kudos to your team and all the very best.

Moderator: Next question is from the line of Dhiraj Mistry from Antique. Please go ahead.

Dhiraj Mistry: Congrats on good set of numbers. My question is on online channel where you have grown by 60%. Can we say that the inventory correction which you have taken over the last few quarters, it's now been done and we can expect normalized growth in online channel going ahead?

Shailesh Chaturvedi: We are very pleased with where we are in online and we have made lot of efforts to pivot the business from wholesale business to our own direct approach where we manage the whole experience from inventory to the pricing, to the cataloguing. So, that has really now started bearing fruits and that's the reason why the numbers have gone up. And there is a general traction in the channel, our brands are very, very strong. So, there is a good organic pickup happen that for our brands. So, we are very hopeful that the gain that we have seen, will stabilize and we'll hopefully go further and we'll continue to invest behind the online direct-consumer businesses and they will continue to grow.

Dhiraj Mistry: In terms of online profitability, how different it would be from our other channel business?

Shailesh Chaturvedi: It's fairly competitive and we have been very, very focused on profitable growth. So, the online profitability even this quarter has been very good. The channel profitability has gone up by a good percentage. So, we are very pleased with what we saw from both the revenue side and also from the channel profitability side from the online channel. So, it also depends

on the market conditions, but our brands and our efforts are well placed to capitalize on the online business.

Dhiraj Mistry: B

ut margin differe ntial is material compared to general

Shailesh Chaturvedi: I mean, it's quite a healthy margin and we ensure that any growth is not going to be detrimental to our percentage profitability. We will ensure that growth is at similar than other channel or even higher, if possible.

Dhiraj Mistry: Again, on inventory in wholesale channel where we have witnessed 15% growth, which is quite encouraging. Is it any part of the growth is also because of the inventory buildup in this quarter, and it can normalize going ahead or we can assume that this is the normal course of inventory and wholesale channel as well?

Shailesh Chaturvedi: So, in fact, we are doing the reverse. We actually took a call to bill less inventory in the Q4. I mentioned that we delayed the launch because see, the weather pattern has shifted by almost a month, the peak winter happens in Jan, Feb and the summer sets in a little later now in April, May. So, we are trying to match our supply chain to the market realities and the season reality. So, we are holding back and that's why the invoice goes closer to the weather pattern, and I am sure because of that our sell -thru's will be very good and there's no build up before the season with the channels.

Dhiraj Mistry: Sir, one question on this minority interest, like in this quarter we had a reported PAT of 13.8 crores and then there is a minority interest goes somewhere around 12 to 13 crores. So, our entire profit has been gone as a minority interest. Any comment on that, whether it's more of this quarter phenomena or it should continue going ahead also?

Shailesh Chaturvedi: What happens is that there is a seasonality in different businesses and the PVH part benefit from premiumization. So, that's really helping. But we get a little more business in H2, in some other brands, the festivals and the wedding calendar, makes a little better difference. So, the profitability in non-PVH will also be good in the future. So, I think it will balance out.

Ankit Arora : Just to add, the comfort and the confidence which is what you should draw is the fact that if you look at our last year trend line also from Q1 to Q4 as to what Shailesh mentioned, we had even significantly large losses coming in from Q1 and then it really build up on the non -PVH side of the portfolio and we are extremely confident that it will pan out the similar way if market conditions remain favorable as to what we have seen in Q1 and you should draw confidence that a significant improvement in the non -PVH side of the portfolio in Q1 has happened from the losses which is what we had in Q1 last year. And we expect this trend line on PAT. We are extremely focused on the bottom line and the mid line profitability. And if you will keep seeing this profitability improvement happening, you will see that translate into a disproportionate share coming in from non -PVH also going forward in FY 25 and in the near to medium term as well.

Dhiraj Mistry: What we have been building like double digit top line growth and also 100 bps of margin expansion going for FY 25 and despite subdued environment we have reported 100 bps of margin expansion. Is it a possibility to increase our guidance going ahead or we would maintain our guidance of 100 bps expansion and double -digit growth or early double digit growth?

Shailesh Chaturvedi: If you really take a step back and we had said that we are expecting a higher revenue growth compared to where we were at Q4 and we were at 5% and we have now delivered 10% and we remain optimistic that the growth will be higher than what was in the past and market conditions are muted, subdued & difficult. But we are very confident that our growth drivers are working , be it square foot expansion where a lot of efforts have gone, category expansion, online B2C business , premiumization, like -to-like, we are working hard to ensure that our gro

with drivers remain fully

revved up and we continue to grow. Medium term, we would love the growth rates to move to 12% to 15%, but we are hoping for the market to correct, and we are also very watchful on profitable growth, we are not looking at just growth for the sake of growth, we are very careful that growth should bring efficiency in terms of improvement in EBITDA margin. So, we are working hard. It all depends on the market conditions also and the economic realities, but we are in the short run confident that our job is

to up the growth from five to high single digit, maybe double digit, and then as the market improves and as our scale comes larger, we will hopefully grow a little faster also. But in the short run, I would say our guidance should continue to be where we have mentioned to increase it from last year and we are working hard to ensure that happens.

Moderator: The next question is from the line of Shreyans Jain from Svan Investments. Please go ahead.

Shreyans Jain: Congratulations gentlemen on good set of numbers. Could you give us some sense on the channel, because I think you've given wholesale, retail, online. But just in terms of wholesale, could you help us understand how is MBO, how is departmental stores? And the same for online, if you can help us understand how is B2B and B2C? So, in the presentation also, if you could help us with this data going forward?

Shailesh Chaturvedi: Let me say the primary billing channel like MBO, department store, I mentioned that we have been trying to time it as closer to season, so that the stock turns don't get compromised and there's no buildup unnecessary before the season. So, that's why in this quarter all channels are growing, frankly, I mean wholesale or retail, every channel has grown in this quarter in terms of revenue and in terms of channel profitability, MBO grown really handsomely because of the shift and also our distribution expansion has been very aggressive, especially in the subscale brand like Flying Machine and Arrow where we will do open a lot more Shop-in-Shop and also our strong brand, U.S. Polo remains a preferred brand for any expansion of any mall or any MBO channel. So, MBO is doing well. Department store also we supplied goods in right time and seen good growth in our business and also margin profile has been healthy in that channel. Retail, we mentioned that we grew like -to-like under really tough market conditions where a lot of other competitors have shown negative like -to-like, but we are decent and we have a good square foot expansion that's happening. So, we are looking at CAGR of 15% in square foot addition net. So, that channel is growing online. B2C has grown more than 60% and we are pivoting this business from wholesale and there the growth rates are coming down, but we are looking at overall healthy growth in online, from B2B pivoting towards B2C and the B2C is really firing and also the channel profitability also has gone up by good percentage. So, overall this season we have seen growth from wholesale as well as from retail channel. If you want any specifically double click, I am happy to give some color to that.

Shreyans Jain: Second is now everything is a power brand, right? So, if I have to understand, given your commentary, you're saying that weddings were lower, so obviously Arrow would be weak. If you can help us in the presentation itself, how is growth across Tommy, individual brand, if you're not comfortable with absolute numbers, but just some sense on what was the growth in each of the brands, it will be better for us to understand your numbers. Second part to this is sir, about 45,000 -odd square feet you've added. So, if that also you can help us brand wise where you've been opening stores, are these EBOs, COCO a little more understanding on the store openings also brand wise would help us. My next question is on the gross margin. This

s, you said, retail was slightly weaker versus last year. And from what I understand the large part of our other expenses includes commission and brokerage, which is higher on the retail side, right? So, if I have to look at your other expenses in spite of retail being lower, our other expenses have gone up by about 8% -odd. So, I am just trying to understand what is the major shift that has happened here -- is it advertisement, is it freight? So, just more sense on the other opex bit.

Shailesh Chaturvedi: See, our retail has also grown, and it has grown overall, and it has grown in terms of like -to-like, so it's also grown in high single digit. The other expenses are actually in line or maybe slightly lower. So, there's no surprise there, there's no delta there in any way. It's in line with the growth of the business. And there's no other major expenses because all largely commission and commission is linked to the revenue growth, largely franchisee commission. So, it's in line with the growth. So, it's not higher than the growth. As far as GP is concerned, typically, retail channel delivers higher GP because the expenses come below. But this quarter what has happened is that retail has also grown, but the wholesale channels have grown slightly faster than retail, but overall the GP has gone up despite the

channel revenue mix the way it is and that's coming from, like I said, better control on discounting, price realization, premiumization and also we have had good cost efficiency from sourcing. So, we got a dual benefit on price realization which is better and the costs which are more efficient. So, we got a good 80 basis points increase in GP despite retail being similar to the other channel. If retail had grown faster, the GP would have looked even higher than where it is today.

Ankit Arora : Just to add a couple of points to part of your question. One just to add on what Shailesh said on the GP side, please understand we are again growing margins despite us growing margins by about close to 100, 120 basis points last year. So, it's on that base. Of course, you need to look at in the context saying there is a general inflation on other expenses which remains and some portions or a large portion of expenses like royalty and other costs are variable in nature. So, you need to look at we have grown the sales at 10% and we have maintained a very, very sharp cost control on overhead which has only grown by 8%. That's how you are seeing the leverage coming through. So, that's on that. On the first part of your question on the brand wise, to be honest, it will be difficult for us to kind of give in the presentation any specific data points because we are also bound by certain global confidential contract norm. Having said that, we try our best and Shailesh has tried his best in his opening commentary to kind of give you a color on a brand wise in a more qualitative way. But it will be difficult for us to kind of really quantify that and do that on Q-o-Q basis. Hope you understand on that front. Thank you.

Shreyans Jain: My last question is, sir, with the kind of improvement that we have seen in our margin and also Arrow now you're saying single digit, so for FY25, FY26, what is the kind of EBITDA that we should look at? Obviously I am not asking for an actual number, but just some sense on your direction, can we do like 100, 200 basis points improvement going forward now because you're saying discounting is lower, full price is higher and obviously retail growing faster than the other channels going forward, so what is your sense on this?

Shailesh Chaturvedi: See, our guidelines has been that we want to grow EBITDA by at least 100 basis points, even in the current really difficult market condition, we are committed and you look at this quarter also the EBITDA has gone up by 100 basis points and is now close to 13%. So, we work hard. In the current mar

ket environment, it will take a lot of efforts to deliver this, and we are delivering that, we are working hard. And that's why we focus on profitable growth, we are just not looking at growth for the sake of growth and we are only looking at growing businesses where we get commensurate profitability also. So, we are committed, to answer your question on EBITDA, how much will you grow, 100 basis points is our guidance also will depend on some market conditions, few basis points here and there. But that's our goal and our guidance remain to up the revenue growth and to grow EBITDA by 100 basis points.

Moderator: The next question is from the line of Palash Kawale from Nuvama Wealth. Please go ahead.

Palash Kawale Thanks for the opportunity and congratulations on good set of numbers.

Sir, my question is around Arrow and FM. So, when do you see these brands going at a higher growth, than consolidated levels?

Shailesh Chaturvedi: I've been giving commentary on our strategy on Arrow and Flying Machine in every quarter call and I will reiterate that these are the brands, they needed to be re-energized and that effort on Arrow started two years back with complete overhaul of the brand promise, the logo, the advertising, retail identity, we created a smart casual line called Arrow Sports, we created a Young formal workwear line called Arrow NewYork, and the premium line that we promoted, now 1851. So, a lot of the merchandise bricks are ready, lot of retail bricks have fallen in place, but still is subscale and it needs to grow a little more and it needs to open probably many more stores in the country and that's what will take it to the place where we want in the short run from low single digit EBITDA to mid-single digit EBITDA. The markets have not been very favorable for formalish, workwear brands and wedding dates have also been low, it's a big blazer suits as a large business. So, that is a short term aberration, but we are very committed and market will improve and our square foot

expansion will continue on Arrow also. So, we are seeing that Arrow will reach a certain point, will happen in the near term. As far as Flying Machine is concerned, that effort has started two seasons back. We changed the logo, we created new consumer promise for Gen Z, only the first kind of a mindset. And recently when the new logo merchandise has gone this season spring-summer, we saw green shoots, we saw very good growth of Flying Machine in online channel, couple of new stores with the new identity we opened for example in Noida, in Mall of India. We are quite happy with what we are seeing, and you will see in Diwali lot more intense efforts on Flying Machine to influence the consumer. So, maybe the Flying Machine journey is one year behind Arrow, but our three brands, Tommy Hilfiger, Calvin Klein and U.S. Polo are really well placed, market leader and they are doing really well financially, both in terms of top line growth and EBITDA growth and EBITDA percentage. Now, we focus is on Arrow and then Flying Machine to sort of grow their profitability and scale so that the overall portfolio delivers even better profitability.

Palash Kawale And sir, what was the A&P expense for Q1?

Ankit Arora: Sorry, we missed that. Which expense?

Palash Kawale A&P, advertisement and promotions.

Shailesh Chaturvedi: So, in Q1, typically it is slightly lower than 3% because the campaigns happen towards the end of season. So, we are in between that 3% to 4% spend, but for this quarter it was around 3%.

Palash Kawale And, sir congratulations on the profitability for the PVH brands. So, do you see like these margins growing further by like 100 or 150 basis points for PVH portfolio?

Shailesh Chaturvedi: It is the market leader and doing really well and also growing further, then the scale average again kicks in. So, I am sure it's doing really well, and it should continue to grow from here.

on to continue to grow from here.

Palash Kawale Sir, what was the debt level by the end of Q1? And do you see like how much debt are you planning to pay this year?

Shailesh Chaturvedi: Our net debt was around 225 crores. There is a seasonality, next quarter it could go up by 50-odd crores here because we have to build the inventory for the season and a bigger scale. But I think we will remain at this level and any free cash flow that we generate, we will try to pay down the debt level from that. So, I think we have been reducing our debt levels and that effort will continue.

Girdhar Chitlangia: Current net debt is about 225 crores, and yes this is impacted by seasonality as Shailesh said.

Palash Kawale Sir, if I look at online channel, what would be the contribution of online B2C right now and where do you see it stabilizing?

Shailesh Chaturvedi: Currently, in this quarter, the online contribution is slightly close to 25% and typically the B2B and B2C are more or less equal, but the way the trend is the B2C will keep growing faster and taking a higher share and that journey has already begun.

Moderator: The next question is from the line of Himanshu Nayyar from Systematic. Please go ahead.

Himanshu Nayyar: Hi team, thanks and congratulations on good performance in a tough environment. So, firstly, if you can you can throw some more color on the adjacent categories, how are they performing, whether they are still a drag on margins and what's the outlook going forward especially for footwear which had gotten impacted recently, if you can talk about that as well as the other key adjacent categories?

Shailesh Chaturvedi: Adjacent category development is one of the key growth drivers for our Company across all the brands. If I look at the overall share of adjacent categories like footwear, womenswear, kidswear, innerwear, this is at a Company level is more than 20% of AFL, and in the last 12 months that growth of this category has been double-digit and it's growing faster than the Company. As far as U.S. Polo is concerned, where we have invested even more heavily and prioritized the adjacent category, the share is even closer to 30% there in U.S. Polo. So, that category expansion is working well. It's improving our store productivity, delivering like-to-like growth for us. So, it's a big, big sort of part of the way we are taking AFL forward. As far as the footwear results is concerned, there are some regulation changes, and we are in touch with the policymakers and we are making sure that our supply chain is geared for whatever the change required. So,

we'll wait and watch, and we'll react to the realities based on the policies.

Himanshu Na yyar : But given that it's a large contribution now, just wanted to understand whether these adjacencies are a drag on your margins, basically whether the margins currently are lower than your apparel?

Shailesh Chaturvedi: I've said this in this call and I reiterate that we are focusing on profitable growth, we are not really looking for growth for sake of growth. So, we are very, very mindful, watchful sometime in some categories, we do invest ahead and it's important as an investment maybe on marketing side sometimes. What the data we have is clearly that adjacent category are not a drag on overall profitability and they will contribute to the profitability of brands and of AFL.

Himanshu Na yyar : Just like you gave the journey, your margin expectations on Arrow from low to mid single digits, would you have similar targets for the Flying Machine brand as well?

Shailesh Chaturvedi: FM is one year behind. We are just redoing the whole DNA for a long-term success of Flying Machine. So, FM is a one year behind Arrow in that journey.

Himanshu Na yyar : And a final bit was on the retail expansion which you said 15% area expansion is what we are looking at. So, are there any specific brands where

re you'll be opening more EBOs or it will generally be across all the five, and any specific markets where you'll look to target, if you can share any color on that?

Shailesh Chaturvedi: All our brands are growing well, 15% sort of growth in square footage across the brand. But I would say the scope of opening more cities is in the non-PVH brands. So, U.S. Polo always has a much larger scope because every new mall in every town, small town, big town wants U.S. Polo as a key partner, right, as a key brand, any MBO that opens in any Tier-2 Tier-3 city also wants to have U.S. Polo in its shop. So, U.S. polo eventually has probably the maximum scope in the short run, but Arrow the way it is, I think it can take many more stores. Flying Machine, once we finish this whole reengineering of the brand promise, we see a lot of opportunity to grow. TH, CK also adding square footage just that where the standards are such that we'll be more mindful and be a little cautious on which town you go to... you can't go to Tier-3 city that easily as U.S. Polo and Arrow can go. So, it will be across, but doesn't matter, I mean, even the big cities, in the top cities, there are enough opportunities for growth in Tommy, CK also. Bangalore, for example saw three new malls in the last 12-months and all the three good malls have very nice stores of Tommy, CK also, and of course the non-PVH brands, not just in the big town but in smaller Tier-town also we can expand.

Himanshu Na yyar : So, should we take away given this aggressive 15% number, I mean, if you open 15% expansion plus we get to our targeted number of L TL, so are we in a way preparing ourselves for say, 15% to 20% growth in the retail part of the business at least?

Shailesh Chaturvedi: Our retail, if you look at last three years has grown quite well in double digit. But what happens is that when you open 15%, it doesn't actually impact the same year number, it impacts the next year number, right. So, that's why in the short run impact is less and the stores settle down and then grow. Yes, it will fuel our growth, but not necessarily arithmetically the way you are looking at, and in the current market conditions, things are not easy. But if the market conditions improve and the stores started settling down soon, so it will only fuel growth and we are committed to the medium-term growth going to maybe 12% and maybe a little higher, but it will all depend on the external environment.

Himanshu Na yyar : Of course. I meant that in the medium term. Maybe once the environment improves, at least we are preparing ourselves for a 20% growth as well on the retail part.

Shailesh Chaturvedi: I would say 12% to 15% is the mantra and like I said earlier, we are very, very watchful on profitable growth. So, we are very careful on the kind of stores we sign, the quality of the stores, the need for making money soon. 20% number seems a bit on the higher side, I hope that number also happens, but in the current market environment and our whole focus on profitable growth, I think 12% to 15% in the medium term is a good guidance from our side.

Moderator: Next question is from the line of Gautam Rathie from CWC. Please go ahead.

Nishit: This is Nishit from CWC. Congratulations on great set of numbers and judos to the team for a great execution. I just wanted to run a thought process by you and just wanted to know if my thought is right, it's very visible given the scale that Tommy and CK are, and the profitability of Tommy and CK is very visible. And is my understanding is right, U.S. Polo should be a bigger brand than Tommy, CK, but we are seeing multiple things in U.S. Polo itself. Is it fair for us to assume that in the next year or a couple of years whenever, at some point of time, U.S. Polo will start delivering EBITDAs and PAT closer to Tommy and CK and how far away from that? Firstly is that right to expect and then how far

are we from that kind of performance?

Shailesh Chaturvedi: I couldn't agree more with you. U.S. Polo is a total powerhouse in our portfolio and a brand, we are very, very proud of, and we have really refreshed this brand in the last two years in terms of product, fashion flair, quality, retailing, marketing. So, you have seen closely how the brand is so strong brand and a market leader, coming closer to 2,000 crores scale. Tommy, CK are, yes, delivering very good financial matrices results on that. And U.S. Polo is very close and it's also double digit pre IndAS EBITDA brand of scale that we are talking about. So, in medium term, I can say confidently it will be a similar profitability brand whether it's EBITDA or PBT or PAT, whatever level that you see. There is some work -in progress. I would say short term to medium term will definitely deliver similar percentage on financial matrices that Tommy, CK are doing, I don't have doubt on that. Of course, market conditions can impact.

Nishit: I fully appreciate that you've just started the journey of reinventing and reinvesting in the brand also last year. But that's very heartening to say that it's not very far away and you expect it to get there. And the second big distraction which we are unable to, because it's very apparent your work in Tommy and CK is showing up very, very apparently, right. What is kind of not fully getting appreciated is because of the non -PVH part of it is not really showing up and that's where, one, is this U.S. Polo you are saying it will come back, and second is the drag which is there in both Arrow and Flying Machine, you called them out and you said there is a journey and a path to it. But now the final destination is at some point of time where if you could give some kind of a guideline, is it one year, two years, three years, let's say in three years, is it fair to assume that both these brands will also be at least a PAT -positive, because again then what will happen is you will have all the brands delivering positively to the PAT.

Shailesh Chaturvedi: No, I couldn't agree more to you, Nishit, because U.S. Polo is a powerhouse and what we are doing the way consumers are responding to that, the way channel is responding to that, it's a powerhouse both internal scale, profitability, the free cash flow that it has the potential to generate in the short run itself. So, I mean, if I look at two buckets, Tommy, CK and the second bucket of U.S. Polo, I couldn't agree more to what you're saying. Comes to the third point on Arrow and FM, yes, in next two years, three years depends on the market condition we will be in mid single digit EBITDA for sure and at that level there will not be a drain at a PAT level, etc., So, it's a fair assumption to believe given market condition that we should look at that scenario that we will have no major drain at a PAT level or PBT level from Arrow and FM and the Tommy, CK and U.S. Polo should continue to deliver good financial results.

Nishit: That's very heartening and very good to hear, Shailesh. Last point, we understand it's a tough market scenario. Have you seen anything for you to believe that the market condition has worsened from what we were in Q1 or is it getting slightly better, can you give us some kind of qualitative from whatever you've seen from the last 30 days you've seen in the first half? I know it's very, very early, but just qualitatively are you seeing things get better, getting worse or is it kind of what we were?

Shailesh Chaturvedi: Markets have been difficult for a couple of quarters. Summer, there were some specific issue linked to elections for example. The global warming or warming in India is the reality, May saw that. The markets are sort of challenging and subdued currently. I am believing that in the short run, they remain subdued, but maybe slightly better than they have been in the last year, and a

So the way we are geared up because once you assess the market correctly and know that markets are tough, then you react, and that's why lot of our growth engines are delivering better, and we are very confident that whatever happens to the market condition, our growth will be higher than what they were at the Q4 FY'24 and this quarter we delivered whether it's a high single digit or if market improves one or two percentage more, but markets are challenging but we are hopeful that we could get a little better because, for example, last year there was a Cricket World Cup in peak of Diwali, we had five weekends with India cricket. They are not going to happen in this Diwali, right? I mean that World Cup is over. So, maybe we'll get some better benefits from that in the remaining months of this year. So, we'll wait and watch and see. It's tough to predict, but more than the market condition, I would say we are very committed to improve on the revenue growth from what it was at Q4 FY'24 and we are working hard for high single digit and in good time maybe 10% revenue growth.

Moderator: The next question is from the line of Jatin Sangwan from Berman Capital. Please go ahead.

Jatin Sangwan: I observed that our interest expenses has increased from 35 crores to 38 crores. So, what caused this?

Ankit Arora: Jatin, it's largely on account of non-IndAS entry, because on the Tommy, CK side of the business as to what we have been maintaining in the previous calls, we have been opening on the Tommy side, the COCO stores, so it's only causing that our real interest cost has actually moved down both on a Q-o-Q and Y-o-Y basis.

Jatin Sangwan: But this change is not much reflected in depreciation; it's like 59 crores to 61 crores.

Ankit Arora: So, it's a mix of both on the interest and depreciation, because as to what you would understand when you open a new store, there is a component of interest, which is what largely goes up and then that's how it gets adjusted during the course of half year of the tenure. So, that's how you would look at, first it's coming in the interest and then it's getting normalized where it comes down over the rest of the tenor.

Shailesh Chaturvedi: Actually, I can just say that both interest and depreciation. The operating number pre-IndAS are similar, maybe like Ankit said slightly lesser than before, some entries are IndAS entry and we have taken over stores in Tommy Hilfiger as COCO stores. So, that impacts the depreciation a little bit, but there's no major change, it's only on a downward trajectory.

Jatin Sangwan: And what will be our pre-IndAS margin in this quarter?

Ankit Arora: So, we have always said it's in the range of around 400 basis points difference from post-IndAS to pre-IndAS. So, you can do that math. We have reported about 12.9% post-IndAS margin.

Jatin Sangwan: Last question is on this part. How much of our Tommy & CK stores have we converted from let's say FOFO to COCO?

Shailesh Chaturvedi: We have 60 stores in Tommy Hilfiger which are now COCO stores.

Jatin Sangwan: And in CK?

Shailesh Chaturvedi: Nothing. It's in Tommy alone. Single brand.

Moderator: The next question will be from the line of Sagar Parekh from One Up Financial Consultants. Please go ahead.

Sagar Parekh: Hi team and congratulations on a good performance. Just two questions. One is you mentioned that this Flying Machine is one year behind in terms of profitability versus Arrow. But did you give any number of what is the EBITDA currently of Flying Machine? If not, can you give us please?

Ankit Arora: We don't disclose and unfortunately can't disclose the brand level margins and revenue on account of our global contracts.

Sagar Parekh: But is it profitable or its loss-making at EBITDA?

Ankit Arora: So, we have said we are on that journey. It's a very, very low single digit close to about breakeven kind of a number.

So, that's something where the work is on to turn that brand around and to make that journey as to what we have seen the turnaround in Arrow over the last couple of years.

Sagar Parekh: So, this Arrow is low single digit you said, and this is broadly breakeven to slight positive?

Shailesh Chaturvedi: In both the brands we have a journey to improve profitability Arrow is one year ahead than Flying Machine.

Sagar Parekh: So, what would be the capex for FY'25?

Girdhar Chitlangia: So, our capex is likely to be in the range of 100 crores, largely to be spent

on some COCO stores on the PVH side, some IT capex and some renovation of stores.

Sagar Parekh: How much was the capex last year? So, 100 crores seem to be on a higher side.

Ankit Arora: About 85 crores, largely is on the Tommy side of the business. I don't have the break up but close to about half of it or maybe more than that. So, again that's how you should look at it for the FY'25 also.

Shailesh Chaturvedi: Some of the new Tommy stores we are doing directly as COCO stores. So, some capex will go there, but our capex is flat in that sense and this quarter was around 24 crores and largely like Girdhar said, it's for renovation of our SIS or some maintenance of IT. There's no major project that will require capex other than couple of Tommy Hilfiger stores that we are doing on a COCO basis.

Sagar Parekh: So, this capex would be funded internally, right, or how it will work?

Shailesh Chaturvedi: In Tommy there are strong cash flows to deploy.

Moderator: The next question is from the line of Rajiv Bharti from Nuvama. Please go ahead.

Rajiv Bharti: Sir, with regard to this margin expansion which we are seeing, is it possible to quantify how much of it is because of this FOFO to COCO, we are doing in Tommy Hilfiger?

Shailesh Chaturvedi: See, when we convert from franchisee to COCO, definitely, the GP goes up, margin goes up. I don't want to give a specific number but yes it's a ROCE accretive and we benefit from that investment of capex into the stores. That's a very small piece of the overall GP increase at AFL level. Largely, the GP increase has been because of the better price realization and better cost efficiency in sourcing. Even in this difficult condition, our discounting in full price channel was slightly lower than last year. So, we benefited from that. Premiumization gives the better realization. So, cost efficiency in sourcing and better premiumization is the dual benefit giving us that 80 basis points improvement in GP.

Rajiv Bharti: Secondly, one of the marquee Denim players has been running steep discounts earlier in the last season as well, and probably this season. Do you think that cleanup is done, or we may see that again in terms of competitive intensity?

Shailesh Chaturvedi: Sorry I didn't get question. Which of our brand are you talking about?

Rajiv Bharti: No, no, I am talking about the competition. So, one of the marquee players have been entering earlier, right?

Shailesh Chaturvedi: We can't comment on the moves of competition, I won't hazard a guess.

Rajiv Bharti: And thirdly, your PBT margins on the online side, is it comparable to the retail side?

Shailesh Chaturvedi: See, I am again repeating that online is a very healthy business for us. It's margins are quite good. And like I said, we are growing businesses which are with that mantra of profitable growth. So, at a channel level profitability, online has very good channel profitability.

Rajiv Bharti: Lastly, if we were to combine your channel level, for example, the wholesale for Q4 and Q1 and then compare against last year Q4, Q1, I think the wholesale is still at an 8% deficit, right? We have seen substantial growth in Q1, but it is not enough to cover minus 18% of the previous quarter, right?

Shailesh Chaturvedi: Between the department store and the MBO channel, we are growing and

in fact MBO channel is growing faster because we are going to add distribution for all our brands. So, I am trying to check because our wholesale channels have grown, just that in Q4, we took inventory call on billing it closer to the season and not just adding inventory in the channel before the season starts. So, our channels are doing well. I mean just that in Q4, we took a decision to delay the inventory buildup closer to the season and that benefit has come in Q1.

Rajiv Bharti: My only point is because Q4 by quantum wholesale is a much bigger quantum, right, put together, Q4, Q1?

Shailesh Chaturvedi: Where we launched in a bigger part of the season in Feb, March, which we are now doing end of Feb and March. So, yes, Q4 is a bigger wholesale than Q1, you're right. But this Q1 is a bigger wholesale quarter than what it was last year Q1.

Rajiv Bharti: No, I got that. I am saying that combined put together for example Q4, Q1 last year was 664 crores versus this year we are at, I think close to 612

crores. So, there is still a deficit.

Shailesh Chaturvedi: In the current market condition, we will be careful looking at whatever the inventory buildup. They continue to grow. We keep an eye on the inventory in the channel and based on that we bill into the market.

Ankit Arora: And Rajiv, if I can just add, see, there will be of course seasonality, then we will play by that depending on which channel is firing and when. We want to just ensure that we stay very, very healthy on our inventory level and stock turn. So, yes, you may be having a right observation on Q4 and Q1 combined when you are looking at it, but at the same time, if you really step back and look at our retail very, very good in Q4 as well. So, retail may have made -up for that same thing, could have happened for online as well. I don't have any ready data for that. So, there will be variances if you add the two quarters together, but the good part is we have seen all round channel performance and all the channels have grown and that's what is heartening for us. Yes, could be plus and minus on various channels depending on Q4 and Q1.

Shailesh Chaturvedi: I will just add one color to it. In wholesale channel, we have very good visibility on the consumer sales, and we build this hygiene in last two years where we are getting regular daily update on how the wholesale channels are able to liquidate their inventory to the consumers. And based on that we create the pull of what more we can sell. So, if the market improve, we'll be able to increase the growth, and if the market slow down, automatically the whole system slows it down.

Rajiv Bharti: Last time you indicated that you're looking for a high teen area addition, right. With the current Q1 environment, would you like revisit that or you're holding on to that target?

Shailesh Chaturvedi: You're talking about square foot addition, right?

Rajiv Bharti: Yes, yes.

Shailesh Chaturvedi: We are committed to 15% net addition this year on the Mar'24 base and the first quarter was a good quarter and we build more muscles in the market to ensure that. So, we are geared towards that 15% net square foot addition.

Moderator: The last question for today is from the line of Ankit Kedia from PhillipCapital. Please go ahead.

Ankit Kedia: If I just look at your annual report, if ex Tommy, CK numbers, other three brands have actually posted a decline last year. So, just wanted to know how was the U.S. Polo number, because even if I remove Flying Machine number, still there is a decline which makes me believe that Arrow would have also declined last year. Is that understanding right?

Shailesh Chaturvedi: I don't have ready for data last year, but I can tell you the trend is that last year in difficult market conditions, U.S. Polo did well. And if I look at this quarter, U.S. Polo has grown really well in double-digit in sales and in

EBITDA, value also is much higher than that percentage. So, U.S. Polo is at a point now where it's really revved up and the growth and the EBITDA growth is very, very high. So, that's what will keep growing. As far as the Arrow is concerned I know that the formal category and the wedding dates in the previous quarter and now also been a little slow. So, Arrow has seen a little bit of slowed down, but U.S. Polo is really doing well.

Ankit Kedia: Also in U.S. Polo, if I just see the annual report, we have cut down 50 stores last year, we have exited around 20 cities, which is lower than FY'19 in the city count also. So, is this rationalization of stores, cities across brand behind now for us and 150 cities for a brand like U.S. Polo is pretty much a low number given the time and the acceptance of the brand which we have wherein peers are today also. So, do you think in next three to five years, where do you see the city count for U.S. Polo coming and the store expansion?

Ankit Arora: Ankit, I don't think your reading is right. There is a disclaimer, which is what we have given when we have given the store data. If you look at there is an asterisk mark there. We have only taken a mono brand stores based on certain feedback coming from you and other industry players as well. So, we have not added the point of sale where the U.S. Polo is still sold, but we classify that as a multiple brand outlet, but it's still an EBO like of a Stride or Megamart or a Club A. So, all of that is not there. Your observation is not right when you look at the number of stores going down. Rather than that, the number of stores and square foot addition is incrementally going up

and as to what you can see , in the last year full year net square foot addition was close to about 56,000, this quarter alone it's at about 45,000 square foot. So, there is absolutely full wholehearted intent in terms of putting energies behind U.S. Polo to kind of grow that brand , similar to what Shailesh said, both from a square foot area and from a number of stores and penetration in terms of cities and towns as well.

Shailesh Chaturvedi: I would just add to what Ankit said is that , it's such a strong and dominating brand that every retailer in any type of city wants to start the store with U.S. Polo , every department store, when they go to smaller town or regional department store wants to have U.S. Polo. So, brand appeal is very strong and it's less risky to go to a smaller town for U.S. Polo than let's say some other brand. So, USPA will continue to go to more and more number of towns, it continues to increase its square footage through stores , through MBO channel, through department store. So, I assure you that this brand is really revved up and we will continue to expand square footage.

Ankit Kedia: And the last question is on inventory , across each of our subsidiary Company , inventory days have come down which is very heartening. Do you see there is some more juice left or this inventory is now stable and it should be maintained from here on?

Shailesh Chaturvedi: We are committed to stock turn of four, we improved from three turns to now four turns. This quarter also see our inventory days have come down by three days. We are using every possible means to see how we can improve the stock turn. Also, the advantage of lower inventory is that then we can sell more fresh goods and the margins become better, the EBITDA become better, consumer gets a better experience. So, we are really working hard and that's one reason why we open a chain called factory outlet of our own brands called Megamart where we are liquidating a lot of our old inventory faster with better cash realization. So, we are sure that there will be no stone left unturned to sort of liquidate inventory at good margin as fast as possible

Moderator: Ladies and gentle men, that was the last question for today. I w

ould now

like to hand the conference over to Mr. Ankit Arora for closing comments.

Ankit Arora: Thank you everybody for joining us on the call today. If any of your questions have remained unanswered, please feel free to reach out to me separately and I would be happy to answer them offline. Thank you and look forward to your participation again next quarter.

Moderator: On behalf of. Arvind Fashions Limited, that concludes this conference.

Thank you for joining us and you may now disconnect your lines.

Note: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes

no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Nov 2024

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CIN: L52399GJ2016PLC085595

November 5, 2024

To,
BSE Limited
Listing Dept. / Dept. of Corporate Services
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001

Security Code : 542484
Security ID : ARVINDFASN To,
National Stock Exchange of India Ltd .
Listing Dept., Exchange Plaza , 5th Floor
Plot No. C/1, G. Block
Bandra -Kurla Complex
Bandra (E)
Mumbai - 400 051

Symbol : ARVINDFASN

Dear Sir/Madam,

Subject: Earning call Transcript with Analyst s and Investors for the second quarter and half year ended September 30, 2024 .

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please refer below link of transcript of conference call arranged by the company with analysts and investors on Tuesday , October 29 , 2024 for post announcement of Financial R esults for the second quarter and half year ended September 30, 2024 .

On the website of the c ompany:

Path: <https://www.arvindfashions.com/overview/>

Title: Earnings Call Transcript Q2 FY-25

This is for your information and records.

Thanking you,

Yours faithfully,

For Arvind Fashions Limited

Lipi Jha
Company Secretary

Q2 FY20 25 Earnings Call Transcript – Oct 29, 2024

CORPORATE PARTICIPANTS

- Kulin Lalbhai – Vice Chairman & Non -Executive Director
- Shailesh Chaturvedi – Managing Director & CEO
- Girdhar Chitlangia – Chief Financial Officer
- Ankit Arora – Head, Investor Relations and Treasury

Moderator: Ladies and gentlemen, good day, and welcome to Arvind Fashions Limited Q2 FY25 Earnings Conference Call. As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ankit Arora – Head, Investor Relations & Treasury at Arvind Fashions Limited. Thank you, and over to you, sir.

Ankit Arora : Thank you. Hello and welcome everyone and thank you for joining us on Arvind Fashions Limited earnings conference call for the second quarter and half ended Sep 30, 2024. I am joined here today by Kulin Lalbhai, Vice Chairman and Non -Executive Director , Shailesh Chaturvedi, our Managing Director and CEO and Mr. Girdhar Chitlangia, Chief Financial Officer.

Please note that result press release and earnings presentation had been mailed across to you yesterday and these are also available on our website www.arvindfashions.com . I hope you had the opportunity to browse through the highlights of the performance. We'll commence today 's call with Kulin providing his key strategic thoughts on our second quarter's performance. Post that, we will have Shailesh, who will cover the details of business highlights and financial performance. At the end of the management discussion, we will have a Q&A session.

Before we start, I would like to remind you that some of the statements made or discussed on this call today may be forward -looking in nature and must be viewed in conjunction with risks and uncertainties we face. A detailed statement of these risks is available in this quarter's earnings presentation. The company does not undertake to update these forward -looking statements publicly. With that said, I would now turn the call over to Kulin to share his views. Thank you and over to you Kulin .

Kulin Lalbhai : Thank you, Ankit. A very good

afternoon to you all. Thank you for joining us for the Q2 results. We are pleased to share that AFL delivered its highest ever sales and EBITDA despite the demand environment remaining muted. Our sales grew by 8.5%, led by a healthy 4.6% LTL in our retail channel and around 2 0% growth in the online channel. This led to an 18% growth in EBITDA to INR 170 crores and delivered more than 110 basis points margin expansion. We continue to stay focused on profitable growth, which is helping us deliver on our balance sheet and cash flow metrics, with overall gross working capital continuing to stay stable and inventory turns improving to more than 4x.

One of the key highlights for us over the past few quarters has been the investment into our growth levers and re -energizing all our brands through marquee advertising campaigns. We invested significantly behind most of our brands during the quarter, and this led to new customer acquisition and market share gains. While the wholesale channel witnessed tepid growth, the online channel bounced back with strong growth, and our pivot towards the B2C model is showing good results.

With the ongoing festival season and a strong wedding calendar in H2, we remain hopeful that the growth momentum will continue. We will continue to stay focused on our mantra of profitable growth, resulting in further improvement in return on capital employed.

I would like to now hand it over to Shailesh Chaturvedi to take us through the specifics and more details about our financial performance.

Shailesh Chaturvedi : Thanks, Kulin. I take this opportunity to wish everyone on this call very Happy Dhanteras and a very Happy Diwali. AFL delivered 8.5% growth in revenue and 19% growth in EBITDA , Q2FY25 saw the highest ever quarterly sales, the highest ever quarterly EBITDA and the highest ever operating PAT for AFL. NSV in Q2 was INR1,273 crores backed by accelerating store expansion and healthy retail like -to-like growth of 4.6%. Direct channels, including retail as well as online B2C reported robust double -digit growth .

Q2 saw execution of heightened brand plans with first-of-its-kind collaboration collections with celebs like Orry and His Highness Pacho of Jaipur royal family. As part of our premiumization drive, U.S. Polo Association has engaged with His Highness Pacho for a global tie-up for promotion of game of polo globally and creation of a premium collab line here, which has received tremendous consumer response with its unique insights collected from history of Jaipur royal family.

While this collab on U.S. Polo Association was about nuances of heritage, the other big collab collection with social media sensation Orry was done for Flying Machine to further strengthen its appeal with Gen Z consumers, highlighting the new product direction inspired by Korean and Japanese oversized baggy outfits.

Presence of Orry in key markets of Delhi and Bangalore in peak season fully supported brand visibility and Flying Machine got higher media visibility in support of its new Gen Z model avatar. Both the collab campaigns received tremendous media coverage and helped us register fantastic like-for-like growth.

U.S. Polo Association has seen strong momentum with further strengthening of business on its website, continued rollout of iconic stores, resulting in double-digit growth in both revenue and EBITDA, and with very healthy double-digit like-for-like growth in Q2, a case of strong brands becoming stronger.

Flying Machine has also grown handsomely in online space and has further increased its distribution with MBO channel partners. Arrow also saw improved profitability in Q2, backed by visibility through a unique marketing event for its super premium 1851 collection in partnership with GQ publication that showcased brand ambassador, Hrithik Roshan walking down the ramp in a prestigious mega event in Mumbai.

Tommy Hilfig

er and Calvin Klein have again delivered sterling performances on like-to-like retail growth, overall revenue growth as well as on profitability. Overall, Q2 saw a strong momentum in our brands, showcasing immense strength of our powerful casual brand portfolio poised for higher-than-industry performance.

The quarter had started with good end-of-season sale in July and August, supported by the fact that we had delayed EOSS sales in June to June end because of good sell-through. September business continued its growth momentum because of early festival calendar as well as with the positive influence of various marketing investments, resulting in healthy 4.6% like-to-like growth in retail channel in Q2 despite overall muted market sentiments.

The quarterly growth of 8.5% benefited from higher investment in advertising, launch of unique collab collection and a healthy square foot expansion and higher revenue growth in direct channels with improved channel margin. We increased advertising spend in Q2 by 50 basis points to support our premiumization and innovation drive in order to fuel growth.

Despite this 50 basis point increase in advertising, our EBITDA grew by 19% with improvement in profitability by more than 110 basis points.

At end of H1 FY25, AFL revenue growth stood at 9.2% and EBITDA growth at 19% with 100 basis points margin expansion. These innovations and higher advertising spend ensure that our growth drivers were on track. We increased retail square foot by 81,000 square feet in H1 with the addition of 56 new stores.

The adjacent categories continue to grow faster with encouraging doubling of business in U.S. Polo women's wear on a small base with continued growth in kids' wear, footwear and innerwear. Premiumization drive and renovation of stores also contributed significantly to growth efforts.

Digital business has grown around 20% with fantastic growth of 40% in online B2C direct channel with improved channel margins. The growth in wholesale channels was lower because of muted market conditions but mainly due to continuous pruning down of long tail, low-margin distribution points in wholesale network. The resultant efficiencies are seen in the rapid growth of EBITDA.

Our journey on improvement in GP continues. There was a COGS efficiency in Q2 of nearly 50 basis points, but it was offset by changes in channel mix, for example, higher revenue mix of online business in Q2, resulting in

stable GP at 50.4%. But with higher channel margins and overall cost efficiencies on supply chain, manpower cost, there was a healthy growth in EBITDA by 19%, more than 110 basis points increase despite higher marketing spend of nearly 50 basis points.

We continue to keep tight control on balance sheet items. Inventory levels have remained almost INR 100 crores lower than H1, and yet the business has grown at 9.2%, indicating faster rotation of inventory.

Stock turns have stayed healthy at more than 4 turns. While inventory went down by 4 days, the receivables went up slightly due to the fact that Q2 was a billing quarter for festival season. But overall, GWC stayed stable at around 140 days, NWC stable at 60 days, resulting in healthy reduction in borrowing and movement of ROCE towards 20% mark.

Diwali business has picked up compared to last year where it was impacted by the World Cup Cricket. And now we are seeing good, healthy like-to-like growth. We will clearly wait and watch for the remaining 2 months ahead of Q3 with large business expected from wedding and winter seasons. We remain very committed to decisive focus on energizing our strong brands and through their profitable growth journey, thereby delivering improved ROCE. We remain optimistic that our consumers will continue to vote in favour of our market-leading brands in the second half of the financial year.

Ankit Arora: Thanks, Shailesh. We can open it now for the ques

tion -and-answer session.

Moderator: Thank you. The first question is from the line of Priyank Chheda from Vallum Capital. Please go ahead.

Priyank Chheda: Congratulations for great performance. Just a clarification on the Tommy CK, when Shailesh mentioned that it had witnessed a strong LFL growth.

While if I had to just compare on the P&L non-controlling interest profit, which suggests that Tommy CK would have not grown in strong double digits or single digits even if the profits on the non-controlling interest is flat. So just help me with this, how the brand has actually performed.

Shailesh Chaturvedi: As I said earlier in the call, we saw another sterling performance in this quarter from the PVH brands, Tommy Hilfiger, CK on all the fronts. The minority interest that you are referring to in the P&L, we also include another brand of our Flying Machine.

And this is a year of investment in Flying Machine. And we have increased our advertising spend significantly with this Orry initiative, and that's what you are reading in terms of the minority interest.

Priyank Chheda: Got it. Very clear. And on the wholesale business, while in whole of FY24, it was kind of a flat performance that we saw. And now you did mention that you have reduced a tail in the MBO channel.

So just help us, how should we see this when it comes to the full year performance? And I also reckon that there is FM and Arrow, which is undergoing correction in this. So how should we look at wholesale business for the full year?

Shailesh Chaturvedi: See, Priyank, let me put it into two parts. One is the growth in other channels and also then the wholesale part. Our emphasis is on direct channels, and if you look at retail, has grown double digit, and the channel margin has grown even at a higher pace. If you look at online, the growth is close to 20%, and B2C has grown close to 40%. And the channel margins have also improved there. So our emphasis has been on direct channel. And wholesale channels have not grown in comparison to the direct channel because our emphasis is to push the channel where we directly control the experience with the consumer. And we do all the assortment and marketing and pricing, everything. Now this quarter, the online business has also grown faster than normal because the tower event last year in online world was in early October, but it happened in September. So we got a little higher growth than normal while the business is growing really well, but we got even further growth in online business because of the preponement of the tower event. Now if you look at this growth in direct channel, the wholesale revenue as a percentage looks lower. It's business has been flat. The markets have been muted, and we all know that. And parallelly, we will continuously looking at our mantra of profitable growth.

And we've been pruning loss-making, tail doors in all channels, including in wholesale channel, especially in department store. And we've done cutting

down of the tail, especially in department store. And the benefit of that in terms of saving on stock, increased stock turn, lower manpower cost, that's flowing into our channel margin and is showing in terms of higher EBITDA. So I can talk there. While department store, we have pruned down, and the growth had been less, but our growth in channel margin on department store has been very, very healthy. So we are going for the profitable growth. And I think the trend should continue in the short term. The impact of the tower event may not happen going forward. But overall, our direct channels will continue to grow faster than the wholesale channel. Priyank Chheda: Perfect. That's clear. And just last question. So, Shailesh, overall, we were looking out for a retail square feet addition of 15%. Now when for the first half the like -to-like growth and the market demand has been subdued. In such

subdued scenario, do we alter any plans with respect to our square feet addition and focusing more on the kind of online B2B, B2C? Any changes in the overall plan that you were thinking earlier?

Shailesh Chaturvedi: No. See, if I step back and look at our all growth drivers, we have put a lot more energy in build up of the growth, including in the square foot expansion. We put more feet on the ground. Our format for store expansions are ready. Our innovation on formats like Club A, Stride, large store, U.S. Polo, iconic stores are all ready.

So actually, we are further investing. And we're putting more fuel in our growth engine, be it like -to-like growth. We've done 4.6% in very tough market conditions because of all our marketing efforts. And the collection and the rigor on retail is helping us there. We are seeing accelerated square foot expansion, Priyank. So we will only add more square foot -- even if you look at this year, first half, we opened net addition of 81,000 square feet. And we are committed to this 15% CAGR every year on square foot expansion.

And this will only accelerate because we have put a lot more fuel. We have a lot more people, lot more structure, lot more processes at the back end to be able to grow the square foot expansion faster. So there's no change, Priyank. In fact, we remain very, very strong behind square foot expansion, behind like -to-like growth, behind growth of our adjacent category, premiumization, renovation, growth of digital channel, which has done so well in this quarter.

So Priyank, we are committed to the growth drivers that we've been guiding, and we'll continue to put more fuel behind that. There's no change.

Moderator: Thank you. Our next question is from the line of Palash Kawale from Nuvama Wealth. Please go ahead.

Palash Kawale: Congratulations team on the good set of results. So my first question would be, again, on distribution channels. So could you just explain in detail the seasonality in this channel for Arvind Fashions?

Shailesh Chaturvedi: We have a business which is very, very seasonal. And if you look at our mix, if you look at retail, in the first half, the contribution of retail has been close to 40% -41%. If I look at wholesale channel, this is around 30%, and online has been slightly above 25%.

So if I look at our half-yearly contribution and the direct channel, which is the online B2C, and the retail are growing faster because that's where we are putting a lot more energy. And we see a rationale behind that because we get to influence the consumer decision much more tightly in that. And that's a long-term strategy, also the margin profile, ROCE profile because everything is about ROCE, which is our north star. So that's a broad answer. Now if I break down the business into quarter-to-quarter, we have 2 seasons, spring/summer and fall holiday. Now each of the season and the first part of the season gets a little higher wholesale billing because we supply goods to the market during the Feb, March, April month. You'll see a lot more wholesale billing, whether it's to the department store channel or to the MBO channel or to the B2B online.

And in the second half of the season, so which will be in spring/summer, it will be more like April, May, June, you'll see more retail contribution and more B2C online contribution. So the first in a way, if you really see Jan, March quarter tends to be a little more wholesale quarter. And then same way the July, August, September also sees a little more wholesale billing whereas the April, June quarter and the October, December quarter tends

to be more retail -driven. That's the seasonality and business, Palash.
Palash Kawale: And sir, I happened to visit one of the MBOs where Flying Machine products were selling and could find the change in offerings. And the products I found were very trendy and eye -catching, so kudos to the team.

So what kind of improvement have you seen in the demand or brand metrics if you could shed some light on that?

Shailesh Chaturvedi: Thanks, Palash, for visiting our store and spending time on seeing all the hard work that Flying Machine and team has done on improving its appeal to a more sort of a Gen Z, oversized, Japanese, Korean -inspired brand. We've done a lot of work from the change of logo to change of brand appeal to the focus on consumer, which are most Gen Z plus millennial. And it's taken us time, but now we are seeing the green shoots, Palash, on that.

And if I look at the channels which reflects that improvement immediately are the channel like online, there's a lot of young Gen Zs. The first channel tends to be online and also in MBO, because MBO channel has an entrepreneur take so it's faster. And in a very competitive environment, you see where the brand is doing well. And in both the channels, online as well as in MBO channel, we have seen really good improvement in Flying Machine.

I can say that in the last 6 months. So if I talk about quarter 1 and quarter 2 of this financial year, the online growth in FM has been more than 50%. Now, this is an important channel, which we believe will be 30% of our revenue in Flying Machine. And this whole oversized tees with prints and what the Orry collection has seen, the T-shirts that we sell, we sell a lot more on online. So we're seeing good traction. The channel margins also have improved for Flying Machine there.

Also, MBO with this new appeal, there is a gap in the market, there are not too many brands like this in the offline world. B2C, yes, there are some brands, but the traditional brands don't have this kind of appeal. And I think the channel is realizing, MBO channels, that they need brand like that. And FM can take a market -leading position in that. So the MBOs also, we've been able to grow the counters with Flying Machine.

I must caution here that it's very early days. There's still a lot of investments required behind refurbishing shop -in-shop, new visual merchandising standard, re -doing the EBO. So we are very early stage of the journey, but if I look back, we are very pleased with the progress that Flying Machine has made recently and the green shoots that we are seeing and what you saw at the counter. And we believe in it, and we'll continue to invest behind our own brand Flying Machine going forward.

Moderator: Thank you. The next question is from the line of Tejas Shah from Avendus Spark Institutional Equities. Please go ahead.

Tejas Shah: Congrats on a good set of numbers in difficult times. Just wanted to know, you just made a statement that we are going B2C to control the better experience, customers' brand experience. Just wanted to know, is this referring to wholesale which is actually into department stores, which are national chain, or we are referring to a small mom -and-pop stores wholesale business here?

Shailesh Chaturvedi: See, Tejas, when we use the word direct channel, these are the channels where we directly interact with the end consumer. So basically, 2 channels are predominantly B2C or direct channel in our system. One is the retail, our EBOs, whether it's our own COCO store or in our case, largely franchisee -run store where we directly interact with the consumers on a day-to-day basis. We see the white of the eye of the consumer on a daily basis.

So the EBO is the one channel, which is around 41% of our revenue mix. And second is the online B2C, where there are two methods here. One is we sell it to, let's say, a Myntra, and then Myntra on its own sells to the consumers at its own pricing and its own cataloguing. That's a wholesale model of online.

But what we are referring here is a direct model where - what is also known as a marketplace model, which is seen in like T -Mall in China, etc., where we keep the assortment of inventory, we decide

what should be the assortment, we decide the pricing, we decide the discounting, we do the

cataloguing and we do all the marketing, performance marketing and key marketing efforts to influence the consumer. So we typically are talking about retail channel, EBOs and we are talking about online B2C or this marketplace model.

Tejas Shah: Got it. Very clear. And just a follow-up. So out of the three objectives here, the way I understand one is the brand positioning or the brand halo or experience followed by more full price sale. And third is obviously the better ability to forecast demand or the trends are based on your direct exposure to customers. Which of these three problem statements or there are more, which we are actually able to solve better by going direct?

Shailesh Chaturvedi: See, there are two big issues or problem that we are solving or driving.

One is the inventory, which is very important and the sell-through of inventory. Second is the ROCE, because ROCE is our north star. We want to do everything to maximize our ROCE in this company and cash generation.

So as far as inventory is concerned that we believe that we have all the scientific tools. We have better knowledge of fashion trends globally. And we have all the analytical abilities in the company to decide what assortment to prepare. And probably, hopefully, we do a better job than our channel partner will be able to do.

So we believe that in direct channels where we take control of the inventory, we are able to drive the sell-throughs better. Or in a retail language, you try to say sales per square foot or in online equivalent of that, for every visit of the consumer or click, how much more can we sell. So once we take charge of the inventory and the assortment, we believe that's a better outcome for us. And we want to push the full price sell-through aggressively and through more scientific tools available to the company. That's one aspect of going direct.

Second part also is the ROCE part. So what happens in a direct model. We have seen the movement of stock is faster. So our stock turns are higher. Also the cash generation is better. So in retail, for example, we send the goods on SOR. And every day, whatever is sold is next day transferred to our bank. So our cash conversion cycle is much faster in the direct model. Same thing in the online, also the cash conversion cycle is much faster. So we get better ROCE because our efficiency on stock is better, and also our cash conversion is much faster. So that's why we're going direct, and also we get the consumer database. We have a pulse of what consumer is expecting, what you used the word shopping experience. So that's true. And then inventory sell-through, stock turns and also the cash conversion all leading to better ROCE in this channel, that is the mantra.

Tejas Shah: Thanks for very detailed answer. And last one, if I may. You spoke about 15% of footprint expansion. What is the nature of this? Will you be adding new territories or going deeper in markets? Or the store size, because you are adding subcategories also in existing brands. So, will it be expansion in store sizes? Or will you be adding more locations in new markets?

Shailesh Chaturvedi: See, this 15% figure is an ambitious target. And then we take a target like that where we'll have to talk about in a close to 1.5 lakh square foot every year. It's very aggressive, and it will require all efforts. It's not just one effort. So couple of things will happen that with premiumization efforts and addition of adjacent category, we need bigger space like, for example, U.S. Polo. The adjacent categories are 30% of the business, whereas company level, we are at 20%. So U.S. Polo needs more square foot, and we've opened almost 10, these marquee stores in all the key high streets of India from Banjara Hill to Jayanagar, Bangalore to Indiranagar, Bangalore to Goa to J

odhpur. We are opening these large 4,000 square foot building ground plus 2, where women's wear is there, kids' wear is there, innerwear is there, footwear is there. So that's one large format.

And that's true for Arrow also, because Arrow has adjacent category going up, Flying Machine. I mean, all our brands, whether Tommy Hilfiger, Calvin Klein, we are adding bigger stores. So that's one part of it. Second is that if you look at our square foot, we are at close to 1.15 million square foot.

And we believe we should be, in the near term, should be closer to 2 million. And there are competitors who are at that level. And we see opportunity to expand rapidly because in some sense, we are slightly subscale and there is opportunity to increase the distribution in many key high streets and malls for all our brands, especially for Arrow and Flying

Machine. We see opportunity without taking too much of risk to expand square footage.

Also, we are seeing a lot of energy in the suburb of the big metros. So it's not just a Tier 3, Tier 4 expansion. We are seeing that in our Bangalore city, the population now going beyond 1.5 crores and tomorrow, to 2 crores or the same thing for Hyderabad, same thing for Chennai, where the metros are becoming mega metros. And we see opportunity to open 15 -20 stores in all these big cities where consumption patterns are more - there's no risk.

And also, the smaller tier, we will expand. And we'll expand with the short, short brands like U.S. Polo. So we see opportunity in small tier, very large opportunity in the suburbs of the big cities, the satellite towns of the big cities. We see scope to expand adjacent categories to larger store.

And also we have format renovation or format innovation. So we did outlet format, which is a 4,000 square feet. We opened 'Club A', which is a full price, very premium. We opened one store in Surat recently in addition to the Bangalore so that we already had. We have an accessory, footwear, handbag concept called 'Stride' that we are expanding. So there are a lot of new innovative formats that we'll also get to expand.

And one unique thing is that given the entrepreneur energy in India, we are getting a lot of franchisee interest. So most of these are very asset-light FOFO model expansion. And the partners also bring a lot of value add in terms of negotiation or relationship with the landlord, etc. So most of our expansion is in FOFO model. So we are expanding in all directions, and we believe that we could add a lot many square foot from the current 1.15 million square feet that we have today.

Moderator: Thank you very much. The next question is from the line of Aniket Shah from RK Advisory. Please go ahead.

Aniket Shah: Congratulations on great set of numbers. So sir, my first question is regarding the FOFO route. Just now also, you have told that we are opening these stores through the FOFO route. If I'm not mistaken, in the last quarter, we guided that we will be shifting to the COCO model. So I just need to understand why we are going through FOFO route again, if you can throw some light on that?

Shailesh Chaturvedi: Mr. Shah, I mean, there's some confusion. But because for many years, we are very focused on FOFO model. Our whole expansion is very asset-light focus. I don't know when you picked up, sir, about this COCO expansion. We don't have COCO expansion plan. Our entire expansion is largely FOFO except one brand, which maybe you would have picked up, that's in Tommy Hilfiger. That's a business which is very high on cash generation, the business is sitting on cash. So one of the way to improve our ROCE and AFL is to deploy that capital while the dividend is paid out regularly, but there is still a lot more money available to take over stores. So in that one particular brand, that one particular business, because we have cash surplus in the bank, so we open now close to 6

0 stores on a

COCO model in Tommy because that the margin there are extremely good, and that really helps the ROCE of the business.

But other than that, that's more of a capital deployment sort of a strategy.

Other than that, our entire emphasis is on the FOFO model, and it has always been like that. I don't know when you picked up something differently from us.

Aniket Shah: Okay, sir. So my next question will be like how we are enhancing our online consumer experience. So just compared to our wholesale outlet, especially like considering our wholesale contribution has been decreased to 33% while online and other mix are increased to 30% in Q2.

Shailesh Chaturvedi: See, one philosophical view is that we want to go where the consumers are. And we want to sort of follow where the consumers are. And a lot of young consumers, Gen Z, millennials, for their life, online is very important, both from the discovery as well as from shopping point of view increasingly.

And we are very committed. We are a market leader in that business. We invested ahead of the time. We have a very large digital team to manage websites, to manage analytics, to manage market players, to manage wholesale business through key partners. We are a leader there.

So we have done multiple things. We have invested aggressively, so more

than INR 1,000 crores business for our company, a profitable business. So we have a large investment done and not now, many, many years back. And we have right from the omni-linkage of our store where the store inventory gets highlighted on the website like, let's say, Amazon or Myntra, and the consumer traffic sees the inventory available in our store. And we sell full price business from the store back to marketplace model, which I alluded to earlier where we manage the inventory, we decide the assortment. And we are really taking bold call on increasing the inventory there, but we have a very good stock turn for that. And we assort the goods right for that. We look at the analytics behind the assortment. We have a lot of analytical tools and the talent to manage the analytics in the company. We do cataloguing. We are available in all the key portal websites of India from Myntra to Amazon to Flipkart to Ajio to all, you name it, and we are a leader in the apparel space. Every possible thing, we have a team to do our website. U.S. Polo, we have our own website, and that business is really growing well. It's getting more and more established. So I mean it's a wholehearted 360-degree investment behind online business, because we believe in that business. And we believe that as consumers go more online, we at AFL should also be with the consumers. Aniket Shah: Okay sir. Thank you. That's all from my side.

Moderator: Thank you very much. The next question is from the line of Dhiraj Mistry from Antique. Please go ahead.

Dhiraj Mistry: Congrats on very good set of numbers. So sir, my first question is regarding capex and the capital allocation. So what kind of capex, so I understand that a large part of Arrow and Flying Machine would be done through FOFO model, but there are some element of COCO expansion as well. So what kind of capex we would be doing over the next 2 to 3 years period? And how do we see that the free cash flow generation post that, the utilization of that, whether we will be doing for the more of debt payment or we would be rewarding shareholders with dividend?

Girdhar Chitlangia: Girdhar here. We have cited in the past that our capex will be in the range of INR 90 crores to INR 100 crores. And as Shailesh mentioned earlier in the call, we always have an asset-light model. So most of our expansion happens through FOFO model. Of course, we have certain maintenance capex, which we have to continue to do towards IT and some MBO assets. As far as your question on the utilization of the surplus funds, I think our first prior

ity will always be to pay down our debt. And then that's the objective over the next couple of years as of now.

Shailesh Chaturvedi: Just to add to what Girdhar said, in terms of deployment of the capital, see, we are a growing company. In first half, we have grown close to 10%. And we use our capital to grow the business. And that's the first principle that whatever capital available, we want to use it for the growth fund.

And second is that after that, we want to pay down the debt. And you've been seeing that debt is coming down and that those 2 strategy of funding the growth and then secondly, paying down the debt, these are the 2 main uses of the funds available.

Dhiraj Mistry: Got it. And sir, when do we expect that our company will become debt-free?

Shailesh Chaturvedi: See, the way the business is generating cash, and we are very confident that in an asset-light model for a certain growth that we have, the capital needs are not that large. So we will obviously be able to fund the growth. And hopefully, we'll have enough money left to draw down our debt levels. And at the current level of the net debt that we have, I think in 2 to 3 years, surely in 3 years, we will sort of see a point where we'll be either 0 debt or a nearly 0 debt company. And our focus is on the current 5 brands. We want to grow those brands to their potential. And then after that growth of these 5 marquee brands, we will pay down the debt. Maybe in 3 years, 2 to 3 years, we should be in that situation.

Dhiraj Mistry: Okay. And second, in terms of our profitability guidance where particularly for 2 brands, Arrow and Flying Machine, where our aspiration was to bring improved profitability of Arrow and, let's say, mid-single-digit profitability for Flying Machine. How are we in that terms in that lane?

Shailesh Chaturvedi: So I'll break down into 2 parts: at the AFL level and then at Arrow and Flying Machine level. So our guidance is that we want to improve our EBITDA margin by 100 basis points every year. We've been doing better

than that, but we still see juice available for us for the next 3 years to grow. We are at a 13.3% EBITDA in the current quarter, and we are in that zone of 13% to 13.5% EBITDA. We should be able to grow by almost like 100 basis points every year, 300 basis points in 3 years.

So that's the guidance at the AFL level. And that guidance is also assuming a higher EBITDA growth in Arrow and Flying Machine, which are at a lower profit trajectory currently. And we believe that those brands would actually increase their EBITDA by 200 basis points and not just by 100 basis points. Now that's the stated objective, and we are very confident, and we are very committed that these two brands will grow, because if you look at our portfolio, Tommy and CK has a certain high profitability. U.S. Polo also is a double digit. And it has very good momentum and if you look at quarter 1 and quarter 2, both quarters, U.S. Polo sales and EBITDA has grown in double digits. So it's got a very good momentum at large scale of INR 2,000 crores, nearly INR 2,000 crores. And we continue to grow very, very rapidly both sales and profitability in the near term.

Then what leaves is the Arrow and Flying Machine. We believe both the brands need some rejig, and we have done that and have explained that in the previous calls, what we're doing with Arrow to make it even more cool. Flying Machine, you've just seen this, Orry initiative, what we are doing. And we're seeing the green shoot of that.

So from the low single-digit EBITDA that we see, we want to see them in the mid-single-digit EBITDA, some part of efficiency, higher growth, better sell-thru's. I think also the scale because both the brands are very subscale in terms of number of stores, in terms of size of the business, where they are between INR 500 crores to INR 700 crores.

And we need to take them to INR 1,000 crores, and we are committed to that journey. Arrow is slightly ahead in that journey from Flying Machine.

And we believe that Arrow will hit INR 1,000 crores sooner and will have a certain EBITDA profile, which is in mid-single digit and hopefully higher than that. And FM will follow that trajectory in scale build up and efficiency build up so that both the brands should grow their EBITDA by at least 200 basis points per year. And we are committed. We are working very hard towards that.

Dhiraj Mistry: Got it. And sir, in terms of brand-wise growth that now U.S. Polo has crossed, INR 2,000 crores, NSV. Also these PVH brands, Tommy and CK - the base is becoming high. Can we expect that they would continue to grow much faster compared to Arrow and Flying Machine? Or the growth would now be largely led by Arrow and Flying Machine going ahead?

Shailesh Chaturvedi: See, I'll break down into 2 parts, one for Tommy, CK and U.S. Polo and second is for the Arrow and Flying Machine. We believe we have a fantastic growth engine. All of them are quite sort of warm and revved up. And there's no reason why Tommy and CK should not grow. I see Tommy becoming INR 1,000 crores plus first international premium brand to reach that mark. It's growing really well in the last 3 years. If you see post-COVID, growth has been fantastic in Tommy Hilfiger and Calvin Klein. So I don't see why they will not grow.

And U.S. Polo has such fantastic momentum right now that the energy is quite palpable in a way. And all the growth engines, whether like to-like growth, square foot expansions, growth of adjacent category, premiumization, renovation and digitalization, all are working for these 3 marquee market-leading brands.

So they should continue to grow at our guidance of 12% to 15%. Markets are clearly muted, but as the market improves and as the like-to-like improves a little more, I think all these 3 brands which are market leaders will continue to grow. Probably sometimes we've seen in our career that the stronger brands grow faster actually at times, so they benefit.

Market shares are not that high in India for the big brands, so it's very fragmented industry. And there's no reason why these 3 brands can't grow at the guidance that we have given in 12% to 15% as the market improves. That's the part about Tommy Hilfiger, Calvin Klein and U.S. Polo.

Coming to Arrow and Flying Machine, we believe there are subscale, and there are opportunities to open more stores. Some of the competitors have higher number of stores. And they should grow faster than the other 3 brands that I mentioned. So while the other 3 brands will also grow in

double digit as the market improves, but the Arrow and Flying Machine will grow faster.

And it's very important to grow at a faster pace to reach the profitability metrics that we're looking at. And the scale leverage will also be important to make these brands adequately profitable. So I see all brands will have a growth path. But Arrow and Flying Machine should grow faster.

Moderator: Thank you. The next question is from the line of Devanshu Bansal from Emkay Global. Please go ahead.

Devanshu Bansal: Congratulations on a very good quarter. Sir, I wanted to understand. You've delivered about 4.5% retail LTL in Q2. So just we are hearing various commentary across players where they're indicating September was really good; July, August were bad. So if you could just talk about the performance for you across the months in Q2? And also, if you could highlight the festive trends in Q3 so far.

Shailesh Chaturvedi: So if you really see my commentary, I mentioned that we started July, August with growth in the EOSS. See, what happened if you look at spring, summer, our sell-thru was better despite markets being very soft. So we delayed the EOSS to end June. So all the entire energy of EOSS, we got in July.

So we got good growth i

n July and early August because the EOSS business was good, and we grew quite well in like-to-like in those months. After that, we've seen growth in September because the season preponed this time and the Diwali date is earlier. Also the online tower events were earlier, so a lot of consumers were looking at shopping. Shopping was in their mind.

And I also see that our rigor on retail, the way we have launched the new season, the quality of visual merchandising, very scientific assortment of our merchandise, you know that we've been working very, very hard to improve our retail shopping experience, both online and offline. And that's really helping us to grow like-to-like growth.

And as the season came in for the Puj o business in East India, we did good numbers. And then the Diwali numbers have started. So we had a good 4.6% like-to-like growth. Also, like I said in my opening commentary that we have spent a lot of money on this marquee, marketing events with Maharaja Pacho of Jaipur for U.S. Polo Association, with Hrithik Roshan on Arrow and on Orry with Flying Machine. So that also is keeping our brands very salient and we've also increased our advertising spend in this quarter by 50 basis points. So all that is really helping to grow the business at 4.6%, very close to our guidance of around 5%. So, we've done a lot of things and I'm quite pleased with the quality of execution of our team, and that's why we are at 4.6% like-to-like.

Devanshu Bansal: Very encouraging, sir. Sir, any qualitative comments on Puj o, etc.? Are the trends better versus what we have delivered?

Shailesh Chaturvedi: Puj o was good. Also Diwali business has picked up. We are seeing good, healthy like-to-like growth. But still, I would say, Devanshu, that it's still early days in the quarter. We have really 2 big months ahead. And we have festival calendar, we have winter season. So let's wait and watch. The current festive demand has been good. But let's wait and watch and see how the remaining 60-plus days pan out of this quarter.

Devanshu Bansal: Understood, sir. Last question. Sir, you have mentioned about improvement in channel margins, right, across all channels. So if you could just help me put across retail, online and wholesale, what are the key initiatives that we have taken to sort of help us drive margin gains across channels?

Shailesh Chaturvedi: See, first of all, there is a good channel margin improvement across the channels, across the brand. So a large part of our 110 basis improvement in EBITDA, it comes from higher channel margin.

That's also you'll see at the back of our COGS improved by 50 basis points. So that's helping the channel margin. Also, there is a growth, when you have a 4.6% like-to-like, it gives you better efficiency on your sellex of the store, etc. So that's also helping, because we have a good growth, we have a good like-to-like growth, and we have almost 50 basis points of improvement. And that's sort of flowing into higher channel margin.

Coming to specific to the channel expenses, we've seen improvement in manpower cost in some channel like department store where we pruned

down the tail. So the inefficiency has come down there. We also looked at a lot of supply chain cost improvement. We looked at margin structure with some of the partners. So we have done many things in this quarter to chase that efficiency in expenses in the cost control, and that's really working well. And that's also flowing into channel margin.

Devanshu Bansal: Understood. Lastly, sir, this EOSS, which majorly for this year, it was in Q2. Last year also, was it in Q2? Or that was distributed between Q1 and Q2 both?

Shailesh Chaturvedi: See, if I look at June to June, this June, we had fewer EOSS days than we had in the June'23. We had got more EOSS business in July this year compared to we had seen in July '23.

Devanshu Bansal: So this margin i

mprovement is despite higher EOSS business in this quarter, right?

Shailesh Chaturvedi: Yes, the impact of the EOSS is typically in the discounting. But our sell-through's are good, so we've been very tight. So we made sure that our discounting is under check, and it didn't have a material impact on our GP. So a lot of the cost efficiency has gone down into EBITDA improvement.

Moderator: Thank you. The next question is from the line of Rajiv Bharati from Nuvama Wealth. Please go ahead.

Rajiv Bharati: Sir, since your retail business has gone up Y-o-Y, you mentioned that on the online side also B2C has gone up. I wonder why the gross margin has not increased. And because what we are hearing from some of the competitors are that they have seen gross margin improvement on a Y-o-Y basis.

Shailesh Chaturvedi: Rajiv, if I look at GP as two parts, one is the channel mix impact. Every quarter, you see based on the channel mix, the GP moves from close to 50% to close to 55% based on the channel mix and other is the efficiency. That's what you do on your COGS or on your discounting or on your channel mix.

So if I talk about first efficiency, even in this quarter, while the number looks flat at 50.4%, there is an improvement. I mentioned just now that our discounting is under check. And also there is almost 50 basis point increase in COGS, which actually should deliver a higher COGS fundamentally at the operating level by 50-60 basis points. But we have seen a channel mix change here because, for example, online B2B, that business, overall online business has grown faster than the other channel. And typically, that business has a lower GP. While it has very good channel margin and it has very good EBITDA, but at a GP to GP level, that business tends to have a lower GP. So that share has gone up in this quarter.

So, because of that, the GP, there's a compensatory factor there, the channel mix because of certain channels with lower GP growing faster have compensated or taken away the gain that we saw from discount controls and for 50-odd basis point improvement in the COGS, that efficiency.

But all that has flown into the channel margin, Rajiv. So if you really look at this whole 110 basis point improvement in EBITDA, it's also flowing from COGS efficiency, discount control. And you can look at channel mix in one way, but all the channels have improved their margin in this quarter, and all that is going into the EBITDA. I think you should look at improvement in channel margin, improvement in EBITDA and the COGS improvement, just that there is a compensatory factor of channel mix.

Rajiv Bharati: Sure. The other part is this 81,000 square foot addition on a net basis. In terms of store count, what is that?

Shailesh Chaturvedi: See, today, at the end of H1, we have 954 store count. And we opened 27 new stores in this quarter. And in our business, Rajiv, we are focusing a lot more on square foot expansion because we are cutting down stores which are small, less profitable, less relevant in the modern time. So our closure tends to be a high number because we're cutting down a lot of these small stores, which are losing relevance. But we are opening a lot of large new stores, which net-net, we add a lot of square footage.

So in Q2, also our net square foot addition is 36,000 square foot and total for H1 is 81,000. I mean it's more than what we had opened in the whole of last year, and we opened that much square foot in the first half. And like I said earlier in the call, we have put a lot of muscle for store expansion, what is known in the industry as BD, business development. And we have more number of people, our formats are ready.

So that engine is now accelerating, and we expect that this accelerated

square foot expansion will continue in the times to come. And we are committed to a 15% CAGR, which will be more like close to 1.5 lakhs square foot.

Store, if I take the same number of stores to be 150, but the store count can be less or more, but it's the square foot expansion will be close to 1.5 lakh square foot. We already opened 81,000 square feet in the first half of the year. And the rate and the pace is still accelerating.

Rajiv Bharati: So I hear you and very heartening to see. Just that what was that 27, because it's a gross number, and it's 57 is the gross number for H1? What is the net number because I somehow feel that your incremental stores are, what, 3,000 -plus square feet now versus like 1,100 historically?

Shailesh Chaturvedi: I think the number, Rajiv, that I want to say is that the 36,000 square foot is the net addition in Q2, and 81,000 square foot is the net addition in H1.

Ankit Arora: And Rajiv, what you just said, you are absolutely right. So what Shailesh also mentioned is we are closing down smaller -sized stores and opening slightly larger -sized stores. And of course, in H1, as Shailesh spoke about in his commentary and answer to one of the participants, that we are opening large marquee stores of U.S. Polo like s of Banjara Hills or Jayanagar, Indiranagar, Goa, Jodhpur. All of that are significantly marquee ground plus 2 buildings with full presence of U.S. Polo, all the categories. So that's also having an impact on this 81,000 is how one should read this data.

Shailesh Chaturvedi: And I must also say that 2% to 3% of our distribution, we always close on a regular basis because some part of our distribution becomes less relevant or new mall takes away from old mall, some high street lose to another mall. So it's a very dynamic situation.

So I think the main factor is how much net square foot we've added. And we've added 81,000 square foot in H1, and we are accelerating that square foot addition. And we should hit close to our target of 1.5 lakhs square foot in this year.

Rajiv Bharati: Sure, sir. So one last bit. With regard to the first question, which was asked.

So the tax number which you have in your, let's say, the consol number for 6 months. From the last couple of years, the tax is largely attributed to PVH, right? And if I see, let's say, total tax of 6 months this year versus last year, it's grown by 4%.

Now this is growing under, let's say, the 9% growth for the entire company in the first half. So PVH portfolio, because you mentioned that it is growing, let's say, at par with or probably better than the company level average, this 4% growth on the tax element looks lower. I mean the other participant asked on the minority interest end. Can you comment on that?

Ankit Arora: Sure, Rajiv, Ankit here. So a couple of clarifications. One is H1 to H1, when you are comparing, you just need to look at it because we received dividend from the subsidiary in the last 2 years, which is FY24 and now FY25. So there is a component of business income coming from that, and that's also impacting the tax out go.

Having said that, PVH subsidiary, of course, continues to outperform well for tax. All of that largely is coming on account of it. And then on the other side of it, we are having, of course, the brought-forward losses on which we are getting a tax shelter. And as and when we'll continue to kind of generate profit and which is what we are now doing and accelerating that pace, you will see our overall from a cash flow standpoint, the tax outflow will be marginal on that account, except the non-PVH subsidiary part of the business.

Rajiv Bharati: No, Ankit, that's fine. But the absolute tax element, the dividend was 49 last year, 50 this year. So that incremental number has not changed. So the total is basically in the same ballpark. The tax element should be negative. I mean, I'll take it offline, but that 4% number is it's too off from the aggregate number.

Ankit Arora: Sure. We can connect offline, and I can explain the mathematics on that. No problem.

m. Thank you.

Moderator: Thank you very much. As there are no further questions, I would now like to hand the conference over to Mr. Ankit Arora for closing comments.

Ankit Arora: Thank you, everybody, for joining us on the call today. If any of you have any further questions, please feel free to reach out to me, and I would be

happy to answer them offline. Wishing all of you a very Happy Diwali and prosperous year ahead. Thank you s o much.

Moderator: Thank you so much. On behalf of Arvind Fashions Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Note: This is a transcription and may contain transcription errors. The transcrip t has been edited for clarity. The Company takes

no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Feb 2025

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February 12, 2025

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Dear Sir/Madam,

Subject: Earning s call Transcript with Analyst s and Investors for the third quarter and nine months ended December 31, 2024 .

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please refer below link of transcript of conference call arranged by the company with analysts and investors on Thursday , February 6 , 2025 for post announcement of Un-audited Financial Results for the third quarter and nine months ended December 31, 2024 .

On the website of the c ompany:

Path: <https://www.arvindfashions.com/overview/>

Title: Earnings Call Transcript Q3 FY-25

This is for your information and records.

Thanking you,

Yours faithfully,

For Arvind Fashions Limited

Lipi Jha
Company Secretary

Q3 FY20 25 Earnings Call Transcript – Feb 6, 2025

CORPORATE PARTICIPANTS

- Kulin Lalbhai – Vice Chairman & Non -Executive Director
- Shailesh Chaturvedi – Managing Director & CEO
- Girdhar Chitlangia – Chief Financial Officer
- Ankit Arora – Head, Investor Relations and Treasury

Moderator: Ladies and gentlemen, good day, and welcome to Arvind Fashions Limited Q3 FY25 Earnings Conference Call. As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ankit Arora – Head, Investor Relations & Treasury at Arvind Fashions Limited. Thank you, and over to you, sir.

Ankit Arora : Thank you Rutuja . Hello and welcome everyone and thank you for joining us on Arvind Fashions Limited earnings conference call for the third quarter and nine months ended Dec 31, 202 4. I am joined here today by Kulin Lalbhai, Vice Chairman and Non -Executive Director , Shailesh Chaturvedi, our Managing Director and CEO and Mr. Girdhar Chitlangia, Chief Financial Officer.

Please note that result press release and earnings presentation had been mailed across to you yesterday and these are also available on our website www.arvindfashions.com . I hope you had the opportunity to browse through the highlights of the performance. We'll commence today 's call with Kulin providing his key strategic thoughts on our third quarter's performance. Post that, we will have Shailesh, who will cover the details of business highlights and financial performance. At the end of the management discussion, we will have a Q&A session.

Before we start, I would like to remind you that some of the statements made or discussed on this call today may be forward -looking in nature and must be viewed in conjunction with risks and uncertainties we face. A detailed statement of these risks is available in this quarter's earnings presentation. The company does not undertake to update these forward - looking statements publicly. With that said, I would now turn the call over to Kulin to share his views. Thank you and over to you Kulin .

Kulin Lalbhai : Thanks

, Ankit. A very good afternoon to you all. Thank you for joining us for the Q3 results. AFL delivered yet another quarter of strong performance in muted market conditions. Our sales grew by around 7%, led by strong like - to-like growth of 11%, helping us deliver our highest -ever EBITDA of INR 174 crores with an improvement of more than 110 basis points in margin terms and thus aiding a 71% growth in our PAT. Our bottom line has more than doubled in the YTD period.

Our focused interventions like higher advertising, increased square foot expansion, superior customer experience, and product innovation, coupled with celebrity collab collections have led to an acceleration of our retail channel growth every quarter this year. We had around 15% growth in the retail channel in quarter three. This is a clear reflection of our brand strength with our consumers, which has helped us gain market share in the industry.

We continue to maintain tight control over the balance sheet KPIs with our gross working capital days remaining stable. As a result of this, another highlight this quarter is a strong improvement in our return on capital employed, which has now crossed 19%, a significant shift in the last two years. This gives us confidence to now take it beyond 20% in the medium term, a target which we had set for us last year.

Moving ahead with our Season '25 launch, we remain optimistic of growth momentum compared to the quarter three levels while continuing to stay committed to our mantra of profitable growth.

I would like to now hand it over to Shailesh to take us through the specifics and more details about our financial performance.

Shailesh Chaturvedi: Thank you, Kulin. Good afternoon, Girdhar, Ankit, and everyone on this call. With NSV of INR 1,203 crores and EBITDA of INR 174 crores in Q3, AFL has registered revenue of INR 3,431 crores in nine months of FY 25, indicating a growth of 8.5% in this year. With EBITDA value of INR 467

crores YTD, the EBITDA growth in this year is nearly 18%. The revenue growth in Q3 is 7% and EBITDA growth in Q3 is 16%.

Q3 started with Diwali business and above -average Diwali, which was followed by a very good trading in both the wedding season and in winter season. There was bunching of wedding towards winter, and we saw good trading. With the early setting of winter by 10 to 12 days this year, we saw higher full -price business of winter wear in November and December. We resisted the temptation of participating in early EOSS with industry and with overall controls and better market conditions and better execution, our discounting reduced by 1%. With lower discounting and richer channel mix in favor of direct channels, retail and online B2C, Q3 GP went up by 160 basis points to 55%.

The GP number for YTD is 53.3%, an increase of 80 basis points. With improvement in GP flowing into EBITDA, backed by tight expense control, but higher marketing investment, the EBITDA in Q3 grew by more than 110 basis points and reached 14.5% of NSV in Q3. This quarterly EBITDA of INR 174 crores is the highest -ever quarterly EBITDA for AFL.

Double -digit like -to-like retail growth in Q3 at 11% is a key highlight of this quarter and is a reflection of the strength of our brand portfolio. This double -digit like -to-like growth is spread across brands, and it is really heartening to note that all five brands have been re -energized even in these muted market conditions and have delivered healthy performance . While we have continued to execute our retail promise with a better quality shopping experience through knowledge transfer from international standards, I want to focus on marketing investments. In this year, we have continued to up the marketing to have a sharper visibility for our brand s under muted market conditions.

Let me focus on marketing investment through local celebrities. Very rarely will you come across the portfolio w

here we have three of the most iconic brand ambassador tie -ups happening in the industry at the same time. We invested concurrently in Disha Patani for Calvin Klein, Maharaja Padmanabh Singh Pachho for the US Polo Association, and we had the most iconic Orry tie -up with Flying Machine, which took our Gen Z consumers by storm.

Another important aspect of these tie -ups was the launch of one -of its kind collab collection where our brands work with these important celebrities to create very differentiated upgraded capsule collection to fuel our premiumization drive. Both the Orry collection for Flying Machine and Maharaja Pachho collection with the US Polo Association were big hits, and we will continue to roll out m ore collections in these lines.

With these upgraded offerings, we got very good response from consumers and were able to reduce discounting. We also saw a healthy discount reduction in our direct B2C online business, which also saw very good traction due to these heightened marketing investments.

In FY '25, we have taken decisive strides in building a strong momentum of highly profitable growth with our direct channels, which include brand stores, websites, and online B2C marketplace business. There's a nearly a 4% increase in the share of the revenue mix for direct channels, and their share ha s reached nearly 55% this year.

This is in line with our medium -term vision of taking this number to maybe two-thirds of our business. There's a healthy acceleration of growth in the retail channel quarter -on-quarter, and the growth has moved up from single digit in Q1 to n ow very healthy mid -teen level.

The support engines for retail of like -to-like growth, square foot addition, and renovations of stores have reached the momentum where this mid -teen growth of retail is very likely to sustain and may even improve further. Similar is the case of large growth in B2C online channels where there is a large pivot away from wholesale B2B.

Another heartening development is a significant improvement in the margin profile of these direct channels, helping our mantra of profitable growth. The margin profile has improved because of higher GP in direct channels and continued control on discounting through our sharper execution.

We are very sure that growth engines on direct channel will continue to fire going forward. While the underlying growth in the wholesale channel is

in the range of 8% to 10% growth, we have seen a quarterly moderation currently partly due to the exit from some department store formats and de-stocking in muted market conditions as per our hygiene.

There's also the impact of higher billing in Q2 because of the early festival calendar this year. While we want to strategically de-scale B2B online wholesale channels, the other wholesale channels are likely to get back to underlying growth potential of 8% to 10% growth in the near term, even in this sluggish market.

There's a lot of juice in square-foot expansion in many of our formats. Premiumization is working well and adjacent categories are growing well with both MBO and department store channels. Recent tax cuts announced in the budget are also likely to spur demand in these channels where distribution goes very deep, and we are very hopeful of this wholesale business moving back to its underlying potential.

Coming to growth drivers. The retail channel has grown well at 15% backed by both growth drivers of double-digit like-to-like growth as well as healthy square foot expansion. Adjacent categories have continued to grow at a faster pace with a doubling of business in womenswear and mid-teen growth in innerwear.

Footwear growth has got impacted because of BIS implementation, which has impacted inventory levels and assortment. Kids business is a very large growth opportunity, and we are piloting new ways of growing this piece, and we are likely to see strong traction ahead in this business.

Coming to the online business growth engine, we have discussed a strategic pivot towards online B2C channels in order to better manage consumer experience and control discounting. With this focus, B2C channel is growing handsomely. The growth in B2C will more than compensate any likely decline in B2B and overall online business is likely to grow close to 10% profitably with a healthy revenue mix of around 25%.

We've also engineered sharp cost management in online business and our channel margin profile is seeing very good improvement here. On brand side, USPA business has very strong momentum and with very special investment put behind this marquee brand. Both Arrow and Flying Machine have improved their profitability profile further through double-digit like-to-like retail growth. The premium portfolio of Tommy Hilfiger and Calvin Klein is leading our premiumization drive with significantly higher growth in teens and best-in-class profitability.

We continued our sharp focus on balance sheet de-leverage, ensuring tight control on working capital and Q3 saw further 5 days reduction in inventory versus last year. With inventory value coming down by nearly INR 40 crores over the September '24 number, inventory stock turns were more than 4 turns.

Debtor value also came down sharply by nearly INR 180 crores post festival trading and NWC days remain at healthy 60 days. 8% EBITDA growth YTD this year is flowing into PBT growth of 44% and PAT growth of 133% for continuing businesses. We are seeing good FOCF generation at AFL. And with our asset-light model and very tight balance sheet control, we are hopeful of an acceleration in FOCF generation.

With the recent tax cuts announced in the budget, we are hopeful that there will be positive economic indicators, helping businesses to grow well. In the medium term, with good priming of all growth engines, we hope to up the growth rates the way we have done in FY '25 compared to growth in FY'24. Our aspiration of 12% to 15% revenue growth stays, and we are hopeful that an improved consumption scenario with recent tax cuts will aid our efforts.

Ankit Arora : Thanks, Shailesh. Rutuja, we can now open it up for question and answer session.

Moderator: Thank you very much. We will now begin the question and answer session.

The first question is from the line of Priyank Chheda from Vallum Capital.

Priyank Chheda: Solid set of performance and congratulations team for the great numbers.

Shailesh, my question is on online B2C versus a total channel growth of online and others. So there has been a divergence. I mean, we have been witnessing that for now the last 3 quarters. So when do you think that the transition within online, which is towards B2C, do you think that will get completed and the whole channel should grow as in line with online B2C

channel growth?

Shailesh Chaturvedi: We've been talking about pivoting away from B2B to B2C to better manage the consumer experience, better assortment, online exclusive, use of analytics better, lesser discounting, and more controlled discounting. So that's the plan. And if you really look at this journey, which peaked in COVID times and then after that, the correction happened and now the business has started to grow.

So we have seen that our online business has started crossing the pre-COVID peaks and have started growing healthily. We are very strategically continue to decline our B2B channel, and it may decline by 10% to 12%, which is a planned decline. But the B2C growth, now this quarter, the growth was 20%, and it will continue to gain the share of overall online piece.

And we are now seeing that online business will grow more than 10%. And that's why the whole transition from B2B towards a higher growth of B2C has started and now reaching a point where any decline of B2B is able to be compensated easily by B2C growth and overall online

piece has started

to grow. Like I said in my opening remarks, we hope that in the near future, it will grow at around 10%.

Priyank Chheda: Right. So what would have been this mix now reached where we would be -- what share within B2C within online, what would be B2B and B2C share now?

Shailesh Chaturvedi: It was almost 50-50. And now see, I'll just give you a little bit of a background where in the COVID times, if I look at the data, it was largely B2B business. Slowly, the pivot has happened in the last 6 to 9 months, the B2B and B2C business were equal. And now we are seeing that B2C is going to become larger than B2B.

And it will be able to take away any decline of 10% to 12% business decline in B2B and with this higher growth. This year growth in this quarter is 20%. But if I look at the annual number, the growth is even higher. So that 10%-odd decline in B2B, a higher 20%, 25% growth in B2C will be able to compensate more because both are now more or less equal. And if I look at the next 6 months, B2C will be a bigger business, maybe two-third and B2B will become one-third.

Priyank Chheda: My second question on the wholesale, which you alluded that you exited some large department store, was it this quarter? Or has that been a gradual exit that we should read when it comes to 9 months?

Shailesh Chaturvedi: See, there was one partner decided to shut down the format. We didn't exit. A very large chain both in the value format and in the premium format decided to shut down. I don't want to take the name here, but they decided to shut down, and this happened almost a year back then, but the 4 quarters of the business, we showed decline because we had the past data. But as we go forward, that impact will not be there in our sales figures.

Priyank Chheda: So the broader question that I was asking was on the wholesale as a channel. If you had to, of course, exclude this one-off, what would have been the growth? And has that been reflected when it comes to the sales of a brand level, which is Arrow, which has a higher salience in this channel?

Shailesh Chaturvedi: See, if you look at my opening commentary on wholesale, we believe the inherent underlying growth potential in the near term is 8% to 10%. Now if I break it down into, let's say, 3 parts, one is the online B2B, other is the department store and the third is in terms of the MBO channel. Now if you look at B2B, there is a strategic de-stocking we want to pivot away and the B2C will start growing faster and we'll be able to absorb that decline and we grow online that I just mentioned earlier.

The second point is in the department store channel. Again, here, the one-off impact of the closure of one big chain is not our decision. The chain decided to shut down. It impacted the whole industry. Also, the Q2 billing because Diwali was earlier a little higher. So it's a one-off thing. But if I look at the consumer sales in department store, if I look at what we call tertiary sales, the like-to-like growth in that channel is very similar to our retail growth of double digits.

So it's not that the channel is not performing. And I also mentioned that the recent tax cut might help the wholesale channel a lot because the distribution goes very deep. So in the department store, our consumer

sales are good, healthy. Our market share, our rank is improving, and we are a leader in that channel.

So it will continue to grow. Markets will become slightly better, then our growth will be there. I'm very confident that in the near future, the department store will grow at the inherent underlying growth potential of 8% to 10%. And comes the third is the MBO channel. Again, some of the reasons of early billing, etc. It's a very important channel. It's been a growing channel.

And I also believe a lot of our square foot expansion is ahead in our brands like Flying Machine, Arrow, adjacent category, kids. There

is a lot of scope

of further expanding square footage with the MBO channel, and we are a market leader in MBO channel, also very good performance overall numbers, clearly market-leading position in MBO channel.

So that business also will grow at 8% to 10% in near term. Other than B2B, there is a planned destocking, both the other wholesale channels should grow immediately at 8% to 10% in the near future.

Priyank Chheda: Just last question from my side. On the Flying Machine, you have clearly mentioned and very heartening to know that it delivered a strong retail like-to-like growth. And when I have to also read through Arrow, we have been focusing on accelerating EBOs. So now on both these brands combined, is that the core focus which when it comes to only B2C or because these brands were heavy on B2B as well at least Arrow, is the game plan around completely focusing on B2C and then non-focusing B2B when it comes to these 2 brands?

Shailesh Chaturvedi: See, as far as both the brands are concerned, both the brands – Arrow and Flying Machine, have delivered double-digit like-to-like growth in this quarter and in this market, and they're gaining market share in key department stores and other portals. So we are very happy with the progress both in Arrow and Flying Machine. Now coming to the channel preferences, I just mentioned that I see scope of expanding square footage in MBO channel and department store further for both Arrow and FM. Arrow is real subscale right now in terms of distribution. So not just MBO or the department store, but also EBO. We see the possibility of a larger square foot addition across the channel in Arrow, be it export, be it MBO, be it department store, and surely in EBO channel. And at the company level, we will focus a lot on direct channel, and we are very competitive in execution of that channel. GPs are better. Overall growth is very healthy. So Arrow and FM will benefit from that direct drive and B2C and EBO. But both FM and Arrow are so under-distributed in many ways, subscale in many ways that we will not lose sight of further expansion in wholesale with MBO and with department stores for Flying Machine and Arrow and Flying Machine also the doors open with some value department stores, and we are doing very good numbers with the value department stores. So there's even more opportunity for square footage for Flying Machine as well. So I'm not saying that we will de-emphasize. We will put all our hearts and put large square foot addition across the channel for Flying Machine and Arrow.

Moderator: The next question is from the line of Prolin Nandu from Edelweiss Public Alternatives.

Prolin Nandu: Quite heartening to see 11% LFL growth. So congratulations on that. So I just want to summarize your opening comments as well as what you probably answered and correct me if I'm wrong, it seems like as we enter, let's say, Q4 or FY '26, we have a very balanced approach in terms of our channel and also in terms of our brand, where all the guns are firing.

Correct me if I'm wrong, this 11% retail growth was contributed -- I mean, there was a double-digit growth across all your brands with Flying Machine and Arrow also kind of contributing to this growth. So my question is, is it the correct assessment that as we enter FY26, both in terms of brands and channels, the overall LFL growth or this 8% to 10% growth that you have mentioned is going to be very balanced across channels across the brands?

And what will that do to our margins because Arrow and Flying Machine, if I'm not wrong, were dragging the margins, overall company level margins?

So is it fair that that drag will no longer be there as we enter FY26?

Shailesh Chaturvedi: If I take one-by-one question on like-to-like growth, you're right. The like-to-like growth in retail of 11% is across the brands. All brands have grown

double-digit. If I look at the dep

artment store, consumer business, tertiary, they are good growth across our brands. So that's true. Now the focus on like-to-like, if I look at our guidance, we are guiding that we are looking at around 5% to 7% like-to-like in full price growth.

If I look at the full-year number, our like-to-like growth, while in this quarter is a bump of 11%. But at a full-year level, the like-to-like growth is between 6% to 7%, which is slightly higher than our guidance. So we are doing well. Our marketing efforts, our execution, our product lines, quality improvement is all working well for us.

Now what happens to the margin? So we are expecting that on EBITDA -- our guidance is that we will continue to grow by at least 100 basis points going forward. This year also, if you really look at, we have grown our EBITDA by 18% and by 110 basis point YTD this year, and we hope that we will continue to -- our guidance is that we'll continue to grow our EBITDA by at least 100 basis points.

And as you rightly said, the contribution of Flying Machine and Arrow will have to be higher. So if the overall company has to grow at 100 basis points, the Arrow and Flying Machine growth -- EBITDA growth has to be higher than 100 basis points. That's what our plan is because there is a scope to take that forward. It takes time. The work is in progress.

We are very, very happy with the progress in Q3 and how the Arrow and Flying Machine have delivered in Q3. And that journey will continue to grow EBITDA by 100 basis points and a large part of that gain will come from GP where control on discounting, sourcing efficiency, our control on sellex and also the scale leverage.

And especially in Arrow and Flying Machine, we expect the scale leverage to be higher than the overall company because there is a chance to improve the scale faster in Arrow and FM. So we will benefit from GP increase and economies, the scale leverage, and control on expenses. So we will definitely believe that we'll be able to grow our margin by 100 basis points and with higher than that number for Arrow and Flying Machine.

Prolin Nandu: Sure. And just on Arrow and Flying Machine, right, do you still stick to your earlier guidance that maybe Flying Machine in terms of recovery is, let's say, a year or so away from Arrow? Or has this -- the marketing activity that you did with Orry helped you to lessen that gap versus Arrow in terms of recovery? Could you let me know where are both of these brands in terms of their recovery trajectory?

Shailesh Chaturvedi: Both the brands are on way. They are on track as per our plans. Arrow is ahead. And even with the Orry big success that we saw, Arrow will continue to have that edge because the effort we started earlier. FM, we have done a very large re-branding exercise from the logo to the new retail identity to the new product direction, new brand association.

So it's early days. We are very, very pleased with the early success, the green shoots we have seen, but everything takes time and our aspirations are very high. The standards that we want to establish are very, very high. So it takes time, but we are very, very pleased with the current journey of both Arrow and FM in terms of revitalizing these brands and making them profitable in a healthy way.

Prolin Nandu: Sure. And one last question would be on your retail expansion plan in terms of EBOs going forward. Now here also, we did some changes that we were opening much larger stores in some of our, let's say, for U.S. Polo, because the assortment and accessories and all require bigger space. So now that we enter FY26, how do you see the square foot addition for our retail space in FY 26?

Shailesh Chaturvedi: So our guidance on square foot expansion is around 15% net addition. We are at around 1.15 million square foot as on date, and our guidance is to grow that at a 15%, so around 1.5 lakh net square foot addition every year.

Our store count can change because we are, as you mentioned rightly that our store sizes are becoming larger.

Consumers are voting in favor of larger stores with better shopping experiences and some of our formats like Club A or U.S. Polo family stores have a very large footprint. So we will chase that square foot of 15% CAGR. And that's what we are working on. We have done a lot of hard work in the

market to build muscles for business development. We have teams in the market the whole org is being developed as we speak, and we are happy with the progress. And we are also happy with the quality of execution of our stores. The new stores are tracking with good numbers. They are on plan. And we are very happy with the way the shopping experience is emerging from these new stores.

Moderator: The next question is from the line of Sachin Kasera from Svan Investment Managers.

Sachin Kasera: Can you update us on the progress on the footwear business in the first nine months and also some of the emerging segments like the womenwear and the kids wear in U.S. Polo and also the Club A that we launched, how is the progress there? And what are the plans there going ahead?

Shailesh Chaturvedi: Sure, let's start with the footwear. Footwear is a large business for us, and we are looking at strong leadership. We do large business in profitable double-digit EBITDA business in U.S. Polo footwear. Now because of the government regulation, what's called BIS, the import of footwear came to a standstill for a moment, and it impacted the inventory levels and the assortment.

So in some of our big brands like U.S. Polo and in Tommy Hilfiger, we saw a sharp decline in business. But that's behind us. Frankly, Sachin, now government has made a lot of progress. There is, again, I'm using the word green shoot because some of the new factories are now coming up.

They're getting approved and also there is a larger production happening in India. So I would say the worst is behind us.

Maybe in three months from now, I would be a little more optimistic with a little more data because it's happening as we speak. So things are looking up. But if you look at the last nine-month data, we did lose business in footwear because of the lack of inventory there, but things are looking up. We also have a retail concept in footwear called Stride, where the overall like-to-like growth is double-digit. It had a low single-digit because of the inventory situation, but it will come back. And inherently, our business is so strong and some of the categories like sneakers go so well with a brand like U.S. Polo, and we sell very large, millions of pieces of sneakers in U.S. Polo, and we're leader in online and also a very large share of revenue of our store comes from the footwear business.

So it's a very healthy business, having temporarily external headwinds, but that's behind us, and I think things will only look up. In six months' time, it should be green again. As far as the other adjacencies are concerned, I mentioned in my opening comment, the womenswear has doubled on a small base, and it has done quarter-by-quarter. So that business looks very, very promising, both independently business on online, also within our own family stores.

And also, we started expansion into MBO channel with a dedicated womenswear space. So a lot of good things happening. We are very, very happy with the progress. We tied up with the celebrity Palak Tiwari, that association is going on well. So that business has taken off well and it's moving well, quite good.

Overall, adjacent category at a company level, the share is 20%. For U.S. Polo, it's even higher at around 25%. And that business is growing between 15% to 20%, much higher or almost double the growth rate of the company. So I think it's looking good, that business. Kids is another large piece, and we see a huge opportunity to build that.

We are piloting

something on U.S. Polo Kids store, the format, the product lines, and you'll see us come out. It's already a very strong business. We are a leader in that space. And you will see a little more traction in the kids' business going forward.

So overall, adjacent categories are driving the growth. Innerwear also in U.S. Polo, we have a good business, and the growth has come back very strongly through online business, through business in our stores. And that business is growing again in mid-teens, as I said in my opening comments, and growing with better margin profile.

So overall, adjacent categories are helping us the company grow faster, and the share is improving and growth rates are very good in this category.

Sachin Kasera: So when you say 20%, it includes footwear, women wear, kids wear, and innerwear all put together or that's only the women wear that you are

saying ?

Shailesh Chaturvedi: No, no. All the businesses put together. It's a very small business right now, Sachin. It's growing really well. The sell-throughs are extremely encouraging, but still it's just a one-year-old business.

Sachin Kasera: So the largest share would be the footwear in that emerging when you say 20%?

Shailesh Chaturvedi: Yes. So in terms of scale, it will be footwear, kids wear, innerwear, and womenswear.

Sachin Kasera: Sure. And any sense like what was the decline in footwear, more like 15%, 20% in the first nine months?

Shailesh Chaturvedi: No. See, there is a growth in footwear business. It's in high single digits. But this business, we have engineered for growing at more than 20%, right? So from the worst base now on that smaller reduced base, it's growing now high single digits. But we are not happy with the high single digits. This business has to grow at 20% minimum.

Sachin Kasera: And if you could update us on this Club A that we had launched, I think a couple of quarters back, the large format stores for the high street?

Shailesh Chaturvedi: We opened recently 2 large Club As, one at the Lucknow Airport, very, very good, almost 4,000 square feet, absolutely top quality in India. You will not find stores of that standard. We also opened on the High Street in Surat. So now we have 3 Club A stores. And as we speak, 2 are under fit-outs. We have been still modeling, adding brands, removing brands, figuring out the right model to expand. But this has a huge opportunity, but we want to just do the modeling right and then expand.

Sachin Kasera: My second question is on the margins ex of PVH. From whatever math we can do, I think it looks like we have around 1% net margin ex of the PVH business. And from whatever various interactions, most of the brands are now either high single-digit or double-digit EBITDA margins? So it's not flowing through in the PAT margin. If you could give us some sense on why, despite having a high single-digit and double-digit margin at the brand level ex of PVH, the net margin is only 1%, 1.2%?

Ankit Arora: Sachin, Ankit here. So your observation is right. But if you really step back and look, see, it's a journey, which is what one would need to kind of understand. And largely, the drag was coming -- since you're talking about the bottom line was coming from Arrow and FM, but very, very heartening, and I'll put some data for everyone's reference, what you are referring to. If you step back and look even in this quarter and the last quarter, our PAT, excluding minority interest, we have clocked close to about INR 30 crores PAT, which implies a more annualized run rate of north of INR 100 crores in some sense, if I were to kind of really take that. We did INR 28 crores in this quarter and about INR 30 crores last quarter.

Even in YTD, if you step back and look, excluding minority interest, our bottom line has more than doubled. It's grown at north of 130%. So yes, what you are saying is still about --

close to about a 1.5%, 2% PAT margin in that ballpark range going up. This quarter, like say, we did PAT, excluding minority, about close to north of 2%, which is on a INR 1,200 crores did about INR 28 crores. So yes, the journey is to increase the bottom line and as what Shailesh has spoken about at length earlier in previous participants' answers as well, is as Arrow and Flying Machine continue to kind of inch up and the kind of performance, which is what we have witnessed in Q3 is very, very heartening.

This number will accelerate only going forward, and we have demonstrated that over the last 4 to 6 quarters already. And this number is only going to accelerate further as we step into FY 26 and FY27. And you will see that continuously happening quarter by quarter and in our year-on-year performance.

Sachin Kasera: My last question is around the 5 power brands. If you could just give a sense in terms of the first 9 months in terms of hierarchy, the growth pattern, like which was the highest growth, which was the second highest, something like that?

Shailesh Chaturvedi: Sachin, we don't share the brand-wise details. But I think if I look at whether it's like to-like data growth, all the brands have done well, Sachin.

I think what differentiate are the channels and the direct channels have grown faster than wholesale channels and across the brand. But overall, if I look at the brand profile, all brands have grown in profitability and in a

healthy manner.

Sachin Kasera: So without sharing the percentage growth, if you could just give us a sense like which brands grew more than company average which grew below, at least give us some sense, that would be helpful. We are not looking at some specific number like 10% or 12% or 8%.

Shailesh Chaturvedi: In my opening commentary, I said that the PVH profile, the teen growth with high profitability and premiumization helping them the market leaders there. So that piece is growing faster, and it continues to grow at a slightly higher -- maybe significantly higher pace than the overall average.

But all brands have done well. I mean you look at U.S. Polo, it has such good momentum. You see the traction of U.S. Polo across channels doing so well. Arrow, FM have improved their performance. So some channels are not growing or growing. But at a brand level, I think all brands have been re-energized.

Ankit Arora: And Sachin, just to kind of just add a color on what just Shailesh said, I mean, looking at a percentage, right, I mean, while a brand might be slightly smaller in scale, may grow at faster %, but we're focusing on all the brands to accelerate the growth trajectory.

Moderator: We now invite the next question, which is from the line of Avinash Karumanchi from Equirus.

Avinash Karumanchi: So I'm just trying to get a better view on the inventory. So this inventory optimization that's happening. I'm just trying to identify how much of this would be at the store and how much would be at the warehouse. So where exactly are we reducing?

Ankit Arora: So Avinash, all the inventory when we -- what we are looking at it is all on our books, and we have moved to our consignment business model in EBOs, which is what we have discussed in the past. So it's all the inventory which is lying on our books, and we don't really segregate because it'll be in multiple channels. We don't really segregate between which is lying in EBO and what will be in warehouse.

Girdhar Chitlangia: And the actions generally impact across all locations. I mean, while we try and say that we want to optimize a few channels, but actions generally impact most of the locations uniformly.

Avinash Karumanchi: Okay. I'm just trying to identify what would be the inventory turns channel-wise. So like optimization when you are speaking, so I don't need an exact number, but I just need a view, like how would the inventory turns at the EBOs

be or the online channel be because they contribute for the majority of the inventory right? Rest of them is cash and carry. So that's how I'm trying to look at?

Shailesh Chaturvedi: But if you look at our inventory turns in the last 5-odd years, we moved from early three turn to above 4 turns across the channel, we have been able to move inventory turns up. And if I look at our aging of inventory, I look at the share of freshness in our business, it's good. And that's one of the reasons why our GP is going up really well because we have a very large freshness and where we don't need to discount, and our sell-throughs are very good across channels. So overall, that's why the inventory turns have really gone up from 3-odd now to 4.2.

If you look at the last 1 year, our growth have been more or less, with the same inventory value, and we've been growing now this year at 8.5%. But if you look at increase in the value of inventory, it's very, very small. So we've been able to grow business at a certain pace, high single-digit with, more or less, the same inventory value.

Avinash Karumanchi: And one more question is on the storefront. So the number of EBOs, while the gross addition was higher, the net addition was not significantly there. So in which brand are we seeing more and more closures coming in?

Shailesh Chaturvedi: No. I mean, see, what happened is that we had a very large 4 malls coming up with large square foot, which would have added in October before Diwali, but the malls got delayed and now it's going to happen in April, May. So that's the reason. But if you really look at the total gross addition of square footage, I mean, this year is more than 1.5 lakh.

We've never grown -- we've never opened so many stores in a year. So that large expansion is happening. We also had to shut some stores. It's a part of life, but because of the delay in the mall, the number looks like that.

Also, I think we are at the fag end of that closure now. Whatever we needed to close, most of those stores have been shut down.

Basically, it's not a brand level, it's more often the format, the smaller size in some types of markets, they become loss-making or not strategic where we want to open large stores with car park where the consumer get better experience. So we are shutting down smaller format in certain kind of markets across brands.

Some of the outlets, we move from single brand small outlets to our big-sized Megamart format, 4,000, where economies are much better. The shopping experience is much better. So it's not so much the number of stores, but we're also focusing largely on the square foot, and we're cutting down small loss-making stores and opening very large, high-quality, profitable stores.

Moderator: The next question is from the line of Naysar Parikh from Native Capital.

Naysar Parikh: First question on retail. For our 11% LTL growth, what's the volume price? Can you talk about that?

Shailesh Chaturvedi: See, the bulk of the like-to-like growth has come from the volume growth. Majority.

Naysar Parikh: And you spoke about this earlier, but on Arrow and Flying Machine, when we look at FY 26, from a profitability perspective, can we expect them to be PAT positive? How should we think about it? And secondly, are all the drags with regard to some of your royalties etc., for the earlier brands, is that out, or is there anything still there in the financials?

Shailesh Chaturvedi: See, as far as the second part of your question, discontinued brand, there's no impact on the P&L in any way. It's all out. It's cleaned up. Now the business is the continued business of these 5 brands and their format that we work on.

On first part, so like I said, Arrow and Flying Machine is a journey, and they are growing at a faster pace in profitability. And they are reaching a point where the drag is less. Now whether to reach PAT posi

ve soon, but that

journey will happen. That block of FM plus Arrow has to become PAT positive in the near to midterm. And based on the market condition, could happen 6 months earlier, sometimes it could happen 6 months late, but we are very happy and pleased with the progress on the improvement and on this journey of profitable growth for both Arrow and Flying Machine.

Moderator: The next question is from the line of Rishikesh from RoboCapital.

Rishikesh: Sir, could you share what EBITDA margins are we doing for Flying Machine and Arrow? And also a follow-up on that, how do we see our PAT post minority interest on our EBITDA margins scale-up for Flying Machine and Arrow? Currently, blended terms, they are around 57%, 58%. How do we see that going ahead?

Ankit Arora : So Rishikesh, to answer your first part of the question, we will not be able to disclose brand-wise profitability and PAT margins. That's something which is what we don't disclose. Pertaining to your second half of your question, as to what I said earlier in response to one participant is if you look at our journey on PAT, excluding minority interest, it has been continuously going up.

And we expect that journey to significantly accelerate moving forward as to what you would have seen in YTD period of FY 25 as well, where our PAT, excluding minority has grown by north of 130% and it's largely contributed by, of course, U.S. Polo gaining momentum and doing extremely well, that's a very, very profitable brand. And of course, the drag on the bottom line on account of Arrow and Flying Machine because of their intrinsic EBITDA profitability going up and hence, the drag on PAT coming down and hence contributing to more bottom line, excluding the minority interest.

Moderator: The next question is from the line of Shreyans Jain from S van Investments.

Shreyans Jain: My first question is, if you could just explain, when I look at your business, retail, wholesale, and e-commerce, so when do we book the sales actually for retail, wholesale, and e-commerce? I mean I'm just trying to get a sense on how the working capital and our inventory would look like for each of the separate divisions.

Shailesh Chaturvedi: See, in retail channel, it's a consignment model. So the sale get recognized when customer buys.

Girdhar Chitlangia : On the wholesale channel, it is all based on delivery or whatever the incoterms are, whether they are FOB or CIF. And on e-commerce, 2 parts, the B2B is recognized based on delivery, depending on the terms with the partner, and on B2C, whenever the end consumer sale happens.

Shreyans Jain: So, in retail for both EBO, which is COCO and FOFO, sale would get actually booked when the actual sale happens to the customer, right?

Shailesh Chaturvedi: Yes, correct. Yes.

Shreyans Jain: So when I'm looking at your working capital then, we see some increase in your inventory levels, and that is about 5.5% on this I'm saying 9 months basis. So 9 months basis, there's an increase in inventory is about 5%, 5.5%.

And 9 months, your retail has increased the most. So technically, your inventory and your receivables shouldn't increase that much, right?

Receivables more so, 17% increase in receivables that should not increase because that's more cash and carry, right?

Girdhar Chitlangia : I'll answer the question. The receivables largely have increased because we have had a change of model in some of our partners. We moved to what we call more controls -based model where we have more visibility on the inventory base. So that's why you have seen there is an increase in receivables, and there is a corresponding decrease in inventory. So net -net of GWC, these are neutral, and this is what is reflecting in the numbers.

Shreyans Jain: And my second question is, sir, when I look at Slide number 8 -- no, sorry, not the brand where we're seeing emerging brands, does that slide, sir,

make any sense right now because in effect, we're putting the whole business top line right there. And then you're saying EBITDA and PAT that actually is actually the P&L right in front of you, right? So I mean, what is the sense there? I mean, am I missing something? Or are we trying to indicate something via this slide?

Ankit Arora : So Shreyans , to maintain consistency, I agree to your point largely because now we are classifying everything as power brands. It's just that because we had reclassified after our Sephora transaction last year and because the base was such and from a Y -o-Y comparison, that's the reason which is what we have maintained that slide.

But I understand where we are coming from. We will probably take out that slide from Q1 of FY 26 because everything is all fully revenue of all these 5 brands , but we just to ensure consistency with all of you as participants, we just wanted to kind of keep that slide because we have been doing that for last many quarters. That's the only reason. But otherwise, I agree to your point.

Shreyans Jain: And sir, just last question. So we understand Arrow, we are on a journey and we are somewhere near a positive trajectory in that journey. So just trying -- because we've been tracking the company for some 8, 10 quarters now, but we're still not able to get some sense on where -- I mean, can you just quantify what was the loss that we were doing, at least what we were doing in the past? I don't want to know where we are at currently, but what was the loss like exactly so that we know what kind of journey you've come through so we'll be able to better appreciate your journey.

Ankit Arora : So Shreyans , I will give you one very small data point in FY 24 and then you can do the rest of your calculations. The EBITDA change from FY 23 to FY 24 was as large as about INR 70-75 crores. And that's the amount of delta, which is what we have really traversed in that entire Arrow profit ability and it is only moving forward. There used to be a time during COVID where, of course, the brand was gotten hit the most given the environment conditions, and the brand became significantly subscale. And , we started losing money at EBITDA level.

But since then, from FY 24 onwards, when we have turned this brand around at an EBITDA breakeven and a low single -digit, and it's traveling towards its eventual journey of mid -single digit to high single digit on a pre -Ind AS basis, that is where is what you are seeing the drag on profitability and on the bottom line as well significantly getting better only on a quarter -on-quarter basis, and it's accelerating moving forward.

Of course, please understand and appreciate that the last 2 years have been significantly tougher when you look at revenue growth . I mean that is something you can't do much, beyond a point . It's an external environment. And please keep in mind, in FY 24, our growth rate was about 4%, YTD is about 8. 5%.

So our aspiration on that is 12% to 15% and once that happens, you will see that journey being covered at a far more brisker pace than what we have done. But all the levers and all the hard work is already in place. The day you will see a significant green shoots acceleration on the growth, you will see that bottom line improving even at a faster pace from current levels.

Shreyansh Jain: And sir, last question. So we've been guiding for 12% to 15% top-line growth. So I think this year, it could be a challenge. But so do you still maintain 12% to 15% for FY26 and FY27 going ahead? Or you would want to revise that? How do you look at this?

Shailesh Chaturvedi: We are very committed to that. Our aspiration has not changed. We are gunning for 12% to 15% growth. We did slice it between the direct channel and wholesale channel that the -- in wholesale channel, also the underlying growth is 8% to 10%. The retail, which used to be a single-digit growth

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now, first quarter, the growth was 5%. Second quarter, the retail growth crossed 10%. Quarter 3, that growth has now gone up to 15%. And we believe that all the underlying growth drivers, enablers for that 15% growth on retail, and also higher growth in B2C will happen.

The question is on the wholesale. And like I explained earlier in this call that we believe that with the recent tax cut, with improvement in business, the impact of closure of one big chain, all that going away, we will see the business immediately coming to 8% to 10% growth in wholesale channel, and it will sort of move that part.

Another way to slice the growth aspiration is to look at our growth drivers. And we have a very large number of growth drivers that we have kept trying. They're all firing. So from like -to-like growth, which against a guidance of 5% to 7% this quarter, we delivered industry beating 11%. We have a very large square foot expansion target, 15% CAGR but for a little bit of mall delay, that engine is working really well, and you'll see large annualization and the growth will come from square foot expansion.

We're also talking about adjacent category growth, the womenswear, kids wear, innerwear. Footwear has taken a beating because of the B IS, but once the inventory levels improve, that business will continue to grow at more than 20%. On digital focus, that piece is 25% of revenue and will now after this pivot shifting from B2B to B2C, we'll continue to grow at 10%.

So we believe that our platform is ready. Our engines are firing, a little bit of improvement in the market condition a bit and that pivot happening, I think we will reach that 12% to 15%. Last year, our growth rate was 4.5%, and we had guided that there will be a strong uptick. We have gone from 4.5% to now 8.5% this year looks that level of high single digit, close to 10% growth. And we are very sure that the growth will only go up as the economic indicators become more favorable.

Kulin Lalbhai: If I could just come in here in this whole growth discussion, I think one of the things that gets lost is quality of growth. And if you really step back and see what the company has done is that we have stepped away from anything that could be low-quality growth. So the tail stores being shut down meant square foot addition had been low in the first half of last year. Similarly, non-performing SIs have been stepped away from. And similarly, discount-led online growth has been stepped away from. So there was a very clear trade-off done that low-quality growth should be removed from the business model. And the good news is that those resets of stepping away from the low-quality growth are behind us. The square foot engine has turned positive now for 3 quarters, and you're seeing the growth rates coming. You've seen the B2C digital scale come back.

And as Shailesh said, the wholesale also you will start seeing coming back to its underlying growth. So the reset phase of low-quality reset is behind us. And we have seen the gains from it with a 20% almost ROCE coming into the business and very strong cash flows also beginning to come through in the business, the free cash flows.

But with the reset on the reset of bad quality growth behind, you will see the overall growth trajectory of the business moving up. And that's what is the movement now towards that 12% to 15% band that we've talked about.

Moderator: The next question is from the line of Abhijit Kundu from Antique Stock Broking.

Abhijeet Kundu: Congrats on a great set of numbers. My question was on how much of the growth or how much of the sales came from the end-of-season sales?

Because you were one of the players, retailers who started the season with a late end-of-season sales. Most of the fashion retailers, they started their end-of-season sales from mid of December.

But yes, the large format stores who sell your product, they s

tarted off

from mid -December. So the case in point is, yes, on one side, you have demonstrated that a better gross margin and a better EBITDA margin. So my question was how much of it has come from the discount sales? And how much has it come from the full -price sell -through?

Shailesh Chaturvedi: See here in Q3, as you rightly said, we delayed discounting, and we didn't go on EOSS sales with the industry, we delayed it because our full-price sell-through was good. Our like -to-like growth were good. So we didn't see the need to blink and go early , we held it . In Q3, there's hardly any discounted sale in this result that we have announced. That's why our discounting is lower by 1% i n retail, 2% in B2C.

So we've been able to grow and like retail has grown at 15% and like -to-like double -digit across brands. And despite our hesitation to go or participate in end -of-season, we've grown well on all parameters, be it sales or be it profitability. Our EOSS, the journey is in January, and we will announce those results when we announce the quarter 4 results.

Abhijeet Kundu: So on a macro basis, how was the quarter? I mean, because what we understood when we were preparing the preview was that when we spoke to most of the fashion retailers, they were not very gung -ho about the quarter. They said that Q3 was a sort of a relatively muted quarter .

After the festive season, sales dropped and then there were challenges on the demand. But still, you have been able to record a pretty decent growth and pretty improved margin. So on a macro basis, how was the quarter?

Shailesh Chaturvedi: So I think the quarter -- I think here, you have to appreciate the beauty of our portfolio. We have such a strong portfolio of these 5 marquee brands are leaders in this space. In super premium segment, the Tommy and the Calvin Klein have a dominant position. U.S. Polo is a nearly INR 2,000 crore s dominant brand in the men's casual space with strong momentum.

Arrow is a leading brand in the formal segment, a top -ranking brand across the channel. Flying Machine is a youthful jeans wear brand. So I think what we did the whole this portfolio re-jig a couple of years back and focus only on the marquee brand s. In tough market conditions, this strategy always helps because we have very, very powerful brands in our portfolio.

And also, you have to see our portfolio in the light there is a whole casualization happening in the world. And our portfolio is very casual portfolio. So this casualization also helps us more than it helps some other players. And that's why we always seen that the market leader always benefit in good times and in bad times because people -- if you were to buy one T -shirt, you would rather buy a U.S. Polo than some other brand. If you're buying 5, maybe you will buy some other brand. But when the markets are tough, then the leaders gain market share. And that's what is happening. And when the market improved in winter , when the market improved for weddings, and we saw strong trading for wedding dates in November, and we saw early onset of winter where a lot of casualization happens in the winter.

So our brands have benefited. Also to my team's credit, our teams have executed the plans very well. Our marketing effort, we upped the investment in marketing, our quality of merchandise, the collection, for example, the Orry x FM collection, it got sold out, was very, very elevated. So I think because of our strategy of this focusing on marquee brands and our ability to revitalize the growth of these brands and investing, we have benefited.

Now whether market was good for everyone or not, time will tell. But frankly, if I have to summarize the Q3, I'm very pleased with the way AFL has performed in these muted conditions in Q3.

Abhijeet Kundu: Fantastic. Congrats once again.

Moderator: Thank you. Ladies and gentlemen, due to the paucity of time, we will ta

ke

this as the last question for today. I now hand the conference over to Mr. Ankit Arora for closing comments.

Ankit Arora: Thank you everybody, for joining us on the call today. If any of your questions have remained unanswered, please feel free to reach out to me separately, and I'd be happy to answer them offline. Thanks and look forward to interacting with all of you again next quarter.

Moderator: Thank you. On behalf of Arvind Fashions Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Note: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: May 2025

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May 22, 2025

To,
BSE Limited
Listing Dept. / Dept. of Corporate Services
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001

Security Code : 542484
Security ID : ARVINDFASN To,
National Stock Exchange of India Ltd .
Listing Dept., Exchange Plaza, 5th Floor
Plot No. C/1, G. Block
Bandra-Kurla Complex
Bandra (E)
Mumbai - 400 051

Symbol : ARVINDFASN

Dear Sir/Madam,

Subject: Earnings call Transcript with Analysts and Investors for the fourth quarter and fiscal year ended March 31, 2025

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, beneath is the link of transcript of post results conference call with Analysts/Investors held on Monday, May 19, 2025 to discuss the financial performance of the Company for the fiscal year ended on March 31, 2025.

<https://www.arvindfashions.com/wp-content/uploads/2025/05/Earnings-Call-Transcript-Q4-FY25.pdf>

This is for your information and records.

Thanking you,

Yours faithfully,

For Arvind Fashions Limited

Lipi Jha
Company Secretary

- Kulin Lalbhai – Vice Chairman & Non -Executive Director
- Shailesh Chaturvedi – Managing Director & CEO
- Girdhar Chitlangia – Chief Financial Officer
- Ankit Arora – Head, Investor Relations and Treasury

Moderator: Ladies and gentlemen, good day, and welcome to Arvind Fashions Limited Q4 FY25 Earnings Conference Call. As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ankit Arora – Head, Investor Relations & Treasury at Arvind Fashions Limited. Thank you, and over to you, sir.

Ankit Arora : Thank you Avirat . Hello and welcome everyone and thank you for joining us on Arvind Fashions Limited earnings conference call for the fourth quarter and fiscal year ended Mar 31, 2025. I am joined here today by Kulin Lalbhai, Vice Chairman and Non -Executive Director , Shailesh Chaturvedi, our Managing Director and CEO and Mr. Girdhar Chitlangia, our Chief Financial Officer.

Please note that result press release and earnings presentation had been mailed across to you on Saturday and these are also available on our website www.arvindfashions.com . I hope you had the opportunity to browse through the highlights of the performance. We'll commence today 's call with Kulin providing his key strategic thoughts on our fourth quarter and full year 's performance. Post that, we will have Shailesh, who will cover the details of business highlights and financial performance. At the end of the management discussion, we will have a Q&A session. Before we start, I would like to remind you that some of the statements made or discussed on this call today may be forward -looking in nature and must be viewed in conjunction with risks and uncertainties we face. A detailed statement of these risks is available in this quarter's earnings presentation. The company does not undertake to update these forward -looking statements publicly. With that said, I would now turn the call over to Kulin to share his views. Thank you and over to you Kulin .

Kulin Lalbhai : Thanks, Ankit. A very good afternoon to you all. Thank you for joining us for the Q4 and full year r

esults. FY25 marks another year in our journey of consistent financial and business performance. AFL delivered yet another strong year in spite of a difficult demand environment, where our revenue growth accelerated compared to the previous year to 8.5%.

Our efforts in expanding our retail network, along with reenergizing the brands through strong investments in marketing is clearly yielding results with an LTL growth of more than 5%. These investments have helped us gain market share across channels. All of these outcomes, coupled with our cost optimization efforts have helped drive an improvement in EBITDA margins by 100 basis points as we had guided at the start of the year. As there is better visibility on profitability in one of the subsidiaries, we decided to move to a lower tax regime of 25%, which will be beneficial from a reported PAT, cash flow and ROCE standpoint going forward. This led to an exceptional DTA charge of INR 120 crores in quarter 4. Adjusting for this exceptional DTA charge, our comparable bottom line grew by more than 70% for the full year.

As all of you would recollect that we have consistently maintained in the past that the cornerstone of our strategy over the last few years has been to improve the return on capital employed. We are delighted to report that AFL crossed the milestone of generating more than 20% return on capital employed this year, and we hope to continue to improve upon this as we move ahead.

Moving forward, we hope that the demand environment should improve gradually on account of various measures announced in the financial budget and macroeconomic tailwinds. We expect to have an uptick in our growth rates compared to FY 25 while continuing to stay committed on our mantra of profitable growth.

I would like to now hand it over to Shailesh Chaturvedi to take us through the specifics and more details about our financial performance.

Shailesh Chaturvedi: Thank you, Kulin. Good afternoon, Girdhar, Ankit and everyone on this

call. I'll start with an overview of the full year FY 25 and then move to quarter 4 result and will end with some commentary on way forward.

The key highlights of FY 25, as Kulin just mentioned, has been achievement of 20% mark on ROCE. In the last 3 years, AFL has moved from small negative ROCE now to more than 20% ROCE mark. We've been able to also generate fair bit of cash in FY 25, and there's a good reduction in debt of nearly INR 75 crores at both gross and at net level. The improvement in ROCE over last year is to the tune of around 400 basis points.

In FY 25, AFL recorded NSV of INR 4,620 crores, an increase of nearly INR 361 crores with a growth rate of 8.5%. At the start of the year, we had guided that we would make serious attempt to go for higher growth, and we have seen growth move from 4.5% to now 8.5%.

There was also improvement in profitability where GP has moved up by 130 basis points to 53.5%, helped by reduction in discounting, sourcing efficiency and a richer channel mix. A large part of this gain at GP level has flown into EBITDA where annual EBITDA has gone up by 100 basis points to INR 637 crore s, a growth of 17% in value over last year. FY 25 EBITDA is now very close to 14% mark.

In the last 3 quarters of FY 25, NSV has been more than INR 1,200 crores quarterly, and there has been large focus on revving up demand engine, which has resulted in double -digit growth for our key brands like U .S. Polo Association , Tommy Hilfiger , and Calvin Klein.

In quarter 4 also, all brands have grown double digit in revenue, except for BIS except for footwear, where there are issues with BIS, but which are getting sorted out and the growth in footwear also has gone up. Also, there was less emphasis on liquidation channel in quarter 4. Most brands have delivered double -digit growth in EBITDA in quarter 4.

I'm happy to state that Arrow and FM have moved to the next stage i

n

profitability journey. These are encouraging signs. Both Tommy Hilfiger and Calvin Klein have also continued their stellar journey in FY 25 with double -digit NSV growth as well as EBITDA growth.

At brand level, our efforts have been to offer differentiated products, high -quality shopping experience and premium brand experience through a 360 -degree approach involving retail, online presence as well as heightened marketing investment.

Our focus has been on pushing revenue growth through direct channels of EBO retail and online B2C. Both these channels have grown handsomely in FY25. The retail growth in each of the last 3 quarters has been at a healthy teen percentage, and this growth is likely to sustain and hopefully improve further.

With good like -to-like growth of around 5% in the current market condition, a large square foot expansion of nearly 1.2 lakh square foot in full year and around 20% growth in revenue from adjacent category and along with premiumization drive and high -quality execution of shopping experience, this retail channel of around INR 2,000 crore s value has very healthy momentum and is likely to grow at similar and higher pace going forward.

With good reduction in discounting and with leverage of this 5% like -to-like growth, retail channel profitability has also grown very well. The other growth channel of B2C online has also grown rapidly at a pace higher than 25%.

We have built significant capability on online B2C side, including websites, large omni coverage, development of analytics -driven online exclusive assortment, and with better cost control on discounting and on cost of doing business, we have seen very impressive improvement in channel margin for B2C online channel.

Both these direct channels have continued to take lead in growing AFL numbers towards this 12% to 15% growth aspiration. We have also continued our higher investment in marketing, and this investment has remained at more than 4% in the last 3 quarters. Let me focus on a huge tentpole event in early March we did in Delhi for our marquee brand, U .S. Polo Association .

This impactful event saw an exhibition of Polo game, a fashion show, and a stellar evening in Delhi in the presence of brand ambassador Sawai Padmanabh Singh of Jaipur Royal Family and Global CEO of USPA

Association, Mr. Michael Prince. We got huge media coverage, which helped the brand remain top of the mind, enabling it to deliver market-leading business in offline as well as online channels.

Recently, we also had a marquee event in Bombay for our brand, Tommy Hilfiger, for which Mr. Tommy Hilfiger visited Mumbai. This was his first India visit in last 11 years. This event saw a sailing event near Gateway of India and also an A-list celeb evening party hosted by Tommy Hilfiger in presence of key celebrities like Sara Ali Khan, Ibrahim Khan, Aditya Roy Kapur, Karan Johar, Disha Patani, and cricketer Shikhar Dhawan, et c. This also injected a strong dose of energy into the market-leading brand, Tommy Hilfiger, in India. We'll continue to invest strongly into marketing to keep the brand strong & salient, and we will continue to up the marketing investment as a percentage of revenue.

As a market leader, we want to take lead in marketing investments and ensure that our brand remains top of mind and high on the consideration set for immediate purchases. We are clearly seeing the trend of strong brands becoming stronger.

The pivot towards casualization is also helping like-to-like growth of our brands. You will recall that Q3 retail like-to-like was double digit at 11%, and it was 5% in both quarter 2 and now also in quarter 4 at 5.2%. In quarter 4 also, we have invested nearly 30 bps higher into marketing. Coming to adjacent category buildup, we are seeing these categories reaching more than 20% of revenue share with healthy growth of around 20%. In quarter 4, footwear

has increased its growth to double digits as inventory buildup started to happen. As further improvement in inventory levels happen, we expect footwear business to reach 15% growth, and there is scope to further increase it and go back to the usual 20% growth in footwear business.

Innerwear has also grown in FY 25 at more than 15%, with its momentum likely to continue on the back of strong performance in online channels. Women wear business of U.S. Polo has been growing at 100%. And with this high base, this adjacent category will continue to grow next year at around 50% or so.

All our key growth drivers, including square foot expansion, like-to-like growth, adjacent category growth, digital business, premiumization, renovation of stores, higher marketing spend are all in very good health and ready to further fuel higher growth for AFL in the next year.

Wholesale channel has recorded low single-digit in FY 25, while the consumer sales had grown at a higher single-digit level. We are encouraged by this tertiary sales growth of high single digits, and we have continued to work hard, including on cleanup of inventory management in FY 25 to ensure high freshness index and meet inventory norms without any unnecessary buildup of stock in the sluggish condition.

We have been maintaining strict hygiene norms and parallelly, sharpening inventory management for higher metabolism in wholesale channel in the near future. We are confident that with improvement in marketing condition, wholesale channel will go back to their growth levels in high single digits, while direct channels will take lead in growth, thereby helping AFL meet its aspirations of 12% to 15% revenue growth.

I also take this moment to look at 3-year scorecard for AFL since FY 22, which we had indicated in our investor deck. We clearly see there is a consistent performance of AFL in the last 3 years, where revenue has grown by a CAGR of 18%. In the last 3 years, GP has grown up at an average of 275 bps every year and is likely to grow at a healthy pace that we saw in FY25, where GP went up by 130 bps in full year. In these 3 years, CAGR for EBITDA is 36% and with average 160 bps increase in EBITDA every year. We are confident of increasing margins by 100 bps every year going forward. Coming specifically to quarter 4, AFL recorded an NSV of INR 1,189 crores, a growth of 9%, backed up by very healthy growth in direct channels and a like-to-like of 5.2% in retail channel, coupled with reduction in discounting of nearly 2% in retail. Retail channel grew 13% and gained 2% of revenue mix. Online B2C business also grew at more than 20%, with significant improvement in channel margins.

In Q4, GP was 53.9%, an increase of 270 bps over last year due to 2% discount reduction in retail. Discounting reduction of nearly 2% in retail,

this is a key achievement of this quarter and is a reflection of the strength of our brand portfolio and the quality of execution. We deemphasized USS in winter because winter had set in early in November itself, and we sold off a lot of winter goods in October, December quarter at full price. We also preponed spring goods because spring had also set in early in Feb, almost a month ahead of last year. This helped us to get better sales realization and lower discounting in retail by close to 2%. This has also led to healthy like-to-like growth in retail of 5.2%, delivering a 13% revenue growth in quarter 4 in retail channel with nearly 2% increase in revenue mix. The channel margin also went up handsomely because of the healthy like-to-like growth, along with reduction in discounting. In quarter 4, GP was 53.9% with 270 bps increase over last year due to this 2% reduction in retail discounting, a richer channel mix, and a large gain from sourcing efficiency for spring/summer 25 season. Despite 30 bps increase in marketing, large part of GP has flown into EBITDA, which has

grown by 15% in value in Q4 to reach INR 170 crore s, an increase of 80 bps over last year.

The EBITDA stood at 14.3%. The gains in EBITDA have flown into PBT and PAT, which have grown handsomely at a healthy pace. Business has generated good improvement on FOCF and there is a reduction in debt of nearly INR 75 crores at both gross and net level. And with our asset-light mindset, capex has remained in the expected range of close to INR 100 crores.

We believe that with likely uptick in growth, continuous improvement in GP and EBITDA and with low debt levels, AFL business will generate significantly higher cash in the near term and its ROCE is likely to increase further. The key agenda in FY 26 will continue to be profitable growth with expectation of higher percentage growth, supporting higher profitability. While a lot of growth is linked to external market condition and business does get influenced by economic reality, we are confident of continuing uptick in revenue growth with even better like-to-like growth, higher square foot addition and fast pivot from online B2B to online B2C. Thank you.

I request Ankit to take forward.

Ankit Arora: Thanks, Shailesh. We can now open it up for question-and-answer session

Moderator: Thank you very much. We will now begin the question-and-answer session.

The first question is from the line of Chetan from Systematix.

Chetan: I have two questions. First on adjacent categories. So, footwear, women's, kids and innerwear currently contribute over, say, 20% of revenue and are not a drag on overall profitability. Could you elaborate on the individual profitability profiles of these specific adjacent categories relatively to, say, our core apparel business? And are there any of these categories currently operating at significantly lower margins than the apparel business?

Shailesh Chaturvedi: On adjacent category, we've been very, very focused on our mantra of profitable growth. So, all the adjacent category, one of the expectations is to not be very margin dilutive. While we do sometimes increase a lot of marketing investment, but at a GP level, at a discount level, at a channel margin level, all the adjacent category are profitable.

In fact, categories like footwear are even more profitable than the apparel business and that performed really well. Also, innerwear, we have seen a big turnaround in profitability in the last 2 years, the pivot towards online business. The margin increase in innerwear has been very, very good.

Womenswear, we re-launched, we had shut down the earlier business and re-launched. We've been very, very watchful in terms of making sure that it remains very profitable. The growth is coming at profit at a comparable margin. While sometimes we do invest more aggressively in marketing. But at a fundamental at a business level, all the adjacent categories are fairly profitable and comparably profitable compared to the other apparel businesses, Chetan.

Chetan: That was helpful. Second question is on the new format stores. So, we have introduced and are expanding new formats like Club A, Stride, Megamart, etc. As of today, what is the store count of such formats? And what percentage of your planned 15% net square footage addition is expected to come from these distinct formats in the coming years?

Ankit Arora: Ankit here. So, the new formats are, of course, slightly smaller on scale as

of now. So, Club A, we would have around 5 stores. Megamart, we would have about 50, but that serves a different purpose and Stride would be around 15. Of course, there is a very, very distinct plan for each of them . And probably I'll just ask Shailesh to kind of delve on the square foot expansion.

Shailesh Chaturvedi: See, I'll just give you a little more color on this new format. Megamart, now we have more than 50 stores. Last 3 years, we have really expanded. It's a point where it's growing very rapidl

y in terms of footprint as well as in terms of top line and the efficiency. So that business is really growing very well and rapidly growing.

Stride grown to more than 15 stores in a very, very quick succession. Over 3 years back, we had only 2 stores. Now we are close to 15 stores. We had this issue of BIS recently where the inventory became a constraint , otherwise, we would have opened a little more stores because we at times struggle to even feed the existing Stride stores.

But now BIS is in many ways is behind us. The inventory has started to come. So, in next 6 months, we are very confident that all the supply chain initiatives we have taken on the footwear business, the inventory availability assortment will reach its normal level. And then there's a huge scope to take the footwear business and also the Stride as a part of the footwear strategy to go forward because we want to double the footwear business in the next 3 years. So, Stride will also show that energy.

Club A, currently, we have 5 stores in South. We are still piloting the model. We opened recently in last fortnight a store in Hyderabad. So, we have stores now in Surat, in Bangalore, in Hyderabad. So that model is being still carefully piloted .

We see huge potential in that format, but we still want to see some data .

Once we get the answer of data , we will then maybe in the next 6 months, if the model is green and we'll expand it rapidly. But other 2 formats, Stride and Megamart are already expanding quite rapidly.

Moderator: The next question is from the line of Manish Bhandari from Vallum Advisors.

Manish Bhandari : Good afternoon Shailesh and thanks for keeping up your commitment with the return on capital employed over these last 2 years. My question is related to the store additions. What I see and observe is that you have a lot of store opening and a lot of store closures in the last 2 years. So, net -net, we have just opened 27 stores on our base . So, I wanted to know about the breakup of the brand -wise store additions and deletion, if you can give me some idea?

Shailesh Chaturvedi: We've been aggressively expanding. In fact, just to Manish to say that we've added nearly 1.2 lakh net square foot in this year, which is one of the highest ever for AFL. So, in this quarter, we added 50,000 square feet, which is again a very healthy pace of expansion.

Also, Manish, in this year, we've added 120 stores gross. We also closed 70 - odd stores, but to give you a final number, we opened net 50 stores of adding up 1.22 lakh square feet. In ideal word, maybe next year, we should look at 1.5 lakhs and higher than that.

We have also shut down because some of the stores were too small, not strategic. Their sell-throughs were not good, discounting was higher and also the margin profile of those stores were not, and we took a tough decision because we're always saying that our growth has to be profitable and healthy growth in that mantra.

But most of this cleaning up is behind us, Manish now. And we have closed across the brand stores which didn't make sense. And a lot of these were smaller size stores. The stores that we open are much bigger size. So, the numbers sometimes don't tell the story because we opened 50 stores, but the average size of those stores is much larger than the average size of the stores that we shut down.

So, the data that I'm looking at is FY 25, we added highest ever square foot of 1.22 lakhs. We want to up it further. In FY 26 in our view, should go up to more than 1.5 lakh square ft., and we want to look at a CAGR of between 12% to 15%, more like 15% for square foot expansion.

That's the plan. We have done a lot of back -end work. We've beefed up the team on business development, a new head is in the process of joining. So, a lot of efforts have been made in FY 25 to clean up, increase the

profitability of the retail channel. That's why the GP yo

u see is growing very

rapidly. That's why the discounting is coming down.

That's why our sell-throughs are going up. And then now we want to go ahead and focus on one single agenda of open store - open stores of larger size across the country, and sitting today, we feel very confident that we'll be able to take the square foot addition to close to 1.5 lakh square foot in FY26.

Manish Bhandari : Sure. Shailesh, my second question was related to last 2 years back, you embarked on the journey of repositioning Arrow brand and how successful we are for Arrow as well as for Flying Machine? And you have some profitability target in your mind, which you want to achieve?

And is the Flying Machine still work in progress or it's been done, and we'll see the results for both Arrow and Flying Machine in the next 2 years' time frame? Or maybe what time frame you could be very precise in putting up?

Shailesh Chaturvedi: Manish, I'm very happy with both Arrow and Flying Machine, the progress they've made on the profitability side in quarter 4. Also, when I look at the data for H2 for Flying Machine and Arrow, they've made good progress. So, we are happy with the progress because the profitability in these brands in the low single digit, we want to take it to the mid-single digit and the journey is on.

And if I look back at what we have achieved in H2 of FY 25, it gives me a lot of encouragement that we are on the right path and a lot of cleaning up has happened. Even in soft market conditions, we have seen good improvement in EBITDA profile of these brands. And I'm confident that the short-term target of mid-single digit, we will be able to achieve for Arrow and FM. They're going in the right direction, Manish.

Moderator: The next question is from the line of Sameer Gupta from India Infoline.

Sameer Gupta: Sir, just wanted to understand on your adjacent categories, innerwear, and footwear, what is the absolute revenues that you're clocking in each of these? And what is the contribution of online channel here?

Shailesh Chaturvedi: See, we have guided that the adjacent category revenue share is more than 20% of the company's revenue. And footwear has already crossed INR 300 crore s mark. It's in the journey to reach INR 500 crores and we've stated this regularly. But for the BIS implementation, we would have been higher than where we are close to INR 300 crores.

But with the BIS behind us, all the supply chain initiative taken and now we are seeing assortment improving and availability improving. We will hit INR 500 crore s target in footwear with largest part coming from U.S. Polo, Tommy Hilfiger, Calvin Klein also have a healthy footwear business.

And footwear was started as an online first mindset and it had a higher online share. It continues to be a very strong leader in all the portals like Myntra. So very high, healthy, very profitable share coming from online for footwear and that will continue. While we've also increased the physical footprint, the share from the U.S. Polo store has really grown handsomely.

And now footwear is a very large contributor to the sale at the U.S. Polo stores and U.S. Polo is opening a lot of big stores and footwear is a big solution to a lot of these retail initiatives. And footwear will continue to grow both offline and online and with very strong presence in online.

Innerwear as a business, we are seeing it will cross INR 200 crore s in near future. The pivot we have made from the largely wholesale business in MBO channel to now large online play. So again, this is another category where the online is very, very strong and the profitability of that business is healthy. So, in last 2 years, innerwear business has improved its profitability significantly, and it will grow rapidly in the U.S. Polo stores and in online channel, which is very, very strong. So that's the update on innerwear.

Women's wear, we re-launch

hed and again, here, we started with a digital -

first mindset. The business is largely online. And we've recently done a shop-in-shop for U.S. Polo women in around 30-odd locations across the country. One message I want to just give here is that online is turning out to be big - that's a nice way to initiate or launch new initiatives, test them before we go offline. Online is becoming very, very important in terms of initiation of new categories and new businesses for us. And it's a fairly

strong channel. We get a lot of young customers. We get a lot of zip codes, which we normally don't service. So online channel and our strength in the online channel that we have achieved over the last 5 years is helping us to launch a lot of these new adjacent categories and grow them profitably.

Sameer Gupta: Got it, sir. Sir, the reason why I ask is that what we have seen in other brands is that online helps you grow to a level very fast. But beyond that, it just stagnates and then you have to do the hard grind of offline. So that's why I was asking the online contribution in these categories?

Shailesh Chaturvedi: You're quite right. And we've been also adding omni-initiatives and physical retail and also Omni connectivity in our physical stores. So, footwear, started largely an online play, then we opened Stride and we've opened U.S. Polo stores. Innerwear, we have done the same thing. And womenswear also, we started with online and now going offline. Our mantra is profitable growth. And our brands are quite strong. So, we get access to department store to malls to online players readily. And that's why we're very conscious that we wanted to have a multichannel and very profitable growth of our brands.

Ankit Arora: And just to add, Sameer, what Shailesh said, you are right. What we are really doing in a sense in summary is , in an omnichannel world today, we are testing the entire product range, new categories online first, ensuring unit economics come to a state where we would like, which helps us do that because we are able to service pin codes and service the demand very, very quickly. And then we have our entire close to more than 950 stores available for us to kind of really go out once the unit economics is set and have an omnichannel play to ensure the growth continues. But of course, it will start largely online to test the unit economics and do everything and then move to offline stores.

Moderator: The next question is from the line of Surya Narayan from Sunidhi Securities.

Surya Narayan: So just to understand that our square foot per store is rising . So, are we heading towards closer to 1,500 kind of figure per square foot on a long term? And to understand, whether larger format stores have more operating leverage than smaller ones in terms of managing admin expenses and all this? And thirdly, if you can give the per square foot data for the Club A and Megamart and Stride ? That will help.

Shailesh Chaturvedi: See, there are a lot of layers to your question. So, the average size of the store varies from brand to brand and a format to format, even, let's say, take a U.S. Polo, if U.S. Polo is a kid, then we'll have a certain square foot ideally. When it has a pure accessory plus men largely, they'll have a certain size. And when we do women inside and kids inside and all the accessories, it is a couple of those mega stores that we open, which are around 4,000 square feet. So, it's difficult to say. But I can say one thing is that our focus is on 2 things. One is to represent our brand very strongly and the shopping experience should be worthwhile for a customer to park the car and come into our store and shop.

And that leads to certain minimum size. So, we can't have too many small stores where the assortment gets compromised and for conversion we need a certain assortment. So, the sizes are going up for each of our brand because we want to represent

the brand in a correct way, in a very stress freeway.

Also, our categories are increasing for each of our brands. You look at U.S. Polo, look at Arrow, look at Tommy Hilfiger, look at Calvin Klein, each of our brand adding new adjacent categories. So, the size is to go up.

So, for all the logic, the square foot of our store, our brand for each of the format is going up. That's the reality, and we are encouraging that increase in square footage for each of our format. But , the second and important thing is that we also want a certain sales density, sales per square foot per day or per month because if we don't deliver that productivity, the profitability or the margin profile of the retail will not come through.

So, we always do a sort of a judicious mix that we need a certain minimum square foot, but we also want a minimum sales per square foot. And that based on these 2 lenses, we take a decision on the store. But it's a fact that average size is going up, and we are very keen to open larger size stores to put the might of our brand in front of consumers in a very strong way.

Surya Narayan: Perfect. And another question is that how do you judge a new store performance in terms of seasons? Whether 2 seasons or 3 seasons before

you decide whether to close it or not?

Shailesh Chaturvedi: So that typical, the industry lens on sales density, on the conversion of the customers who have walked in, on the sell-through at full price, the stock turn. So, that remains the same and basically based on the consumer relationship and on the profitability of the capital asset that we have built. On those 2 grounds, then we take a call after a couple of seasons, whether to exit or to continue.

Surya Narayan: Okay. And currently, the adjacent are giving around 20% contribution. So, if we grow at least 9% to 10% minimum, so where we land up in maybe 2 years to 3 years? Will it be the same or it will rise?

Shailesh Chaturvedi: Growth is not 10% in adjacent category.

Surya Narayan: No, overall growth. I'm talking overall growth pie, whether this 20% pie will shrink or grow.

Shailesh Chaturvedi: See, in the short run, we want our AFL growth move up from current 8.5% for the year. Last year, it was 4.5%. So, we moved from 4.5% to 8.5%, and we are really working hard towards the double-digit revenue growth for AFL in the very near future.

And the adjacent category, the way the momentum they have, they will continue to grow at more than 20% and they are a very key reason of why the AFL growth will go up from 8.5% to maybe double digit and that. So, in the short run, I see that adjacent category will grow faster and will help AFL to grow maybe in the near term, that share might go up from 20% to slightly higher.

Surya Narayan: Okay. If you can give the Club A, Megamart and the Stride's average square foot?

Shailesh Chaturvedi: I'll request Ankit to take your details, Surya Narayan, we can send all the details to you.

Moderator: The next question is from the line of Naysar Parikh from Native Capital.

Naysar Parikh: My first question is that you're talking about accessories and other than apparel items. I wanted to check, especially in your brands like CK and Tommy, besides innerwear, footwear, are there any other accessories that you look to add, like bags and belts and other accessories which are not there currently. Is there a scope to kind of increase your pallet to that extent?

Shailesh Chaturvedi: Naysar, Tommy Hilfiger probably is the best case in India of accessorization of a brand. And in our stores, which deliver very high sales density, the contribution of accessories is more than 20%. And the watches, for example, we sell very large number of watches of Tommy Hilfiger. It's a leading category for Tommy Hilfiger and the revenue, if I look at MRP it's into a few INR 100 crores.

It's a very, very large business for Tommy Hilfiger. We also do eyewe

ar, and

we are sort of top 3 brand for eyewear in India. We sell many lakh pieces of eyewear in India, less from our own stores, but eyewear has its own dedicated optician in the eyewear channel and online presence, and we sell from there.

We are the leader, in fact, in department store and other places for belts and wallets. We sell many lakh pieces a year of belts and wallets in Tommy Hilfiger, very, very large business. We also do luggage, which sells from the luggage MBOs and also from online channels. So very, very large business. We sell kids wear - very well-developed kids line in Tommy Hilfiger. We sell socks, we sell perfume. The idea is that once a consumer, he or she walks into our store, it should convert. And every usage need casual, semi-formal, accessory. And we get a lot of young customers who can't buy expensive apparel come to buy accessories and they become our future customer.

So, Tommy is very, very large accessory, probably the best in the country in our industry, a very large business. Also, CK belts with a certain monogram of CK is very, very powerful category. Perfume, CK around the world is one of the strongest perfume brand, and some of its perfumes like Obsession, Eternity, CK One are global stars in the space.

Underwear, CK is one of the best brands for men's underwear and also for women's lingerie products in the country. We did a big campaign; we've been doing with Disha Patani. The underwear at the top end, CK, is the market leader in India. It's a fairly decent sized business. We do handbags, we do laptop bags. We do eyewear. So, in these brands, already very high

level of accessorization has happened .

And also, U.S. Polo is the next brand where you are seeing a lot of new categories, adjacent categories coming and doing. And similarly, we are looking at for other brands like Flying Machine with the ties and the pocket square and the belts, and the wallet. So, each of the accessorization and the adjacent category growth is a very core growth driver for AFL. And in each of our brands, we'll continue to launch successfully adjacent categories.

Naysar Parikh: Got it. Just a follow -up, the things you mentioned like watches and eyewear, and luggage, and all that. So for that also, does the revenue flow to you? Because I'm assuming there are other franchisees who are kind of, I mean, looking at each of those, right? So, the revenues from them as well?

Shailesh Chaturvedi: Mr. Parikh, most of the time, we don't get the revenue, except for our own stores, the COCO stores for Tommy's small business. But there, the focus is on consumer relationships, and we earn the licensing income. So, it comes at the bottom line.

Naysar Parikh: Understood. So basically, you're saying , from your revenue perspective, what you are doing is what you will continue to do?

Shailesh Chaturvedi: In some of the categories, we do it ourselves. Kids wear , for example, Tommy, we do the entire business, we get the top line and bottom line. But a lot of categories in which we are not the experts, somebody else is. We license out like Titan does watches, and they get the revenue, and we get the royalty income.

Naysar Parikh: Understood. Okay. My second question is, especially for something like U.S. Polo, right, you reached INR 2,000 crores, which I think not many brands in India are at that level in apparel. So there now going forward, obviously, if we just look at the core business, keeping the fact that obviously, you're going to do more of innerwear, footwear, et c., but just the core men's apparel business, how do we see growth over there? What avenues will we be looking at? Is there scope in more Tier 4, Tier 3 towns? How do we think about the core U.S. Polo business, especially given the scale it has reached?

Shailesh Chaturvedi: In fact, a very good question. And we've always been saying first thing is to grow the core categories o

f a brand and then look at the adjacent

category because the core business has to grow, and that shows the strength of the brand. And when we do the consumer track , we always check how is the response and affinity with the core categories, which are like Polo T -shirts or outerwear o r jeans, and chinos, et c.

Now, you look at U.S. Polo, we see a lot of categories, core categories having a chance of growth, and we are doing it. And then there are distribution solution also on the product side. Look at bottom wear share, U.S. Polo Association has been largely a bigger top wear brand, very strong casual shi rts, very strong Polo T -shirts. But we've been adding a much higher quality line of jeans, which are seeing very good traction with the consumer, and our share of bottom wear has gone up in the last 2 years significantly. Our team has done a very good job on the chinos and the jeans. Also, categories like round neck tees , we're seeing good traction. That's growing really well.

So, in the core category itself, we see large scope of growth share increasing the share of the wallet or share of the wardrobe for our core consumers. Also, there are scope for distribution, like you said. And the good thing is that at every tier, we see growth. So, in mega metros, we are opening this large size 4,000 square feet or moving from a 1,500 square foot to 4,000 square feet for a higher market share gain.

Second thing is that we are also going to the suburbs of the big cities because many, many opportunities. Like in Bombay, Vasai becomes important or Dombivli , and the airport comes in Panvel, Panvel become important. So, we are seeing traction in the suburbs of the big metros. And the third is the small tier town. Any retailer, any mall in a small town, or a department store going would want U.S. Polo as the first brand in its own box. So, we are fortunate.

Now for making sure this happens, the core categories grow, and we increase the share of wardrobe from the bottom wear, for example, or we go to all the tiers of distribution growth, we are making sure the brand

remains very salient or top of the mind. And that's why you see in U.S. Polo, we have upped the marketing spend significantly. We are focusing on the demand engine so that our market share gains that we are seeing in the brand continue very smoothly. And to ensure that these core businesses grow, we are ensuring that marketing investment increases. And every year, we are increasing marketing as a percentage of sales, we are increasing that, and we're doing very large event. We did one in Delhi at the beginning of March for U.S. Polo, where the global CEO came down. We had a lot of celebrities. We had a Polo game, which I mentioned in my opening commentary, we had an evening there. And a lot of efforts are to make sure the brand remains very salient, top of the mind so that both product-level growth of the core categories and also distribution side growth of the core business, which stays for a brand like U.S. Polo. And I think there's a huge opportunity for growth ahead for U.S. Polo.

Naysar Parikh: Good. Last question, if I may, just for Arrow and FM. Could you give us what was the sell-through last season? And what is it like looking like for this season?

Shailesh Chaturvedi: In fact, both brands we track certain KPIs for full price. And then after the first EOSS, the full season sell-through, we are quite happy across our brand, including for Flying Machine and Arrow, we're doing quite well. And we'll continue to focus on the sell-through so that our discounting comes down.

And when I say our retail discounting came down by 2%, it came down in Arrow and Flying Machine also. I mean, I said last quarter, quarter 3, our like-to-like growth in retail was more than 10% at 11%. But that time, Arrow and Flying Machine has also grown like-to-like at double digits. So, Arrow and FM are doing well i

n their journey, just that they have a slightly smaller scale, and that leverage doesn't happen. And we are working on both solving the efficiency side of Arrow, FM and also the scale side, so that the brands become even more profitable.

Moderator: The next question is from the line of Jaymin from ARDEKO Asset Management.

Jaymin: You're planning to add 1.5 lakh square foot addition in FY 26. So how is it going to split between your new retail format, Club A, Megamart, or Stride versus your mono-brand store?

Shailesh Chaturvedi: See, the bulk of the square foot will come from the existing brands and existing formats, mono-brand stores, what you call, right? So that's where the bulk of our expansion will happen. And we'll, like I said, Stride once the inventory gets, we are going to sort of ramp up further. Megamart is already, we have grown from 0 stores to now 52 large size, 4,000 square feet plus kind of a stores in the last 3 years.

But, the bulk will be the, what you call U.S. Polo store, the bulk will be the Arrow stores, Flying Machine stores, Tommy Hilfiger store, Calvin Klein stores. Those will be the core of the expansion. And a lot of our brands are subscale in terms of the EBO network compared to competition. And there are many high streets and many places, many towns where we are not present, and we have seen in some of our brands, the competition has stores, and we have the sense on the sales numbers of the competitors. So, we have clearly bridged the gap and we will want to expand overall square foot and the new formats will be between 10% to 15% of the share and the remaining 85 %-odd will come from the core businesses.

Jaymin: Okay. And second question on the adjacent category. I mean, on the U.S. Polo, it is around close to 25% of the revenue. So how are you going to ensuring that expansion into categories like footwear, inner wear, or women wear strengthen, rather than dilute the USPA core brand identity or even the premium positioning?

Shailesh Chaturvedi: No. I mean, your point is very valid, and we are very focused on profitable growth, making sure the adjacent category are relevant. We are not going into complete diversification of the brand. And we have the global sort of help from the global head office in Miami of U.S. Polo. They've done extension in some countries like US or some other countries where few have worked, few have not worked.

So, we are also learning from their global experiences, categories work. We are very, very careful, watchful. We only focus on a few 4, 5 categories and make them big because if you don't make them big, it will not be

profitable. So, we are not trying to add too many categories and they become small, small and we don't get the margin profile.

So, we'll be very careful. But whatever we decide, we will go wholehearted and we will invest heavily behind the growth of those channels. We'll not shy away. So, we do a few things, but we'll go very deep in those few things.

Moderator: The next question is from the line of Devanshu Bansal from Emkay Global.

Devanshu Bansal: Congratulations on good execution in FY 25. Sir, my question is on Q1 till date, right? So Q4 has seen some like -to-like moderation. So Q3, we were double digit and now we're back to single digit, which suggest that demand environment is still sluggish. So, I wanted to understand whether the current trends are already reflecting the expectation of 12% to 15% kind of growth for FY 26?

Shailesh Chaturvedi: Whatever we witnessed in the first 45 days of quarter 1, we have witnessed some uptick in our like -to-like and growth rates. Of course, it's early days, there's still a lot of quarter left, but we are quite happy with the way the Q1 is going till now. Also, to increase for the full year, the growth, we will need to open much more square foot, and we are working very hard to make sure that our square foot expansion crosses

1.5 lakh net that

I spoke about earlier in the call.

We're also hoping that some of the government efforts on tax or on interest rates sort of work out and there is some tailwinds, which will help us so that we can improve our like -to-like growth. Last year was 5%. And if the market supports a little bit, it could be a little higher percentage, and that could also help us go.

We're also seeing the online -- this whole B2B to B2C pivot has become strong. B2C is growing really rapidly, more than 25%. So as the B2C gains continues to have that momentum, then the growth will go up.

So, we are very confident that if markets sort of support a little bit, we will hit our aspiration of 12% to 15% and surely, higher than 8.5% that we have delivered in FY 25. That of course, it all depends on the market condition.

We cannot guarantee. But with our efforts, we feel confident that we will be given the normal market and slightly better market, we will be able to take it 8.5% to double digit and then to 12% to 15%.

Devanshu Bansal: Very encouraging, Shailesh. So, another thing which I wanted to understand from a brand perspective. So whatever growth acceleration we are anticipating, is there any specific brands that should grow faster or the entire portfolio of 5 brands should grow more or less in line with the overall growth?

Shailesh Chaturvedi: I think every brand has its own dynamics. U.S. Polo has very strong momentum. It has very strong investment done in FY 25. So, based on that strength of the brand and the investment, it should have the momentum, it should grow faster. Arrow and Flying Machine have a lower scale. They are a little subscale. So, this offers a little more opportunity for a faster growth on those brands.

Tommy, CK continued to grow at double digit in the last so many years. They are market leaders. The consumers continue to love them. So, each segment, each brand has its own dynamics. But I think overall, our businesses all will grow. And we have these 5 brands, focused brands, and we want to invest wholeheartedly in the demand generation for each of our brands and grow towards our aspiration for 12% to 15%.

Devanshu Bansal: Understood. Sir, lastly, I wanted to understand you have given growth acceleration from top line perspective. Margin improvement of 100 bps is also very encouraging. Can we also see some improvement on the working capital front? Do we have some target from that perspective also?

Shailesh Chaturvedi: I think we have made a huge progress on balance sheet item, our inventory levels turns of 4. We moved from 3 turns to 4 turns consistently, if you look at last many quarters. So, from where we are on inventory, for example, further increase will happen, and we are looking at all the analytical tools, the core business, the vector supply chain project.

So, some improvement for sure will happen, and we are very ambitious and hungry for that, but it won't necessarily be in the same proportion. It won't go from the way it went from 3 to 4, it will not go to 4 to 5. It will be much harder working strategy from our side. We are putting shoulders to the wheel.

But I must guide you that the balance sheet side, the improvements have been so, so stark and so good that the progress from here would be good, but it will be at a slightly slower pace, our debtor level. Look at our NWC has been consistently below 60 days.

And from there onward, improvement will happen, and we are confident we'll be able to get some better inventory turn. But we'll have to do some more transformation, and we are working on some of those thought processes to see how we can improve further.

Moderator: The next question is from the line of Soumya from Insightful Investments.

Please go ahead.

Soumya: Yes. Sir, my question was regarding Arrow and Flying Machine, you said something about mid -single -digit growth? Or was it mid -single -digit EBITDA margin

margin that is expected?

Shailesh Chaturvedi: What I said was that these brands have low single -digit EBITDA. And in the short term, our idea is to take them to mid-single digit EBITDA margin because eventually, long -term goal is that all each of these brands have to be double -digit EBITDA. And when I say EBITDA, it's pre-Ind AS, I'm saying. So pre-Ind AS EBITDA level, what I had meant was a low single -digit EBITDA, which our game plan is to take them to mid -single -digit EBITDA and then hopefully further increase.

Soumya: Understood. And sir, so you have achieved already 8.5% of revenue growth this year. And you spoke about double -digit growth in the near term. What timeline are we looking at for the double -digit growth?

Shailesh Chaturvedi: I think in FY 26, our game plan is to hit double digit and why not 12% also.

But we'll need some support from the market because, some of the channels have been subdued like wholesale. But our online direct channels and our direct channel online B2C and retail are growing really well.

And if you look at the traction, retail last 3 quarters has been growing closer to 15% and square foot expansion, like -to-like growth, premiumization, all those drivers are helping. Also, on B2C, the growth has been higher than 25%. We build a lot of capabilities ahead of the time. launching new websites, increasing the Omni coverage, more stores, the whole focus on online exclusive based on analytics, a lot of good work has happened there. So, we are confident that these direct channels will continue to really accelerate and grow.

And we are hoping that some of the slightly slower channel like the wholesale channels, whatever we have done, correction in the inventory and a little bit of improvement in the market condition, then they should go back to the potential of high single digit. And if the wholesale channel moves towards the higher single -digit growth and with the continued growth of retail and online B2C, we should hit 12% revenue growth for AFL.

Soumya: Okay, sir. Understood. And just one last question. You've spoken about how to ensure your assortment and more categories and brands increasing to have larger sized stores. Will you continue to have like FOFO stores? Or will the company also have COCO stores for increased sizes?

Shailesh Chaturvedi: See, I've said this in many investor calls that our mindset is asset -light.

And we want to remain very asset -light in terms of the capital deployment.

So, most of our store expansion, the first preference always is a FOFO model with the franchisee investment. And we have figured out, we are very sort of motivated high -quality franchisee in our network. With these partners, we want to grow and we want to increase the square foot addition.

The only brand where we have been doing COCO store is Tommy Hilfiger because that business generates very large amount of cash. And as a part of the cash allocation, we are realizing that the IRR on investment in the Tommy store is very, very healthy. So, we've taken over more than 70 stores of Tommy on a COCO basis.

But other than that, one format, most of the other formats are preference is for a asset -light FOFO model. Sometimes based on uniqueness of property or landlords wish or some specific instance, we do COCO store, but that's not a strategy. The focus is on asset -light expansion.

Moderator: Ladies and gentlemen, due to time constraints, that was the last question. I now hand the call over to Mr. Ankit Arora for closing comments.

Ankit Arora: Thank you, everybody, for joining us on the call today. If any of you have any further questions, please feel free to reach out to me separately, and

I'll be happy to answer them offline. Thank you and have a good day.

Moderator: Thank you. On behalf of Arvind Fashions Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines

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Note: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes

no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Aug 2025

August 4, 2025

To,
BSE Limited
Listing Dept. / Dept. of Corporate Services
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001

Security Code : 542484
Security ID : ARVINDFASN To,
National Stock Exchange of India Ltd .
Listing Dept., Exchange Plaza, 5th Floor
Plot No. C/1, G. Block
Bandra-Kurla Complex
Bandra (E)
Mumbai - 400 051

Symbol : ARVINDFASN

Dear Sir/Madam,

Subject: Earnings call Transcript with Analysts and Investors for the first quarter ended on June 30, 2025

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, beneath is the link of transcript of post results conference call with Analysts/Investors held on Tuesday, July 29, 2025 to discuss the financial performance of the Company for the first quarter ended on June 30, 2025.

<https://www.arvindfashions.com/wp-content/uploads/2025/08/Earnings-Call-Transcript-Q1-FY26.pdf>

This is for your information and records.

Thanking you,

Yours faithfully,

For Arvind Fashions Limited

Lipi Jha
Company Secretary

Q1 FY2026 Earnings Call Transcript – July 29, 2025 CORPORATE PARTICIPANTS • Kulin Lalbhai – Vice Chairman & Non-Executive Director • Shailesh Chaturvedi – Managing Director & CEO • Girdhar Chitlangia – Chief Financial Officer • Ankit Arora – Head, Investor Relations and Treasury

Moderator Ladies and gentlemen, good day, and welcome to Arvind Fashions Limited Q1 FY26 Earnings Conference Call. As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Ankit Arora – Head, Investor Relations & Treasury at Arvind Fashions Limited. Thank you, and over to you, sir. Ankit Arora Thank you Pari. Hello and welcome everyone and thank you for joining us on Arvind Fashions Limited earnings conference call for the first quarter ended June 30, 2025. I am joined here today by Kulin Lalbhai, Vice Chairman and Non-Executive Director, Shailesh Chaturvedi, our Managing Director and CEO and Mr. Girdhar Chitlangia, our Chief Financial Officer. Please note that result press release and earnings presentation had been mailed across to you yesterday and these are also available on our website www.arvindfashions.com. I hope you had the opportunity to browse through the highlights of the performance. We'll commence today's call with Kulin providing his key strategic thoughts on our first quarter and full year's performance. Post that, we will have Shailesh, who will cover the details of business highlights and financial performance. At the end of the management discussion, we will have a Q&A session. Before we start, I would like to remind you that some of the statements made or discussed on this call today may be forward-looking in nature and must be viewed in conjunction with risks and uncertainties we face. A detailed statement of these risks is available in this quarter's earnings presentation. The company

does not undertake to update these forward-

looking statements publicly. With that said, I would now turn the call over to Kulin to share his views. Thank you and over to you Kulin. Kulin Lalbhai Thanks, Ankit. A very good afternoon to you all. Thank you for joining us for the Q1 Results. I would first like to talk about the change of leadership at Arvind Fashions, which we announced a couple of weeks ago. As part of the succession planning of the organization, we will have Amisha Jain join us as the Company's new MD and CEO effective August 13, 2025. Amisha is a seasoned leader with over 25 years of experience across technology, consumer and retail sectors. She joins us from Levi's, where she led the transformation and scale up of the br

and spanning multiple geographies. She has deep digital expertise and has also worked in transformation assignments with new age business models. She has a strong understanding of the new age customer, and we believe she is well positioned to lead the charge for AFL and take it to the next level. Also, I would like to take this opportunity to thank Shailesh for his immense contribution towards executing a sharp turnaround at AFL, driven by profitable growth and strengthening of the balance sheet. He has been instrumental in getting the business to this stage. In his 19 years with Arvind, he has built Tommy Hilfiger and Calvin Klein into the most respected franchise in the lifestyle space in India, and has thereafter energized the entire AFL portfolio. He leaves behind a wonderful legacy, which we will now build upon. I am extremely excited about the future of AFL. We have one of the most compelling portfolios in the business. We also have strong momentum across our brands with improving growth rates and higher profitability. We

will continue to strengthen our direct distribution channels, both retail and online, which will also entail investing more in product differentiation and premiumization, and also an increased investment in marketing. We will further sharpen our existing capabilities and add new ones, as required. In doing so, we hope to accelerate our growth, and at the same time drive a further improvement in profitability, which in turn should drive a higher return on capital employed. Let me now talk a bit about our Q1 Results. FY26 has witnessed a strong start with revenue growth clocking 16%, along with improvement in profitability and a significant increase in our bottom line. It's pleasing to note that the growth is all around led across channels, especially strong growth in our direct channels of retail and online direct-to-consumer. Our efforts over the last 12 to 18 months, including retail network expansion, coupled with higher investments in marketing to reenergize our brands, have yielded strong results. We invested 140 basis points higher in Q1 in advertising on a year-on-year basis. And despite that, we saw 20% growth in EBITDA, resulting in a multifold increase in our PAT. Moving forward, we hope that the demand environment should improve on account of the government's efforts as well as the onset of the festive season. And with investment across all our growth levers, we expect an uptick in growth rates for us on a comparable basis vs. last year. With that, I would like to now hand it over to Shailesh to take us through the specifics and more details about our financial performance. Shailesh Chaturvedi Dear friends, Hi. The story of Q1 results of AFL is growth. Impressive growth of 16% in NSV and EBITDA growth of 20%. There is all-round growth across channels and across brands. NSV in Q1 is Rs. 1,107 crores and

EBITDA is Rs. 148 crores. Our strong effort on growing direct channels of retail and online B2C has gained further pace in Q1. This group has now reached nearly 60% of AFL revenue. Retail growth is very healthy at 15%, backed by impressive like-to-like growth of 8.1% with addition of nearly 40,000 square foot. Online B2C channel also grew more than 30%, establishing further our pivot away from wholesale online to online B2C. The share of digital business has crossed 25% with very good improvement in profitability. I am also very happy to share that wholesale channel growth has picked up to double-digit growth, impacted by better freshness of inventory, higher salience of our powerful brands and better trading environment. We saw very impressive consumer traction at premium department stores. At brand level, our intense investment into our marquee brand U.S. Polo Association is bearing fruit, and the brand has grown more than 20% in Q1. Tommy Hilfiger and Calvin Klein business has also grown double digits, delivering exceptional margin profile. This acceleration of growth at AFL to 16%

is backed by huge improvement in freshness of inventory, very sharp execution of consumer promise, very high 140 basis points increase in advertising, opening of nearly 40,000 square foot additional retail space, and strong momentum in our growth drivers like adjacent categories and digital business. Kids wear, innerwear and womenswear have all grown impressively on an average by more than 25% in Q1. With BIS issue largely behind, inventory situation in footwear business has started to improve, and we expect footwear growth to inch up further moving forward. The growth in EBITDA at AFL in Q1 is 20%, a 50-basis point improvement despite heavy 140 basis point increase in advertising. Reduction in retail discounting by 1.2%, move

to richer channel mix, cost efficiencies in sellex, supply chain and scale leverage have all led to improvement in margin. GP has gone up by 60 basis points to nearly 56%. We felt that this is the right time to invest very aggressively behind marketing. We saw opening in the market to fuel growth of marquee brands like U.S. Polo Association and Tommy Hilfiger, etc., to gain salience, gain market share and to grow aggressively. A lot of this marketing investment has gone into online visibility for recruiting new consumers, including younger consumers and consumers in small towns through our wide online reach. Our brands are market leaders across channels, and this market investment will further strengthen our leadership position. One very happy example of this marketing investment has been investment of Tommy Hilfiger into F1 movie that got released recently. You can see very strong brand visibility and brand association with Tommy Hilfiger in this movie. We saw immediate spurt in brand search and increase in walk-ins with this film association and the special F1 capsule of garments in Tommy Hilfiger got sold super quickly. AFL has continued its focus on tight balance sheet control with stock turns of 4 and steady management of working capital. Our inventory has never been more fresh than it is currently. We are seeing the results of investment into supply chain improvement and seeing better sell-thru with better quality of product assortment across our brands. In this journey of profitable growth, the PAT in Q1 is at Rs. 13 crores versus Rs. 1 crore in Q1 last year. The growth in PBT is nearly 65%. We have also benefited from better trading conditions than what we had seen in the last year Q1, where there was impact of general elections. This year, April, May saw more wedding dates and lesser heat waves. Based on the business we have seen in the initial days of Q2, the outlook remains encouraging, and we are likely to see double-digit growth, which is higher than the growth we have seen earlier in the last one year. Of course, the actual numbers will depend

on market forces. There are uncertainties. But with early onset of festivals, we are encouraged by the demand coming from our channel partners. This is my final investor call as MD and CEO of AFL, and I take this opportunity to express my sincere and wholehearted gratitude to all investors of AFL, to the promoter Lalbhai family who have supported me in the last 19-year journey, where I have led development of Tommy Hilfiger and Calvin Klein business, in addition to rapid turnaround of fortunes at AFL in the last four-odd years. It is great to leave when the business is at such strong momentum and when the ROCE has crossed 20% mark. I also wish all the best to the new colleagues at AFL, including Amisha Jain, who soon takes over as MD and CEO of AFL; and Satyen, who soon takes over charge as CEO of the PVH part of the business. I wish AFL even better days ahead. I will always root for this Company. Wishing everyone good luck, heartfelt gratitude for support this community has provided to me in this assignment. All the best friends. Ankit Arora Thanks, Shailesh. Pari, we can now open it up for question-and-answer session. Moderator Thank y

ou very much. We will now begin the question-and-answer session. The first question is from the line of Param Vora from Trinetra Asset Manager. Thank you. Param Vora Hello, good afternoon. Thank you for taking my questions. Congratulations for great set of numbers. So my question is that with the plan to open around 150 stores in financial year 2026, so what is the average breakeven timeline for new stores? And what specific regions or cities are being targeted for the expansion plan? Shailesh Chaturvedi Hi. We are seeing traction for our brands across the country, both offline and online. So we will continue to expand the square foot in top-tier town as well as in Tier 2 town. What we have noticed is that a very, very acceptable brand like U.S. Polo Association, we see demand from every new retailer, every new mall, every new department store across the country, be it Tier 2, Tier 3, Tier 4 cities. So we will continue to use that demand for our marquee brand. Same thing we see for Arrow and other brands like Tommy Hilfiger and Calvin Klein. So in terms of the geography, we are looking at expansion across cities. Yes, for some of our brands, there's a metro focus, and we will continue to expand in the top 15 cities. But for most of our brands, including Flying Machine and U.S. Polo, we will continue to expand across the country irrespective of the tier of the brand as far as the breakeven is concerned. Girdhar Chitlangia The usual breakeven for most of our stores is between 12 and 18 months depending on the brand and the city and the catchment. Param Vora Okay, sir. Thank you. Moderator Thank you. The next question is from the line of Fatema Pacha from Mahindra Manulife. Please go ahead. Shailesh Chaturvedi Hi, Fatema. Fatema Pacha Hi, sir. Great job at U.S. Polo and Tommy and CK. If you could just throw some light on how Flying Machine and Arrow is doing. And we are just trying to figure out how to interpret the minority interest because if CK and Tommy has done well, definitely minority should have gone up. But I am assuming Flying Machine has had a drag this quarter. Is that fair? Shailesh Chaturvedi Let me first start with Arrow and Flying Machine, and then I will take on the question on the minority interest. So, as far as Arrow and Flying Machine, what we have been talking about in the investor calls, the situation continues. We are in the journey of improving the profitability from low single digit to mid-single digit. That journey is progressing well. In this quarter, we saw very good like-to-like retail growth in Flying Machine. We saw very good department store growth in Flying Machine. And also, all the direct channels that I spoke earlier, Arrow, has performed really well in that. And we review the progress every season. And at the end of this season, we will again review the progress of Arrow and Flying Machine on course. And these businesses will continue to grow fast and move towards their mid-single-digit EBITDA, that's the plan. As far as the minority interest is concerned, Tommy and CK have had a very good quarter. They continued to grow at double digit with very good margin profile. You are right in the sense that there is a third brand in the minority interest, which is the Flying Machine. And given the channel situation of Flying Machine, there is a seasonality impact, and there is a correction in Q1 for Flying Machine, which will get corrected in the Q2. It's a normal business cycle based on the channel mix that brand has. And at the end of the season in H1 you will see good progress in Flying Machine as well. So, business across the brands has done well. Both Arrow and Flying Machine have delivered double-digit retail like-to-like growth. And we are very, very encouraged by this double-digit growth in the retail like-to-like for both the brands. Fatema Pacha Okay. So they are pretty much strong growth in those two brands and maybe margin improvement may yet not have come through in Q1, is that f

air? Shailesh Chaturvedi It's a seasonal thing in Flying Machine and both brands are in that journey of mid-single-digit EBITDA growth and they are gaining scale. So, the progress is on, and it's reflects in our numbers, Fatema. Fatema Pacha And sir, secondly, if you could just tell us how did the sales season on go for us? And in general, if you have any insights on how the consumer has behaved? Shailesh Chaturvedi I mentioned that we had advertised aggressively which got very good walk-ins, both online, offline, and numbers have been sort of good in our brands. We have delivered very good full price sell-thru. Our discounting has come down by nearly 1.2%, which has increased our GP. So we have been very, very happy, and we delayed because of that the end of season towards the last week of June. We did see slightly early discounting in the industry, but we registered because our sell-thru were very good. We were trading really well. And we gained market share and we gained margin on that. So we continue to do well. Market share gains have happened. Our like-to-like growth at 8% is higher than what we have seen in industry. Overall growth at 16% is higher than the industry. So, we have done well. And our need for playing a very big role in season end sale is less, and we have discounted less, and we have gained margin because of that. So our inventory health is good. We have never seen this fresh inventory in our business in the past. So overall, the dependence on end of season is less. We are going on sale later than the industry. And we are gaining market share and we are gaining consumer acceptance. So, all in all, we have had a very good season. Fatema Pacha Okay, sir. Thank you. If I have questions, I will join the queue. Moderator Thank you. The next question is from the line of from Chetan from Systematix Group. Please go ahead. Chetan Hi. Thank you for the opportunity. And congratulations on a healthy set of numbers. Just one question on channel mix. So we are aiming to increase the share of direct channels. And along with it, we also expect the wholesale channel to grow at, say, around 8% to 10%. So what is the optimal target channel mix we are aiming for, say, in the next two to three years? Shailesh Chaturvedi See, we have addressed this question in the past, and I reiterate that our emphasis is on growing direct channel because the whole north star for us is ROCE, and we see very quick conversion of inventory and cash in direct channel. We get to influence consumer directly. It gives us a very good opportunity to do the assortment of the product the right way. Also, it helps us to use our supply chain intelligence to do the demand

planning quite smartly. So currently, we are reaching close to 60% of our revenue from direct channel. And this business has grown really well in Q1 with very good profitability. Retail has grown at more than 15%. B2C has grown even higher percentage than that at more than 30%. So, this strategy is working really well for us. Our inventory turns have been very good. The freshness of inventory is very good. At the same time, our guidance for growth towards medium-term growth of 12% to 15%, we believe that our direct channel will continue to grow close to 15%. At the same time, we believe that wholesale channel, which is the MBO and the department store has an inherent potential to grow at high single digit. In the previous couple of quarters, the growth was not in high single digit, but we have made a lot of efforts. We have changed the inventory, the freshness of inventory in department store, MBO is very good. We have increased our advertising spend very aggressively so that we are top of the mind, gaining market share. Because of that, the department stores and the MBO have also grown. So the wholesale channel has also grown at 10% in this, thereby increasing our overall growth in Q1 to 16%. So we believe that direct channel strategy is the right strategy and both the channels,

direct retail and B2C online will grow. Retail, we will keep expanding square footage. We have a certain goalpost on that. We will continue to pitch for high single-digit like-to-like growth. We are also pushing B2C agenda through a lot of online exclusive with the intelligence analytics backing it. We have omni, we have launched our website of U.S. Polo. So a lot of efforts have gone to keep the growth of direct channels at around 15% above. Wholesale channel, with all the efforts we have done have revived. Also, the season was good. We had weddings in April, May. All that also has impacted favorably. So we believe that inherent growth of wholesale will remain in high single digits. And thereby, we will be able to grow at 12% to 15% in the medium term. In the short run, we have visibility that double-digit growth is possible. Based on how the market plays out, it could land in 12% to 15% growth. But we are very confident that we will grow at a higher pace because our square foot expansion is going up. So we will continue to grow in double digit. And hopefully, our aspiration is to land in that 12% to 15% guidelines that we have given for revenue growth.

Chetan Okay, sir. Thank you. Moderator Thank you. The next question is from the line of Deep Shah from Equirus Securities. Please go ahead. Deep Shah Hi, sir. Thanks for the opportunity. And congratulations on a good set of numbers. Sir, if you see this quarter around, if you see across retailers, apparel retailers, we have seen some moderation in growth. Whereas for Arvind Fashion, we have improved our like-for-like growth on a sequential basis. So, having posted, say, 16-odd-percent sort of a top line growth for 1st Quarter, shouldn't we expect Arvind Fashion doing, say, more than 15% at least in the near term? Shailesh Chaturvedi See, Q1 has seen significantly better growth than last year. And we have seen macroeconomic tailwinds, the stimulus that government has provided on the tax rate cuts and the interest rate cut. We believe those steps will help the demand environment to get better going forward. We remain aspirational, like I said, for a growth of 12% to 15% trajectory. It's still early days in the year, very early days in the Q2. Our efforts, the direct channel strategy and all the priming of our growth engines and all our growth engines are in very, very good health and a lot of investment has gone. So, we believe that we will hit double-digit growth for sure. We have visibility for that. Whether it will land into our aspirational goalpost of 12% to 15% will depend on the market condition, how the market behaves, but we are committed to that growth of 12% to 15% in the medium term. And then in the short run, we see clearly an accelerated growth from what we have delivered in the past and double-digit growth looks possible. And based on how the market behaves, it could be slightly higher or it could be slightly lower based on how the market forces pan out. But we are feeling very encouraged by the Q1 Results, and we are very encouraged by the early festival and the demand that we are seeing from the channel partners. So let's see how market behaves going forward. Deep Shah Okay. Got it, sir. Secondly, sir, you indicated, say, around 20% sort of a growth in U.S. Polo. Can you highlight which were the categories which has been driving growth? In the past we have talked about bottom wear, women wear, so which are the product categories which is driving growth here? Shailesh Chaturvedi See, we have really looked back in the last two years in the industry, very few brands have seen the level of investment that we have made behind our marquee brand U.S. Polo Association, be it marketing, be it retail upgradation, be it product assortment improvement in the quality, the supply chain, online website that sort of we launched two years back, and the back end, a lot of improvement in the team, etc. So the brand has seen a large investment towards the growth in the las

t two years. And we are seeing that it's a brand which is firing across channels and across product category. Now, if you have to single out, I have seen very, very good growth in all the adjacent category in this brand on one side. And we have also seen very large digital growth of business in U.S. Polo. So adjacent category, womenswear, which we launched more than a year has grown more than 50%. The innerwear has started to do very well. It's growing rapidly. Kids wear saw more than 30% growth in this quarter. So all the adjacent categories are growing very rapidly. At the same time, this whole growth of online business, where our pivot from wholesale B2B to more like a D2C online has now seen growth in U.S.

Polo and the growth in B2C part of U.S. Polo is extremely impressive. So, U.S. Polo is seeing good traction. And as per our AFL strategy of growing the business direct through website, through marketplace model, through omni linkages of our store, through better product assortment, through better shopping experience, through growth of adjacent category. We opened large marquee stores in U.S. Polo. We are expanding a large amount of square foot across the tiers of towns. So, U.S. Polo last year crossed Rs. 2,000 crores, and it's growing very, very handsomely, and it is going to be a very, very large brand in India. Deep Shah Okay. One last thing, sir, if I may squeeze in. Sir, with say Amisha joining in from Levi's background, who has been a very, very strong brand in bottom wear, so how is the aspiration for the bottom wear brand? Because typically, U.S. Polo is mainly for top wear – casual shirts and Polo T-shirts, so what's the aspiration for the bottom wear? Do we expect bottom wear being a very meaningful driver in the years to come? Ankit Arora Kulin, you would like to take that, please? Kulin Lalbhai Yes, yes, I can take that. I think denim, in general, if we step back, is a very interesting opportunity for us as a Company because we have three brands, in a sense, straddling very, very different price points. We have got Flying Machine, which is youth focused at a very sharp price point. Then we have U.S. Polo, which has emerged as a top three denim wear brand in all the department stores and multi-brand outlets. So it has risen in rank extremely fast. And then we have the top luxury denim brand in the country with CK. And even Tommy, between USPA and CK, is looking to strengthen its presence in the country. So, I think we have extremely exciting denim offering as a Company. And in fact, even in our current plans, we

are leaning into that category because

we see definitely a large addressable market emerging. There is only one strong brand in the space. So, we want to gain share. And I think in our top-to-bottom ratio, for bottoms overall in the next three to four years, you will see an improved share of bottoms to tops in the Company as we execute on these plans. Deep Shah Done, sir. Great, thank you. Thanks for the opportunity. Moderator Thank you. The next question is from the line of Palash Kawale from Nuvama Wealth. Please go ahead. Palash Kawale Thank you for the opportunity. Congratulations to the team for good set of results. Sir, my question is on marketing spends, like would you expect these trends to be higher for the whole year as well? Shailesh Chaturvedi Palash, we have taken a stance to very aggressively invest behind advertising. We see scope of market share gain and higher growth, and we have increased in this one 140 basis point increase. We are committed to this strategy. It's not a one-off. And you see the last year also, we are steadily increasing our advertising spend, our big brands are becoming bigger. So it's a conscious strategy to increase the advertising, remain top of the mind and gain market share. And this strategy will continue in FY '26. Palash Kawale Okay. Thank you so much for that. And yes, that's also on my side. All the best to you, sir, it has been a pleasure interactin

g with you over the concall. Thank you. Shailesh Chaturvedi Pleasure, Palash. Moderator Thank you. The next question is from the line of Varun Singh from AAA PMS. Please go ahead.

Varun Singh Thank you for taking my questions. Sir, congratulations on extremely good set of numbers. My first question is, trying to understand the channel performance and expectation of the channel performance in FY26. As you pointed out, 12% to 15% kind of an overall growth. So I mean, in the retail channel I think 8% like-to-like and 16% revenue growth is an outstanding performance. But looking back in history, in the wholesale channel and online and others, how should we look at these two channels with regards to expected growth? Please throw some light on these two channels. That's the first question. Shailesh Chaturvedi Varun, I just mentioned in the previous question that our strategy is clearly to push growth through direct channel, and there are a lot of strategic advantage of that pivot. And we believe that both these channels will grow at around 15%. Retail will grow through healthy like-to-like growth. If you look at our track record last three, four quarters and even this quarter, we have been delivering better than the industry like-to-like growth. If you look at Q3 last year, we had 11% like-to-like growth. And then if I look at this year, 8% in the last three quarters, our like-to-like growth is in the high single digit. Also, square foot expansion, we have done a lot of hard work on the ground. We see a huge opportunity to grow the square footage 12%, 13%, nearly 150 stores expansion possibility. We opened nearly 40,000 square foot net in this quarter, and the growth will continue. Likewise, new retail identity, renovation of stores, better and scientific lay outing, better shopping experience in retail, all these things are helping us to deliver very good numbers and the growth in retail, and we believe that retail channel can grow at 15%. Obviously, there will be ups and downs. The like-to-like will depend on how the market conditions are. But if the market remains more or less steady without any terrible news, then we believe that retail will grow at 15%. B2C pivot is happening. We have consciously pivoted the business from wholesale to retail kind of mindset B2C online. We created inventory online exclusive. There's an analytics that is helping, there are omni linkages, we have websites for U.S. Polo Association. So that business is growing very fast, more than 25% growing. And it will also, combined with retail, will ensure that our direct channel 60% of our business grow at around 15%. So we have growth drivers which are prime. Adjacent category do not take that much of space in the store, and they are growing. And in online also categories like footwear, innerwear, showing very good momentum. So both B2C and retail are likely to deliver together a 15% CAGR and drive our growth towards 12% to 15% at a Company level in the medium term. Varun Singh Sure. So that's very clear, sir. Lastly, I wanted to understand the B2B part, given that 40% of our exposure, I mean, 61% is B2C and retail, we have I think done exceptionally well since the past several quarters, and we would have outperformed the number one player in that category, I mean, from the retail channel point of view. So largely, I wanted to understand from the wholesale channel and the online B2B part, like is it fair to assume 10% to 12% kind of a growth in these two channels? Or we think that we can do 12% to 15% kind of a growth even in these two parts. Shailesh Chaturvedi See, I again reiterate the direct channel, our aspiration for 15% growth. We are by far the largest online player in the industry, be it any portal, overall size of business, the Company has invested in online ahead of time. So that engine is working really well, and it should grow based on how the market conditions pan out around 15% minimum.

The question on wholesale, we believe the inhere

nt potential of the wholesale channel, which is MBO channel, which is department store, which is the online B2B, all these put together, we believe this channel set can grow at high single digit. That's the inherent potential of our brand in these channels. Sometimes based on the market, it's less. This time, we have favorable growth, double-digit growth in these channels put together. These channels, our aspiration is to see them grow very profitably at high single digit. And we will always be conscious of the quality of our growth. In MBO channel, we will always be very conscious about the hygiene. We make sure that our stock levels, our debt levels are very strong. In online B2B also we will be very conscious of hygiene in terms of discounting and other things. So, we will make sure that quality of growth is very, very top quality, high standard, and we want to deliver high single digits in the wholesale channel. Varun Singh That's very, very clear, sir. And my second question is on the margin front, given the change in the leadership, I mean, is it safe to assume that the margin guidance and everything that is 100% intact, and we can expect maybe 50, 100 bps kind of an EBITDA margin expansion in FY26? That's my last question, sir. Kulin Lalbhai Yes, I can come in here. I think our focus, as we have very clearly said, is to build very exciting brand franchises. And everything that has been carried out in the last three to four years has been along the lines of how to make our brand stronger. So bolder retail, better products and impactful storytelling. These have been the themes that the Company has invested in. And this is leading to organic growth where each of our brands becomes larger, and that is when the operating leverage flows in.

So as we move forward, we are very, very clear that, that is the strategy of the Company. We want to, over time, build larger and larger brands. I think there will be a time in India where even Rs. 2,000 crores, Rs. 3,000 crores is not the largest that a leading brand could be. So we will make our brands bigger and bolder and ensure that as they scale, there is a

commensurate operating leverage which kicks in and a stronger OCF profile, which emerges in the years to come. Varun Singh Thank you very much, sir. And wish you all the very best. Moderator Thank you. The next question is from the line of Niraj Mansingka from White Pine Investment Management. Niraj Mansingka Thank you for the opportunity. I have a question on the adjacency, especially the footwear side. Can you give some thoughts on how do you see that growing considering there is a BIS issue, which is overhang on the supplies? And an opportunity where you can take advantage of the brand, especially like a sneaker market or other markets where the footwear is growing much faster in that side? Shailesh Chaturvedi Hi, Niraj. Niraj, I want to just step back and look at how we, as a Company, built footwear business. There was a large investment ahead of the time in the footwear vertical. We put a dedicated team. We put dedicated footwear experts in the brands which were otherwise largely apparel brands. And that early investment has paid off for us. And very soon, U.S. Polo sneaker became the top brand on the portal like Myntra, etc. And the business has grown at 30% plus in the past. And it's touching close to Rs. 300 crores mark, and our aspiration is to take the footwear portfolio to Rs. 500 crores, very profitably with double-digit EBITDA pre-IndAS very soon.

We had one sort of aberration when the government policy on BIS came and they sort of put restriction on the import of footwear and some additional conditionality, and that impacted the entire industry two years back. And it's taken some time to live life in this new regime and conditionality. And we have moved very fast. We have adjusted our supply chain very, very rapidly. And today, we have now started getting inventory in our stores in the new situation under BIS.

And our brands like U.S. Polo continue to be a leading brand. We do very large footwear in brand like Tommy Hilfiger, Calvin Klein. So that business is now touching close to Rs. 300 crores business. We did see depletion of inventory like the industry saw, that impacted our growth and that impacted our like-to-like in our exciting retail format called Stride, where we sell a lot of footwear. Now the BIS is behind us more or less and the inventory position has started to improve. We expect that next one year time, footwear business will grow very aggressively on a sort of a corrected base and will again move back to a growth phase of around 20% to 25% based on the market conditions. So this is a very exciting piece, very profitable double-digit pre-IndAS EBITDA and a scale, which could be Rs. 500 crores very soon as the inventory builds up. So it's an area of immense strength for AFL. Niraj Mansingka Just a related question, how large as a percentage of revenue share can a footwear be for you? Just a thought from your side? Shailesh Chaturvedi See, overall, if you look at a brand like U.S. Polo, this business can be a Rs. 300-odd crores business for U.S. Polo. Today, the adjacent categories in U.S. Polo are more than 25% and a very large part of that business can be from footwear. So it's what you call first among equal adjacent category. It's likely to deliver more revenue than the other adjacent category,

including innerwear and small leather goods, etc. So it's a very, very important category for U.S. Polo. Niraj Mansingka Okay, great. Thank you. Moderator Thank you. The next question is from the line of Gaurav Jogani from JM Financial. Please go ahead. Gaurav Jogani Thank you for taking my questions, sir. And also, congratulations on a good set of numbers. Sir, one question from my end is, now you have certain scale brands like U.S. Polo now near Rs. 2,000 crores revenue, and also I am believing the Tommy, CK another together would be around Rs. 1,500 crores, Rs. 1,600 crores brands. So what is your outlook on the other brands like Arrow and Flying Machine? How are you looking to scale up these brands? And where are they on the path of the profitability? Shailesh Chaturvedi So, in regular investor calls we have said that both Arrow and Flying Machine are below U.S. Polo and Tommy, CK in terms of profitability and the strength of the brand, and a lot of efforts we have made to re-energize these two brands. Arrow is a little ahead in that journey compared to the Flying Machine because the effort started earlier there. Both these brands, we had said that they should double their business in the next three to four years. And that journey is on, and we are seeing good growth in both these brands. And we regularly see the progress. The key thing here is to reach a point where from low single-digit EBITDA, they have to reach mid-single-digit EBITDA. The whole portfolio of these two brands has to become a certain PBT level, and that is the strategy to take these brands, grow them faster than the growth of the AFL. When we were talking about close to 100 basis point EBITDA increase, and with higher advertising spend this year, we could be 50-60 basis points. The Arrow and Flying Machine have to grow faster in their EBITDA profile than the average of AFL. And also, if

we are going to grow the Company at double digit, the Arrow and Flying Machine have to grow slightly faster than that. So that's the plan. There's no change of strategy. We are committed to what we have been saying in the investor calls in the last one year, and the journey is on. We are encouraged by the response we are getting on Arrow and in Flying Machine. We have also done premiumization. We have done renovations. We are building digital assets in these brands. So the journey is on. Of course, they are behind where U.S. Polo, Tommy, Calvin Klein are, but that's also the source of further growth and further profitability for AFL. Gaurav Jogani Sure. Sir, relate

d question to this is, I mean, as you have seen house adjacencies have been a greater part of scale up in the U.S. Polo and even in Tommy Hilfiger to that extent. What kind of adjacencies do you think you can play out in both of these brands? And at what journey of scale-up are these adjacencies right now? Shailesh Chaturvedi See, we look at the theory behind adjacencies when the mother brands are very strong and then consumer buy the adjacent category. So let's say, if Tommy Hilfiger is a very aspirational brand, then consumer besides the apparel core category, they want to buy a watch from Tommy Hilfiger, for example. Same way in Arrow and Flying Machine, our first priority is to make the core categories thrive, the formal shirt of Arrow or the sportswear shirt of Arrow or the premium 1851 line of Arrow, the places where the brand is marketed, we want to make sure those businesses are in really prime hands or growing rapidly. And same thing in fine machine, a business of jeans, for example, has to be in the pink of health, and that's what our efforts have been to build the growth of the core categories in both these brands, Arrow and Flying

Machine. Once this happens, we will expand the adjacent category aggressively as a Step 2. But having said what I have just said, we have not lost on the adjacent category. We built in Arrow, for example, line of small leather goods, belt and wallet. We experiment maybe some other new categories that you see. In Flying Machine, We already have a footwear line, which we sell successfully online, and we are piloting that category, and we will expand that as we go along. So the step is first is to make the core categories really energized, and then we will look at adjacent categories. Gaurav Jogani Sure, sir. That helps. Sir, my second and last question is with regards to the strong OCF now you are generating. And even you have also repaid

that debt and paid some dividends. Given that the business will only improve from here on and the profitability will also improve, what is your plan of action of using this cash? Would you be completely repaying that debt? Or would you be looking to certain allied acquisitions, maybe not the bigger ones, maybe some smaller ones? Any outlook that you can give here?

Kulin Lalbhai Yes, I can come in I think here, currently, as we have said, our focus is scaling up our existing five brands. And there isn't any imminent kind of area where we would want to deploy additional capital. So what we have been seeing is whatever is the OCF we are generating is going into kind of repaying the debt. And of course, we have been growing the business aggressively, and we have been wanting to increase the freshness in the business, so we have also been bold as we move in this year into buying fresh inventory, and you are seeing the impact of that freshness even on the growth of the Company. So I think the funds would be used to reinvest it back into growth and retiring debt.

Gaurav Jogani Sure. Sir, if you can help me out, I mean, allied to this only. Last year also, we did generate a good handsome free cash flow of around Rs. 200-odd crores. So what would be the capex plans for at least the next two years that you are looking for? Shailesh Chaturvedi See, our strategy is very asset-light and for growing our business at 12% to 15% in the medium term. We do not need too much of capital, et cetera. Most of our expansion has been through the franchisee model. And we do some stores in some brands like Tommy Hilfiger, we do our own COCO stores because that business generates a lot of surplus cash, and it's a very smart way of deploying because the ROCE on the store of that brand is very, very high. Other than that, we typically have a very asset-light mindset. If you look at last year, our capex was around Rs. 100-odd crores. We have a run rate today of around Rs. 25 crores of capex per quarter. And I do not see there is a material shift or change in that strategy of asset-

light model. So our capex at an annual level will be in that zone of around Rs. 100 crores. Gaurav Jogani Sure. So in that context, when I was asking, given the fact that maybe you will be able to generate very conservatively Rs. 5,000 crores of revenue by FY27 and assuming a 10% kind of a pre-IndAS EBITDA margin also. I mean, still you will be generating a Rs. 500 crores cash. And even if I reduce some interest and some taxation also, still ballpark, you will be generating Rs. 350 crores kind of an OCF. And given that I am assuming Rs. 100 crores capex goes, still you will be left with Rs. 250 crores. And now given that we have only Rs. 225 crores of net debt left, so would it be fair to assume that you will be a net cash Company by early FY27 in that case?

Kulin Lalbhai I think now the debt levels in general is so low that we are not kind of looking at debt as the thing that we have to worry about. But I think whatever is the operating cash flows, I mean, we want the engine to get stronger. And as you are rightly saying, with this increase in profitability, the business should give significant amounts of cash. And in the absence of any target which we feel is very, very compelling, it would be used to reduce debt. Gaurav Jogani Sure, sir. Thank you, sir. That's all from my end. Moderator Thank you. The next question is from the line of Rajiv Bharati from Nuvama. Please go ahead. Shailesh Chaturvedi Hi, Rajiv. Rajiv Bharati Good afternoon, sir. Thanks for the opportunity. Sir, especially on the departmental and wholesale business, was there any player who was not ordering earlier and they have made a comeback and that is helping our cause? Shailesh Chaturvedi Rajiv, see, we have leading brands, and we are available in all the department stores, be it the premium department store or the value department store. So there's no kind of a new expansion into new chain, if that's your question. But we have been expanding given our better performance and the fact that we are gaining market share and the ranks of our brands, be it U.S. Polo Narrow is increasing and they are gaining market share. We are getting more spaces with the existing partners. And as they expand into new territory, we are also getting new spaces when they open new boxes. And in the existing boxes, we are getting some more spaces. So the consumer growth in department store in this quarter has been extremely encouraging, very, very good. And our like-to-like growth also per door has been very, very healthy in high single digits. So it's largely existing payer relationship, but we are gaining spaces and gaining new spaces based on our performance in terms of our market share. Rajiv Bharati Sure, sir. Sir, an extension of that is AFL stand-alone, which has a big portion of wholesale revenue on the Arrow side, right? And there is a de-growth there. Can you explain, I mean, why the numbers like that? Ankit Arora Rajiv, we will have to look into it. I can probably take that offline with you. I will have to deep dive. It could be only on account of maybe an intercompany, but otherwise, wholesale channel across all the brands, wherever it is a lot more relevant, has grown in line with the overall channel mix, which is what we have discussed. Rajiv Bharati Thirdly, on the ad expense side, I see that you already addressed it, but you are increasing your ad spend by close to 55%, if my math is right. Can you just split that by brand, how does it look? Because earlier, PVH used to be a lower proportion as compared to Flying Machine. So are you trying to push again this time around Flying Machine and Arrow more on the ad side also? Shailesh Chaturvedi So I think it's a conscious aggressive investment across the brands. In this quarter, for example, in Tommy Hilfiger, I mentioned about the F1 movie, and we invested heavily behind that association because one-off time and brand has benefited a lot from that. Also in U.S. Polo and Arrow and Flying Machine also, we have investe

d heavily in online visibility because online B2C is a very focused priority channel for us and be it the performance marketing or the top of the funnel, we have gone ahead and spend money across that. Given the scale and size of the brand U.S. Polo, a lot of that dollar value or the rupee value goes into U.S. Polo to support that growth. And the business in B2C has grown more than 30% and the advertising spend also is higher basis points. So you can assume that the growth in value terms will be quite high. But that's a conscious decision we have taken to gain market share and to keep the brand salient and grow the brands aggressively. Rajiv Bharati Sure, sir. Lastly, on store closure. So although your area has increased, but I thought in Q4, you didn't have any closure. So that was the end of your closure cycle. How much more cleanup is still left? Shailesh Chaturvedi See, Rajiv, you are right that most of the closure is behind us, and that was done. But a small regular closure is part of our life. We will always close some two-odd percent of our distribution as a new mall opens in an area and the old mall becomes less effective or some market forces happen. But it will never become zero, Rajiv, in that sense. It's healthy to look for some closure to keep your inventory fresh, to keep your full price sell-thru high, to keep your like-to-like growth high. And when you look at profitable growth, some channel because of market forces, some retail does get impacted, and we should always be aggressive in shutting that down. So around 2% of network typically in the industry is done. I do not see major large-scale closure going forward. This quarter, also the closures are typically of small size stores,

which have lost relevance, and we are opening bigger and better stores. So it's a net square foot addition, and we have added close to 40,000 square foot. We are gunning for close to 1.5 lakh net addition this year. So, I do not think there is a big news or story there on closure. It's a regular closure, and we will continue to expand square foot very aggressively. We have done a lot of groundwork. We have a bigger team now. We have identified a lot of areas. So you will see that our square foot expansion will only accelerate as we go forward.

Rajiv Bharati Thanks a lot sir. And thanks for all the inputs over the years, hope to stay in touch. Shailesh Chaturvedi Thank you. Moderator Thank you. The next question is from the line of Lokesh Manik from Vallum Capital. Please go ahead. Lokesh Manik Hi, good afternoon. Shailesh, congratulations for the achievements over the last 19 years, especially the last four years, you seem to have set a very high bar for the new CEO, at least on the ROCE level. So, congratulations on that. Shailesh Chaturvedi Thanks Lokesh, thanks a lot for your kind words. Lokesh Manik So, my question, and I am playing the advocate here. So Flying Machine and Arrow has done fantastically well over the last two years and progressing as you guided. But going forward, if God forbid, you see some road block on that and it does not progress to the way you have thought in the next three to five years or the management has thought in the next three to five years. Are we ready to then pull the plug on it, keeping in mind that to an extent over the last few years, it has masked the performance of USPA, TH & CK? So, do we take that harsh call? Or, do we still go through with it? Kulin Lalbhai Maybe I can take that. Yes, I think there is never any sentimentality about anything in business. I think you have to be setting very, very clear milestones for any business. And we have been very, very clinical. If you see we have exited very large franchises, the day we realized that they are not going to have a path to the ROCE and ROCE is the north star of the Company. So we have done it in the last 5, and we will do the same in the next five, that everything has to achieve the ROCE threshold that is the hygiene ROCE thresho

ld that the Company has set for itself. The good part in at least the current portfolio is that every brand is moving or showing the momentum and velocity as we speak. If that reality fundamentally changes, then as a Board, we would be looking at it very objectively. Lokesh Manik Great. And Kulin, have any time line in terms of where you want to review Arrow and Flying Machine by FY26 or FY27, where you need to decide we continue with the scaling or you need to scale it down? Any time line on that? Kulin Lalbhai We have two kind of rhythms that as a Company, we go through. One is our annual operating plan, and then it is a three-year plan. In fact, we are now getting into our next three-year planning cycle. We just completed the previous three-year plan. So as a part of the next three-year plan, there is a movement. As a part of the earlier three-year plan, at least the good part is many of the milestones, which we had set for ourselves with these two brands have broadly been aligned and achieved. So as we look at the next three-year time line, we have also told the market that both of these brands have to have a higher lift in EBITDA bps compared to the overall portfolio because they are moving from a lower base. So that is the kind of milestone that we have done, which Shailesh refers to as that mid-single-digit EBITDA. And that's kind of the north star for these two brands. Lokesh Manik Fantastic. My last question was just the IndAS impact, if you can quantify for the depreciation impact because of right-of-use assets and interest expense because of lease liability combined for this quarter? Just to get a better sense. Ankit Arora It will be around 4% on an annual basis.

Lokesh Manik 4% of topline? Ankit Arora Yes. So you will have to arrive at pre-IndAS, you will have to deduct from a reported EBITDA minus 4%. Lokesh Manik Minus 4%. That's good. Thank you so much. Ankit Arora Thank you. Moderator Thank you. Ladies and gentlemen, due to paucity of time, that was the last question for today. I now hand over the conference to management for closing comments. Ankit Arora Thank you, everybody, for joining us on the call today. If any of you have any further questions, please feel free to reach out to us, and we would be happy to answer them offline. Thank you and have a good day. Moderator Thank you. On behalf of Arvind Fashions Limited concludes this conference. Thank you for joining us. And now you may disconnect your lines. Note: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Nov 2025

November 10, 2025

To,
BSE Limited
Listing Dept. / Dept. of Corporate Services
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400001

Security Code: 542484
Security ID: ARVINDFASN To,
National Stock Exchange of India Ltd.
Listing Dept., Exchange Plaza, 5th Floor
Plot No. C/1, G. Block
Bandra -Kurla Complex
Bandra (E)
Mumbai - 400051

Symbol : ARVINDFASN

Dear Sir/Madam,

Subject: Earning call Transcript of the C onference call with Analysts and Investors for the second quarter and half year ended September 30, 202 5.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are attaching herewith the transcript of the conference c all with analyst /investors held on Tuesday, November 04, 2025, at 2:30 P .M IST , to discuss Q2 & H1 FY26 Results of the Company . The same is being uploaded on the website of the Company.

You are requested to take the same on your record.

Thank ing you,

Yours faithfully

For Arvind Fashions Limited

Lipi Jha
Company Secretary

Encl.: As above

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"Arvind Fashions Limited
Q2 FY '26 Earnings Conference Call "
November 04 , 202 5

MANAGEMENT : MR. GIRDHAR CHITLANGIA – CHIEF FINANCIAL
OFFICE R – ARVIND FASHIONS LIMITED

MR. KULIN LALBHAI – VICE CHAIRMAN AND NON-
EXECUTIVE DIRECTOR – ARVIND FASHIONS LIMITED
MS. AMISHA JAIN – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER – ARVIND FASHIONS LIMITED

Arvind Fashions Limited
November 04 , 2025

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Moderator: Ladies and gentlemen, good day, and welcome to the Arvind Fashions Limited Q2 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing s tar, then zero on your touch tone phone.

I now hand the conference over to Mr. Girdhar Chitlangia, CFO at Arvind Fashions Limited.

Thank you, and over to you, sir.

Girdhar Chitlangia: Thanks, Huda . Hello. Welcome, everyone, and thank you for joining us on the Arvind Fashions Limited Earnings Conference Call for the second quarter ended 30th September '25. I'm joined here today by Kulin Lalbhai, Vice Chairman and Non -Executive Director; and Amisha Jain, Managing Director and CEO.

Please note that results, press release and earnings presentation have been mailed across to you yesterday, and these are also available on our website, www.arvindfashions.com. I hope you had the opportunity to browse through the highlights of the performance.

We will commence the call with Kulin providing his key strategic thoughts on our second quarter's performance. Post that, Amisha will cover the financial performance and also the business highlights. At the end of the management discussion, we will have a Q&A session.

Before we start, I would like to remind you that some of the statements made or discussed on this call today may be forward -looking in nature and must be viewed in conjunction with risks and uncertainties we face. A detailed statement of these risks is available in this quarter's earnings presentation. The company does not undertake to update these forward -looking statements publicly.

With that said, I would now turn the call over to Kulin to share his views.

Kulin Lalbhai: A very good afternoon to you all. Thank you for joining us for the Q2 results. We are pleased to share that AFL delivered a consecutive quarter of double -digit revenue growth and the highest ever sales and EBITDA this quarter. The demand environment was stable, and we achieved an 11.3% growth led by a healthy 8.3% LTL in our retail channel and around 25% plus growth in our online channel, leading to over 18% growth in EBITDA to INR200 crores, which is an 80 bps margin expansion.

During the quarter, the government implemented the GST 2.0 reform. A large part of our portfolio has moved to a lower GST rate, and we have ensured that the GST benefit has been passed on to our consumers. We believe that the GST reforms will surely improve customer demand in the medium term.

We continue to stay focused on profitable growth, which is helping us deliver on our balance sheet and cash flow KPIs as well with overall working capital continuing to stay stable. We are leaning into our growth drivers and increasing brand visibility through marquee advertising campaigns.

Arvind Fashions Limited
November 04 , 2025

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A strong square foot expansion, healthy LTL growth, great momentum in the online channel and the high growth trajectory of our adjacent categories have all helped us maintain a double -digit growth rate for this quarter.

With a strong wedding calendar in H2 and several government initiatives to boost consumption, we remain hopeful of continuing the growth momentum. We will continue to stay focused on our mantra of profitable growth, resulting in further improvement in return on capital employed. I would like to now hand it over to Amisha Jain to take us through the specifics and more details about our financial performance.

Amisha Jain: Good afternoon, everyone. Warm welcome to the investor call for the quarter ended September 30, 2025. In the quarter gone by, NSV stood at INR1,418 crores as against INR1,273 crores in

the previous year same quarter. And EBITDA was INR200 crores versus INR170 crores. In this quarter, AFL delivered yet again an impressive double -digit revenue growth of 11.3% and EBITDA growth of 18.2%. The direct channels contributed significantly to this growth.

Our continued strong efforts to grow direct channels of retail and B2C yielded good outcomes in the quarter. These together now account for nearly 50% of sales, a 5% point higher share over last year. Retail growth is very healthy at 14% with a very good L 2L of 8.3%. Retail growth across all brands was in double digit.

We added over 36,000 square feet of retail space in the quarter. Online B2C grew by over 50%, taking its share to 12%, while B2B and other channels, the share dropped to 20% from 22% last year. This is in line with our strategy to pivot away from online B2 B. The share of online business crossed 30% in the quarter and a very healthy improvement in profitability.

The wholesale channel growth was minimally impacted in the quarter due to destocking, and we believe that this is transitional and the growth will be back in H2 in these channels. Let me take a moment to talk about GST.

During the quarter, government reduced GST on articles priced less than INR2,500 to 5% from an earlier 12% rate. We rolled out the changes required by the government to implement the GST reforms 2.0 with immediate steps to pass on the GST benefits to the consumer. Our IT systems were upgraded to reflect exact prices -- price changes as directed by the government. Clear price communication was rolled out across all channels. These reforms will leave higher disposable income in the hands of the consumers, and we expect these reforms to have a positive impact on demand.

At the brand level, U.S. Polo continues to grow exceptionally at 21%, led by impactful advertising campaigns, work done on products and opening of marquee stores in new retail identity. Growth in other brands was muted due to impact of transition to the new GST regime. I'm happy to share that one of our key adjacent categories, footwear grew by over 25%. We believe that the disruption caused by the implementation of BIS norms is now behind us. Overall, Arvind Fashions Limited

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the adjacent categories grew by 22%. Among the other metrics that showed improvement are inventory freshness and gross margins.

Inventory freshness is at an all-time high of more than 85% and gross margin improved by 210 basis points. We continued our focus on advertising campaigns, which were higher by 20 basis points. Among the balance sheet metrics, inventory buildup was to cater to early festive onset, while overall working capital remained stable. It will normalize by the end of the year.

The growth in EBITDA at AFL in Q2 is at 18.2%, an 80 basis points improvement despite higher advertising and employee costs. Reduction in retail discounting by 90 basis points, richer channel mix, cost efficiency in select have led to improvement in margins. GP has gone up by 210 basis points to nearly 53%. In this journey of profitable growth, the PAT in Q2 is at INR37 crores versus INR30 crores in Q2 last year. The growth in PBT is nearly 31%.

Now as we enter H2, we expect positive traction due to the upcoming wedding season. We're happy to share that there was double-digit growth during Diwali and Puja in our direct channels. We will continue to open new stores and are on track to deliver new store addition target for the year as well.

We also expect that the government initiatives will aid higher consumer disposable income, leading to a demand improvement across our categories. The outcome will, of course, depend on the market environment. Thank you.

Moderator: Thank you very much. We will now begin with question-and-answer session. The first question is from the line of Deep Shah from Equirus Securities.

Deep Shah: Congratu

lations on good set of numbers. So firstly, if you can call out how the different brands have performed during the quarter? Because seeing the wholesale numbers, I think so Arrow and Flying Machine are still under pressure. So if you can first call out how the different brands have performed? And secondly, any read on the festive? I think Amisha gave a brief around the festive, but if you can further talk about how the festive has been?

Amisha Jain: Sure. So I think if you look at our brand portfolio, as you have seen, we've clocked a pretty strong sustained growth across the portfolio at 11.3%. And if you look at from that, the key driver of the growth is obviously coming also from our direct channels. Coming down to -- and that includes both our retail and our B2C channel. And this is in line with our growth drivers and the strategy that we've put together.

Now coming down to the brand, U.S. Polo has clocked an extremely strong double-digit growth, which is close to 20% upwards. And while -- this has been driven by a lot of work that has gone into it, more around product innovation, premiumization, driving a new retail identity and obviously, the driving new store openings.

Having said that, we've continued to see strong growth across our PVH portfolio as well. And Arrow and Flying Machine are also sort of driving and are going in the right direction based on Arvind Fashions Limited

the strategy that was put together. The important thing to note is that in this quarter, towards the end of it, the GST reforms were put into place.

And while there was a minor transitional impact because of that because of wholesale destocking, we do believe that this should streamline over a period of time over the next quarter. So all in all, I think we believe that we are on track from a strategy point of view, driving early double-digit growth, and that's where we will continue to be.

Deep Shah: Okay. And second question would be around, Amisha, I understand it will be too early to call out, but how has been the experience at Arvind Fashions, what are the key learnings which you have in the last couple of months? And what are the key strategy which you will work upon in the coming times?

Amisha Jain: Sure. So I think for me, coming back to Arvind has been homecoming, right. So coming back, has been the same as my prior experience. What I see and what is heartening is that there is a clear focus and strategy behind what we're doing. As you know that we've been talking about driving our direct channel strategy. And what we have seen is a very strong focus towards that. We have a portfolio of 5 brands, which is extremely strong, and I think the teams are really geared up to drive behind that. So from my experience and where I see us going, if I look ahead, I think a few things are extremely clear.

One is that we will double down on our portfolio of 5 brands. We believe that there is significant headroom for growth by ensuring sharp brand positioning, driving differentiated products and delivering great end-to-end experience across our brands.

I think it is imperative for us to ensure that we're able to now sort of segment out our consumer cohorts across these brands and able to cater to those consumers in the way that they would like for us to speak with them. So that will be one part of it.

The second big thing that we will drive and what you have already seen great results coming out of is our diversification of our portfolio. We will continue to double down on that. It's been working -- and if you look at our portfolio between footwear, innerwear, womenswear, it's been working well. I believe there is significant room to grow over there as well, and we will consider accelerating that part of it.

What's going to be important for us over here is to ensure that we are investing behind the right demand spaces based on

where the consumer preferences are and how the consumer preferences are shifting. So you will see us kind of drive that as well.

I think the third thing that you will see us do is with consumer at the center of everything we do, we will continue to double down on how we serve the consumer. And this is going to be important to ensure that we capture any shift in consumer preferences. We will drive segmentation, be extremely data backed. And with that, we will drive enhanced marketing capabilities to ensure that we are serving our consumers better.

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We will also double down in terms of serving our consumers through the channels that make most sense to them. And that, along with the strength of our portfolio, along with our investment towards the adjacent categories, we should be able to see accelerated growth in our portfolio. Now coming back to H2, I do believe that we have a great strategy laid out. We have a strong plan and our teams have been at it in terms of delivering against it. So we do believe that we'll continue our focus on our growth drivers as we've laid out earlier as well. And while we do that, we will continue to push for a better experience for our consumers as we expand our retail as well.

Deep Shah: Thanks and congratulations on this set of numbers.

Moderator: The next question is from the line of Priyank from Vallum Capital.

Priyank: First, on the question of with a strong SSG growth of 8%. Along with -- coupled with gross margin expansion of 200 bps, why don't we see that percolating down to the EBITDA margin expansion? I mean this model has a significant operating leverage. We understand that.

And I also heard that we have been investing into advertisement. What are the core pockets post gross margin, which are dragging down the changeover that is required to be seen with SSG coming in as well as with the gross margin expansion?

Girdhar Chitlangia: Priyank, this is Girdhar. You see the large part of the growth in quarter 2 came from the direct channels, retail and online B2C, both have an attendant commission as a cost, which becomes part of the sell price. So the flow-through is after that. We also continue to invest in marketing, which was higher again by 20 basis points.

Having said that, I think our focus has been to reduce discounting, which reduced -- which we improved in the last quarter. And going ahead, we will continue to focus on the same. Cost improvement is another lever which we continue to work on. But what is taking away the gross margin is the commission and some of the variable sellex that come along in the retail and the B2C channel.

Priyank: Got it. And why there is a drastic shift in the employee cost over the last 2 quarters t hat we witnessed. Almost 20%...

Girdhar Chitlangia: Yes, Priyank you have to look at the employee cost on a sequential basis. This July, there has been, of course, a salary correction for the company. So that is around 10%. And the quarter -on- quarter growth on cost is 18%. So 10% is explained by that. And t he rest of the cost is largely due to a changeover in the management, and there are certain onetime fixed costs, which came along with that. We hope that this will be normalized in the coming quarter.

Priyank: Got it. On the strategy side, on the wholesale, I heard that there was a destocking this quarter. But if we were to look on the long -term trend of the wholesale on the 3 year basis that it has not grown. It has remained in fact flat. So I'm not sure where was the destocking element coming into it? Was it something else to think of it on the wholesale channel? And what would be the strategy ahead?

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Amisha Jain: So if you look at our wholesale channel, first of all, when we look at the consumer sales, we have seen high consumer sales . So the

re, we have seen improvement. In terms of department stores as well, we saw a s trong growth.

Only in the MBO channel, there has been a marginal impact due to destocking as a result of GST transition. But from a consumer sales point of view, I think both the channels have shown pretty healthy growth. So from a growth perspective, we expect a high s ingle -digit growth going forward.

Priyank: One last question. Amisha, there has been a few targets that we have been chasing, and I'm sure we are now following those. There are a few targets which are unmet. Any key changes that you think that you will have to do it in your own lens, maybe in a dif ferent way or maybe different things to be done. Anything that you would want to highlight on that?

And I heard you on your strategy part saying that there would be the investments that would go through in the channels as well as marketing. So how should we think of EBITDA margin expansion also? A 2-sided question, one on the overall few targets that we were thinking of on the long ter m and on the EBITDA margin side?

Amisha Jain: So, thank you for your question. As I talked about, I think we've kind of laid out and I mean, currently, our strategy in terms of driving some of the core pieces . If you look at it, we've been after going after places where the consumer is already . We're investing behind our direct channels, both on the retail s ide and on the B2C side, right?

Retail has been driven for like-for-like sales and the net expansion of retail. At the same time, we've been driving through the B2C strategy . So that part of it, I think, is on point. And as the consumer shifts, we'll be able to capture some of that very, very easily.

Now as we talk, we are in the process of building out our 3 -year strategy. And we are -- as the team and I kind of work this through, we should be able to present this to the Board in the next 4 to 5 months. Having said that, as I said earlier, I think our intent here is to make sure that we are aligning more closely with how the consumer preferences are shifting.

So from a strategy point of view, I'll kind of reiterate one thing that if you look at our portfolio and if you look at the strategy that we've had, I believe that we have a strong portfolio that kind of straddles through price points . So now the question is, how do we make sure that we go after a very sharp brand positioning, drive differentiated offering and deliver a great end -to-end experience for these consumers.

Now while we do that, we also want to make sure that to the same set of consumers, we are able to expand our offering . So from a wallet share, et c., point of view, our adjacent categories have to get harder, and we will start serving them through the relevant demand spaces. We'll make sure that we're serving consumers. And we are going after the Gen Z. We're making sure that our overall offering sort o f caters to the preferences of the consumers.

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The third critical thing, and I think the point that you pointed out as well, is for us to ensure that whatever we do, we will keep the consumer at the core of it, right? So segmentation is going to

be a very critical strategy for us. We're going to get more and more data backed and enhance the marketing capabilities. So while we do that, we will obviously double down on investing behind demand generation, but we continue to focus on EBITDA.

So to the point on EBITDA, I think the company has been consistently following a certain strategy, and we will continue to do that. We have earlier also mentioned that we would like to maintain our EBITDA delivery in the zone of about 50 to 80 basis points. And as we build out our strategy, that's the direction we will take.

Priyank: Sorry, one just clarification. On the diversification part of the portfolio, which you were alluding to, where you said that

you had a significant room to grow, would it be within the brands or if required, we can think of additional brand acquisitions also in the portfolio?

Amisha Jain: So see, I think going back to what I was saying, I do believe that there is headroom within the core categories in our brands itself. So we will make sure that we will go after that. And like I was saying that we will make sure that from a consumer point of view, we are serving the consumers across different consumer cohorts.

But having said that, we do have an opportunity to look at adjacencies within our brand. So the adjacent categories within our brand portfolio, we will go after that and ensure that we are able to cater to these consumers based on their needs and preferences. So as consumer preferences shift, we want to make sure that through our adjacent categories for hypothetically footwear, women's, etc., we will continue to cater to them.

To the second question that you asked that are we looking at outside of this. See, as and when a decent strategic opportunity presents itself, we are open to looking at it. And that is something we will always look at closely and see if it is strategically aligned to what we are after.

Moderator: The next question is from the line of Avinash from Motilal Oswal.

Avinash: Congratulations on good set of numbers. So my question is regarding the standalone business. If you look at it, like that's the one which operates the Arrow wholesale entity. So that segment has reported 3% of decline on the 1H to 1H basis. So what would be the reason behind that?

Girdhar Chitlangia: Avinash, this is Girdhar here. Can you repeat the question, please?

Avinash: Speaking for the standalone entity. So the standalone entity has recorded a 3% revenue decline on a 1H to 1H basis. So what would be the reason behind this? Standalone is the one that operates Arrow business, right?

Girdhar Chitlangia: Yes.

Avinash: So for the first half of FY '26, the standalone entity delivered INR350 crores of revenue. This was down 1% YoY?

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Girdhar Chitlangia: Avinash, the primary reason Arrow, of course, the retailing is -- you're aware, is based in the subsidiary, right? This represents primarily the wholesale business. And as Amisha said earlier and we mentioned, I think at the end of the quarter, there was some kind of a destocking or I would say, delay in the billing to the wholesale channel. And that is why you are seeing a very muted growth there.

Avinash: I mean not for the second quarter, even if I look on a 1H to 1H basis, even then there's a 3% decline?

Girdhar Chitlangia: But largely, this can be explained. You see H1 is a reflection of what happens in quarter 2. And quarter 2, we were impacted by the wholesale billing Avinash.

Avinash: Okay. I'll get back with you on that. Second thing is like we are adding a good number of store additions, but the store closures were also there. So in the first half, we have closed somewhere around 35-odd stores. So to which brand are these stores pertaining to?

Girdhar Chitlangia: So Avinash, we added 24 stores and we closed 16 stores. The stores that have been closed are largely small stores, and you will see that we have still added 10 stores net addition, but the total addition is 36,000 square feet. So we are shutting down a few of our small stores and adding larger stores. Having said that, the large chunk of the new store additions is coming in U.S. Polo.

Avinash: Okay. And the store closures, is it specific to single brand or...

Girdhar Chitlangia: So they are there across all the brands. We are actually kind of rationalizing our store size. And you must have noticed that, that has happened over the last 2, 3 quarters.

Avinash: Okay. Got it, sir. And last question is that can you throw some light on the footwear segment?

See, we know that the seg

ment has an annual run rate of somewhere around INR350 crores. So

what's the outlook there? What is your near-term and long-term vision for that segment?

Kulin Lalbhai: I think if I can come in here, I think the last couple of years, the footwear business was impacted by the BIS regulation. And before that phase the business was in exponential growth trajectory.

I think what is very heartening is that this is a business now which has come back to high 20s

sort of growth rate.

And we still believe the business will catch further momentum as the entire supply chain stabilizes. So this is one of those growth drivers, which I think will be a very large one for the company. We would actually expect to hope to double the size of the company of foot wear in the next 3 years or so.

So I think it's a very exciting space where we have built very unique capabilities. I think the product market fit we have got in the sneaker business is very, very unique. So we are leaning in very heavily, and I think the growth is now coming back with the BIS disturbances behind us.

Avinash: Okay. Got it. And one small question regarding the footwear. Is it like entirely 100% retail business or do we also have a distribution or in the footwear ones?

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Kulin Lalbhai: There is a little bit of key account business, but we don't do multi-brand in footwear. We do online both wholesale and direct. So we don't have an MBO business in footwear.

Moderator: The next question is from the line of Ashutosh from ICICI Securities.

Ashutosh: So my first question is on the overall apparel sector. So we have seen that last year, it was largely impacted by cut in the discretionary spends. But now there seems to be a growth momentum coming in, especially for the premium brands, even like other premium retailers have also highlighted a similar trend. So is my understanding overall correct about the premium segment? Like I understand that there has been personal tax cut, and the recent GST cut, which is definitely aiding growth. But apart from that, is there any other consumer sentiment shift that is happening or there are a few internal drivers that is making this shift? So anything on this would be really helpful?

Amisha Jain: So as you can see, we've obviously continued to clock pretty solid growth. And if you look at our H1 between Q1 and Q2 both, I think we've seen consistent growth. Now there are 2 parts to it. Yes, there has been a macro impact.

So from a stimulus provided from the tax cuts that have come in and also very recently with the GST reforms coming in, we do believe that this puts sort of a stimuli behind the consumer demand in general, and we're expecting that this will continue in the medium term. So that's one part of it.

Having said that, from our perspective, we have always been talking about one thing is that we want to make sure that we're catering to our consumers from a solid premiumization point of view. And if you look at our portfolio, we've been premiumizing across our brands, and that is something that has really worked for us. So that is a definite trend.

And also our brands are strong and they are catering to segments which are actually trading up. So that's an important part of it. Having said that, I think one key lever and something that consistently has been our strength is our product innovation.

And if you look at our brands and let me take the example of U.S. Polo.

We've been after improving and while increasing from a premiumization point of view. But at the same time, you'll see a lot of innovation that has come in the brand as well.

And that is the consistent story if you look at Arrow as well.

I think in terms of bringing in whether it is coming through the lines of New York or Elixir or whether it is putting or investing behind our franchises like Autoflex, we've been consistent

tly

after innovation. So that's driving some of the growth in our brands as well. And Tommy and CK are much loved brands. We sit in a premium segment and both of them continue to show strong growth as well.

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Ashutosh: Okay. Understood. Very clear. So my next question is on the channel. So like I heard that the retail focus is there, and I guess it's already around 43% of the total revenue. So I just wanted to understand what would be the optimum mix between these channels, especially the retail going forward? So it's already at 43%. So -- and you have highlighted that there will be like 100 to 200 basis points of improvement in retail plus online this year. So -- but what after that?

Amisha Jain: Yes. So I think I'll kind of take a step back. And when we look at how we want to go about, again, addressing the consumer needs, the one important thing for us is to make sure that we are able to talk to our consumers, are able to learn insights, are able to pivot quickly and are nimble enough to adjust to the changing preferences of the consumer.

Now as you think about that, I think fundamentally, what you need is to be really close to the consumer. And that is driving our strategy. So we will continue to build on our retail strategy,

which is making sure that we are catering to the consumers directly through our retail channels. At the same time, we will continue to drive through our online B2C business as well. Our aspiration is to take it from today, both of these put together are about 50% share of business. Our aspiration is to take it upwards from there and make sure that we are able to get to about 50% to 70% range in over the next few years.

Ashutosh: Okay. Understood. And is it possible to give a broad profitability across the channels, a broad range is fine?

Kulin Lalbhai: I think the right way to look at this is to look at the return on capital employed. I think that is the North Star for us in this business. And these direct models have, in a sense, a very good capital turn cycle. And on most of our channels from a channel contribution perspective, range between 20% to 25% channel level profitability.

The channels which are at the early 20s tend to be more gross working capital light and the channels which are a little bit on the higher side of the 20% to 25% bucket tend to have a higher gross working capital. So net-net, from a ROCE perspective, I would say our direct channels are slightly more ROCE accretive. And that's why you are also seeing over time that the ROCE of the business is inching up as we scale up.

Ashutosh: Right, right. And just one more question. Is it also possible to broadly give a revenue split across or maybe the share split across the 5 key brands?

Kulin Lalbhai: We don't give brand-wise details. We've mentioned this also in the past. So some of this is competitor sensitive information. So whilst we are giving you a broad perspective of brand performance, we won't be able to get into specific numbers.

Ashutosh: No problem, sir. And sir, sorry, one last question. So you have mentioned that the inventory turn is at 3.8x right now. So do you think that this is already at the optimal level or there is still scope for improvement? And if there is any scope, then what would be the drivers for this improvement?

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Girdhar Chitlangia: You see, I mean, there is always scope for improvement. The biggest driver could be faster deployment of our returns and obviously, inventory turns in some of our retail stores. Both these put together we are quite optimal and we are at the industry best standards, I would say. But 5% to 7% improvement is still possible, which can happen over the next 12 to 18 months.

Moderator: The next question is from the line of Chetan from Systematix Group.

Chetan: And c

ongratulations on a good set of numbers. Just wanted to understand, so our adjacent categories have seen a strong growth of, say, 20% plus during the quarter. Can you highlight how the performance has been for the core apparel business for U.S. Polo and Tommy CK? And do the adjacencies, as you explained for the footwear, do other adjacencies have any substantial presence beyond our EBOs? And if so, then how is the performance over there?

Amisha Jain: So if you were to look at our brand portfolio, while we've clocked a very hefty growth overall, U.S. Polo continues to clock upwards of 20% growth. And that is also coming on the back of everything that has gone into it. So from product innovation, premiumization, retail expansion. And that is obviously coming from the core part of the brand, .

The core part of the portfolio is actually hitting it quite hard right now. So it's not just the adjacent categories that's driving growth in U.S. Polo, but overall growth is being driven from there. And in terms of Tommy and CK, I think like we said, I think they've been maintaining a growth momentum, and we expect this to continue over a period of time as well.

Like we've also called out earlier, as the consumer is trading up, we are seeing that these 2 brands are obviously extremely strong from a brand positioning point of view, from an offering point of view, and we expect to see a trend of growth over there as well.

Chetan: Okay. And on the adjacencies part, like, how -- like is it present beyond EBOs? Like for footwear, you had explained it, right? For other adjacencies like innerwear, women's wear, kids wear?

Amisha Jain: Yes. So kids, we cater to through kids all channels. In terms of innerwear, we are catering that through the overall all channels as well, and it has a significant presence between MBO, online, retail, et c.

Kulin Lalbhai: One of the interesting new adjacencies, which is a big focus area going forward is also going to be women's wear. It is the last adjacency in a sense to be launched. It's early stage of its journey, but very encouraging growth vectors in that part of the business as well. So I mean, that's a future bet where one should see high scale up coming in the years to come.

Moderator: The next question is from the line of Nihal Mahesh from HSBC.

Nihal Mahesh: I have 3 questions. First is on Flying Machine. So there is an improvement in the LTL growth there. Just wanted to understand the initiatives that are driving the improvement in that brand?

Amisha Jain: Sure. So I think see Flying Machine has been a journey over the last couple of years. And with

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right direction. As we sharpen our positioning, we actually have gone ahead and improved the product range that is out there, and we are also looking at the channel to serve from a consumer point of view .

So from all of that perspective, Flying Machine has been a complete 360 effort. And we seem to be seeing solid like -to-like sales and a good initial indicator from our overall retail and a channel portfolio point of view as well. So we're quite pleased to see the direction in which the brand is going.

Nihal Mahesh: Sure. And talking about the last 6 months, is the overall growth in the brand also strong or is it that maybe because of the shift in channels that we are focusing that the retail growth is strong, whereas maybe the online business is seeing a bit of a pushback?

Amisha Jain: I think it's a function of product and consumer. So I wouldn't kind of look at it as an either/or. What we're seeing is demand across channels.

Kulin Lalbhai: One of the channels within FM, which we have strategically deemphasized is the online wholesale. So whilst we are doubling down on direct online, we are reducing or have red

uced

the scale of the wholesale online business. So that's, I would say, the only c hannel where there is an adjustment happening, but all the other channels, as Amisha was saying, are being pushed for growth.

Nihal Mahesh: Point taken. The second question was for Arrow and Flying Machine combined together, possible to get a sense of where the EBITDA is and what is the target to take it to what range over the next 2 to 3?

Amisha Jain: Yes. I think we've kind of stated this earlier as well. The target to take Flying Machine and Arrow is in the mid -single digits. And with the efforts that have gone behind both Arrow and Flying Machine and Arrow is a little ahead in its journey .

But with the effort of ensuring a strong brand positioning, aligning to from a consumer point of view, aligning the product along with it and ensuring that we are segmenting again from both the channel point of view and a consumer perspective, as we drive that, we believe that Arrow should continue to see growth, and we shoul d see, again, strong productivity coming out of there.

Kulin Lalbhai: And as we had mentioned earlier, both these brands will see a higher improvement in bottom line year -on-year compared to the rest of the portfolio. So every year, we kind of have set a business plan accordingly so that the trajectory goes towards what Amis ha mentioned. And I think its heartening that both brands for this year are on track for those kind of improvements.

Nihal Mahesh: Just one follow -up here, if it's possible, what has been the improvement Y -o-Y in the first half for these 2 brands?

Kulin Lalbhai: Sorry?

Nihal Mahesh: What is the overall improvement for our Flying Machine and Arrow for the first half, if it's possible to share that ballpark?

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Kulin Lalbhai: So I won't get into exact specific numbers, but broadly, we had said that if at a company level, operating leverage has been b 80 to 100 bps, these 2 brands need to have a certain order of magnitude above that. So that's the way their business plans also reflect in terms of percentage EBITDA margin improvement. So, we believe that we are on track for that this year.

Nihal Mahesh: Understood. Just one last question that Amisha in your remarks...

Amisha Jain: Sorry.

Kulin Lalbhai: Your audio isn't clear. Can you just maybe get a bit closer to the mic or something?

Nihal Mahesh: I was asking that, Amisha, you did mention about the fact that if opportunity ever comes up beyond the adjacencies and existing brands, it would be considered. In that backdrop, considering we've sort of become cash flow positive , net cash positive this year, is there a thought that only the existing flows that the business generates would be used for acquisitions or like what is the limit that the business is thinking in case ever an acquisition is planned?

Kulin Lalbhai: I think right now, we believe that as we are scaling the business, the operating cash flows are moving in the right direction and materially so. And as Amisha mentioned, current focus is on really ramping up the current portfolio. If and when an opportunit y arises, as she mentioned, we will be open, but we are not expecting any major capital event, if that is what you were kind of asking. I mean, right now, we don't believe the business will require external capital to support its strategy. I think the OCF is heading in a very positive direction.

Moderator: The next question is from the line of Kaustubh Pawaskar from ICICI Direct.

Kaustubh Pawaskar: Congrats for great set of numbers. Most of my questions have been answered. I have a few -- couple of questions. First on Amisha's initial comment of inventory freshness, which is at all-time high of 85%. So, I would like to hear from you, what was it earlier? And just your thought on how it is helping you or what led to this inventory freshness or what are

the strategies which

is helping you this freshness and whether this strategy is only pertaining to a few brands like U.S. Polo, Tommy Hilfiger or it is across your portfolio of brands?

Kulin Lalbhai: Maybe I'll take this question since I can answer on the transformation journey over the last 3 years. I think this has been the heart of the transformation effort that the whole team has worked on, which is getting the fundamental flow of inventory right. And that means, one, starting with really creating strong, differentiated, elevated products. I think across the portfolio, a lot has gone into getting the product engine to really fire.

And closely associated with that is to really drive full price sell-through. I think we have seen a significant improvement. In some brands, the sell-throughs have gone up by as high as 6% to 8%. In some brands, it has gone up by 3%, 4%. And that means you are going to have a lot less old inventory left in the system post end of season sales. Another big work that the company has done is on balancing its channels.

So we have very successfully built Megamart as our in-house liquidation channel. And today, a very, very effective channel for us to realize very high value on the end of season left

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merchandise and with very, very high amount of cash conversion. So it's a very quick, very beautiful, efficient channel.

So in a sense, it's been a 360-degree effort right from product to planning to driving the retail and ensuring the liquidation channels perfectly being balanced and that has meant us moving from a late 60s, early 70s to as high as 85% below 1 year. And that is what is reflected then finally in lower discounts and higher LTL.

So these are, I think, the fundamental health parameters of the business, which have seen this big transformation. And I think what is heartening to see is that journey is still continuing, and we are continuing to see the benefits of that and still moving towards better numbers on this front.

Kaustubh Pawaskar: That is helpful. Sir, my second question is on Flying Machine. So adjacencies we have been seeing in most of your brands. So in denim especially, are we looking at some kind of adjacencies, which might help us to kind of revive the growth in the -- denim as a category?

Amisha Jain: Yes. So I think, look, I think from a flying machine point of view, I think fundamentally, first, we want to make sure that we work on our core categories. And as we get -- and I think I've kind of addressed this earlier as well, as we get much sharper with our brand positioning, as we look at serving the consumers through the channels of their preference and putting out products that's relevant.

I think that's been the core focus, and we will continue to drive the core part of the business first.

I mean adjacencies will come in later. But at this point in time, I think what we are looking to do is to double down on the core.

Kaustubh Pawaskar: Right. So just to better understand, double down on core, will it be more from the product portfolio innovation point of view or having a correct pricing for the product what is available currently in the portfolio?

Amisha Jain: Okay. So I think when you talk about both product and pricing, right, I think fundamental question goes back to who is our consumer and who are we catering to. So, as we look at our consumer, as we look at the cohorts and the demand spaces around it, we will make sure that our product portfolio and the pricing lines up against it.

It's always going to be a strategy of ensuring that the product portfolio is right from a consumer cohort point of view. Having said that, we will also then marry that with the channel that is relevant to these consumers. So as we go forward, we will make sure that we are firing on all 3

pillars, which is the product, the brand and the channel.

Moderator: The next question is from the line of Varun Singh from Alfa Accurate Advisors.

Varun Singh: I have 2 questions. First is regarding second half. So given that we have added around 50, 53 - odd stores in the first half, are we in a comfortable situation to add maybe 100 stores in the second half?

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As we've laid out, retail expansion is a very critical part of our strategy, and that kind of includes 3 things. We want to go after renovating, relocating and upsizing as deemed right from a market and catchment point of view. So that's the fundamental thing we are behind.

Now as we look at our BD and as we look at our retail expansion for H2, the answer to your question is we've doubled down our investment from a team and from how we're going about it over the last couple of quarters.

And we feel that we are on track, and we should be able to land closer to our total net square feet addition that we have planned for. And as said earlier, we've kind of put a target for ourselves, which is in the zone of about 1.5 lakh net square feet addition. We feel that we are actually doing well towards that target.

I will also highlight that I think it is less about the number of stores, but having the optimal size of stores, the stores in the right location, I think those are the critical parameters at this point in time.

Varun Singh: So, Amisha, I think 150 store addition guidance and maybe 70 -odd store closure, which is what has happened in FY '25, I mean gross addition was 120 and 74 was store closure. So 1.2 or 0.12 million is what we added. In FY '26, I think we are supposed to add 0.17 million square feet, not 0.15. And in case you say 0.15, then does that mean that we are reducing the guidance?

Girdhar Chitlangia: So, we are in line to what we guided earlier. We added 74,000 in H1, and we are pretty confident that we will add the rest of it.

Varun Singh: Okay. Okay. So roughly 100 -odd stores, we should be able to add in second half?

Girdhar Chitlangia: We are working towards that. We have got a good pipeline of stores, and we are hoping that we will do that.

Varun Singh: All right. Okay. And secondly, the new stores that we are adding, I mean, from the current quarter number, that calculation that we could do is around 3,000, 4,000 is what the number that I could see. Please help us understand that whatever new store addition that we are doing, that is of what size because system level average store size is around 1,200, 1,300 square feet?

Girdhar Chitlangia: So our new store additions are anywhere between 1,200 to 2,500 square feet and depending on the type and the offering and the catchment. Some stores, we are actually adding marquee stores and some Club A stores, which are larger. But the rest of the stores are our normal average size between 1,000 to 1,200 square feet.

Varun Singh: Okay. Okay. And just wanted to understand on EBITDA margin that I think earlier we guided that 50 bps margin expansion is what we should expect in FY '26. So, from [inaudible 0:53:00] in FY '25, 50 bps expansion is 13.5% in FY '26. And given the first half that we have -- I think the required run rate in second half is 14% or more than 14% EBITDA margin.

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So is this number -- I mean, are we comfortable with 14% kind of an EBITDA margin in second half given that Amisha also called out regarding A&P investments, et c., to also be on the strategic cards for driving growth?

Girdhar Chitlangia: So, what we had guided earlier in terms of EBITDA margin growth, we are pretty confident of achieving that.

Varun Singh: We are confident of achieving that. So I think in first half, 12.6% EBITDA margin, second half 14.3% is what

the number coming up. So I think we understood. And one last question on the online part. I think you called out that we are defocusing online wholesale business.

But in the current quarter number, I could see that your growth for the online B2B has been much higher compared to online B2C. So I mean, how should we understand the reasoning for this growth and the defocus that you mentioned, consequently the...

Girdhar Chitlangia: Varun, if we look at our investor deck and the numbers that Amisha also said, both are in line. Online B2C actually grew faster, almost like 50% and online B2B degrew, sorry, it did not degrew, but it grew much lesser actually, 10% only.

Moderator: The next question is from the line of Rajiv Bharati from Nuvama.

Rajiv Bharati: Girdhar, you mentioned that employee cost on a Q-on-Q basis would have been 10% higher otherwise, if not for that the management change. So if we adjust for that, the gross margin -- the EBITDA margin expansion would have been close to 90 basis points. And is that the sustainable number which you are, let's say, shooting for at least for this current fiscal moving forward as the employee cost normalizes?

Girdhar Chitlangia: I mean mathematically, what you're saying is right, Rajiv.

Kulin Lalbhai: Yes, maybe I can come in here. I think the last 3 years, we have consistently been more than 100 bps operating leverage in this business. And one slight difference in the next 3 years, I would say, is while fundamentally, we can continue in that trajectory because we've got further

operating leverage coming in and some of the lower -performing brands are moving up faster, we intend to up our marketing spend.

And that's, I think, something we have mentioned in the last couple of quarters that our percentage of marketing as a percentage of sales is being taken up. So in a sense, we are taking a bit of that operating leverage and investing in future growth.

And that's why I think depending on which quarter, possibly the range of operating leverage you would see would be somewhere between 50 bps to 100 bps. It could go up and down because of the way the marketing is going to play out and the way we are investing in the brand.

Rajiv Bharati: Sure. I mean you partly answered it, but considering that last year also, I think on the AFL side, we have grown at 13% and we barely saw any operating leverage on that entity. And now we have -- on the retail side, we have grown at least 20% on USP A side. Would we expect operating leverage coming in that side or you are going to...

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Kulin Lalbhai: I think you should expect now operating leverage in all parts of the business, and that's what's actually also come through in H1. So, you should expect that in the full year also.

Rajiv Bharati: Sure. Lastly, one question to Amisha. So, we have heard a lot of continuity from what Shailesh was continuing on, let's say, brand extension and expanding the network. But are there any other low-hanging fruits which you are targeting to impact your change of guard and something which you are bringing on the table, which is very new, which we have not seen so far?

Amisha Jain: Sure. So, I'll kind of again go back and talk in terms of fundamentally how we are thinking about things. A, like I mentioned, I think a strong portfolio of 5 brands, and we believe that there is headroom there. So, as we look at these 5 brands as well, right, we want to make sure that we are articulating and extremely sharp on how we are positioning our brand. So from a brand positioning, consumer communication and how we talk to our consumer, you will see that we will double down over there.

The second thing we will talk about is going forward is also looking at how we are catering to this consumer from a product point of view. So, sharpening our merchandising range, sharpening the way the pr

oduct portfolio, the pricing of the portfolio, aligning that to the consumers that we serve is going to be a second large thing.

Now as you look at the consumer, you look at the product portfolio that you sort of cater to them, then you want to make sure that you are talking to them. So, and hence, we will be looking at a sharp segmentation. We will be data backed, and we will ensure that we are improving and going after our marketing capabilities also.

So enhancing that through technology in everything we do. We're going to make sure that we are going to leverage that from a consumer targeting point of view. Now as I said this, I think it's also important to understand that when you talk about product, when you talk about brand, the critical thing is to make sure that the last vertical, which is the last pillar, which is channel has to stack up right for each brand.

So we will be looking at these 3 things in a very sharp manner across our brand portfolio. Largely speaking, I would say that there will be 2 large enablers to the business in the future. One is obviously, I've already spoken about, which is improving the way we look at data and ensuring that we make a lot of data backed decisions, and that should also inform the way we talk to our consumers, the way we target them, the way we segment them. That's one part of it.

The second is we will be looking at technology in pretty much everything we do. So how we go to market, how we cater to the consumer, how do we look at merchandising. Every part of our value chain, we will ensure that there is acceleration from a technology point of view as well over the years.

Moderator: We will take that as the last question for today. I now hand the conference over to Mr. Girdhar for closing comments.

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Girdhar Chitlangia: Thank you, everybody, for joining the call today. If you have any more questions, please feel free to reach out to us, and we would be happy to answer them offline. Have a good day.

Moderator: On behalf of Arvind Fashions Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2026

February 4, 2026

To,
BSE Limited
Listing Dept. / Dept. of Corporate Services
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001

Security Code : 542484
Security ID : ARVINDFASN To,
National Stock Exchange of India Ltd .
Listing Dept., Exchange Plaza, 5th Floor
Plot No. C/1, G. Block
Bandra-Kurla Complex
Bandra (E)
Mumbai - 400 051

Symbol : ARVINDFASN

Dear Sir/Madam,

Subject: Earnings call Transcript of the conference call with Analysts and Investors for the third quarter and nine months ended on December 31, 2025

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are attaching herewith the transcript of the conference call with Analysts/Investors held on Thursday, January 29, 2026 at 12:30 P.M IST, to discuss the financial performance of the Company for the third quarter and nine months ended on December 31, 2025. The same is being uploaded on the website of the Company.

This is for your information and records.

Thanking you,

Yours faithfully,

For Arvind Fashions Limited

Lipi Jha
Company Secretary
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"Arvind Fashions Limited
Q3 & FY '26 Results Conference Call"
January 29, 2026

MANAGEMENT : M R. KULIN LALBHAI – VICE CHAIRMAN AND NON-EXECUTIVE DIRECTOR –
ARVIND FASHIONS LIMITED
M S. AMISHA JAIN – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER –
ARVIND FASHIONS LIMITED
M R. GIRDHAR KUMAR CHITLANGIA – CHIEF FINANCIAL OFFICER – ARVIND
FASHIONS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q3 and FY '26 Results Earnings Conference Call of Arvind Fashions Limited. As a reminder, all participant line will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Girdhar Chitlangia. Thank you, and over to you, sir.

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Girdhar Chitlangia: Thanks, Danish. Hello. Welcome, everyone, and thank you for joining us on the Arvind Fashions Limited Earnings Conference Call for the third quarter ended 31st December 2025. I am joined here today by Kulin Lalbhai, Vice Chairman and Non-Executive Director; and Amisha Jain, Managing Director and CEO. Please note that results, press release and earnings presentation have been mailed across to you yesterday, and these are also available on our website, www.arvindfashions.com.

I hope you had the opportunity to browse through the highlights of the performance. We will commence the call with Kulin providing his key strategic thoughts on our third quarter performance. Post that, I will hand over the call to Amisha to take us through the financial performance and the business highlights.

After the end of the call and post management discussion, we will have a Q&A session. Before we start, I would like to remind you that some of the statements made or discussed on this call today may be forward-looking in nature and must be viewed in conjunction with risks and uncertainties we face.

A detailed statement of these risks is available in this quarter's earnings presentation. The company does not undertake to update these forward-looking statements publicly. With that said, I would now turn the call over to Kulin to share his views. Thank you, and over to you, Kulin.

Kulin Lalbhai: Thanks, Girdhar. A very good afternoon to you all. Thank you for joining us for the Q3 results. I'm very happy to share that this quarter, we have seen the highest year-on-year growth in several years. We have grown at consistent double-digit growth rates over the past few quarters, which demonstrates that our growth drivers have fallen in place.

The demand environment was stable, and we achieved a 14.5% growth led by healthy LTL growth of 8.2% in the retail channel and around 50% growth in the direct online channel, leading to an overall 18% growth in EBITDA with a 40 basis points margin expansion. Our PAT adjusted for the onetime wage code-related charge has also grown by 65%, which shows strong operating leverage coming through.

Moving forward, with a strong addition in square footage, a healthy LTL growth and robust growth in our direct online and adjacencies, we hope to maintain this growth momentum. We continue to stay focused on our mantra

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of profitable growth, resulting in further improvement in return on capital employed. Arvind's reacquisition of a 31.25% stake in AYBPL reinforces Flying Machine's strategic importance within the AFL portfolio with the brand positioned as a key growth driver in the denim-led youth fashion market. I would like to now hand it over to Amisha Jain to take us through the specifics and more details about our financial performance.

Amisha Jain: Thank you, Kulin. Good afternoon, everyone. Wishing you all and your families a very, very happy New Year, and a warm welcome to the investor call for the quarter ended December 31, 2025. Q3 of FY '26 marked another strong quarter for us with revenue growth of 14.5%, driven by consistent execution across our direct-to-consumer channels.

We delivered a robust 8.2% like-for-like growth, nearly 50% growth in online B2C and a sustained double-digit secondary growth in our wholesale channels. In the quarter gone by, NSV stood at INR1,377 crores as against INR1,203 crores in the previous year same quarter. And our EBITDA was INR195 crores versus INR165 crores.

We continue to grow our direct channels. These together now account for nearly 63% of sales, a 260 basis points higher share over last year. Retail growth is very healthy at double-digits with very good like-for-like at 8.2%. Our expansion gathered pace and we have added over 41,000 square feet of retail space in this quarter.

r. We are in line to open 1.5 lakh square feet in FY

'26. Our strategy is to pivot our online sales towards online B2C, and that is also yielding really good results. Our online B2C grew by nearly 50%, taking its share to 17% with significant improvement in channel margin. Coming to wholesale, the wholesale channels also grew double digits with some billing of Q2, which was impacted by GST transition earlier that got moved into this quarter.

Both MBO and department store secondary sales have also witnessed a very strong double-digit growth. Now moving on to brands.

During this quarter, we acquired Flipkart stake in Flying Machine. We believe Flying Machine offers a tremendous growth opportunity. And going ahead, it will operate with a very sharply positioned role : a Gen Z-focused unisex fashion brand anchored in on-trend expression with denim at its core.

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Flying Machine will launch its dedicated D2C platform in fiscal '27, creating a direct-to-channel more directly communicating to the consumers, building relevance, community and cultural momentum with our Gen Z consumers. At the brand level, further, U.S. Polo continued its momentum and grew exceptionally at over 25%, led by impactful execution across all consumer touch points. Growth in other brands was nearly to high single-digit. PVH brands growth was impacted due to geopolitical supply chain disruptions and transition to a new GST regime where GST rates have increased from 12% to 18%.

Talking about other categories, those also grew really well and almost all of these growing in excess of 20%. These were predominantly led by footwear, which is now back to a very high growth. We believe that the disruption caused by implementation of BIS norms is now behind us. Overall, adjacent categories grew at 23%. Among the other metrics that showed improvement are inventory freshness and gross margin.

Inventory freshness is at an all-time high and gross margin has improved by 50 basis points. We continued our focus on advertising spend. Among the balance sheet metrics, overall working capital remained stable. Inventory buildup was to mitigate geopolitical disruptions. This has also helped us improve freshness and on-time season launch.

Coming to the P&L. The growth in EBITDA at AFL in Q2 is 18.2%, up 40 basis points led by gross margin improvement. Since there was early onset of festive season and wedding season, we entered EOSS a week earlier than usual. Overall discount was higher, but better channel mix, cost efficiencies and select have led to improvement in margin. In this journey of profitable growth, the PAT, excluding code on wages impact in Q3 is at INR44 crores a growth of 65% over last year.

The growth in PBT is nearly 20%, again, excluding code on wages. As we enter last quarter of the year, we are reasonably confident of maintaining our growth rate. We will continue our store expansion, and we hope to achieve a net square feet addition of 1.5 lakh square feet for this year. Our consistent execution on product in-store experience will help us deliver a healthy double-digit growth in retail and direct-to-consumer channels.

We also expect that the government initiatives will aid higher consumer disposable incomes, leading to a demand improvement across categories in

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the medium-term. The outcome will, of course, depend on how the market environment shapes up. Thank you.

Moderator: Thank you. Our first question comes from the line of Avinash K from Motilal Oswal Financial Services Limited.

Avinash K: Congratulations on a very good set of numbers. So if I heard right, you said like U.S. Polo growth is 25% for a brand which is almost at INR2,000 crores, what drove such a huge growth in this quarter?

Amisha Jain: Thanks for your question. I think that's a great question We're quite e

xcited

to see the way some of the growth drivers around U.S. Polo are shaping up.

If you were to talk about how some of the initiatives that were put in place, one large thing that we've been talking about is product and what we're seeing is that U.S. Polo product elevation is extremely visible in the market.

The consumer is taking that really well. We've been driving premiumization, and that is another trend that has worked extremely well for U.S. Polo. So all in all, from a product assortment point of view, our strategy is on point, and we've been going extremely well. The second thing is we did double down on how our distribution looks like in U.S. Polo and our retail expansion has been targeted towards that. So, shutting down of nonperforming stores but predominantly expanding retail has also led to significant growth.

The third piece is that the other categories have been doing really well, and we've doubled down on that, especially with U.S. Polo. Innerwear, footwear, kids and womenswear have all clocked upwards of 25% growth as well. So, I think from all in all, our growth drivers in U.S. Polo have been significant.

Coming back to direct-to-consumer growth driver for us, we've also seen an 50% plus growth in online as well. So overall, when you look at it, all channels firing, retail and online channel doing really well, that has led to the growth of U.S. Polo.

Avinash K: Okay. Understood. My only concern is that this isn't the case of channel filling or inventory stuffing, which led to growth in the near-term?

Amisha Jain: Overall, from a retail point of view, the retail growth is at 23% and our like-for-like in U.S. Polo is at 11%. The other important thing to note is that it is our mainline business in retail and our direct-to-consumer business that has actually grown faster.

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When you look at our wholesale numbers also, our wholesale, while it is at double-digit, , actually, between Q2 and Q3, we are in line with the standard growth of wholesale as well. So, it's really the consumer offtake that is driving U.S. Polo.

Avinash K: That's a very good point. Congrats. Second thing is a little bit of bookkeeping question. If you look at like employee costs, they have gone up by 23% this quarter. So, is it a one-off? Or how should we read it?

Amisha Jain: Sure. I think there are 2 parts to it. Employee benefit expenses have gone up slightly in this quarter, more sort of putting in some money towards the employee welfare expenses, which is a one-off and some of it is the ESOP charge.

As we spoke last time also about some of the growth drivers, and one critical growth driver that we had highlighted was our investment towards data AI and consumer centricity. And so we've kind of ramped up hiring there, and that's what you're seeing as well in the consumer intelligence piece and also invested towards some of the strategic pieces. While we've done this, what you will see coming next year is that these numbers should come in line with the growth of the business as well.

Avinash K: Okay. So, most of it is like a steady structural basis, you'll see a similar kind of INR80 crores run rate going forward?

Girdhar Chitlangia: Yes, . There could be a small onetime which will drop off some of the staff welfare kind of a thing. But yes, otherwise, it will be pretty consistent like this.

Moderator: Our next question comes from the line of Kaustubh Pawaskar from ICICIdirect.

Kaustubh Pawaskar: Congrats for a good set of numbers. My question is on Flying Machine. Now since we have consolidated it and we have brought the brand under our kitty. So now we will definitely look to redefine the strategy for the brand. So how much time will it take brand to really get back to its original growth rate or maybe from -- when we can see brand really start performing and adding materially to the growth and profitability of

the company?

Amisha Jain: Sure. Great. Thanks for the question. I just want to kind of step back and talk about Flying Machine holistically. If you were to kind of look at from a Arvind Fashions Limited
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market point of view, we believe that there is a tremendous opportunity in front of us in Flying Machine.

As you can see, from a denim point of view, there's a large gap between the #1 player in the market and rest of the brands. We have a belief that Flying Machine with its equity that it holds and the positioning that it has had, it can be one of the largest denim players, both in men's and women's segment.

And tying to that, one big push you will see is us addressing the Gen Z consumers in the market. So, from a portfolio point of view, Flying Machine is actually well positioned to kind of take on that space. And that's why we're bullish about it.

Now given that, we will also see that our channel strategy also align that way. We will have a bigger, bolder digital strategy. You will see us launch the flyingmachine.com in the coming fiscal year. And some of those initiatives will start lining up as we start working closer towards the market in terms of how we are targeting the consumer, serving the consumer and addressing the consumer from a product portfolio point of view.

Now having said that, what you will see in this quarter, the way we've performed, we've seen a 17% like-for-like in Flying Machine in the stores as well. And our B2C on Flying Machine has grown by about 40%. Department store has grown by about 35%. So to the question that you're asking, we're already seeing green shoots.

We're already seeing that the brand is sort of on its path. And we will need another couple of seasons, maybe 2 to 3 seasons where you'll start seeing the brand sort of coming into its mainstream growth as well.

But I would also emphasize that it's already on that path. Now obviously, given the movement -- given that we've now got the stake, et cetera, what you will see us do is line it up better in terms of how we will cater to the Gen Z consumer through other marketplaces. It opens up a few more avenues for us as well. And we are quite bullish about it. We will see momentum in this brand continue over the next few seasons.

Kaustubh Pawaskar: My related question to it is since you are making it more a Gen Z focused kind of a brand, what -- how will be the pricing differentiation will be with some of the brands which are already there in the market. So some of the premium brands, which are already there in the market and their focus might be something else, but you are focusing more from the Gen Z kind of a brand
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concept. So will there be any material price difference which will be available in the market?

Amisha Jain: See, I think when you look at Flying Machine, it is actually very well positioned to be the strong youth denim brand. And when you look at the product market fit, it's got actually a phenomenal product market fit as well. Our products are priced exceptionally well for the value that we're offering. And so from that perspective, I feel that from a consumer point of view, it's actually very well poised to serve that segment of the consumer.

Moderator: Our next question comes from the line of Priyank from Vallum Capital.

Priyank: Team, my question is on the -- when I have to look at non-controlling interest, which has dropped quarter-on-quarter and also on a long-term run rate, what explains this? Is it PVH some -- I mean, the growth issues at the

PVH and what would that be, if you can elaborate on that?

Girdhar Chitlangia: Priyank, Girdhar here. You see in the last quarter, there was a code of wages impact on the PVH business, which subdued its profitability by some bit.

There was an FM model change also where we moved to a different model with a couple of our pa

rtners. So because of which we had to reverse some of the sales and take a negative position on the P&L.

So those are the 2 which explain the large part of the drop. However, having said that, when the GST was rolled out, there were some headwinds on the PVH business early in October and sometime till November. Post which business has stabilized. There was a price increase and consumers found it a little difficult to absorb and buy. But since middle of November till December and now we are seeing quite healthy growth and those numbers are coming back.

So largely, it is attributed to some slowdown in PVH in the early part of the quarter, a labor code impact and FM -- yes, largely the PVH impact early in the quarter was because of the GST, where prices had to be increased.

Priyank: I couldn't get the first point, moved to the different business partners. Could you explain me that? What was the change in the business model?

Girdhar Chitlangia: Yes. For the Flying Machine, we had to move to an SOR model with a couple of our partners. So whatever was the inventory, we had to take it back and we started recording sales on a secondary basis. So, the residual inventory at

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that transition time had to be recorded as a reversal of sales in our books, which increased the loss and hence the minority interest went down.

Amisha Jain: I think the PVH, the only point is that given the GST transition from 12% to 18%, we did pass on and increased prices there. So there was an interim blip that we saw in terms of that sticker shock. But what we've seen now is that the sales are stabilizing over there.

Priyank: Got it. So ma'am, then I have to just reconcile the like-to-like numbers, U.S.

Polo would have grown at 11%, FM at 17%. PVH might have seen a slight decline. So if the numbers are so high, so what -- so the balancing number comes only for Arrow, which also would have been negative. How does this reconcile on a total 8% like-to-like growth that we have reported?

Amisha Jain: Yes. So see, all our brands have grown -- I mean, while we've grown overall at 15%. Our brands stand -- U.S. Polo have grown at about double-digits. And like-for-like for FM has grown at about 17%.

PVH has also grown. The thing with Arrow has been that, one is we did see a little bit of a supply disruption because of the movement of goods from Bangladesh. And some of the key inventories were a little delayed into the market, which got streamlined a little bit post November, and now we're kind of on track.

So there was a minor sort of that movement led to us participating into the wedding piece a little later, which impacted Arrow a little bit. While Arrow has grown, it has grown in early single digits. Overall, what we see now is that all our brands are on a pretty solid positive growth.

Priyank: Sorry, I'm just reconciling the numbers again. You said U.S. Polo like-to-like growth would have been early double-digits and FM also 11%. Is that right?

Amisha Jain: Sorry, say that again, please?

Priyank: I'm saying just getting a clarification on the numbers that you spoke out. U.S.

Polo would have been 11% and even FM, Flying Machine would have been 11% on the like-to-like growth.

Girdhar Chitlangia: Yes. But share of FM is very low. While the number is double-digit, the share is very low. And hence, on an overall basis, the weighted average will still be 8%.

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Priyank: Got it. And one last thing on the overall strategic part, when I have to look at 9 months performance, despite a solid performance on the top line, what

we are yet witnessing is not all the gross -- I mean, yet on the EBITDA level, the uplifting has been done only via gross margin gains?

I mean the gross margin mix, of course, with the retail going up is also going up, but it's not completely populating down into the EBI

TDA margin, which

means that we are yet on an investment journey for our brands. When do we see the gains coming from the operating leverage and not only via gross margins, which will give us a confidence that the brands which were expected to turn around are actually performing well?

Amisha Jain: If I were to step back, as you may have noted that we've expanded our margins by 140 bps over the last 2 years with a focus on cost and other efficiencies. And so, with confidence on growth around double-digit, we believe that operating leverage is possible in the business, and we expect EBITDA to grow more than 15%. And I think that's something that you've seen consistently as well. We have seen operating leverage year-over-year on fixed costs, excluding the onetime costs as well.

So with all of that in place, we have also said that we want to make sure that we will continue to invest towards advertising as well, and we do to spur growth also. So we are in line with that kind of an investment. And given our growth trajectory, we are confident that we will be able to see more than 15% in terms of EBITDA growth.

Moderator: Our next question comes from the line of Tejash Shah from Aventus Spark Constitution Equities.

Tejash Shah: Congrats on good set of numbers. Just wanted to start with -- could you help us understand the strategic rationale behind increasing the online B2C contribution and which of the 3 objectives it is primarily aimed at? Is it growth, profitability or working capital efficiency?

Amisha Jain: Yes, I think at a broad level, we've called out that direct-to-consumer is a key growth driver for us, and we are getting more and more closer to the consumer. It does a few things for us as a consumer organization, as a brand organization.

As we stay closer to the market, our learning and understanding of the consumers increases and how we kind of pull that back into a feedback loop, not just from the way of how we are communicating to the consumer, but

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also from a perspective of how we are serving the consumer, the learnings around product and our entire value chain.

So there's one large element of saying that as a brand, we want to be closer to the consumer and want to make sure that we are center of culture, adapting to whatever the consumer is shifting towards, and we are able to do that faster.

Hence, we've always maintained that we would like to take this number of us from a direct-to-consumer point of view, we do want to take it to about 75%. We are at 63%, if you were to look at it from a share of business point of view, right? Second point is, I think it allows us to actually also maintain pricing and keep that in check.

It allows us to continue to control the discounting, allows us to kind of, again, bring some of those gross margin and EBITDA numbers in check. That's the second piece of it in terms of how it will enable us to improve overall structural economics of the business as well.

Tejash Shah: Got it. Okay. Second, just wanted to know what are the -- you spoke about the distribution interventions that we would have made in U.S. Polo to deliver this kind of robust growth. So first, if you can elaborate a bit on distribution intervention that we would have made recently? And second, what is the white space or total universe, which is available the way you see it today, which gives you visibility of 2 to 3 years growth in this particular brand.

Amisha Jain: The first part of your question was on distribution for U.S. Polo, right?

Tejash Shah: Yes.

Amisha Jain: So see, I think I'll kind of go back to again saying that as a growth driver, there are a couple of things that we had called out. One is retail expansion.

Second is kind of doubling down our focus on making sure that we drive retail

efficiencies and hence, like-for-like growth. The third being digitization in general.
And obv

iously, driving adjacent categories. Now when you apply this to U.S. Polo, it's firing on all these fronts. In terms of retail stores, we've been at a solid expansion trajectory. And by the end of this year, overall at a portfolio level, we will add net -- 1.5 lakh net square feet .
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U.S. Polo obviously is driving a good chunk of this. At the end of the year, U.S. Polo will be at about 400-plus stores, and we would have added close to 60 stores in U.S. Polo. Having said that, U.S. Polo is clocking very well in terms of the retail like-for-like also. Plus, on top of that, when we look at the online play in U.S. Polo, what we're doing is ensuring that the right product is reaching the consumer through this online channel as well. We are also seeing that the growth in online of U.S. Polo as a brand is pretty strong. All in all, if I were to look at it, our direct-to-consumer channel strategy is actually playing out really well for the brand.

Tejash Shah: Perfect. And last one, if I may. How is the -- what's your read on the health of inventory and working capital as it's today? Because at least on paper, it looks like it has grown faster than 9 month revenue growth?

Girdhar Chitlangia: Yes, I will take that. You see we are perhaps at the best health of inventory. Our inventory, which is more than 2 years is lowest ever, in the last 3-4 years. Yes, I agree that the inventory levels seem a little higher, but please understand that we are nearing an election in Bangladesh in February. And to derisk some of those issues and almost 15% of our product comes from Bangladesh. So ,to derisk that, we actually took a conscious call to inward some of the inventory in late December, which is showing up. We believe that this is transitionary and as situation stabilizes, we will come back to normal inventory turns of between 3.8 to 4 somewhere there actually.

Moderator: Our next question comes from the line of Prakash Kapadia from Kapadia Financial Services.

Prakash Kapadia: A couple of questions from my end. You've been guiding and achieving the mid-teens growth over the last few quarters, and you've been talking about some of the tailwinds over the last few months. So given some of these tailwinds, shouldn't growth aspirations now be slightly higher than what we've been targeting and achieving of that broadly 11% to 14% sales growth range? And also, it will be helpful if you could comment on adjacent categories, how crucial is that to our growth strategy? What is the contribution of adjacent categories to our sales now? And lastly, what would top 10 cities be contributing to our overall sales? Those are my questions.

Amisha Jain: Thanks for the question. When you look at our growth over the last 3 quarters, and as you pointed out, we've shown significant momentum, and
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that's also on the back of, again, the strategic growth drivers that we had set up. The team has been really focused on ensuring that we drive solid execution behind the strategy that we've kind of put together. Now we continue to be confident that we will be able to post double-digit growth for this year. As you mentioned, in terms of the tailwinds, which are external, the government stimulus and the GST rationalization, et cetera, we do believe that in the medium-term, that should help build the consumer demand, and we remain hopeful that will contribute as well. Having said that, I would still say that we are confident that we will start driving towards and we will maintain our trajectory of growth between 12% to 15%. We have been delivering at a little higher end of that. And given the growth drivers that are in place, we believe that we'll continue to clock in that direction. In terms of the second question that you asked around the adjacent categories. We are overall from a portfolio po

int of view; our 5

brands are actually pretty solid.

As I had mentioned last time as well, that for us, we do believe there is significant room for us to grow within this portfolio. And our other categories obviously are a key driver of that. Having said that, the mainstream business actually, which is more from an apparel point of view, keeps clocking in the same range as well.

Adjacent categories are critical because as you look at our brands, consumers are expecting this and our brands are more from a lifestyle positioning point of view, these are end-to-end brands. And hence, for us, the adjacent categories are critical.

In terms of -- when I look at brand by brand, from a portfolio point of view, about 25%-odd of our portfolio sits within the adjacent categories, and this drives significant growth. We do believe that there is headroom for growth for the year. Footwear has come back to 20% plus and so is innerwear in that range. Women's apparel has clocked about 50% plus growth. With all this still women's apparel is very, very early days, but overall, our belief is that these are some of the growth drivers of the future.

While we continue to drive it, I will still emphasize that our mainstream apparel point of view, it's quite heartening to see the way our brands have been growing in the men's apparel space as well.

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Prakash Kapadia: Okay. And if you could have that top 10 cities contributions from here on, how does growth pan across? Is it pan-India? Is it more aspirational? Is it beyond the top 20 cities? Some color or context will help.

Amisha Jain: So overall, if you would look at our brand portfolio, we are present across about 150 cities. And we will close the year at about -- in the entire portfolio, with about 1,000-plus stores within our portfolio. We do believe there is a potential for us to expand within the top tier cities further, and we will only keep going in that direction.

We will continue to improve the boxes, the size of the boxes and our retail expansion will continue from a net square feet addition as well. So, from that perspective, to answer your question, we do have a focus on the top-tier cities, and we will continue. On the specifics, we will get back to you on those numbers.

Moderator: Our next question comes from the line of Palash Kawale from Nuvama Asset Management.

Palash Kawale: So my first question is on channel mix. So when do you see this growth in online B2C stabilizing or to reverse in this channel?

Girdhar Chitlangia: Sorry, just can you repeat the question?

Palash Kawale: So my question was on channel growth. When do you see this growth in online B2C stabilizing? You have been growing pretty well in the channel. So when do you see the growth reversing to NIM?

Girdhar Chitlangia: Over the last 4 years, we have been actually trying to defocus on B2B while increasing our focus on B2C. The importance of both the channels will always remain. And as we go ahead, B2B is largely used during the large tower events plus some other events that are there. But B2C will be a continuous focus.

And as of today, we see there's a big attraction and there seems to be quite a lot of natural demand, which is coming.

So, we are currently clocking more than 50%. And yes, at some point, this will become stabilized, and we believe that it could be -- overall online growth will continue to grow at 20% to 30% year-on-year at least in the next near future.

Palash Kawale: Yes. That's really helpful. And is this one of the biggest driver for gross margin expansion for you?

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Girdhar Chitlangia: There is surely an advantage of increasing share of the B2C, whereas Amisha said earlier, we can control the pricing and discounting. However, I think a large part of our improvement is coming from both retail as well as B2C.

Palash

Kawale: So this expansion should continue going forward as well, right?

Girdhar Chitlangia: Yes.

Palash Kawale: Okay. And next question was on -- can you -- can we see the success of adjacencies in other brands like Arrow and FM? Is that possible?

Amisha Jain: See, like I said, every brand has its journey. And currently, we are building adjacent categories where we believe there is relevance, and we will continue to drive that. And the scope of that and the scale of that is something that we will drive from where the brand stands. As we are looking at Arrow and FM and we've been on this journey and Arrow is a little ahead of FM in terms of the direction and how the brand is now positioned and turned around.

While we are on this journey, whenever it is relevant we will start driving additional sort of build-out of some of these other categories. But it's more to do with the way the brand is built out. And I wouldn't kind of have a -- say that all brands will kind of go at the same pace on that.

Moderator: Our next question comes from the line of Niraj from White Pine Investment Management.

Niraj: Yes. I wanted to again get the like-for-like for the FM. Was it 11% or 17%?

Amisha Jain: The like-for-like for FM is 17%. But like I had said earlier as well, I think we need to keep in mind that it's a very small part from a retail portfolio point of view.

Niraj: Understood. And can you give the like-for-like for Arrow and the PVH brands?

Girdhar Chitlangia: So usually, the brand-wise data, we don't share. I'm happy to connect with you offline so that we can discuss some of these.

Niraj: The reason I was asking, I wanted to know on the -- at least the formal offtake in the market. How is it considering that there is some marriage season upcoming.

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Amisha Jain: Yes. When you look at the quarter, I mean, wedding season was earlier this year. And like I had mentioned, the formal -- I mean, for us, Arrow has been doing well. It's coming to the place slowly as we kind of drive the transformation of this brand, we are getting to a place and in a couple of seasons, we will see a shift there as well. We are seeing an offtake.

But having said that, Arrow participates more from a formal wear point of view. And for us, the thing is that we partake in a very minimal level from a wedding perspective. So, our observation on a formal market would be only limited to the scope of what we cater to.

Niraj: Okay. And last question on the margins. On -- I know you don't give brand, but can you give a color when these Arrow and FM can -- sorry, the Arrow and FM, yes, can breakeven or move to a reasonable number in EBITDA margins?

Girdhar Chitlangia: Arrow, as we speak, post-Ind AS is profitable. And obviously, there is a journey between the brands. Flying Machine, as we have said earlier also, it is still work in progress. And it is about 2 to 3 quarters behind Arrow. And we are hoping that end of next year, probably we'll see some EBITDA profitability in that brand.

Niraj: Got it. So, once it stabilizes whenever a year down the line or so, where do you see the margins stabilizing at range?

Girdhar Chitlangia: Arrow can reach mid-single digit in my view, within a year and Flying Machine, as I said earlier, can near a breakeven number.

Moderator: Our next question comes from the line of Ashutosh from ICICI Securities.

Ashutosh: So ma'am, my question is on the overall demand scenario. So if we see that many of the value retailers have specifically highlighted that the demand is very soft and they have given reasons like it's like overall subdued demand along with the competition that is there. But for Arvind, like how is the premium segment performing?

And also just want to add in this, one of the largest value retailer in quarter 2 said that the initial GST benefits actually went to the large ticket items. And they said that it will g

radually flow to the discretionary side like the apparel. So are you seeing any on-ground trends regarding that and overall premium segment, how it is doing the customer trends given it's almost like 1 month has already passed in Q4?
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Amisha Jain: Yes. For us we have been following a premiumization strategy, and that we have seen has been doing well. The demand from a consumer point of view has been pretty solid for our brands. And that stability we see, and we are expecting that to continue in Q4 as well. While it is only a few weeks into Q4, we remain hopeful that we should be maintaining our trajectory of growth in the 12% to 15% zone as we've communicated.

I can't comment on the value retail part of it, but I will say that from a GST perspective, we do believe that some of these initiatives should come back to boosting demand in a positive way in the medium-term, while we may not have seen an immediate effect.

Ashutosh: Okay. Understood, ma'am. And my next question is on the Q3 growth. So you said that there was some spillover from quarter 2. So what would be the normalized growth for Q3, like if you can exclude the spillover?

Girdhar Chitlangia: The impact could be less than a percentage, I would say, not much.

Amisha Jain: I think the way to read it would be if you look at MBO between Q2 and Q3, it would look at a normalized growth of MBO both put together.

Girdhar Chitlangia: Yes.

Moderator: Our next question comes from the line of Andrey Purushottam from Cogito Advisors.

Andrey Purushottam: Congratulations for a good set of numbers. I wanted to ask about margin levers on 4 sub-dimensions, okay? So I'll just take each of the sub dimensions one by one and ask you, if I may. Firstly, you mentioned operating leverage, right? Now I wanted to understand, apart from, let's say, the spreading out of overhead to a large number of stores, et cetera, what are your sources of operating leverage? And how do you see that panning out in the near future?

Girdhar Chitlangia: Okay. What is your next question? Keep going.

Andrey Purushottam: Yes. Second question is maybe -- okay, the other 3 is premiumization. How important is premiumization to you? And how much is that contributing to margins? The third question is cost control.

How important is cost control and where are the areas of cost control? And the fourth question is that if you're increasing percentage of online sales from the current 17% to whatever they might be in the future, how much will that

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contribute to improving margins? And have I captured all the margin levers? Or are there any other significant margin levers that I have missed out on?

Amisha Jain: I think at a broad level, I'll say that premiumization is a very important strategic lever. And when we look at our product portfolio across our brands, we have been driving a premiumization strategy. And what we have seen is that the consumer is responding well to that. Our brands are -- while they are premiumizing, the product market fit is quite phenomenal and our brands are all positioned in an aspirational part of their own individual segment, right? From that perspective, premiumization is a very critical part of our strategy.

Overall, as we've also communicated that gross margin expansion is something that is -- and premiumization is kind of driving that as well. Our focus has been on both on product strategy, getting the right assortments out and ensuring that we are driving premium within that segment as well, right, while offering great value to the consumer.

Further, this has led to GP improvement as we've worked on the COGS side of things. But at the same time, our focus has been to kind of continue to reduce discounting at an overall level as well. I think all in all, that part of the strategy kind of hits very hard.

We've

also maintained that as a company, we are very, very sharply focused on driving operating leverage. And hence, you will always see EBITDA growing faster than revenue, and that obviously brings into the question that you asked. Obviously, cost controls are part of it. We have seen over the last 2 years, you've seen about 140 basis points sort of an improvement in margin expansion with our focus on cost and efficiencies, and that includes fixed costs, et cetera. So we continue to remain focused over that. We will keep driving it. As we drive our channel expansion, we do believe that Opex will remain in line, and that should lead to EBITDA expansion as well. So operating leverage kind of comes and flows from there as well. Andrey Purushottam: I'm sorry, I didn't get any specific answers to my questions. First of all, I asked about what is the source of your operating leverage. And in terms of premiumization, could you explain what is -- what are you doing actually in terms of your assortment, et cetera, that is leading to premiumization? What are your initiatives and cost control? And does the increasing percentage of

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online sales increase your margins in any meaningful way? So I would request you to give some specific color on these questions. Amisha Jain: If I were to kind of go back to premiumization, we can talk about the merchandising strategy. For us, premiumization comes from 2 parts, How are you looking at the brand and elevating the product portfolio in general to ensure that the product mix is what is right from a consumer, from a market and a channel point of view. For us, premiumization comes in 2 lenses. One is a channel segmentation and ensuring that the product mix that we are aligning for that channel, for that particular store is matched to what the consumer segment is. And our merchandising strategy and our merchandising grid is getting more and more sharper and aligned to a sharper segment of a store of one. So that's one part of it. The second, from a premiumization point of view is, you will see significantly improved product and innovation being brought to the market. And that also at a very solid -- I kind of mentioned this earlier also, very, very solid product market fit over there. What we are offering from a price value equation point of view is also extremely good. While maintaining the aspirational portions of the brand, premiumization is being driven both from a product mix point of view, from the individual product and innovation offering point of view and how we are giving value to the consumer. That's all in all from a premiumization point of view. Does that help you? Kulin Lalbhai: If I could just come in here... Andrey Purushottam: I'm still not getting an answer of your -- the source of your operating leverage because I understand operating leverage a little better than the manufacturing situation? Girdhar Chitlangia: No, see I can answer... Amisha Jain: I think you asked 2 questions. We'll kind of park the premiumization part because you are talking about both in the same thread. So premiumization, I hope you understood that part of the merchandising strategy. And maybe we can park that question. Andrey Purushottam: No. What I've understood what you said on premiumization is that basically you are improving the product quality and you're improving innovation. That's

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what I got, okay? I don't quite understand what's your linkage to merchandising to premiumization was, at least I didn't understand the connection? Amisha Jain: So if you want, we can have a separate conversation because I think merchandising is the key part of -- from a brand merchandising grid point of view and product mix and product innovation are key drivers. If you're trying to relate this back to manufacturing, maybe there could be a separate conversation on it.

Kulin Lalbhai: If I could just come in here on a couple of examples of operating leverage in the business. I think first, on gross profit, one of the things we are seeing is constant sourcing advantage with scale. So, I think one of the ingredients into GP is when you have larger scale, you are able to get sourcing efficiency. And of course, as Amisha was saying, there's also -- we are working on better full price sell-through and bringing our discounting down. So that's not necessarily operating leverage, but that's one of the very large things that is going into GP enhancement today.

On the sellex side, the best way to think about operating leverage is through the lens of productivity. When your LTL is very high, your store level fixed costs remain the same, but your revenue goes up faster. LTL, when it is in the high-single digits, you are getting operating leverage on your sellex, which is again, a good operating leverage point.

And then below your channel margin is your overall company fixed costs. And we've reached a scale now where the fixed cost of the company will not in the years to come, grow as much as the scale of our CBA growth and our revenue growth. So that is a third source of operating leverage. So, at 3 levels, you will be seeing operating leverage coming into the company. Andrey Purushottam: That helps. And in terms of cost control and in terms of percentage of online contribution, how does this -- what are the cost control initiatives that are still relevant to you apart from what you've already mentioned in this list? And in terms of does the percentage -- increasing percentage of online offering improve your gross margin?

Kulin Lalbhai: Online -- and then Amisha can talk about cost. See, in online, we look at in all our channels, a metric called CBA, which is your contribution margin. And our online channel contribution is very similar to our offline direct contribution margin. So in terms of any shift between channels is not going Arvind Fashions Limited
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to have a very major impact on our overall EBITDA because they are similar from a channel profitability perspective. I hope that clears your question.

Moderator: Our next question comes from the line of Pooja from InCred Asset Management.

Pooja: Congrats on a good set of numbers. I just wanted to get some understanding on the ASP. So how is it balancing? Is it more towards the higher-end brands or the lower-end brands? If you could provide me some clarity on that?

Girdhar Chitlangia: Pooja, different brands have different positioning and Amisha can add. And Tommy, CK, of course, are in the premium segment. CK, we call it as a bridge to luxury. And Tommy is, of course, premium and different brands have different ASPs. If you could be more specific or we could, of course, catch up offline also, but we need more specific question.

Pooja: So I need to ask that how is the overall ASP shaping up? Is it more towards the premium brands? Are they contributing more? Or is it the lower end brands that are contributing more?

Amisha Jain: I think if you were to look at the portfolio, I mean, our portfolio outcome is an overall mix of the brands. And we have our brands that are staggered up from Flying Machine that is positioned as a denim-oriented youth brand to -- as we scale up to U.S. Polo's positioning, laddering up to Tommy and then to CK. So an individual brand from that perspective will sort of -- overall from a portfolio mix point of view, the ASP will obviously inch towards the weighted average of these brands as well.

Pooja: Correct. So that's what I wanted to understand that. How is it -- how is the segment-wise from the higher-end brands or the lower-end brands?

Amisha Jain: You are speaking segment-wise, which kind of segment are you speaking?

Pooja, can we put this question offline a little better. Maybe we can connect with yo

u, Girdhar can connect with you, and we can understand this better and maybe respond to you.

Moderator: Our next question comes from the line of Shreyans J from Swan Investments.

Shreyans J: Yes. Amisha, this question is for you. So given your background, what in your sense is the market for denim in India? And when you sort of look at that market, barring Levi's, there has been no other brand which has been Arvind Fashions Limited

constantly amongst the top 5. So I'm just trying to understand what we hear and read is the top 2, 3, 4, 5, that number keeps on changing?

And when you look at the growth rates of Spykar, Killer, Lee, Wrangler, all of those brands and even if I include FM in that breadth, FM is at INR400 crores for the last 4, 5 years. So what gives you the confidence that the initiatives that you take will actually drive growth from here on? Because in the past also, we've done a lot of things in the FM piece, but something sort of doesn't work out. So I just wanted to understand, is it a category problem? Is it a brand problem? What is actually happening underneath?

Given the denim category in general, we do believe that we have actually a very solid opportunity ahead of us. At the same time, our brands are very well positioned to cater to that category. Even if I were to just talk about our entire casual wear portfolio, which is laddering up from Flying Machine to U.S. Polo to Tommy and to CK, denim as a category, we are looking to serve that.

And we believe that we have an opportunity to lead in each of these consumer demand spaces at that consumer cohort, we believe that we can kind of drive to a #1 player in all of these spaces. Now coming back to the specific question the way we will go about building our brands is we are ensuring that we are catering to the consumers specific consumer need. And that's the first step of it. And then what we will line up is 3 big things, which will yield the results that we're seeking. I think it's important that we have the right product portfolio, and we feel extremely confident that with Flying Machine, we've kind of homed in on and as I've seen now the recent season, we've honed in on what the right product portfolio is from a consumer point of view. We're building out the assortment and ensuring that our -- overall, our merchandising strategy is aligned from that consumer profile point of view. That's step one.

Step 2 is we're also sharpening the way we serve and reach our consumer. And that is another critical piece of it. How do you speak to that consumer? How do we serve that consumer is an important part. We are doubling down on our marketing capabilities and going after this part of it.

I have spoken about this earlier as well. As part of our strategy, we are ensuring that we are going to segment the market. We're going to make sure that we are going to start communicating in a sharper manner and in a more

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current digitally oriented world and this consumer, we're going to kind of drive that as well. The way we are going to build the brand is going to be a second significant piece of how we will go about it. The third is ensuring that we are serving the consumer through the channel of choice.

This consumer fits within a certain type of channels, and we want to make sure that we are catering to that consumer that way as well. So how do we go about the social media strategy? How do we go about our digital strategy? How do we make sure that our digital commerce, our retail is lined up to serving the consumer as well. So that's what we're after.

And you'll see us come out from a brand point of view in a sharper way. Having said all of that, brands are built over a period. And us -- what we are now seeking to do is build this consistency -- and consistently season over season, ensuring that we have a sharp b

rand positioning, and we continue to cater to that consumer, with the right cultural books, with the right medium of communicating with the consumer. So, to the question you're asking, I'm extremely confident and bullish. I do believe that we have a great opportunity to take on this market.

We do believe that building out a brand of India and building out this brand for the youth is also going to be a solid positioning and the future of Flying Machines. Having said that, I do believe our brand like U.S. Polo, Tommy and CK are all extremely well positioned to service the consumer cohorts they

service -- service that consumer from a particular price point perspective as well.

Shreyans J: Okay. And my second and last question is, when you look at the overall business, last 2 years, if I just dial back, 4.5% growth and FY '25, 8.5% growth. And obviously, U.S. Polo.

Girdhar Chitlangia: Thank you, everyone, for joining us on the call today. If you have any more questions, please feel free to reach out to us, and we would be happy to answer them offline. Requesting Danish to close the call.

Moderator: Thank you. On behalf of Arvind Fashion Limited, that conclude this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

May 13, 2026

To,
BSE Limited
Listing Dept. / Dept. of Corporate Services
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400 001

Security Code : 542484
Security ID : ARVINDFASN To,
National Stock Exchange of India Ltd .
Listing Dept., Exchange Plaza, 5th Floor
Plot No. C/1, G. Block
Bandra-Kurla Complex
Bandra (E)
Mumbai - 400 051

Symbol : ARVINDFASN

Dear Sir/Madam,

Subject: Earnings call Transcript of the conference call with Analysts and Investors for the fourth quarter and year ended on March 31, 2026

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are attaching herewith the transcript of the conference call with Analysts/Investors held on Thursday, May 7, 2026 at 02:30 P.M IST, to discuss the financial performance of the Company for the fourth quarter and year ended on March 31, 2026. The same is being uploaded on the website of the Company.

This is for your information and records.

Thanking you,

Yours faithfully,

For Arvind Fashions Limited

Lipi Jha
Company Secretary
Arvind Fashions Limited
May 07, 2026

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"Arvind Fashions Limited
Q4 FY '26 Earnings Conference Call "
May 07, 2026

MANAGEMENT : MR. KULIN LALBHAI – VICE CHAIRMAN AND NON-EXECUTIVE DIRECTOR
MS. AMISHA JAIN – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER
MR. GIRDHAR KUMAR CHITLANGIA – CHIEF FINANCIAL OFFICER

Arvind Fashions Limited
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Moderator: Ladies and gentlemen, good day and welcome to the Arvind Fashions Limited Q4 & FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen mode only and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Girdhar Chitlangia. Thank you, and over to you, sirs.

Girdhar Chitlangia: Thanks, Swapnali. Hello, everyone. Good afternoon. Thank you for joining the Arvind Fashions Limited earnings call for the quarter and year ended March '26. I'm joined here today by Mr. Kulin Lalbhai, Vice Chairman and Non-Executive Director; and Ms. Amisha Jain, Managing Director and CEO.

Please note that results, press release, and earnings presentation have been mailed across to you, and these are available on our website, www.arvindfashions.com. I hope you've had the opportunity to browse through the highlights of the performance. We will commence the call with Kulin providing his key strategic thoughts on our quarter and year's performance. Post that, Amisha will cover the financial performance and the business highlights. At the end of the management discussion, we will have a Q&A session.

Before we start, I would like to remind you that some of the statements made or discussed on this call today may be forward-looking in nature and must be viewed in conjunction with risks and uncertainties we face. A detailed statement of these risks is available on the quarter's earnings presentation. The Company does not undertake to update these forward-looking statements publicly.

With that said, I would now turn the call over to Kulin to share his views. Thank you, and over to you, Kulin.

Kulin Lalbhai: Thanks, Girdhar. A very good afternoon to you all. Thank you for joining us for the Q4 results. FY '26 continues our trajectory of impressive growth and high-performing business outcomes. I am very happy to share that this quarter we have again achieved a very strong growth of 14.8% and a full-year growth of 14%.

This highlights our disciplined execution across all growth drivers, enabling us to successfully deliver our FY '26 objectives that we had set at the beginning of the year. The demand environment remains stable. Investments in brand and people and our consistent and superior retail execution have enabled us to deliver a very healthy LTL growth of 7.8% in retail and over 40% growth in the online direct-to-consumer channel.

Our EBITDA grew by 19% with a 50-bps margin expansion. Our PAT on a comparable basis has grown by 56% in Q4 and 62% in FY '26, which shows strong operating leverage in our business. We have also achieved the milestone of generating more than 23% return on capital employed, which remains our North Star metric, and this is likely to improve going further. The Arvind Fashions Limited

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seamless transition to new leadership has ensured continued growth momentum and sets the Company up for its next phase of growth and transformation.

Moving forward, we remain committed to maintaining our growth trajectory through investments in marketing, technology, and the AI initiatives whilst keeping consumer at the core and continuing to drive operating leverage and stronger cash flows. We continue to stay focused on our mantra of profitable growth, which should result in further improvement in return on capital employed.

I would like to now hand it over to Amisha Jain to take us through the specifics and more details about our financial performance.

Amisha Jain: Good afternoon, everyone, and a warm welcome to our investor call for Q4 and the full year ended March 31, 2026.

Let me start with key highlights. FY '26 was a year of profitable broad-based growth with 14% revenue growth, 40 bps EBITDA margin expansion, PAT up 62% on a comparable basis, and ROCE crossing 23%. Importantly, this was not driven by a single channel or brand. It was execution across the Board.

Three things I would like for you to take away from today's call:

1. Our D2C engine is compounding. Direct channels now account for 56% of sales, up 300 basis points year-on-year. Online B2C alone grew 40% in Q4.

2. Profitability is structural. Gross margin is up, EBITDA is up, ROCE at a new high, and the inventory is the freshest it has ever been.

3. We are entering FY27 with confidence. We expect to sustain mid-double-digit growth

with another 30 -40 basis points of EBITDA margin expansion , despite a more uncertain macro.

Coming back to Q4 performance .

Q4 revenue grew 14.8% with NSV at INR1,365 crores versus INR1,189 crores in the same quarter last year. EBITDA, excluding other income, was INR189 crores versus INR159 crores, a 50-basis points margin improvement. PAT came in at INR47 crores versus a loss of INR93 crores in Q4 last year ; on a comparable basis, that is 56% growth , Q4 marked another strong quarter for us driven by consistent execution in our direct -to-consumer channels. These together account for nearly 56% of sales - 300 basis points higher than same quarter last year. Our gross margin improved 20 basis points in Q4. Inventory freshness is at an all -time high. Despite the channel mix shift to D2C carrying slightly more inventory, working capital has been well controlled .

On Channel performance:

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- We delivered a robust LTL of 7.8% in retail, with overall retail growing at 14%. Retail growth was impacted by a transitory GST rate change impact on PVH brands for a few weeks. That dip is behind us ----both brands are back to double -digit growth.

- Online B2C grew over 40%, taking its share to 14% from 11%, which is in line with our intent to pivot away from B2B online.

- Wholesale and department stores delivered strong double -digit secondary sales growth as well.

- 50 EBOs were added in the quarter.

On Brand performance.

- USPA led the pack, delivering its highest -ever growth this quarter.

- PVH brands and Flying Machine each grew over 10% .

- Arrow was subdued due to a onetime model change and a weak wedding calendar.

Both are timing -related and not structural.

I'd like to highlight that Flying Machine deserves a special mention . Flying Machine clocked retail LTL of double digits and a B2C growth of 70%. We have sharply positioned Flying Machine as a unisex denim -anchored, on -trend youth brand, and that has shown good early traction. Flying Machine is now live across multiple e -commerce platforms. We will also launch flyingmachine.com in H2 fiscal '27 to build a direct community of consumers.

Full-year fiscal '26 .

Our revenue grew 14% with growth across every channel. Retail LTL was remarkably consistent at 8.1% for the year, and overall retail was in mid -double digits, reflecting strong execution rather than a single quarter tailwind. We added more than 1.4 lakh net square feet of retail space. Other categories (beyond men's apparel) now contribute 24% of our business and were a meaningful growth driver.

On profitability :

- EBITDA margin is at 13.4%, up 40 basis points year -on-year;

- PAT at INR124 crores, up 62% on a comparable basis;

- ROCE at 23% plus is a multiyear high, and in my view, the single best indicator of how our business is consistently improving.

FY 27 Outlook & Vision

As we enter fiscal '27

, I would like to take the opportunity to talk about 2 things.

First is on the macro - Government measures around GST, interest rates, and income tax have supported demand. The West Asia situation is a watch item for us. We expect mild pressure on

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certain raw materials, forex , and capex over the medium term, with the risk of a consumption slowdown due to supply -led inflationary pressures. Our mitigation actions are already in motion. A couple of points to highlight there.

- We bought inventory slightly ahead of the curve for SS26, locking in costs before the increase.

- For AW26, we are actively monitoring and hedging where required.

- Sourcing remains predominantly India -based, and we are deepening that further.

- Lastly, to navigate the volatility, we plan to remain nimble. We intend to double down on

our cost control measures, and we will selectively implement price increase while safeguarding growth.

Vision & Way Forward:

Our strategy rests on 5 pillars. I will list out the 5 pillars:

1. Portfolio diversification . We aim to deepen our leadership in menswear by establishing a top position in the country's 5 largest apparel categories: shirts, polos, denim, t -shirts, and blazers, while doubling down on adjacencies like footwear and innerwear that are already contributing 24 % of our business.

2. Building a differentiated brands of scale and desire . Our portfolio of 5 brands has meaningful headroom to grow. The unlock is sharper positioning, deeper consumer connection, and a strong merchandising grid led by innovation across our brands. Hence, we expect growth from each of our brands. As we had said earlier, we will continue to invest more towards marketing. 3.

3. Building a world -class direct -to-consumer organization . We will continue to double down on our D2C journey with a vision to take the share of D2C to 65%. Driving retail excellence and building a digital powerhouse remains our priority.

- Offline retail : we will continue our expansion and upsizing journey with a relentless focus on LTL and conversion driven by right product, brand experience and service.

- Building a digital powerhouse through our dotcom and marketplace partnerships : We expect each brand to have its own dotcom and app live this fiscal year, which will be the foundation for great brand experience and commerce.

4. Transforming with data , analytics and AI . This is a key growth driver for us and not a back - office initiative. Our investments will target 2 outcomes:

- Leveraging AI to drive cost efficiencies across functions;
- Leverage analytics and AI to drive front -end effectiveness . Retail excellence, pricing, assortment, marketing effectiveness are some of the examples of the same.

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5. A nimble supply chain that sits closer to demand , which should yield shorter cycles, faster reads, and less inventory risk.

I also want to highlight the fact that in line with the above strategy, we have already put a few things in motion over the last 2 quarters.

- We took up deep consumer work to map the market opportunity and consumer demand landscape, which is now informing our portfolio and where to play choices.
- We are putting structured investment in tech and AI with a dedicated specialist team built over the last 2 quarters, which is now working towards tech, AI, consumer analytics, and growth.
- We have also reorganized ourselves into a business unit structure for sharper accountability and speed while centralizing consumer brand marketing, digital, and data AI initiatives to build deep leverage capabilities. These things are already in motion.

To summarize, with a clear strategy and right organizational design now in place, we are reasonably confident

of sustaining mid double -digit growth in fiscal '27 with 30 to 40 basis points of EBITDA margin expansion. With the unifying goal of one team, one mission, driving cohesiveness and collaboration in Arvind Fashions Limited, we are poised to embark on the next phase of growth.

Thank you so much. We're now happy to take your questions.

Moderator: Thank you very much. We will now begin with the question and answer session. We have the first question from the line of Deep Shah from Equirus Securities.

Deep Shah: Congratulations on a good set of numbers. First of all, on the guidance which you have given around mid -double -digit growth, I just wanted to know if you can help me and give me some colour around the brand -wise performance, because this year, if we see U.S. Polo has been a standout performer throughout the year for us, should we expect the same sort of growth for U.S. Polo continuing in the years to come? And how do we see growth brand wise coming in the future period?

Amisha Jain: Thanks for your question. I think as we have seen our portfolio, and like I mentioned earlier, we are committed to building a portfolio of differentiated brands, and each of our brands have a very specific role to play. As we have seen, U.S. Polo is obviously ahead of the curve, and it has

now reached its potential with product innovation, right product -market fit, a great retail presence, and it continues to clock solid growth across our channels. Having said that, our PVH portfolio is really well poised to service the premium end of the consumer demand, and we expect that this portfolio will continue to clock growth as well.

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What we are bullish about is also Flying Machine with the positioning getting deeper and sharper. With it being a denim -oriented youth brand, which is on -trend and unisex, we believe that Flying Machine will continue to clock solid double -digit growth as well. Having said all of that, for us, Arrow is our unique position in terms of the formal workwear market and we believe that with some of the measures around store expansion, the right merchandising grid, and the right store format, we should see, again, a solid growth coming out of Arrow. All in all, I think what we believe is that with this diversified portfolio that we have, we should see consistent growth across our brands.

Deep Shah: Just a follow -up over here. See, if I'm not wrong, U.S. Polo would be roughly around INR2,400 - to INR2,500 crores of top line , and what I wanted to understand here is that on this base, do we expect U.S. Polo continue to grow at 13% to 14% CAGR in the next 3 -4 years? Or should we say, we should look for a lesser growth over here?

Amisha Jain: We expect our brands to grow at mid -double digits.

Deep Shah: Second question is on the margin side. While it's extremely positive that we are guiding for 30 to 40 basis points of EBITDA margin expansion. But what I understand is that the cotton prices are on the uptrend plus we are focused on investing behind A&P and all. So shouldn't we consider margins to remain under pressure? And how confident are we of achieving this 30 to 40 basis points of EBITDA margin expansion? And how will we drive this EBITDA margin expansion?

Amisha Jain: As I mentioned earlier in my opening remarks, our sourcing remains predominantly India -based, and we are deepening that further. And secondly, we're also watching overall this environment very closely. And to navigate the volatility, we do plan to remain nimble. While on one hand, we will double down on our cost measures. But at the same time, we will be selective in driving price increases where required while protecting our growth as well.

Deep Shah: One last question, if I can squeeze in. So on the store side, we have been constantly seeing new store addition. But on the other hand, we are seeing store c

losures as well. So this quarter as well, we have closed down somewhere around 45 -odd stores. So, can you just give some colour , which are the brands for whom we are closing down the stores? And are we done with this store closure initiative or not?

Amisha Jain: I think store closing of stores is a journey of retail . I think broadly speaking, as we continue to build retail, this journey will continue . We should see approximately about 5% closures going forward. And I wouldn't say it's higher in one brand over the other. This is just how overall the retail journey will look like.

Moderator: Thank you. We will take the next question from the line of Kaustubh Pawaskar from ICICI Direct .

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Kaustubh Pawaskar: Congrats for a good set of numbers. My question is on online B2C business. So that part of our business is doing extremely well. This quarter also, we have seen strong growth. So, considering the competition building around in this space or in this channel, do we see this growth momentum to continue or what is helping us to be a standout player in this particular channel, and are we doing extremely well in terms of growth?

Amisha Jain: Thanks for your question. I think one thing I'd say broadly is D2C is a core channel strategy for us. Like I said, that overall, as we look forward, building a world -class D2C organization that is built of retail and online is a priority for us. We have key initiatives in place to drive our D2C. So, whether you think about product, the way our brands show up, how we control our pricing, and how we manage our last mile, these are the certain few things that is actually driving growth for us. Over the years, we've also been able to actually drive full -price sell -through and reduce our discounts on our online channels as well.

So, it's a solid channel, which delivers profitability as well. Now in terms of your question, when you said that online B2C competition is increasing, in fact, we are seeing this channel stabilizing. We have seen advent of certain B2C brands, but with the brands that are there in our portfolio , the product innovation and the offering that we bring to the table along with the pricing , I think

our brands are pretty solid.

And from a competition point of view, what we're seeing is that the offtake in the market is actually much better. Hence, we continue to drive that through brand experience, great assortments, and overall last-mile service as well. Hope that answers your question.

Kaustubh Pawaskar: So, should we expect this momentum of 30% to 40% kind of growth to continue in the coming years, and that will help us this mix to further improve towards online B2C?

Amisha Jain: Yes. For us, online B2C, like I said, continues to remain solid, and we expect that over the years, this should continue to be at 20% plus.

Kaustubh Pawaskar: My second question, again, is on the margins, like you just mentioned that we are expecting 30 to 40 bps improvement in the margin. This is despite the fact that currently there is uncertainty related to volatility in the commodity prices. And you mentioned in your comment that you are focusing more on sourcing from India and you also have good cover in terms of the raw material prices, which will take a large part of your season.

So however, if this volatility uncertainty continues, should we expect some deceleration in what you have guided or should we -- whatever uncertainties it would be, you will still manage to clock 30% to 40% EBITDA margins expansion?

Amisha Jain: See, at this point in time, like I had mentioned earlier that while we are seeing mild pressure on raw materials, forex, capex over the medium term, we do expect that there could be a potential risk of a consumption slowdown due to the inflationary pressures. Having said that, we are

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reason

ably certain about our mitigation actions. And given that, we are -- at this point in time, cautious and at the same time, optimistic about our guidance.

Moderator: We will take the next question from the line of Avinash Karumanchi from Motilal Oswal Financial Services Limited.

Avinash Karumanchi: Congrats on good set of numbers. So this year, both Flying Machine and USPA have seen a very significant rebound. So what are the things that you could highlight for this rebound? What are the changes that have happened in these 2 brands, Flying Machine in particular?

Amisha Jain: Sure. Thank you so much. I think I'll talk about both the brands - one at a time. So when we look at Flying Machine, as you know that we've just gone through a very recent, sharper positioning and deeper work with Flying Machine. Hence with that, the one thing that we've done is actually gone deeper with how we drive consumer connect. Flying Machine is now positioned as an on-trend youth brand, which is more focused on denim and also pivoting towards a unisex offering.

Now what that does is what we have seen is that in initial season which we've launched there is a great offtake across our channels. The other thing was with us taking over Flying Machine fully. We've now been able to make sure that this brand is available to our consumers across the channel of their choice.

So, you will find Flying Machine distribution now in retail and across various e-commerce platforms. We've actually seen a pretty healthy growth across the Board, both in retail and online. So, with those measures, with a great product positioning, we believe that Flying Machine is actually well poised to grow. From an overall youth and Gen Z point of view, if you look at it in the denim space, there isn't a strong player out there barring one.

And we believe that Flying Machine has a very, very strong positioning. And with that we should be able to take on a much larger market share over a period of time. So that's about Flying Machine.

In terms of U.S. Polo, I think U.S. Polo has been on a fabulous journey. The way U.S. Polo is set up across the consumer landscape, it caters to various occasions for men's apparel. With our leadership in Polo shirts and as you can see in denims, U.S. Polo is actually very well poised in terms of the way we are expanding ourselves across various channels, both online and offline. We've been able to bring great innovation in U.S. Polo, across the pricing merchandising grid and at great price points we've seen good offtake across the Board. So, I think all in all, if I were to look at it, all 3 pillars in terms of product merchandising, the way the brand is connecting with the consumer, and the strong spread we have from a channel point of view, we believe that U.S. Polo is actually set for a very strong trajectory ahead.

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We do believe that there is potential for us to expand the network from a retail point of view and also drive uspolo.com and our marketplace presence in a much stronger way. So we expect

and we remain bullish on U.S. Polo going forward as well.

Avinash Karumanchi: And regarding the channel mix, how does the channel mix vary for brands like Arrow or Flying Machine? U.S. Polo, it's already at 400 stores, and you are adding larger stores with a different outlook there. But how does this channel mix look like in case of Flying Machine and Arrow?

Amisha Jain: So I think each brand has its own channel journey. And like I said for us, the channel mix is more coming from consumer demand and where we believe that there are pockets of growth.

U.S. Polo is a brand which addresses a certain demand and it has got a much wider distribution in terms of stores. We do believe that there is a lot more potential for our network to actually expand from where it is.

Similarly, Arrow and Flying Machine are on the be-

ginning of their journey, and we believe that

as we go and we rethink the product line, expand the product mix and drive assortment in a certain way, both these brands will see an evolution of their retail further. So you should expect expansion of retail in both. At the same time, we will go much deeper with our online business in both these brands.

Avinash Karumanchi: And the next question is to Mr. Girdhar regarding the capex and debt. So if you look at it, like this year, the capex was around INR110 crores. Can you give us a breakup for that?

Girdhar Chitlangia: Yes, I'll take that, Avinash. The capex includes - besides investment in stores, it also includes investment in MBO, the department stores. It also includes deposits that we give to the landlords where we sign up COCO stores. So, if you look at the breakup, it could be -- store deposit for about 50 COCO stores which we opened plus investment in department store, MBO. We also invested in IT and admin capex.

Avinash Karumanchi: And regarding the other point of debt. So how should we see the net debt going forward?

Girdhar Chitlangia: See, in the quarter just ended, our debt was higher because we took some borrowing to fund the Flipkart transaction. I think apart from that, we have been quite efficient. Hence this basically changes our goal of becoming a net debt zero Company in about maybe in 9 to 12 months. I think we are in the right trajectory and apart from this one-off transaction, we are in line to reduce our debt on a year-on-year basis.

Avinash Karumanchi: And a little bit of the debt also sits in payables in the form of acceptances. So how does it move going forward?

Girdhar Chitlangia: You see, this business always has purchases from small suppliers and small MSME and we all know that there is a cash cycle mismatch that has to be managed. Hence, we use some kind of funding to manage that purchases. But usually, it is there to manage our payables. There is nothing extraordinary. It has always been there and have been reported as part of our annual report.

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Avinash Karumanchi: I mean, should we see like -- historically, if I look at it, like it is somewhere around 5% to 6% of the sales. So, are you planning to reduce that debt as well? Or that would continue going forward?

Girdhar Chitlangia: As there is cash generation, the primary objective is to reduce the debt, which is the term loan. And then secondary, of course, is to reduce the working capital financing.

Moderator: Thank you. We will take the next question from the line of Abhijeet Kundu from Antique Stock Broking.

Abhijeet Kundu: Congratulations on a great set of numbers. One was on the overall macroenvironment in the sense that we have been seeing that premium brands have been growing at a better rate. There has been some amount of pressure on the value brands and some amount of pressure on the mid - premium price brands.

So wanted your view on that and how the overall scenario has evolved because March Quarter, there has been some amount of recovery -- perceived recovery in apparel and fashion brands.

So just wanted a view on that. And then secondly, you have been -- I mean, out of all the denim brands, a single brand has done very well in the last 7, 8 years.

That gives you a very strong ground on how to revive the Flying Machine brand. Through our channel checks, what we understood is what you did other brands, you have brought down the SKUs or the designs or the most -- dropped down to the most-selling designs in Flying Machine, and hence, you have done a lot of restructuring.

So just how much is the confidence that Flying Machine will revive from this level because

Flying Machine used to be a very strong brand 20 to 25 years back? So yes, just a view on that.

And I have my second question after.

Amisha Jain: Thank you so much. I think on your first

part, premiumization has been a trend for us, and we've

seen that both across our brands something that has paid off very well for us. Our brands have

actually premiumized while at the same time ensuring great value at fabulous prices. So from that point of view, all our brands, when you look at our PVH brands or you look at U.S. Polo, Arrow, Flying Machine, from a premiumization trend point of view, we're definitely seeing that consistently quarter-over-quarter. So the question that you asked first, I think that trend is something that we expect to continue.

Coming back to Flying Machine, we're actually quite bullish on Flying Machine. If you look at it and I think you have already touched upon this, Flying Machine has a fabulous equity. With the latest consumer work that we've done, we've found is that consumers actually resonate really well with the equity.

For us, the question has been about how do we go and drive this brand much deeper, bring great products, and ensure that we drive much deeper consumer connect as well. So we've gone in

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and done some work on Flying Machine. From a brand positioning point of view, here are the few things that we're driving. Number One - We believe that this equity is actually well poised and it connects really well with the youth and the Gen Z consumer.

The second is we also strongly believe that it has a potential to drive both for men and women, and you'll see that coming out of Flying Machine. The third being that Flying Machine has always been a very strong denim equity, and we are going much deeper with that, offering really great products for the consumer from a Gen Z point of view.

And if you look back at the point you made, I think this is, again, a very strong anchor for Flying Machine. The last part I'll touch upon is that the one thing that I feel that the Flying Machine will bring to the market and again connecting back to its equity is ensuring that it is on-trend because that's what this consumer is seeking.

We believe that given our strength in denim, given the strength in product and innovation, we are very well poised to bring that to the market. We will definitely cater to the consumers through their preferences.

The one thing that we're doing is actually staying very close to the ground, ensuring that we understand what are the trends they're seeking, the price points they're seeking, the silhouettes they are looking for, and making sure that our offering is tight, and our product assortment is actually rightsized for the right product mix and pricing as well. So with that, we believe that it has a very unique position that it can take in the market.

Abhijeet Kundu: And so, 2 things here. One is in Arrow, we one year back in the last 3-3 seasons, a lot of new products were launched in the semi-casual segment which were looking extremely great. What would be the -- I mean, in the last 2 years and after you have joined, what have been the changes in Arrow and what has been the progress there?

And secondly, in terms of profitability in these 2 brands, I don't know your figure, but has there been a profitability improvement in Arrow as well as Flying Machine? Because this is one of the very frequent questions asked by the investor community?

Amisha Jain: Thank you so much for asking that. When you look at Arrow from our portfolio point of view, it is actually one of our brands that is all set to cater to the innovation and the workwear market in a much sharper way, actually pivoting towards how the modern professional seeks to go about his day.

As we've looked at this brand closely, we've looked at the consumer demand, done some deep work around consumer, and we are sharpening the offering in Arrow. So the one thing that you will see happening is that we're relooking at the line, and we're actually simplifying the merchandising grid

and going much more sharper in terms of the benefits that the consumer is seeking on a day-to-day basis.

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The other thing is, as you look at our stores, you'll see a little more simplification and navigation happening at our retail and online as well. Third, we are also relooking at the store formats to see that if it is allowing us to cater to the consumer, the navigation and all of those pieces in a much tighter way.

All of this should yield much better better full-price sell-through, and with that, we expect that the profitability will only improve. So all in all, again, like I said, I think this is one brand that we believe is actually very well positioned to cater to the formal workwear market and some of the special occasions as well.

Moderator: Thank you. We will take the next question from the line of Swapnil Gupta from White Pine

Investment Management.

Swapnil Gupta: Just a bookkeeping question. Why our reserves have declined Y-o-Y by about INR13 crores?

Girdhar Chitlangia: Because we did this transaction with Flipkart and there was some equity adjustment because of that.

Moderator: We will take the next question from the line of Naveen from Nuvama AMC.

Naveen: Congratulations on a great set of numbers. Just wanted to check on what is our store expansion plans for FY '27. And secondly, in terms of our adjacencies, we are already at 24%. So, from here on, while you're guiding for mid -double -digit growth for FY '27, but is it the fourth portfolio which will have to do the heavy lifting from now on, considering that on adjacencies, we are already at 24% or do you think that adjacencies will continue to grow?

Amisha Jain: So, the first question you asked is around the store expansion for the next fiscal year ?

Naveen: Yes.

Amisha Jain: Like I mentioned earlier, when you look at our store fleet, we do believe that there's a great opportunity for us to expand our store fleet, at the same time, upsize our stores as well, because our offering is increasing and our consumer offtake of some of our brands is also great.

So we expect to drive about 1.5 lakhs net square feet addition over the next fiscal year across our portfolio. That's answering your question number one.

On your second question, see, the way we look at our brands what we are seeing is that there is a significant potential for us to grow even in just the men's apparel space.

And we've set a goal for ourselves to establish a strong leadership position across the top categories in the market. So there is a significant opportunity for us to grow just within that.

Secondly, we've also identified that there is opportunity for us to grow across other categories - footwear and innerwear being the key ones that we're driving. Over a period of time, we will also start scaling womenswear as well.

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So to answer your question, we do expect that growth to come through our brands and through the network. At the same time, the adjacencies will continue to clock growth as well. So we're quite confident about the mid -teens that we've talked about.

Naveen: If I can just add in one more question. So in the past, you've said that beyond these 5 brands, you aren't really actively looking to expand the portfolio. Do we still hold on to that position?

Or are we in active evaluation of new brands?

Amisha Jain: I think what we've maintained is that obviously, our 5 brands are key, and we see significant headroom of growth. Having said that, over a period of time, if something comes up, which strategically makes sense from a portfolio point of view, we will be open to looking at it.

Moderator: We will take the next question from the line of Muskan from Svan Investments.

Muskan: Just wanted to know that what is the size of the business we have

or footwear in FY '26? How

many stores we opened in FY '26 and how many stores do we plan to open in the coming year FY '27 -'28 and how many stores are there for Stride...

Amisha Jain: I think broadly speaking, if I were to talk about the adjacency growth, our adjacent category has grown at 25%, and it is now sitting at about a 24% share of our business. Hence we expect the adjacent parts of their categories also to continue to grow as well. In terms of our growth, like I said, we are expecting to expand at a portfolio level to about 1.5 lakh net square feet addition next year. We don't give out brand -wise numbers, so hopefully, the 1.5 lakh net square feet helps you.

Muskan: Okay. If you can help me with the footwear side, the size of the footwear business that we will begin at the end of the year ?

Amisha Jain: See, footwear also for us is an expansion through our U.S. Polo Footwear stores and our Stride format. We currently have 19 stores of Stride. And we will look at it from an opportunity and a catchment point of view, and we will continue to expand. I would also want to highlight that for us, online is a very important channel for footwear, and that will continue to be the case.

Moderator: We will take the next question from the line of Ankit Kedia from Phillip Capital India.

Ankit Kedia: Inventory days have increased by nearly 20 days over the last 2 years. So what is leading to this inventory day increase, while at the same time, you are commenting that the inventory is the freshest ever? So what's changed out here?

Girdhar Chitlangia: Ankit, Girdhar here. You see inventory days is a function of channel mix. And as we will increase our channel towards more D2C, which is basically retail and B2C, the inventory will sit in our books. In a wholesale business, it actually moves out of our books. So correspondingly, if you see, while our inventory days has gone up over last 2 years, receivable days also has correspondingly reduced.

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All in all, it's a balancing within the GWC section within the balance sheet. As we increase and focus our energies on the D2C business this is likely to remain like this or maybe increase a little as we go along as the channel share changes?

Ankit Kedia: So the receivable days have reduced only by 3 days versus 18 days increase in inventory. So is that the right way to look at the business?

Girdhar Chitlangia: Yes. There was a small B2B transaction done on the Tommy Hilfiger business side at the end of March. Other than that, there is a corresponding reduction in receivable days.

Ankit Kedia: Sure. My second question is regarding the stores. To the previous participant, you mentioned that there were 50 COCO stores open for which security deposit and others were paid. Now the net store opening in the quarter or the year is also 50 stores. So how many COCO stores have you closed?

Girdhar Chitlangia: Sorry, that number of 50 was for the year. I think the question was on the capex for the year and the answer was for the year, not for the quarter.

Ankit Kedia: Right. So my question is also for the year. We have net opening of 50 stores for the year and 50 were COCO stores which you opened, while gross opening is around 150. So how many COCO stores during the year have you closed?

Girdhar Chitlangia: Ankit, I don't have this data handy. We can catch up separately on this one.

Ankit Kedia: Sure. My last question is on the retail like -for-like growth. This 8% growth, which we have delivered, is it only for COCO stores or full franchisee network of full 1,000 stores? And is it the primary which we give to franchisee, does it capture that data or the consumer data?

Girdhar Chitlangia: No, this is consumer data, Ankit, and this is across our network. If you know our business model, we are on a consignment basis on all our stores and the sale is recorded in our books

when the final consumer buys out.

Moderator: We will take the next question from the line of Prakash Kapadia from Kapadia Financial Services .

Prakash Kapadia : A couple of questions. What is the share of adjacency we are targeting in the coming years? And if that share further increases, would the margin see more expansion? Is that the right understanding?

Secondly, on Tommy Hilfiger and Calvin Klein, any major cost pressures we are seeing? What is the price hike mechanism, the frequency of price changes? And something on Arrow , I think in the PPT, you have mentioned some new products in linen. So are they launched? What kind of products are we looking at, if you could give us some sense? These were my 3 questions.

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Amisha Jain: To your question on gross margins, I think we do believe that with our work, overall, I'd say that over a period of time, we would like to take this to high 50s and it's not just about the adjacencies, but overall, we believe that there is some headroom for growth over here.

As we drive full -price sell -throughs through our consumer analytics, et c., we do believe that we should be able to drive that. Now coming to your question on the PVH side, there definitely was an impact of GST from a slab movement to about 18%, these are the brands that got impacted and we did see an initial and a transitory impact.

Having said that, I think both our brands, we're starting to see now a double -digit traction there as well. In terms of Arrow, I think that's a great question. Innovation has always been at the heart of everything that we do, and that is true for across our portfolio, especially talking about Arrow. We've always been one of those companies that has been known for bringing the best shirts in the market.

And with linen on trend, we've been able to capture that and bring some great products out in the market. And you would have seen that we are leading with that in terms of some of our more localized store campaign as well. So this is something that is part of our DNA, and we will continue to drive more of that as we go along.

Prakash Kapadia : And in the adjacency, U.S. Polo would have the largest contribution in our brand salience, adjacent contribution?

Amisha Jain: That's true because U.S. Polo is at a certain size and scale, we've also built out the other categories for U.S. Polo faster. So that's absolutely right. U.S. Polo is little ahead. Having said that, our PVH businesses also have a strong adjacency business as well and hence all 3 of those look in the same zone .

Prakash Kapadia : And directionally, you said you would look at 50% gross margin. So next 2, 3 years, would that be possible to achieve? Is that the direction we are working on?

Amisha Jain: We have directionally been working on delivering towards the high 50s, and that's what we will

go towards the next 2 to 3 years. We'll continue to drive gross margin upwards. As our direct channel also goes up, we drive efficiencies through COGS and also reduction of discounts ., We'll continue to drive that.

Moderator: We will take the next question from the line of Varun Singh from AlfAccurate Advisors.

Varun Singh: The question is, I think the previous participant has asked on growth in the inventory. So if we just compare FY '25 inventory with '26, there is almost more than 30% growth. And historically, we have not seen a similar kind of a growth given the change i n the business mix and the revenue growth that we have delivered.

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And honestly, I mean, if we look at FY '25 and '26, the mix of the business in terms of revenue looks not significantly different. So in front of 15% revenue growth, 30% inventory growth, please help us deco nstruct maybe how to look at it?

Girdhar Chitlangia: Varun, as I said earlier, you cannot look at the full -year

number. You will have to look at a

quarter - on-quarter number, which is more representative of how the inventory is moving. So our channel mix has changed by 3% towards the direct, that itself is almost 6 day s impact.

As we also mentioned in our investor deck as well as Amisha mentioned in her opening comments, we had an early inwards, which is also to mitigate some of our basic risks that we saw. If you recollect our previous call, we had mentioned that there were dela ys on account of the geopolitical issues, Bangladesh shipments, and so on and so forth. So we were really extra cautious and , inwards a lot of our SS26 merchandise before March.

Having said all of this, we, of course, used to have a 4.0x inventory turn, but that was at a certain channel mix, which was more skewed towards wholesale channels. As we move down our path of achieving a larger business in retail and B2C, we expect our inventory tu rns to improve to 3.7x to 3.8x.

The last point that I want to make is while this inventory is, of course, there in our books, a large part of the late inward also gets mitigated by higher creditors. So in terms of net working capital, if you look at it, I mean, over December quarter, for example, there was hardly any change, and we continue to focus on reducing our inventory.

Varun Singh: And secondly, maybe if you could call out that full -price sale compared to the overall sale in our revenue has been how much in FY '26 compared to FY '25?

Amisha Jain: Only thing I will say is that as we continue to clock and when you look at our gross margins as well, we're looking healthy and positive, which is an indicator of the fact that our overall sell -throughs are in a good place. We expect that we will keep improving on it, and it has improved over a period of time as well.

So while we don't give out specific numbers there, but we're actually seeing a good traction in that direction. With our initiatives around pricing and analytics coming in, we will only continue to see improvement in that area.

Varun Singh: The reason I was asking that is when you call out 40 to 50 bps expansion in margin, so where exactly should we expect those margin expansion to come from? Is it only from the maybe store maturity and improving output from the existing stores or from incre asing full -price sale of merchandise also? So just wanted to understand maybe how much of that jo urney has already been travelled?

Amisha Jain: Absolutely, we will expect to see our G ross Profit improve powered by a couple of things. So as we drive premiumization and product innovation with a great product -market fit, we're

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expecting to see a better sell -through. And we're also continuing to see that with some of our initiatives around analytics, etc., our pricing and full -price sel l-through will also get better. And with further COGS improvement, all in all, we expect to see an improvement in G ross Profit . That's number one. The second is on an ongo ing basis, we expect that our sell through should continue to improve as well. So all of those pieces should drive operating leverage for us.

Varun Singh: And just one last question, if I may. If you could just deconstruct the 15% growth expectation. So how much do you think you would be extracting that growth from like -to-like and how much from retail area expansion? What is our math behind the 15% growth expectation guidance?

Amisha Jain: We are expecting to see about 7% to 8% of like -for-like and the rest of it to come from an expansion, upsizing, etc.

Varun Singh: And even in like -to-like, it should be largely what mix -led, price -led or how should we expect

it to be?

Amisha Jain: Again, there, I would say probably an equal split in terms of driving through pricing and volume growth.

Moderator: Thank you so much. We will take the next question from the line of Jaymin from A

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Asset Management.

Jaymin: Amisha, I have one question for you. When you say you will be open to something strategic at a portfolio level, does that imply that the current portfolio alone may not be sufficient to deliver the growth momentum that you are targeting at the Company level? Also, given the capabilities of the Company, can you elaborate more on your thoughts on build versus buy strategy?

Amisha Jain: Sure. So I think one thing that I do want to highlight is that our overall plan is around driving growth through our own 5 -brand portfolio and the strategy that I've just laid out in my opening comments, which is our own organic growth around 15%. That's what we've spoken about in the mid -double digit .

The only thing that I've highlighted is that the question on are we open? Yes, if something comes which is more relevant from a strategic direction point of view and it looks like something that will allow us to double down from a capability or from a future growth point of view, we might look at it. Hope that answers your question.

Jaymin Shah: Okay. But any white space you are seeing in our portfolio that you would like to fill through inorganic growth?

Amisha Jain: I think it's too early to comment on that. Like I said, we've picked up some deep consumer work, and we are very, very clear on the areas that we want to double down with our brands in terms of men's apparel space itself. We believe our portfolio is actually really well poised to service

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some of those specific opportunity areas. There are a couple of spaces that we want to build, and we might still seek to build it organically.

Jaymin Shah: it's great to hear. And the last question. Right now, the demand seems to be holding up for now, and you are clearly investing behind it through the marketing investment. But you have also flagged out the inflationary pressure as a risk to consumption. In that context, can you elaborate more on the internal cost control measures that are already underway at the Company level that can help you to protect the margins in the coming times versus just simply cutting down your marketing spend?

Amisha Jain: We are always continuously looking at it from an organization point of view, and we are quite nimble about looking at cost structure across the Board . As we look at the next few months and some of the inflationary pressures, we are conscious of it, and we're just putting in cost controls in various areas. So that's something that we're looking at across the Board .

Moderator: Thank you very much. Ladies and gentlemen, that was the last question. And with that concludes the question -and-answer session. I now hand the conference back to Mr. Girdhar Chitlangia for the closing comments. Thank you, and over to you, sir.

Girdhar Chitlangia: Thank you, everybody, for joining the call today. If you have any questions, please feel free to reach out to me, and we would be happy to answer them offline. Thank you so much. Have a good day.

Moderator: Thank you, members of the management on behalf of Arvind Fashions Limited, that concludes this conference. Thank you all for joining with us today, and you may now disconnect your lines. .